

KIP

REIT

Driving Sustainable Growth

FORWARD



Annual Report 2024



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Disclaimer: This annual report, prepared by the Manager for KIP Real Estate Investment Trust may contain certain forward-looking statements and is prepared based on the Manager's current view of future events that may involve certain assumptions, risks and uncertainties. Unitholders and investors are advised that past performance does not necessarily signify its future performance.

ABOUT KIP REIT

VISION

To be a leading Real Estate Investment Trust with sustainability and community engagement at the forefront of our investment strategies.



MISSION

Creating value for our stakeholders to ensure sustainable growth for our KIP REIT community.

- **For our investors:** We strive to deliver sustainable returns for our investors with a steady stream of distribution income generated by our unique portfolio of assets.
- **For our business partners:** We see and treat our tenants as our business partners. We are building a community of assets as a platform for our business partners to expand their enterprises together with our growing community of properties, be it local SMEs or established brands.
- **For our shoppers:** We want our shoppers to feel at home at all of our community-centric malls, where they can access their daily necessities and create long-lasting memories with other members of their communities.
- **For our employees:** We treat all our people with the utmost respect, embracing diversity and fostering inclusion. We are committed to providing training opportunities that empower our employees to reach their full professional potential and promote team growth.
- **For our community:** We are committed to helping the communities in our areas of operation by supporting causes to promote environmental sustainability and to foster economic and social development.



CORE VALUES

K_{now-how}

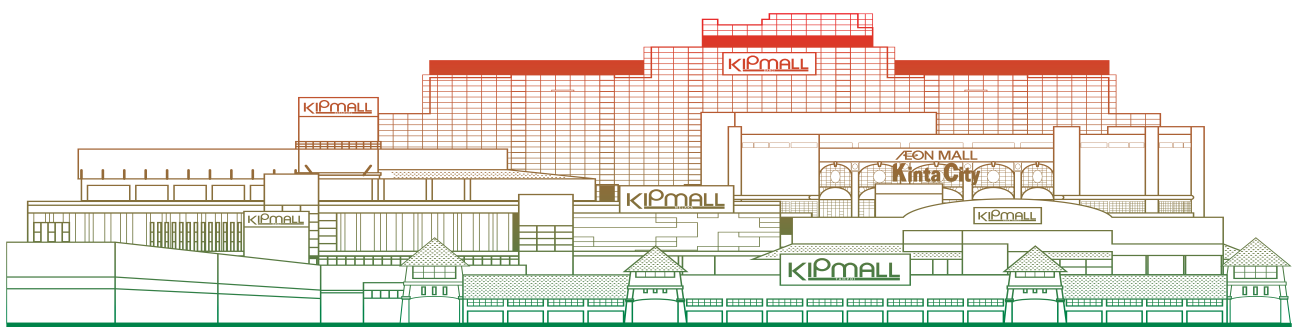
We are committed to leveraging our core capabilities in identifying investment opportunities and management of our properties to ensure that we maximise value creation for all of our stakeholders. Our management team takes pride in making carefully considered decisions to deliver high-quality investments.

I_{ntegrity}

We uphold the highest standards of ethical behavior and transparency in all our interactions. Trust and honesty are the cornerstones of our relationships with stakeholders.

P_{eople}

At the heart of our investment fund is our community, with people being central to everything we do. We foster a culture of respect, collaboration, and empowerment, recognising that our success is built on the diverse talents and contributions of our team. We strive to serve each and every one of our stakeholders with dedication to maximise value.



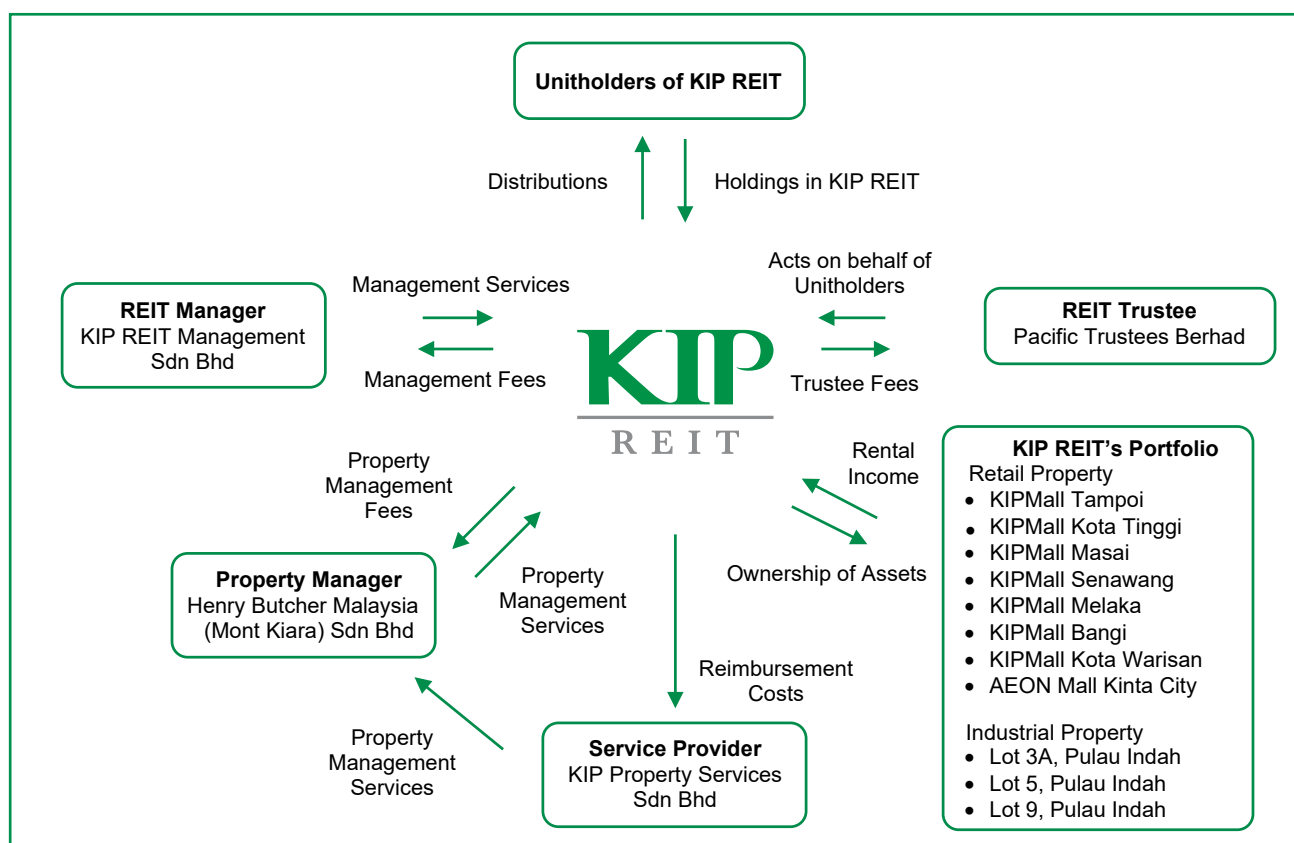
ABOUT KIP REIT (CONT'D)

KIP Real Estate Investment Trust ("KIP REIT") is a Malaysia domiciled real estate investment trust ("REIT") established on 2 November 2016 pursuant to the deed of trust dated 2 November 2016, an amended and restated deed dated 12 December 2019, and a supplementary deed dated 29 September 2020 (collectively referred to as the "Deeds") between KIP REIT Management Sdn Bhd ("the Manager") and Pacific Trustees Berhad ("the Trustee").

KIP REIT was listed on the Main Market of Bursa Malaysia Securities Berhad ("Bursa Securities") on 6 February 2017. As such, our conducts are regulated by the Securities Commission Malaysia Act 1993, the Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines") prescribed by the Securities Commission Malaysia ("SC"), the Main Market Listing Requirements of Bursa Securities ("MMLR"), the Rules of Bursa Malaysia Depository ("Depository") and taxation laws and rulings.

Subsequent to our unitholders' approval on 29 September 2020, KIP REIT's investment policy is to invest, directly and indirectly, in a portfolio of income producing real estate used primarily for retail purposes, and for industrial or commercial purposes, including, without limiting the generality of the foregoing, warehousing facilities, logistics facilities and manufacturing sites as well as real estate-related assets. As at 30 June 2024, KIP REIT's property portfolio consists of eight (8) community-centric malls strategically located in suburban areas across Peninsular Malaysia and three (3) industrial properties located at Pulau Indah, Klang, Selangor.

The structure of KIP REIT is illustrated as follows: -



ABOUT KIP REIT (CONT'D)

SALIENT FEATURES OF KIP REIT

Name of REIT	KIP Real Estate Investment Trust
REIT Type	Income stability and growth
Duration / Termination	Earlier of the occurrence of any circumstance as stated in the Deeds or 999 years from the establishment of KIP REIT
The Manager	KIP REIT Management Sdn Bhd [Reg. No. 201501044317 (1169638-M)]
The Trustee	Pacific Trustees Berhad [Reg. No. 199401031319 (317001-A)]
Investment Objective	The key objective is to provide unitholders with regular and stable distributions, sustainable long-term unit price, distributable income and capital growth, while maintaining an appropriate capital structure.
Investment Strategies	The Manager intends to increase the income and consequently, the value of the investment properties by implementing the following strategies, including: - • active asset management and enhancement; • acquisition growth; and • capital and risk management.
Authorised Investments	Real estate used primarily for retail purposes, and for industrial or commercial purposes, including, without limiting the generality of the foregoing, warehousing facilities, logistics facilities and manufacturing sites, special purpose vehicles ("SPVs"), real-estate related assets, non-real estate-related assets, cash, deposits, money market instruments and any other investments not specified above but specified as a permissible investment in the REIT Guidelines or as otherwise permitted by the SC.
Authorised Investment Limits	The investments of KIP REIT are subject to the following investment limits imposed by the REIT Guidelines: - • at least 75.0% of KIP REIT's Total Asset Value ("TAV") must be invested in real estate and/or SPVs at all times; and • not more than 25.0% of KIP REIT's TAV may be invested in non-real estate-related assets and/or cash, deposits and money market instruments, provided that investments in both real estate-related assets and non-real estate-related assets are limited as follows: - • the value of KIP REIT's investments in securities issued by any single issuer must not exceed 5.0% of KIP REIT's TAV; • the value of KIP REIT's investments in securities issued by any group of companies must not exceed 10.0% of KIP REIT's TAV; and • KIP REIT's investments in any class of securities must not exceed 10.0% of the securities issued by any single issuer; or such other limits and investments as may be permitted by the SC or the REIT Guidelines.
Borrowing Limits	Up to 50% of the TAV of KIP REIT at the time the borrowings are incurred.
Investors' Profile	Suitable for investors with long-term investment objectives who seeks regular income distribution and long-term capital appreciation, and who understands the risks related to the real estate industry and REITs.
Distribution Policy	At least 90% of KIP REIT's distributable income shall be distributed on a quarterly basis.
Listing	Main Market of Bursa Securities
Stock Number	KIPREIT 5280

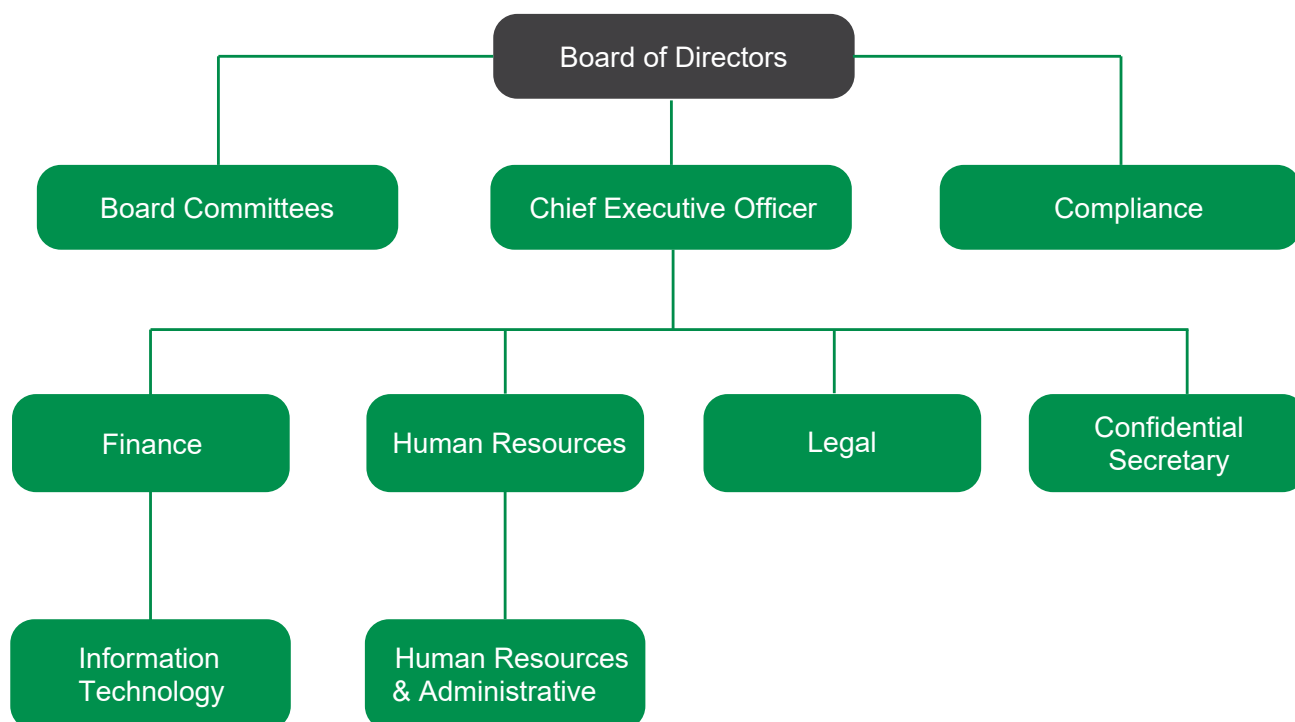
ABOUT THE MANAGER

KIP REIT Management Sdn Bhd by virtue of the Deeds was appointed to act as the management company of KIP REIT ("the Manager") on behalf of its unitholders. The Manager is responsible for the administration and management of KIP REIT as well as the implementation of KIP REIT's investment and business strategies.

The Manager is a wholly-owned subsidiary of KIP Homes Sdn Bhd and was incorporated in Malaysia on 15 December 2015. The Manager is also a Capital Markets and Services License ("CMSL") holder for regulated activity of fund management in relation to asset management restricted to REITs.

The Board of Directors of the Manager ("the Board") is backed by a group of experienced individuals from diversified fields, such as finance, compliance, legal, human resources and etc.

The corporate structure of the Manager by function is as follows: -



LETTER TO UNITHOLDERS



Dear Valued Unitholders,

On behalf of the Board of KIP REIT Management Sdn Bhd, I am pleased to present to you the Annual Report of KIP REIT for the financial year ended 30 June 2024 ("FYE 2024").

At KIP REIT, our commitment to delivering sustainable value and consistent returns to our unitholders has remained steadfast. Our strategic focus on the retail and industrial property sectors in Malaysia has positioned us to capitalise on the country's growing consumer market and urbanisation trends, ensuring consistent performance even in the challenging market conditions.

Datuk Dr Syed Hussain bin Syed Husman, PJN. JP
Chairman / Senior Independent Non-Executive Director

General Economy Overview

Reflecting on the past year, we encountered significant macroeconomic challenges and persistent global volatility arising from post-COVID-19 pandemic, trade tensions, geopolitical conflicts and tightening monetary policies. Despite these hurdles, Malaysia's economy demonstrated remarkable resilience, with a GDP growth rate of 4.2% in the first quarter of 2024. This growth was primarily driven by strong domestic demand, improved employment rates and wages, as well as increased household spending. In terms of inflation, the rate remained stable at 1.7% in early 2024, compared to 1.6% in 2023, as a result of moderating global commodities price, reduced supply disruptions, effective price controls and subsidies.

While Malaysia demonstrates a recovery trend, external factors such as a global economic slowdown and ongoing geopolitical tensions may pose risks to fiscal stability and overall growth. Nevertheless, the Malaysian Government remains committed to prudent fiscal management and strategic investments through frameworks like Ekonomi MADANI and Budget 2024. Resilient domestic expenditure and a recovering tourism sector are expected to support continued economic growth.

Retail and Industrial Markets Overview

With the rise of e-commerce and technological advancements accelerated by the pandemic, retailers in Malaysia face numerous challenges. Nonetheless, the sector is navigating these changes effectively. The competitive market is driving malls to evolve into experiential centres to attract foot traffic. Despite a cautiously optimistic outlook, economic uncertainties such as the escalating operational costs, may squeeze profit margins and drive-up prices, affecting consumer affordability. However, the Government's initiatives, such as targeted cash assistance and salary hikes for civil servants by the end of 2024 could provide some relief and support to retail activity moving forward.

LETTER TO UNITHOLDERS (CONT'D)

Retail and Industrial Markets Overview (Cont'd)

In contrast, the industrial sector in Malaysia is flourishing, driven by robust e-commerce penetration and consistent manufacturing output. The recent depreciation of the Malaysian Ringgit is also expected to temporarily stimulate the foreign direct investments. The logistics industry, in particular, is benefiting from accelerated adoption of e-commerce and experiencing increased demand for warehouses and distribution hubs. Despite economic uncertainties, the demand for logistics space remains strong, supported by online retail growth and a positive domestic business climate. Malaysia's favourable business ecosystem and its role as a key supply chain hub continue to attract investments, fostering growth in both the logistics and manufacturing sectors.

Business and Financial Highlights

KIP REIT has achieved a higher gross revenue of RM102.16 million for FYE 2024, representing an increase of RM18.41 million or 22.0%, as compared to the previous financial year. This growth was attributed to the higher revenue recognised from our three (3) industrial properties and rental income derived from the newly acquired KIPMall Kota Warisan. Furthermore, we are glad to highlight that our average portfolio occupancy has improved from 92.3% as at 30 June 2023 to 94.1% as at 30 June 2024, mainly driven by higher occupancy rate recorded at KIPMall Bangi and KIPMall Melaka.

In line with the revenue growth, we have recorded a 25.2% increase in net property income for FYE 2024 as compared to financial year ended 30 June 2023 ("FYE 2023"). However, our profit for FYE 2024 was recorded lower by 22.2% due to lower fair value gain recorded during the financial year as the fair value in FYE 2023 was notably higher due to a remarkable improvement in market conditions following the COVID-19 pandemic, which driven by the gradual return to normalcy and recovery from the Movement Control Order. Nonetheless, our realised profit has increased by RM6.77 million or 17.9% from RM37.70 million in FYE 2023 to RM44.47 million in FYE 2024 in line with the higher net property income. As a result, our distribution per unit also increased from 6.20 sen for FYE 2023 to 6.67 sen for FYE 2024.

KIP REIT has also continued to maintain a healthy balance sheet with a stronger portfolio of assets and healthy gearing ratio within the prescribed threshold as per the REIT Guidelines.

Further detailed analysis of our financial performance is available in the Management Discussion and Analysis section of this Annual Report.

Yield-Accretive Acquisition

During FYE 2024, we acquired KIPMall Kota Warisan for a cash consideration of RM80.00 million. In an effort to maintain a healthy gearing level, such acquisition was funded by a combination of debt and equity financing.

This acquisition marks as a valuable enhancement to our portfolio by bringing our total retail assets to eight (8) malls and increasing our total net lettable area by approximately 10.7%. The strategic location of KIPMall Kota Warisan also strengthens our industry position as a geographically well-diversified community-centric mall REIT. In addition, we also proud to highlight that KIPMall Kota Warisan recorded a high occupancy rate of 99.5% as at 30 June 2024.

Income Distribution

During the FYE 2024, KIP REIT has made four (4) income distributions to the unitholders, totalling RM41.04 million or 6.665 sen per unit, representing 90.0% of the current year distributable income of RM45.58 million. Driven by the higher distributable income achieved in FYE 2024, the distribution per unit has improved from 6.20 sen in FYE 2023 to 6.67 sen per unit in FYE 2024, translating into a distribution yield of 7.4% this year. These income distributions are in line with KIP REIT's objectives to provide stable and attractive returns to our unitholders.

Asset Enhancement Initiatives ("AEI")

Proactive asset management is key to unlock the potential value of our retail properties, enhancing the shopping experience and making our malls more attractive to both shoppers and retailers. Therefore, AEI are essential to our operating strategies, ensuring our assets remain competitive and valuable in a dynamic real estate market. Through continuous upgrades, we strive to meet the evolving needs of our stakeholders and preserve the relevance of our investment properties.

In FYE 2024, we completed the upgrade of mall facilities at KIPMall Bangi. The completion of the AEI has significantly improved the overall aesthetics of KIPMall Bangi, providing a revitalised environment for retailers and an enhanced shopping experience for shoppers.

We are also undertaking AEI work at KIPMall Senawang, where we are reconfiguring the retail space by converting the original fresh market into a larger retail area. The reconfigured space will be occupied by a new anchor tenant upon completion of the AEI, expected to be completed by the first quarter of the FYE 2025.

LETTER TO UNITHOLDERS (CONT'D)

Asset Enhancement Initiatives ("AEI") (Cont'd)

Other AEIs during FYE 2024 include the modernisation and improvement of sanitary facilities across our KIPMalls, as well as upgrading works at KIPMall Masai and KIPMall Melaka, where we have installed new exhaust systems in the respective food courts.

Looking ahead, we remain committed to continuously evaluating and enhancing our assets through strategic AEIs. By doing so, we ensure our KIPMalls remain competitive and attractive, meeting the needs of both our stakeholders and the communities we serve. This proactive strategy enables us to adapt to market changes, seize new opportunities and sustain the long-term value creation of our portfolio.

Sustainable Initiative

At KIP REIT, we emphasise integrating the Economic, Environmental, Social, and Governance ("EESG") sustainability practices into our operations. With a dedicated Sustainability Working Committee in place, we have continued to advance our sustainability journey by implementing various initiatives aligned with 14 United Nations Sustainable Development Goals ("UNSDGs"). These initiatives focus on reducing our carbon footprint, optimising energy efficiency and enhancing community well-being.

Throughout the year, we have prioritised the energy consumption at our properties. All KIPMalls are now equipped with solar photovoltaic systems to support mall operations. Looking ahead, we aim to increase renewable energy source to at least 40.0% by 2030 through upgrading the capacity of solar panels and installing electric vehicle chargers as well as acquiring the facility management system across our malls.

In line with our sustainability goals, KIP REIT actively participated in the "Cooler Earth Sustainability Summit 2023" and engaged in the "KPMG ESG Talk – Addressing Challenges in Implementing USSB Standards". These engagements have enriched our team's understanding and commitment to environmental, social and governance practices. We also prioritised employee development through various trainings and development programmes, including "Effective Financial Budget Control", "E-Invoicing" and "Agile Leadership". We believe that nurturing the growth of our people will ultimately lead to sustainable business growth in KIP REIT.

In demonstrating our commitment to community welfare, we have organised seven (7) charitable events during FYE 2024, focusing on supporting underprivileged families and orphans by distributing essential items. These initiatives have positively impacted approximately 6,952 beneficiaries, with a total investment of around RM22,495.80 in community projects.

Further insight into our Sustainability initiatives and commitment to mitigating EESG risks is covered under our Sustainability Statement of this Annual Report.

Future Outlook

Peering into the future, we anticipate a gradual recovery in the Malaysian economy in 2024, bolstered by robust domestic demand and increase in private sector expenditure. Despite the lingering external challenges, headline inflation has been relatively well restrained by government subsidies and price controls. Additionally, the Ministry of Finance has forecasted an accelerated growth rate of 4.0% to 5.0%, up from 3.7% in 2023.

On 27 May 2024, the Trustee entered into a conditional Sale and Purchase Agreement with DPulze Ventures Sdn Bhd for the proposed acquisition of DPulze Shopping Centre, valued at RM320.00 million. Given the prime location of DPulze Shopping Centre in Cyberjaya's primary commercial area, this proposed acquisition is expected to further enhance our retail segment portfolio.

At KIP REIT, we are dedicated to maintaining operational excellence through strategic tenant management, effective cost control and robust asset enhancement initiatives. Our goal is to scale up our operations and grow our total assets under management to RM2.0 billion over the next three (3) years. By investing in income-producing real estate in the retail and industrial sectors, KIP REIT aims to diversify and expand its portfolio, mitigate risks and capitalise on market opportunities.

Moving forward, we will actively explore potential yield-accretive acquisitions that align with our investment objectives. We believe this approach will effectively mitigate risks, increase returns and support sustainable growth in the long run.

LETTER TO UNITHOLDERS (CONT'D)

Awards and Recognition

We are grateful to have our efforts and achievements recognised by our esteemed media partner, The Edge. In 2023 and 2024, we were proud recipients of the following awards: -

- (a) The Edge Malaysia Centurion Club 2023 – Highest Return on Equity over Three Years (*REIT category*)
- (b) The Edge Malaysia Centurion Club 2024 – Highest Return on Equity over Three Years (*REIT category*)

Appreciation and Acknowledgement

Reflecting on how we have navigated another challenging year, I would like to take this opportunity to extend my sincere appreciation to all our Board members for their invaluable insights, unwavering dedication and enthusiastic support. Their contributions have been pivotal in shaping the strategic direction of KIP REIT.

I would also like to express our heartfelt gratitude to our unitholders, the wider investment community, our tenants, shoppers and business partners for placing their trust in us. Your steadfast support and confidence in KIP REIT are deeply valued.

As we move forward, we remain focus to delivering value through strategic investments, effective asset management, and a steadfast commitment to sustainability. With our dedicated team and clear vision, we are confident that KIP REIT will continue to thrive, achieving new heights and delivering attractive returns to our unitholders.

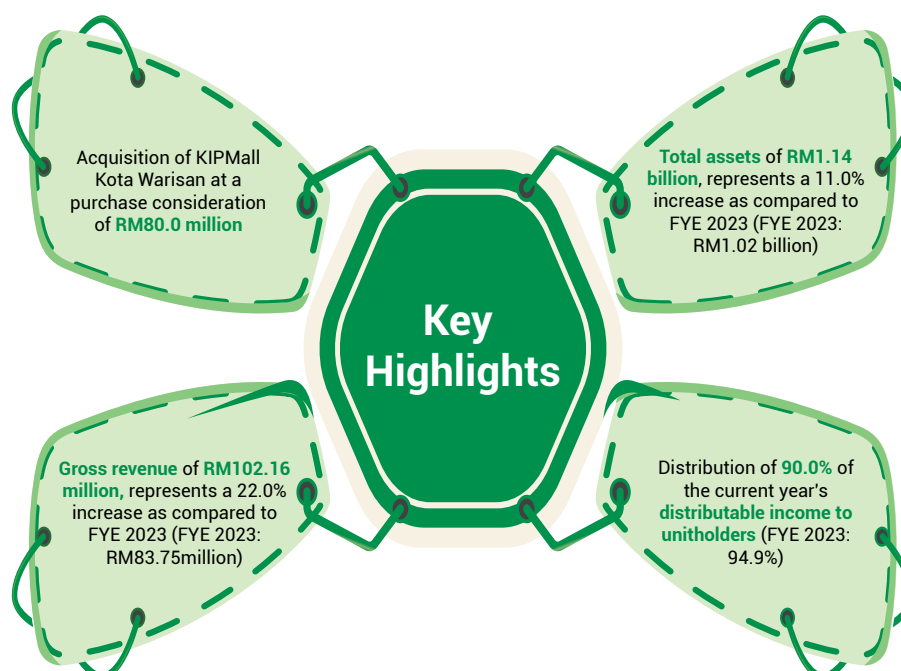
Thank you for your ongoing support.

Datuk Dr Syed Hussain bin Syed Husman, PJN. JP
Chairman of the Board

16 August 2024

5-YEAR FINANCIAL HIGHLIGHTS

	FYE 2024	FYE 2023	FYE 2022	FYE 2021	FYE 2020
Key Financial Performance					
Gross Revenue (RM'000)	102,159	83,750	73,700	74,249	74,540
Net Property Income (RM'000)	77,817	62,152	56,754	56,662	56,018
Profit for the Year (RM'000)	47,314	60,792	75,509	35,221	31,883
- Realised Profit	44,467	37,700	36,043	36,068	31,851
- Unrealised Profit/(Loss)	2,847	23,092	39,466	(847)	32
Key Financial Position					
Property Value (RM'000)	1,061,600	964,300	852,000	808,000	807,000
Total Assets Value (RM'000)	1,135,948	1,023,391	889,035	846,221	841,818
Net Asset Value (RM'000)					
- Before Income Distribution	717,126	696,770	588,887	545,060	541,016
- After Income Distribution	677,629	659,971	554,526	513,378	509,839
Gearing Ratio (%)	37.3	32.6	35.2	37.0	37.1
Units Information					
No. of Units Issued ('000)	618,630	606,360	505,300	505,300	505,300
Earning per Unit (Sen)	7.72	10.47	14.94	6.97	6.31
Distribution per Unit (Sen)	6.67	6.20	6.80	6.84	6.18
Distribution Yield Based in Year					
End Market Price (%)	7.4	6.9	7.6	8.1	7.8
Net Asset Value Per Unit (RM)					
- Before Income Distribution	1.16	1.15	1.17	1.08	1.07
- After Income Distribution	1.10	1.09	1.10	1.02	1.01
Market Value per Unit (RM)					
- Highest traded price for the year	0.910	0.920	0.915	0.905	0.915
- Lowest traded price for the year	0.885	0.880	0.815	0.790	0.600



5-YEAR FINANCIAL HIGHLIGHTS (CONT'D)

PERFORMANCE OF THE GROUP

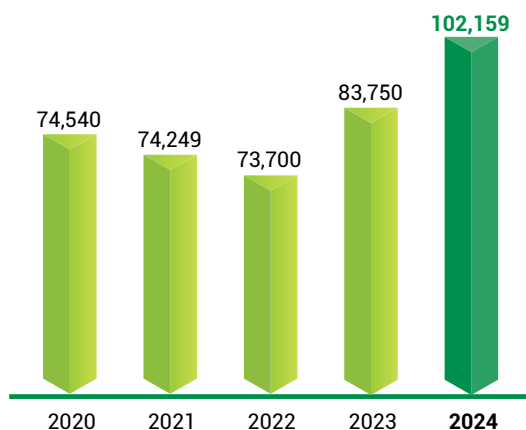
	FYE 2024	FYE 2023	FYE 2022	FYE 2021	FYE 2020
Net Lettable Area ("NLA") (sq. ft.) ¹	2,084,430	1,883,714	1,485,415	1,481,761	1,478,046
Overall Average Occupancy Rate (%) ²	94.1	92.3	87.3	89.6	90.7
Management Expense Ratio ("MER") (%) ³	1.6	1.7	1.5	1.5	2.1
Annual Total Return (%) ⁴	6.8	8.0	13.0	14.4	2.4
Average Total Return (3 years) (%) ⁵	9.3	11.8	9.9	9.7	3.4
Average Total Return (5 years) (%) ⁵	8.9	10.0	7.5	N/A	N/A
Distribution Yield (%) ⁶	7.4	6.9	7.6	8.1	7.8
Net Asset Value per Unit After Income Distribution (RM) ⁷	1.10	1.09	1.10	1.02	1.01
Closing Unit Price (RM) ⁸	0.895	0.900	0.890	0.845	0.795

Notes:

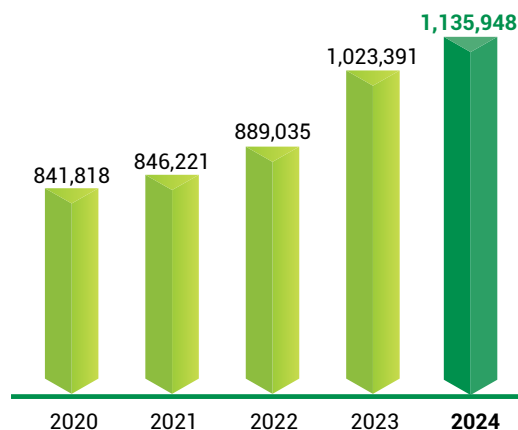
1. Total NLA covers all the assets under management as at 30 June.
2. Overall average occupancy rate is computed by occupied area over NLA.
3. MER is the ratio of expenses incurred in operating KIP REIT to the average net asset value of KIP REIT after income distribution. The computation of MER has been verified by the auditors.
4. Annual total return represents the change in unit price during the year plus distribution yield for the year.
5. Average total return is the sum of the return rates of KIP REIT over a given number of years divided by that number of years.
6. Distribution yield is computed based on distribution per unit divided by its closing unit price.
7. Net asset value per unit is determined by deducting the value of all KIP REIT's liabilities and income distribution paid to unitholders from the total asset value, divided by weighted average number of units issued.
8. Unit price is determined based on the closing unit price as at 30 June.

PERFORMANCE AT A GLANCE

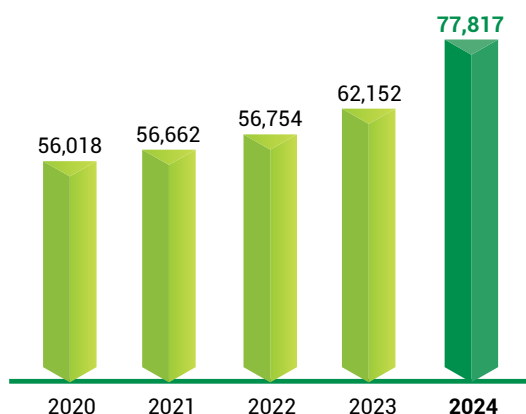
GROSS REVENUE (RM'000)



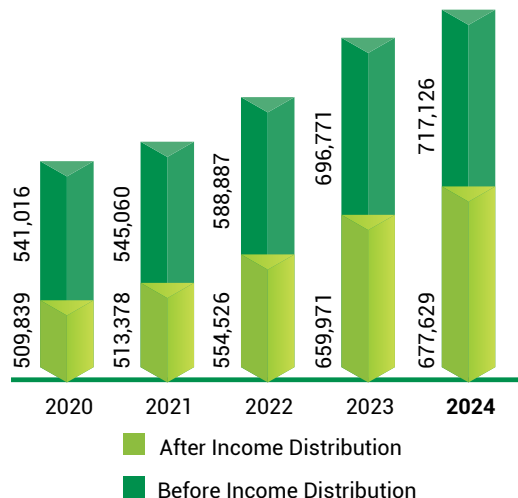
TOTAL ASSETS VALUE (RM'000)



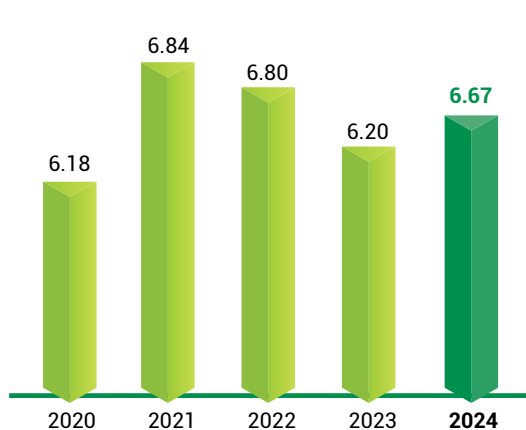
NET PROPERTY INCOME (RM'000)



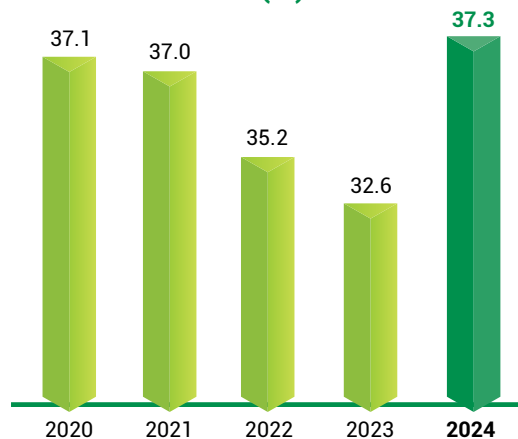
NET ASSET VALUE (RM'000)



DISTRIBUTION PER UNIT (SEN)



GEARING RATIO (%)



MANAGEMENT DISCUSSION AND ANALYSIS

OVERVIEW OF BUSINESS DIRECTION, OBJECTIVES AND STRATEGIES

KIP REIT was listed on the Main Market of Bursa Securities on 6 February 2017 with the principal investment policy of investing in income producing real estate used for retail and for industrial or commercial purposes. It may also invest in other investment properties as permissible under the REIT Guidelines or permitted by SC, including real estate related assets. As at 30 June 2024, KIP REIT has a market capitalisation of approximately RM553.67 million and a portfolio independently valued at RM1,061.60 million.

Investment Objective

The key investment objective of KIP REIT is to provide unitholders with regular and stable income distributions as well as a sustainable long-term growth in unit price, distribution income and capital growth while maintaining an appropriate capital structure.

This is achieved by amongst others, selectively acquiring properties with stable recurring rental income that meets the Manager's investment criteria which are yield accretive or close to yield accretive with the potential for enhancement, such that unitholders will be able to enjoy the upside in distribution per unit in the future.

Investment Policy

The principal investment policy of KIP REIT is to invest directly and/or indirectly in a portfolio of income producing real estate used primarily for retail purposes, industrial and/or commercial real estate such as but not limited to warehousing facilities, logistics facilities and manufacturing sites as well as real estate related assets.

The Manager may, in consultation with the Trustee and subject to the relevant laws and requirements, from time to time change the investment policy of KIP REIT. The Trustee shall ensure that it is fully informed at all times by the Manager of any changes made by the Manager to the investment policy of KIP REIT. Unless otherwise provided by the relevant laws and requirements, any modification to the Deeds involving any material changes to the investment policy set out for KIP REIT, must be approved by unitholders by way of a resolution of not less than two-third (2/3) of all unitholders present and voting at a unitholders' meeting duly convened and held in accordance with the Deeds.

Investment Strategies

The Manager, through the Investment Steering Committee, aimed to increase the overall income and value of investment properties of KIP REIT by adopting the following investment strategies: -

Active Asset Management and Enhancement	✓ Executing proactive leasing and cost management strategies to maximise returns for unitholders. ✓ Leveraging local expertise in areas of operation to provide for optimised rental income, net lettable space and occupancy rates.
Acquisition Growth	✓ Sourcing of yield accretive retail assets providing sustainable income and capital appreciation in line with KIP REIT's investment strategies.
Capital and Risk Management	✓ Optimising capital structure to maximise unitholders' returns. ✓ Adopting an appropriate mix of debt and equity in financing acquisitions and to manage financing and refinancing risks.

MANAGEMENT DISCUSSION AND ANALYSIS (CONT'D)

OVERVIEW OF BUSINESS DIRECTION, OBJECTIVES AND STRATEGIES (CONT'D)

Investment Strategies (Cont'd)

The Manager continues to be disciplined in selecting a portfolio of real estate assets with high long-term potential for investment and development.

On 8 February 2024, the Trustee of KIP REIT had completed the acquisition of KIPMall Kota Warisan and increased the investment properties in retail segment from seven (7) shopping malls to eight (8) shopping malls. As at 30 June 2024, KIP REIT owned a total of eleven (11) investment properties and details as follows: -

Retail Segment	Industrial Segment
Consist of the following eight (8) community-centric malls: - • KIPMall Tampoi • KIPMall Kota Tinggi • KIPMall Masai • KIPMall Senawang • KIPMall Melaka • KIPMall Bangi • KIPMall Kota Warisan • AEON Mall Kinta City	Consist of three (3) industrial buildings located at Pulau Indah, Klang, Selangor: - • Hextar Chemicals (Lot 5) • Teju Logistics (Lot 9) • Teju Logistics (Lot 3A)

In addition, the Trustee had on 27 May 2024 entered into a conditional sale and purchase agreement ("SPA") with DPulze Ventures Sdn Bhd ("DPulze Ventures") for the proposed acquisition of DPulze Shopping Centre at a purchase consideration of RM320.00 million to further enhance our retail segment portfolio.

Distribution Policy

The Deed provides that the Manager, shall with the approval of the Trustee, distribute at least 90% of KIP REIT's distributable income on a quarterly basis.

REVIEW OF FINANCIAL PERFORMANCE

	FYE 2024 RM'000	FYE 2023 RM'000	YoY Change %
Gross Revenue	102,159	83,750	22.0
Property Operating Expenses	(24,342)	(21,598)	12.7
Net Property Income	77,817	62,152	25.2
Borrowing Costs	(16,689)	(14,759)	13.1
Profit for the Year	47,314	60,792	(22.2)
- Realised Profit	44,467	37,700	17.9
- Unrealised Profit	2,847	23,092	(87.7)
Distribution Income	45,577	38,764	17.6
Distribution per Unit (Sen)	6.67	6.20	7.6
Distribution Yield (%)	7.4	6.9	7.2

MANAGEMENT DISCUSSION AND ANALYSIS (CONT'D)

REVIEW OF FINANCIAL PERFORMANCE (CONT'D)

Gross Revenue

Gross revenue mainly comprises the rental income derived from eleven (11) investment properties of KIP REIT. In FYE 2024, KIP REIT reported a gross revenue of RM102.16 million, increased significantly by RM18.41 million or 22.0%, compared to RM83.75 million in FYE 2023. This is mainly attributable to the higher revenue recognised from three (3) industrial properties and rental income derived from the newly acquired KIPMall Kota Warisan. During FYE 2024, approximately 93.0% of our gross revenue was derived from our retail segment while the remaining 7.0% was derived from our industrial segment.

Retail Segment

The retail segment of KIP REIT recorded higher gross revenue in FYE 2024 at RM95.06 million compared to the previous financial year at RM80.93 million, mainly due to the higher occupancy rate recorded in most of the investment properties.

Gross revenue from the central region increased by RM7.07 million or 31.1% from RM22.74 million in FYE 2023 to RM29.81 million in FYE 2024. Aside from additional stream of rental income derived from the newly acquired KIPMall Kota Warisan, KIPMall Melaka and KIPMall Bangi also contributed higher rental income, resulting from their higher occupancy rate recorded during the financial year at 95.3% and 83.9% respectively.

Gross revenue from southern region has slightly increased by RM1.95 million or 4.8% from RM40.28 million in FYE 2023 to RM42.22 million in FYE 2024 mainly due to higher occupancy rate from KIPMall Tampoi and KIPMall Masai recorded at 97.4% and 96.2% respectively during FYE 2024.

Industrial Segment

The total gross revenue derived from three (3) industrial properties throughout the FYE 2024 was recorded at RM7.10 million, increased by RM4.28 million or 51.8% from RM2.82 million in FYE 2023.

The performance of each investment property of KIP REIT is set out as follows: -

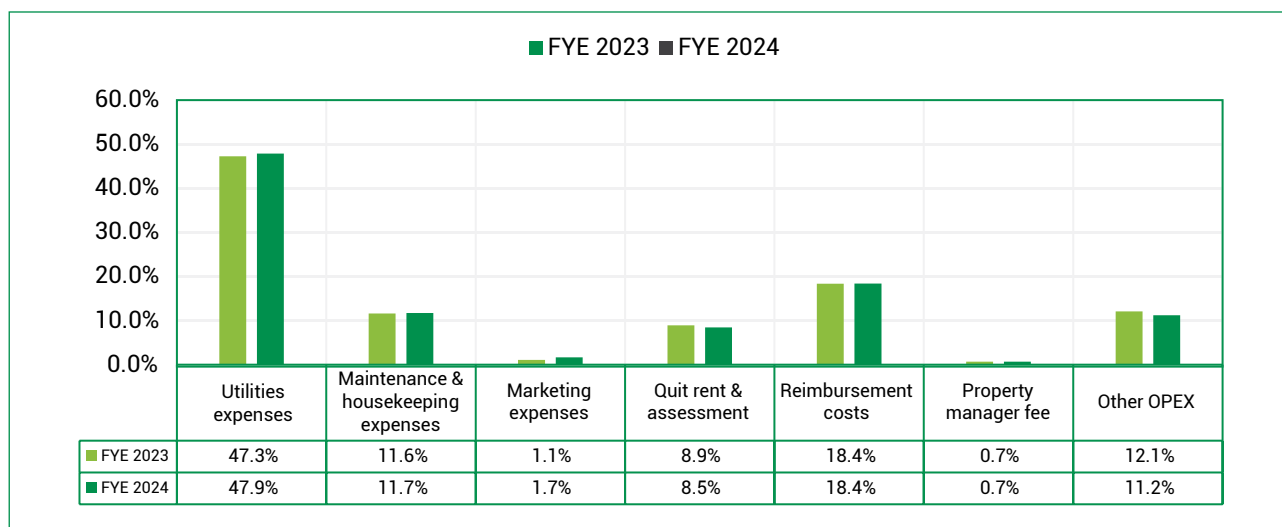
Segments	Region	Properties	FYE 2024 RM'000	FYE 2023 RM'000	YoY Change %
Retail	Northern	AEON Mall Kinta City	23,028	17,915	28.5
	Central	KIPMall Senawang	2,145	3,425	(37.4)
		KIPMall Melaka	9,855	8,714	13.1
		KIPMall Bangi	13,454	10,603	26.9
		KIPMall Kota Warisan	4,353	-	100.0
	Southern	KIPMall Tampoi	18,299	17,153	6.7
		KIPMall Kota Tinggi	5,972	5,906	1.1
		KIPMall Masai	17,951	17,218	4.3
Industrial		Hextar Chemicals (Lot 5)	2,428	962	52.4
		Teju Logistics (Lot 9)	2,531	1,004	52.1
		Teju Logistics (Lot 3A)	2,143	850	52.1
Total			102,159	83,750	22.0

MANAGEMENT DISCUSSION AND ANALYSIS (CONT'D)

REVIEW OF FINANCIAL PERFORMANCE (CONT'D)

Net Property Income ("NPI")

KIP REIT recorded higher NPI at RM77.82 million in FYE 2024 as compared to RM62.15 million in the previous financial year. Such growth aligns with the overall increase in gross revenue in FYE 2024. Compared to investment properties in the retail segment, industrial properties are able to yield a higher NPI as most property operating expenses such as utilities, maintenance, upkeep and repairs expenses are borne by the tenants. The breakdown of property operating expenses for FYE 2023 and FYE 2024 is set out as follows: -



Profit for the Year

Our profit decreased by RM13.48 million or 22.2% from RM60.79 million in FYE 2023 to RM47.31 million in FYE 2024, mainly due to a significant reduction in unrealised profit by RM20.25 million. Such decrease in unrealised profit was primarily attributed to a lower fair value gain on investment properties in FYE 2024 as the fair value in FYE 2023 was notably higher due to a remarkable improvement in market conditions following the COVID-19 pandemic, which driven by the gradual return to normalcy and recovery from the Movement Control Order.

Nevertheless, it is noteworthy that our realised profit increased by RM6.77 million or 17.9% from RM37.70 million in FYE 2023 to RM44.47 million in FYE 2024, driven by the higher NPI during the financial year as discussed earlier. The higher realised profit also contributed higher distributable income of RM45.58 million in FYE 2024 as compared to RM38.76 million in FYE 2023.

Income Distribution

As a result of our positive performance, total distribution to unitholders for FYE 2024 was recorded at RM41.04 million representing an increase of RM4.24 million or 11.5%, as compared to RM36.80 million in FYE 2023. This translates to a distribution yield of 7.4% (FYE 2023: 6.9%) based on KIP REIT's closing unit price of RM0.895 as at 30 June 2024 (30 June 2023: RM0.900).

During the FYE 2024, the total amount of income distributed represents 90.0% of the current year's distributable income of RM45.58 million. The details of the income distributions proposed and declared by KIP REIT for FYE 2024 are as follows: -

MANAGEMENT DISCUSSION AND ANALYSIS (CONT'D)

REVIEW OF FINANCIAL PERFORMANCE (CONT'D)

Income Distribution (Cont'd)

	Quarter Ended	Date Declared	Distribution per Unit (Sen)	Payment Date
1 st Interim	30 Sep 2023	20 Oct 2023	1.550	23 Nov 2023
2 nd Interim	31 Dec 2023	29 Jan 2024	1.550	29 Feb 2024
3 rd interim	31 Mar 2024	23 Apr 2024	1.600	28 May 2024
Final	30 Jun 2024	25 Jul 2024	1.965	30 Aug 2024
Total			6.665	

REVIEW OF FINANCIAL POSITION

	FYE 2024 RM'000	FYE 2023 RM'000	YoY Change %
Investment Properties	1,054,523	964,300	9.4
Net Asset Value			
- Before Income Distribution	717,126	696,770	2.9
- After Income Distribution	677,629	659,971	2.7
Total Assets	1,135,948	1,023,391	11.0
Borrowings	423,326	333,217	27.0
Gearing (%)	37.3	32.6	14.4
No. of Units Issued ('000)	618,630	606,360	2.0
Net Asset Value per Unit (RM)			
- Before Income Distribution	1.16	1.15	0.9
- After Income Distribution	1.10	1.09	0.9

KIP REIT's financial position remains healthy as at 30 June 2024, backed by a solid portfolio of total assets which increased by 11.0% as well as a gearing ratio of less than 50.0%. Despite an increase in gearing from 32.6% in FYE 2023 to 37.3% in FYE 2024, KIP REIT has effectively managed its debt levels within the borrowing limits requirement, ensuring financial stability and compliance with the REIT Guidelines.

Investment Properties

In FYE 2024, the Trustee had completed the acquisition of KIPMall Kota Warisan at the purchase consideration of RM80.00 million through a combination of equity and debt financing. Upon completion of the said acquisition on 8 February 2024, KIPMall Kota Warisan immediately contributed positively to KIP REIT and reported a total rental income of RM4.35 million in FYE 2024. In addition, the said acquisition has also increased the value of our investment properties in FYE 2024.

All investment properties are subject to an independent valuation at least once in each financial year pursuant to Paragraph 10.02 (b)(i) of the REIT Guidelines. Any changes in the portfolio's fair value are charged to the statement of comprehensive income as a net gain or loss on the revaluation of investment properties.

During FYE 2024, Nawawi Tie Leung Property Consultants Sdn Bhd was appointed to perform an independent valuation for all eleven (11) KIP REIT's portfolio. The independent valuer has adopted the income approach (Investment Method), comparison approach and/or cost approach to value all investment properties of KIP REIT.

MANAGEMENT DISCUSSION AND ANALYSIS (CONT'D)

REVIEW OF FINANCIAL POSITION (CONT'D)

Investment Properties (Cont'd)

The total market value of KIP REIT's portfolio as at 30 June 2024 stood at RM1,061.60 million (30 June 2023: RM1,044.30 million). A breakdown of the total market value is provided in the table below: -

Properties	As at 30.06.2024 RM'000	As at 30.06.2023 RM'000	YoY Change RM'000
Retail Segment			
KIPMall Tampoi	181,000	179,000	2,000
KIPMall Kota Tinggi	59,000	58,000	1,000
KIPMall Masai	187,000	186,000	1,000
KIPMall Senawang	25,000	28,000	(3,000)
KIPMall Melaka	60,000	55,000	5,000
KIPMall Bangi	128,000	125,000	3,000
KIPMall Kota Warisan	88,000	80,000*	8,000
AEON Mall Kinta City	254,000	254,000	-
Industrial Segment			
Hextar Chemicals (Lot 5)	27,200	27,100	100
Teju Logistics (Lot 9)	28,300	28,200	100
Teju Logistics (Lot 3A)	24,100	24,000	100
Total	1,061,600	1,044,300	17,300

Note:

* Market value as at 8 February 2024, being the acquisition date of KIPMall Kota Warisan

Net Asset Value

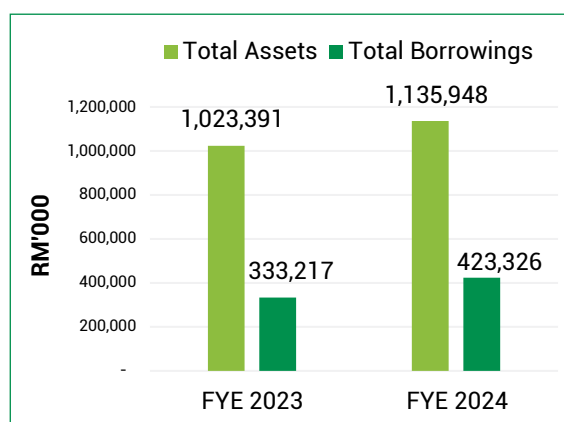
KIP REIT's net asset value after income distribution increased by RM17.66 million or 2.7% from RM659.97 million as at 30 June 2023 to RM677.63 million as at 30 June 2024. Such increase was mainly driven by the acquisition of KIPMall Kota Warisan.

Capital Management

The Manager of KIP REIT intends to optimise KIP REIT's capital structure by employing an appropriate combination of debt and equity financing to fund any acquisitions and property enhancement while maintaining appropriate gearing level.

There were no material changes to the borrowing structure during FYE 2024. The increase in total borrowings by RM90.11 million during the financial year was mainly due to additional bank borrowing undertaken to partially finance the acquisition of KIPMall Kota Warisan.

As at 30 June 2024, KIP REIT's total borrowings amounted to RM423.33 million, consisting solely of the drawdown of a medium-term note, with an equal portion at fixed borrowing rate and floating borrowing rate respectively. This provides us with an intrinsic hedge against potential interest rate volatility.



The robust growth in our total assets by RM112.56 million or 11.0% from RM1,023.39 million for FYE 2023 to RM1,135.95 million for FYE 2024, was mainly attributed to the acquisition of KIPMall Kota Warisan.

Despite an increase in borrowings arising from the acquisition of KIPMall Kota Warisan, the Manager has been able to keep the gearing ratio below the 50.0% limit as stipulated in the REIT Guidelines and maintained a comfortable capital structure in KIP REIT in the current financial year. Overall, KIP REIT's sufficient capital combined with balance sheet strength provides the capacity to deliver on our strategic objectives and capitalise on future opportunities.

MANAGEMENT DISCUSSION AND ANALYSIS (CONT'D)

CASH FLOW AND LIQUIDITY

	FYE 2024 RM'000	FYE 2023 RM'000	YoY Change RM'000
Net cash generated from operating activities	36,805	55,576	(18,771)
Net cash used in investing activities	(94,657)	(88,097)	(6,560)
Net cash generated from financing activities	43,411	50,288	(6,877)
Net changes in cash and cash equivalents	(14,441)	17,767	(32,208)
Cash and cash equivalent as at 1 July	48,761	30,994	17,767
Cash and cash equivalent as at 30 June	34,320	48,761	(14,441)

In FYE 2024, KIP REIT recorded a lower net cash generated from operating activities of RM36.81 million as compared to a RM55.58 million in FYE 2023. Such decrease was mainly driven by higher deposit recoverable arising from the acquisition of KIPMall Kota Warisan.

KIP REIT recorded a net cash used in investing activities of RM94.66 million in FYE 2024, primarily stemmed from the acquisition of KIPMall Kota Warisan as well as asset enhancement on investment properties.

KIP REIT recorded a net cash generated from financing activities of RM43.41 million mainly due to the proceeds from the issuance of medium-term note amounting to RM110.00 million during FYE 2024. However, this was partially offset by the repayment on borrowings and related interest totalling RM36.28 million as well as payment on income distribution amounting to RM39.50 million during FYE 2024.

PERFORMANCE BENCHMARKS

Benchmark	FYE 2024	FYE 2023	YoY Commentary
MER (%) ¹	1.6	1.7	Management expense ratio lowered by 0.1% as compared to the prior financial year due to higher total asset value and NPI generated in FYE 2024.
Total Return (%) ²	6.8	8.0	Total return lowered by 1.2% due to lower closing unit price as at 30 June 2024.
Distribution Yield (%) ³	7.4	6.9	Distribution yield has increased by 0.5% mainly due to higher distributable income for FYE 2024.
Net Asset Value Per Unit After Income Distribution (RM) ⁴	1.10	1.09	Increase in net asset value per unit after income distribution was mainly due to higher NPI generated in FYE 2024 and the acquisition of KIPMall Kota Warisan.
Unit Price (RM) ⁵	0.895	0.900	KIP REIT's unit price slightly decreased by 0.6% as at 30 June 2024 despite improving overall market sentiment during the financial year, likely due to changes in investor sentiment.

Notes:

- MER is the ratio of expenses incurred in operating KIP REIT to the average net asset value of KIP REIT.
- Total return represents the change in unit price during the year plus distribution yield for the year.
- Based on distribution per unit of 6.67 sen (FYE 2023: 6.20 sen) divided by its closing unit price as at 30 June 2024 of RM0.895 (30 June 2023: RM0.900).
- Net asset value per unit is determined by deducting the value of all KIP REIT's liabilities and income distribution paid to unitholders from the total asset value, divided by weighted average number of units issued.
- Unit price is determined based on the closing unit price as at 30 June 2024 for FYE 2024 and 30 June 2023 for FYE 2023.

MANAGEMENT DISCUSSION AND ANALYSIS (CONT'D)

OPERATION REVIEW

Tenant Management

KIP REIT remains devoted to its dynamic leasing strategy, aimed at securing sustainable and steady returns from its community focused mall portfolio. As at 30 June 2024, the total tenancies for KIPMalls amounted to 937, representing an increase of 22.6% from 764 tenancies in the previous financial year. These tenancies occupied an area of 1,065,609 square feet, accounted for 88.5% of the total Net Lettable Area ("NLA") of 1,204,116 square feet.

KIP REIT has a long-term master lease agreement with AEON Mall Kinta City for a period of ten (10) years to 2025 with an option to renew of five (5) years to 2030, and hence is able to maintain a 100.0% occupancy rate throughout the period of the master lease agreement. Similarly, KIP REIT also maintains a 100.0% occupancy rate for all three (3) industrial properties throughout the 15 years lease agreement signed with the tenants.

KIPMall Tenancy Expiry Profile

KIP REIT is strategically poised with tenancy durations tailored to the tenant's business nature, offering longer tenures to key and anchor tenants. This spread across the portfolio efficiently mitigates the risk related to tenant concentration. As at 30 June 2024, the weighted average lease expiry ("WALE") is recorded at 1.9 years by Occupied Net Lettable Area ("ONLA"), as compared to 2.6 years in FYE 2023. Similarly, by Gross Rental Income ("GRI"), the WALE stands at 1.6 years, reflecting downward trend from 2.5 years in FYE 2023. This is mainly due to the major tenancy renewals by KIPMalls in FYE 2025 and FYE 2026 following their lease expirations, as shown in the table below. The reduction in WALE aligns with KIP REIT's management strategies and business model. With the shorter rental expiry, we are able to optimise rental income by adjusting rental rates according to the latest market conditions, ensuring that the lease agreements reflect current market trends and demands.

The majority of lease expirations in FYE 2025 are attributed to tenancies in KIPMall Masai and KIPMall Tampoi. However, our tenant retention strategy has proven effective in FYE 2024, with a renewal rate of 69.0% for tenants that have reached their expiration during the year.

Details of the tenancy expiry profile from FYE 2025 to FYE 2028 can be seen in the table below:

	Total Number of Tenancies	ONLA Expiring (%)	GRI expiring (%)
FYE 2025	617	27.6	46.4
FYE 2026	268	55.0	44.8
FYE 2027	52	17.4	8.8
FYE 2028	0	0.0	0.0
Total	937	100.0	100.0

MANAGEMENT DISCUSSION AND ANALYSIS (CONT'D)

OPERATION REVIEW (CONT'D)

KIPMall Occupancy Rate

In FYE 2024, KIP REIT achieved an average KIPMall portfolio occupancy rate of 89.2%, reflecting a 2.5% increase compared to the previous financial year's rate of 86.7%. The breakdown of the occupancy rate in each KIPMall is as follow: -

Properties	FYE 2024 (%)	FYE 2023 (%)	FYE 2022 (%)	FYE 2021 (%)	FYE 2020 (%)
KIPMall Tampoi	97.4	94.7	80.5	88.5	97.4
KIPMall Kota Tinggi	91.4	89.1	91.4	88.0	92.8
KIPMall Masai	96.2	94.9	91.4	88.9	95.4
KIPMall Senawang	62.9	86.4	83.8	78.2	80.9
KIPMall Melaka	95.3	89.8	78.1	80.1	76.6
KIPMall Bangi	83.9	74.0	70.1	81.9	78.6
KIPMall Kota Warisan	99.5	-	-	-	-
Total	89.2	86.7	80.3	83.8	85.4

During FYE 2024, our retail segment's portfolio is predominantly occupied by home decor, gifts, souvenirs and stationery shops, supermarkets and fashion apparel shops, which collectively represents 62.3% of our total retail segment's ONLA.

In terms of GRI, fashion apparel shops, fresh market and Food and Beverage ("F&B") sectors collectively contributed 53.0% of our total retail segment's GRI.

The breakdown by ONLA and GRI for FYE 2024 are as follow: -

Sectors	ONLA (%)	GRI (%)
Home Decor, Gifts, Souvenirs and Stationery	28.7	13.3
Supermarket	18.6	7.6
Fashion Apparel	15.0	22.5
Fresh Market	5.9	15.1
F & B	9.3	15.4
IT/ Electronic/ Digital	4.4	7.4
Entertainment and Leisure	5.0	3.0
Beauty, Health and Wellness	3.8	7.0
Sundry and Services	6.9	4.2
Furniture/ Show Gallery	1.5	1.6
Timepieces and Jewellery	0.9	2.9
Total	100.0	100.0

MANAGEMENT DISCUSSION AND ANALYSIS (CONT'D)

ASSET ENHANCEMENT INITIATIVE ("AEI")

In FYE 2024, KIP REIT has undertaken various AEIs as part of its commitment to delivering sustainable and consistent returns to its unitholders. These AEIs amounted to a total investment of RM14.45 million during the financial year which encompassed the following: -

- (a) Completed facelift and upgrading work at KIPMall Bangi;
- (b) Major renovation works at KIPMall Senawang including reconfiguring the retail space by converting the original fresh market into a larger retail area, makeover of mall entrances, air conditioning system enhancement, etc.
- (c) Various upgrading work at KIPMall Masai including installation of glazed partitions and ventilation system enhancement at food court, modernisation of fresh market area, roofing system improvement and asphalt paving as well as modernisation and improvement of sanitary facility;
- (d) Various upgrading work at KIPMall Melaka including installation of new water tank, installation of ventilation system at food court, water proofing work, air conditioning system enhancement and modernisation and improvement of sanitary facility; and
- (e) Modernisation and improvement of sanitary facility at KIPMall Tampoi and KIPMall Kota Tinggi.

Moving forward, the Manager remains dedicated to preserving and enhancing the condition of its assets to ensure their continued relevance in meeting the evolving needs of consumers. Approved AEIs are implemented with the aim of providing stable and consistent returns to KIP REIT's unitholders in a sustainable manner.

RISK

The Manager of KIP REIT conducts regular risk management reviews to evaluate significant risks as well as their likelihood and potential impact based on the approved risk appetite set by the Board. Appropriate measures are implemented to mitigate the likelihood or impact of identified risks.

The following section provides a summary of key risks associated with KIP REIT's portfolio: -

Principle Risks	Mitigating Measures
<u>Economic and Political Landscape</u> Macroeconomic trends and political uncertainties may result in financial volatility and pose challenges in the operating environment for KIP REIT and its valued business partners.	- Continuous monitoring of economic and political trends to ensure appropriate strategies are adopted in line with the business environment. - Monitoring of occupancy and rental rates and discussions with tenants to understand business activities.
<u>Climate Change Risk</u> Climate change poses a significant risk to both the natural environment and human societies worldwide that can significantly affect multiple sectors, ecosystems and populations.	Implementation of greenhouse gas emissions reduction measures such as transitioning to renewable energy sources and improving energy efficiency to mitigate climate change risks in the long-term.
<u>Credit Control Risk</u> Inefficiency on rental collections may result in long overdue receivables.	- Operation department monitors the performance of receivables and proactively identifies any potential default from outstanding tenants. Weekly updates are presented by the Complex Manager ("CM") and monthly monitoring process are conducted during meetings to ensure prompt action is taken when necessary. - Operation department and legal department to discuss on the terms of tenancy agreements to gain a comprehensive understanding of the rights of the landlord and obligations of tenants, including the entitlement for long outstanding rental. - Standard notice will be drafted to report long rental outstanding to CTOS. Tenants which outstanding balances exceeding 62 days in CTOS portal will be blacklisted. Verification on such CTOS reporting will be done by CM with monthly sign-off and sampling checks in place to ensure accuracy and consistency.

MANAGEMENT DISCUSSION AND ANALYSIS (CONT'D)

RISK (CONT'D)

Principle Risks	Mitigating Measures
<u>Asset Portfolio Risk</u> Lack of monitoring mechanism may result in loss of investment assets and other assets. In addition, non-diversification of portfolio and/or tenancy mix ratio could potentially lead to increased business risks.	- Investment Steering Committee ("ISC") regularly assesses and reviews the performance of KIP REIT's asset portfolio. Where necessary, ISC will make appropriate recommendations to the Board. - CM meets on a monthly basis to discuss the performance of each mall. Tenancy mix percentages are tracked by the Management and goals are implemented and monitored by General Manager to optimise the performance of asset portfolio.
<u>Non-Renewal of Tenancy Agreement Risk</u> Lapsed tenancy due to lack of monitoring, resulting in delays of tenancy renewals.	- Prior to tenancy expiry, approaching tenants six (6) months ahead with notice of renewal followed by negotiation for renewal rates. Engage early with tenants to discuss and secure tenancy renewals. - Revised renewal notice is formalised to require tenants to notify their intention to renew on the Property Management System ("PMS") to minimise the risks of error. - Double rental shall be chargeable upon expiry of tenancy to deter tenants from holding over and not renewing their agreements.

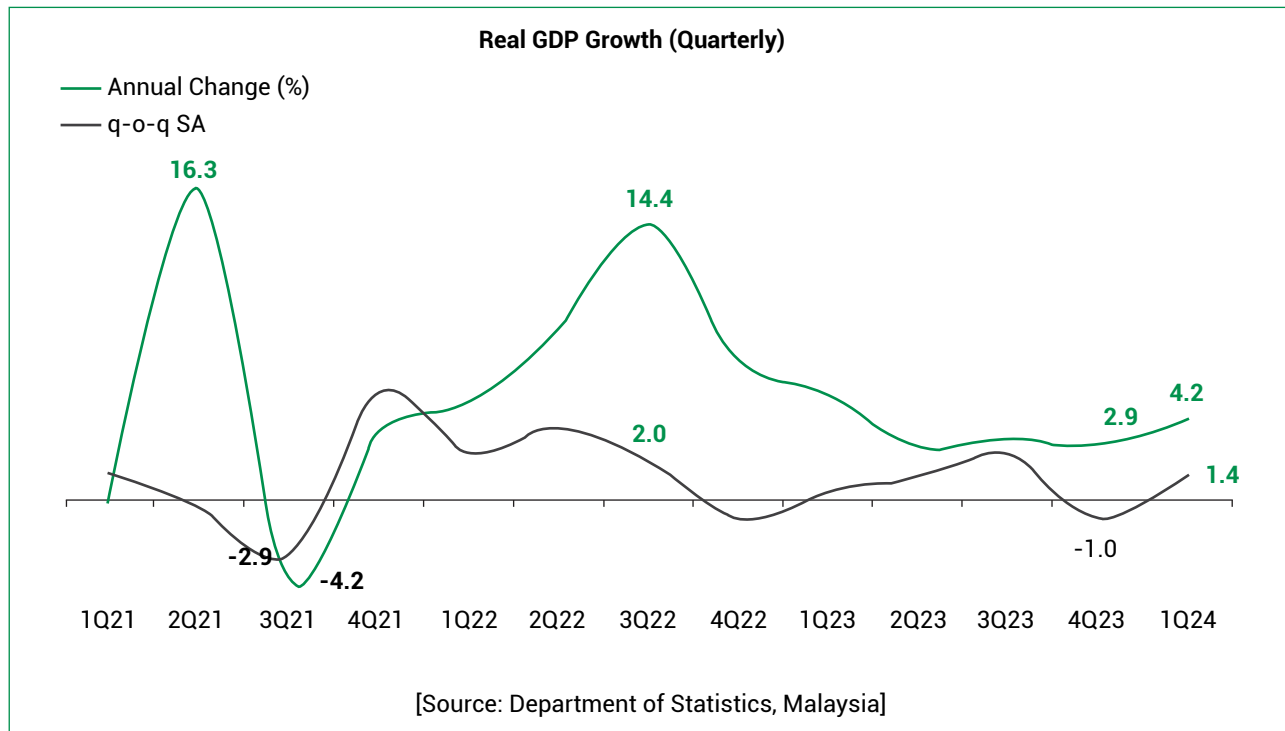
GENERAL MARKET OUTLOOK AND MALAYSIA'S ECONOMY

The global economy continues to face challenges arising from the COVID-19 pandemic, deepened geopolitical tensions, uncertain trade policy and persistent tightening of monetary policies. These factors have increased the risk of a worldwide slowdown. However, according to the World Bank's Global Economic Prospect report, global economic growth is forecasted to stabilise at 2.6% in 2024, with a projected increase to an average of 2.7% in 2025 and 2026, driven mainly by the expanding United States economy.

In Malaysia, despite escalating global uncertainties and persistent external challenges, the economy remains resilient. The Gross Domestic Product ("GDP") grew to 4.2% in the first quarter of 2024, up from 2.9% in the fourth quarter of 2023. This growth was driven by strong domestic demand, continuous improvements in employment and wages as well as rise in household spending. In line with the GDP growth, the Wholesale and Retail Trade sub-sectors continued to show strong momentum, supporting its role as a key contributor to the Services sector.

MANAGEMENT DISCUSSION AND ANALYSIS (CONT'D)

GENERAL MARKET OUTLOOK AND MALAYSIA'S ECONOMY (CONT'D)

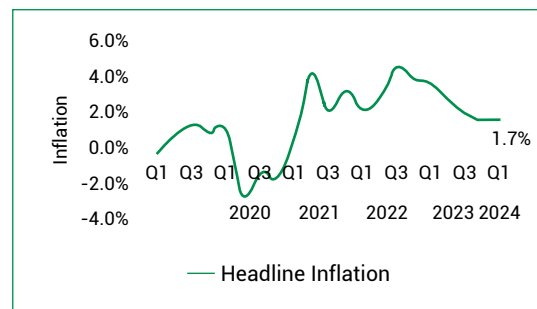


Malaysia inflation remained stable at 1.7% in the first quarter of 2024 as compared to 1.6% in the preceding quarter, mainly attributed to the moderating trend in global commodity prices, easing supply-related disruptions, existing price controls and provision of subsidies for selected items.

In the second half of 2024, the easing of inflationary pressures and recovery of the tourism industry are expected to positively impact Malaysia's economic growth. Private sector expenditure is also anticipated to remain as the main driver of our economic activities, supported by stronger domestic demand. Government's initiatives such as rationalisation of subsidies, targeted cash assistance and the growing trend of social commerce are also expected to boost private consumption.

In addition to these initiatives, the Malaysian Government has also implemented various measures, such as Ekonomi MADANI framework, the Twelfth Malaysia Plan and Budget 2024 to propel Malaysia towards a more robust growth trajectory. These strategies and programmes, coupled with the nation's strong economic fundamentals, are expected to support the momentum of the economy to grow within the estimated range of 4% to 5% in 2024.

Malaysia Inflation Rate



(Source: Department of Statistics Malaysia; NAWAWI TIE Research)

RETAIL MARKET OVERVIEW

In an era of rapid transformation and rising consumer expectations, the global retail landscape is undergoing significant changes, redefining the way businesses engage with consumers. The surge of e-commerce, integration of technology and experiential retail are driving rapid evolution within the retail sector.

Malaysia's retail sector is closely aligning itself with these global transformations, having experienced in navigating challenges such as the pandemic, embracing digital advancements and adapted to ever-changing consumer behaviour. Shopping has transcended its traditional form; it no longer just about making purchases, but also creating immersive experiences for consumers. Malls are evolving into experiential centres, integrating entertainment and leisure components to attract sustained footfall amid the pressures of e-commerce.

MANAGEMENT DISCUSSION AND ANALYSIS (CONT'D)

RETAIL MARKET OVERVIEW (CONT'D)

However, the retail sector faces significant challenges, including the rising cost of living and the increase in the service tax rate from 6.0% to 8.0%, both of which are expected to impact consumer spending. Additionally, escalating operational costs such as rent, utilities and labour cost, are likely to squeeze the profit margins for retailers, particularly small businesses. This may potentially lead to an increase in product prices, affecting consumer affordability.

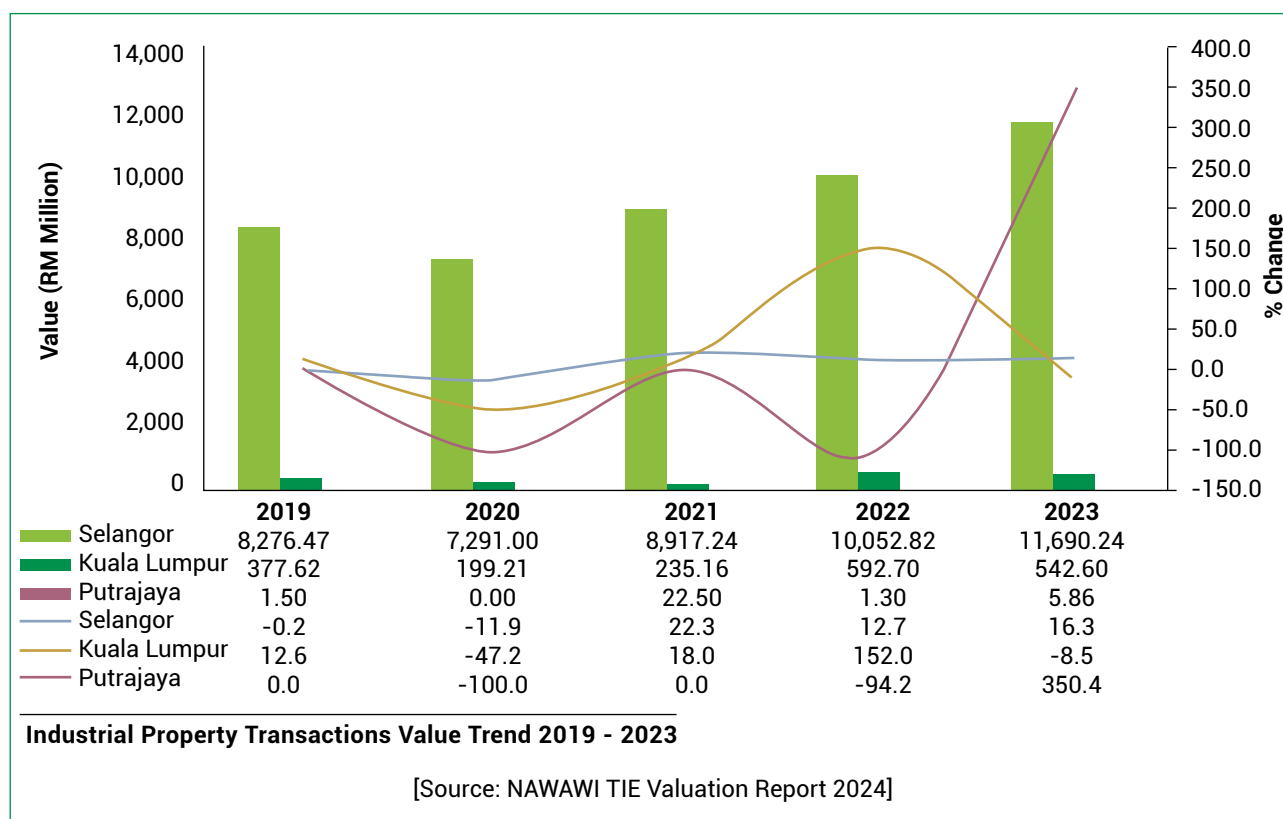
Despite these challenges, Retail Group Malaysia forecasts a 4.0% growth rate for the retail industry for the year 2024, indicating the sector's resilience and its ability to adapt the ever-changing consumer demands and expectations. Furthermore, with the Government's announcement of a salary hike for civil servants by the end of 2024, along with the newly introduced Akaun Fleksibel (Account 3) by the Employees Provident Fund which offers flexible withdrawals for meeting short-term financial needs, are anticipated to further stimulate retail activity and potentially bolster the retail market.

INDUSTRIAL MARKET OVERVIEW

The industrial sector in Malaysia continues to thrive, underpinned by robust investment volume, strong e-commerce integration and consistent manufacturing output.

The rapid expansion of e-commerce has contributed immensely to the logistics industry, leading to increased demand for properties like warehouses, distribution hubs and logistics facilities. Despite the prevailing economic uncertainties, the demand for logistics space is expected to remain strong, mainly supported by ongoing growth of online retail, shifting consumer behaviours and a positive domestic business environment. Furthermore, the recent depreciation of the Malaysian Ringgit is anticipated to temporarily boost the foreign direct investments.

In 2023, Malaysia recorded a 14.9% increase in the total value of industrial property transactions, reaching RM12.24 billion in 2023 as compared to RM10.65 billion in 2022. This highlights Malaysia's attractiveness as an investment destination due to its favourable business ecosystem and strategic role as a key supply chain hub.



MANAGEMENT DISCUSSION AND ANALYSIS (CONT'D)

PROSPECTS

As we progress through 2024, the Malaysian economy is poised for steady growth, driven by strong domestic demand and anticipated acceleration in GDP growth. Despite ongoing external challenges, supportive policy actions by the Government, such as the Ekonomi MADANI framework, reflect a commitment to enhancing economic resilience and are expected to bolster Malaysia's short to medium-term economic growth prospects.

On 27 May 2024, KIP REIT announced that the Trustee had entered into a conditional SPA with DPulze Ventures for the proposed acquisition of DPulze Shopping Centre for a purchase consideration of RM320.0 million. This proposed acquisition strategically aligns with KIP REIT's investment objectives, aimed at enhancing our retail segment portfolio and providing stable income distributions.

KIP REIT maintain a positive outlook, buoyed by the strong performance of our existing property portfolio and strategic initiatives to enhance leasing and operational efficiencies. Our AEI, coupled with strategic investments in high-quality assets, are integral to our growth strategy. Over the next three (3) years, we aim to scale up our asset base to RM2.00 billion. We will continue to identify and evaluate potential growth opportunities in income-producing real estate across retail and industrial sectors, including industrial facilities, logistic facilities and warehouses, to capitalise on market opportunities and drive sustainable growth.

PROPERTY DETAILS

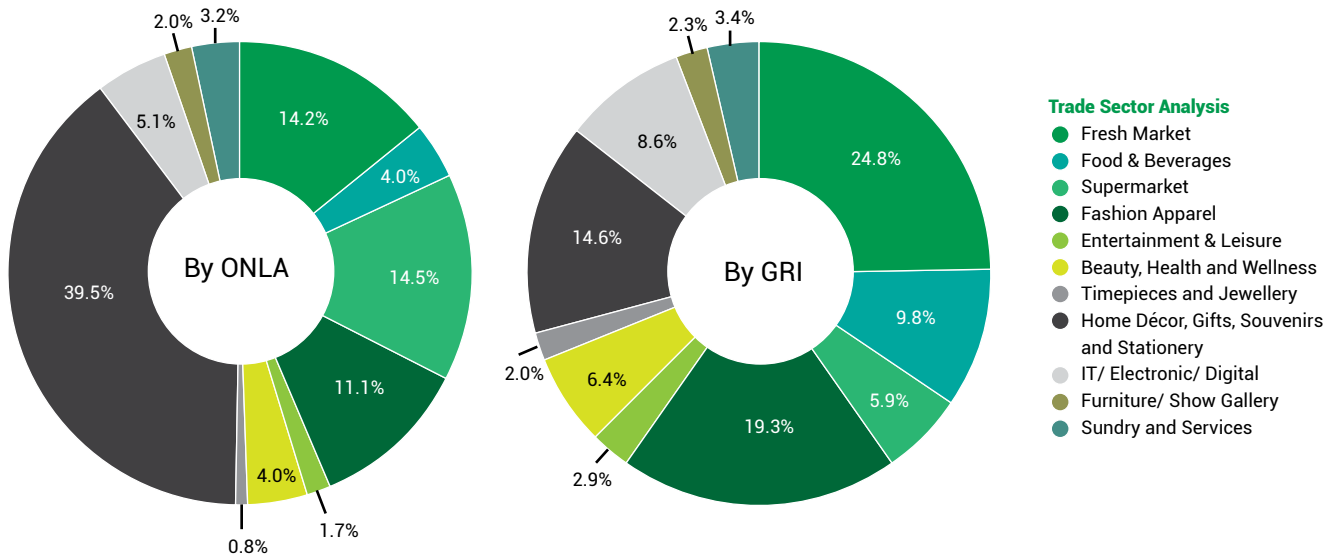
KIPMall Tampoi

Building Details		
Address	Lot PTD 152711, Jalan Titiwangsa 1, Taman Tampoi Indah, 81200 Johor Bahru, Johor Darul Takzim	
Description	Single-storey retail centre with a mezzanine floor with 579 car parking bays	
Age of Building	20 years	
Existing Use	Retail mall	
Title Information	HSD 452673, PTD 152711, Mukim of Pulai, District of Johor Bahru, Johor Darul Takzim	
Encumbrances	Charged to Malaysian Trustees Berhad ("MTB") via Presentation No. 82551/2019 registered on 29 September 2019; Private caveat lodged by MTB via Presentation No. 29075/2019 on 18 July 2019	
Tenure	99 years, expiring on 24 September 2092	
Gross Floor Area	243,628 sq. ft.	
Net Lettable Area	170,526 sq. ft. (FYE 2023: 170,550 sq. ft.)	
Acquisition Date	6 February 2017	
Acquisition Price	RM150.0 million	
Appraised Value	RM181.0 million (FYE 2023: RM179.0 million)	
Valuer	Nawawi Tie Leung Property Consultants Sdn Bhd (FYE 2023: Nawawi Tie Leung Property Consultants Sdn Bhd)	
Valuation Date	30 June 2024	
Property Manager	Henry Butcher Malaysia (Mont Kiara) Sdn Bhd Unit D4-3-3&3A, Solaris Dutamas, No.1, Jalan Dutamas 1, 50480 Kuala Lumpur	
Average Occupancy Rate for the FYE 2024	97.4% (FYE 2023: 94.7%)	
Weighted Average Lease Expiry	ONLA: 1.6 years	GRI: 1.4 years

Top 5 Tenants by ONLA		Top 5 Tenants by GRI	
1	Mr. D.I.Y. (Johor) Sdn Bhd	1	Pasaraya Hwa Thai Sdn Bhd
2	Pasaraya Hwa Thai Sdn Bhd	2	Mr. D.I.Y. (Johor) Sdn Bhd
3	Bok Marketing Sdn Bhd	3	Bok Marketing Sdn Bhd
4	Lionmas Furnishers (M) Sdn Bhd	4	Great Zone Household Centre Sdn Bhd
5	Great Zone Household Centre Sdn Bhd	5	Tian Sing Shoes Trading

PROPERTY DETAILS (CONT'D)

KIPMall Tampoi (Cont'd)



PROPERTY DETAILS (CONT'D)

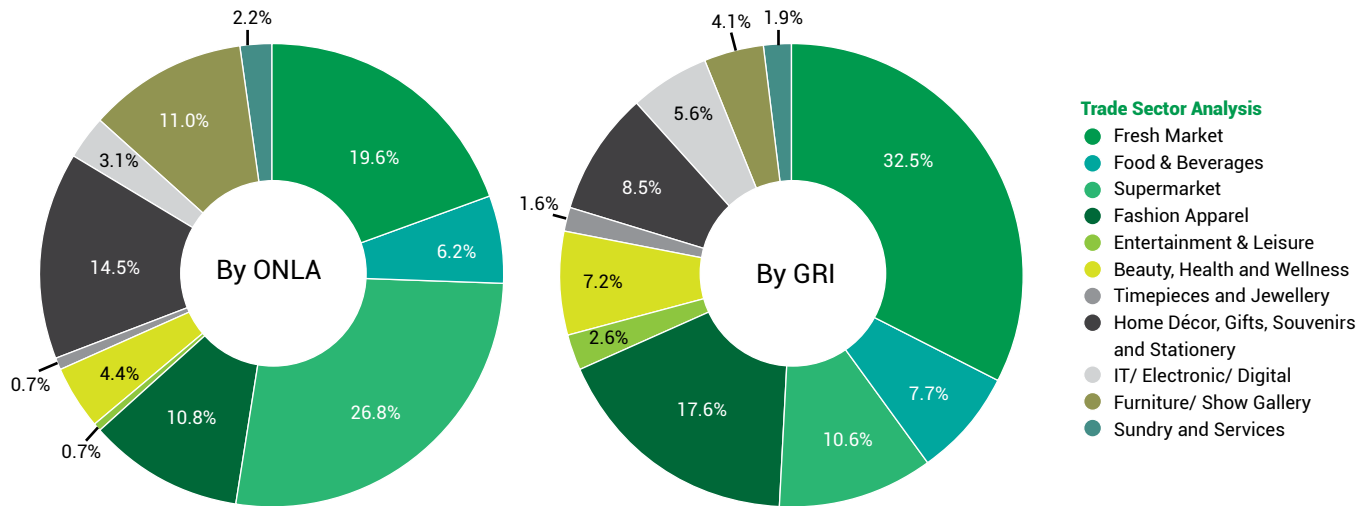
KIPMall Kota Tinggi

Building Details		
Address	No. 1, Jalan Maju, 81900 Kota Tinggi, Johor Darul Takzim	
Description	Single-storey retail centre with a mezzanine floor with 152 car parking bays	
Age of Building	16 years	
Existing Use	Retail mall	
Title Information	GRN 353762, Lot 28861, Mukim of Kota Tinggi, District of Kota Tinggi, Johor Darul Takzim	
Encumbrances	Charged to MTB via Presentation No. 38145/2024 registered on 22 April 2024; Private caveat lodged by MTB via Presentation No. 59355/2023 on 19 December 2023	
Tenure	Freehold	
Gross Floor Area	113,958 sq. ft.	
Net Lettable Area	78,071 sq. ft. (FYE 2023: 76,337 sq. ft.)	
Acquisition Date	6 February 2017	
Acquisition Price	RM55.0 million	
Appraised Value	RM59.0 million (FYE 2023: RM58.0 million)	
Valuer	Nawawi Tie Leung Property Consultants Sdn Bhd (FYE 2023: Nawawi Tie Leung Property Consultants Sdn Bhd)	
Valuation Date	30 June 2024	
Property Manager	Henry Butcher Malaysia (Mont Kiara) Sdn Bhd Unit D4-3-3&3A, Solaris Dutamas, No.1, Jalan Dutamas 1, 50480 Kuala Lumpur	
Average Occupancy Rate for the FYE 2024	91.4% (FYE 2023: 89.1%)	
Weighted Average Lease Expiry	ONLA: 1.6 years	GRI: 1.4 years

Top 5 Tenants by ONLA	Top 5 Tenants by GRI
1 Pasaraya Hwa Thai Sdn Bhd	1 Pasaraya Hwa Thai Sdn Bhd
2 Lionmas Furnishers (M) Sdn Bhd	2 Linkme LM Trading Sdn Bhd
3 MRD (Southern) Sdn Bhd	3 KVNP Enterprise
4 Linkme LM Trading Sdn Bhd	4 Hikaru Kawaii S PLT
5 QSR Stores Sdn Bhd	5 Lionmas Furnishers (M) Sdn Bhd

PROPERTY DETAILS (CONT'D)

KIPMall Kota Tinggi (Cont'd)



PROPERTY DETAILS (CONT'D)

KIPMall Masai

Building Details	
Address	PTD 204780, HS(D) 478086, Jalan Persiaran Dahlia 2, Taman Bukit Dahlia, 81700 Pasir Gudang, Johor Darul Takzim
Description	Single-storey retail centre with a mezzanine floor with 628 car parking bays
Age of Building	13 years
Existing Use	Retail mall
Title Information	PN 70766, Lot 198634, Locality of Taman Bukit Dahlia, Mukim of Plentong, District of Johor Bahru, Johor Darul Takzim
Encumbrances	Charged to MTB via Presentation No. 82551/2019 registered on 2 October 2019; Private caveat lodged by MTB via Presentation No. 29075/2019 on 18 July 2019
Tenure	99 years, expiring on 28 December 2108
Gross Floor Area	247,990 sq. ft.
Net Lettable Area	156,791 sq. ft. (FYE 2023: 156,782 sq. ft.)
Acquisition Date	6 February 2017
Acquisition Price	RM157.0 million
Appraised Value	RM187.0 million (FYE 2023: RM186.0 million)
Valuer	Nawawi Tie Leung Property Consultants Sdn Bhd (FYE 2023: Nawawi Tie Leung Property Consultants Sdn Bhd)
Valuation Date	30 June 2024
Property Manager	Henry Butcher Malaysia (Mont Kiara) Sdn Bhd Unit D4-3-3&3A, Solaris Dutamas, No.1, Jalan Dutamas 1, 50480 Kuala Lumpur
Average Occupancy Rate for the FYE 2024	96.2% (FYE 2023: 94.9%)
Weighted Average Lease Expiry	ONLA: 1.4 years GRI: 1.2 years

Top 5 Tenants by ONLA

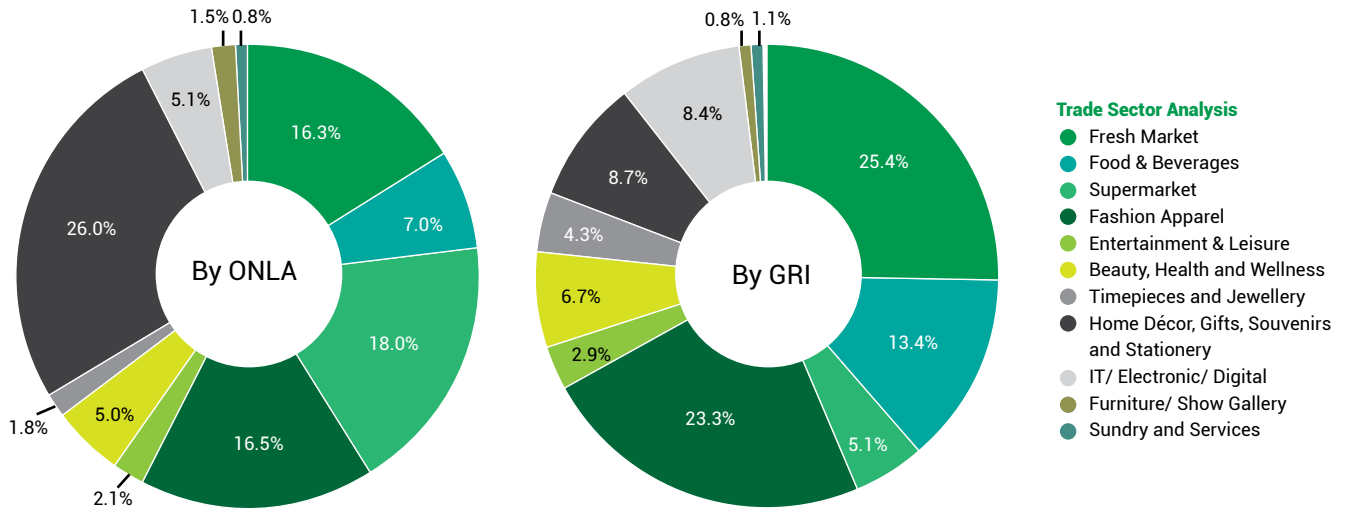
- 1 Pasaraya Hwa Thai Sdn Bhd
- 2 Bok Marketing Sdn Bhd
- 3 Mr. D.I.Y. (Johor) Sdn Bhd
- 4 Linkme LM Trading Sdn Bhd
- 5 Jacobi Shoes House

Top 5 Tenants by GRI

- 1 Pasaraya Hwa Thai Sdn Bhd
- 2 Bok Marketing Sdn Bhd
- 3 Jacobi Shoes House
- 4 Mr. D.I.Y. (Johor) Sdn Bhd
- 5 Linkme LM Trading Sdn Bhd

PROPERTY DETAILS (CONT'D)

KIPMall Masai (Cont'd)



PROPERTY DETAILS (CONT'D)

KIPMall Senawang

Building Details		
Address	No. 1, Jalan KLS 1, KIPMall Lavender Senawang, Lavender Heights, 70400 Seremban, Negeri Sembilan Darul Khusus	
Description	Single-storey retail centre with a mezzanine floor with 844 car parking bays and 85 motorcycle parking bays	
Age of Building	11 years	
Existing Use	Retail mall	
Title Information	GRN 262080, Lot 61344, Locality of Taman Lavender Heights, Pekan Senawang, District of Seremban, Negeri Sembilan Darul Khusus	
Encumbrances	N/A	
Tenure	Freehold	
Gross Floor Area	180,198 sq. ft.	
Net Lettable Area	119,767 sq. ft. (FYE 2023: 117,030 sq. ft.)	
Acquisition Date	6 February 2017	
Acquisition Price	RM38.0 million	
Appraised Value	RM25.0 million (FYE 2023: RM28.0 million)	
Valuer	Nawawi Tie Leung Property Consultants Sdn Bhd (FYE 2023: Nawawi Tie Leung Property Consultants)	
Valuation Date	30 June 2023	
Property Manager	Henry Butcher Malaysia (Mont Kiara) Sdn Bhd Unit D4-3-3&3A, Solaris Dutamas, No.1, Jalan Dutamas 1, 50480 Kuala Lumpur	
Average Occupancy Rate for the FYE 2024	62.9% (FYE 2023: 86.4%)	
Weighted Average Lease Expiry	ONLA: 2.1 years	GRI: 1.9 years

Top 5 Tenants by ONLA

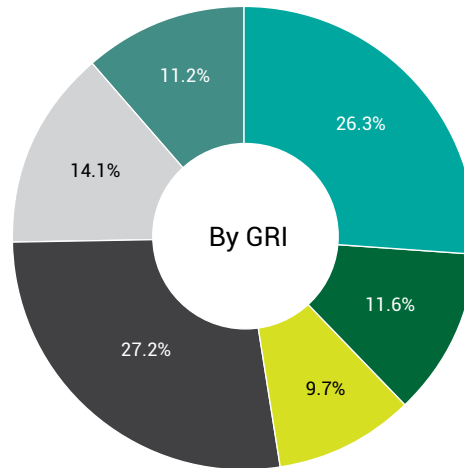
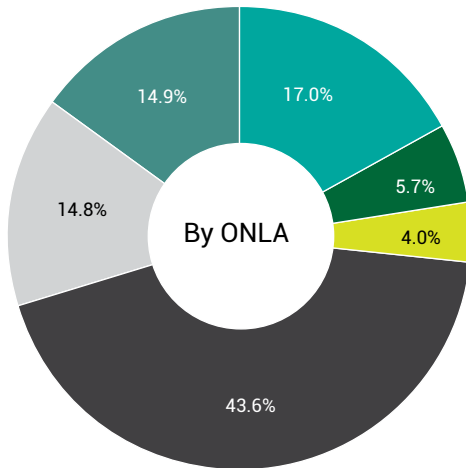
- 1 Mr. D.I.Y. (M) Sdn Bhd
- 2 Lionmas Furnishers (M) Sdn Bhd
- 3 Hyper Pets Centre (M) Sdn Bhd
- 4 Y Pay More Store Sdn Bhd
- 5 QSR Stores Sdn Bhd

Top 5 Tenants by GRI

- 1 QSR Stores Sdn Bhd
- 2 Mr. D.I.Y. (M) Sdn Bhd
- 3 Lionmas Furnishers (M) Sdn Bhd
- 4 Y Pay More Store Sdn Bhd
- 5 Watson's Personal Care Stores Sdn Bhd

PROPERTY DETAILS (CONT'D)

KIPMall Senawang (Cont'd)



Trade Sector Analysis

- Fresh Market
- Food & Beverages
- Supermarket
- Fashion Apparel
- Entertainment & Leisure
- Beauty, Health and Wellness
- Timepieces and Jewellery
- Home Décor, Gifts, Souvenirs and Stationery
- IT/ Electronic/ Digital
- Furniture/ Show Gallery
- Sundry and Services



PROPERTY DETAILS (CONT'D)

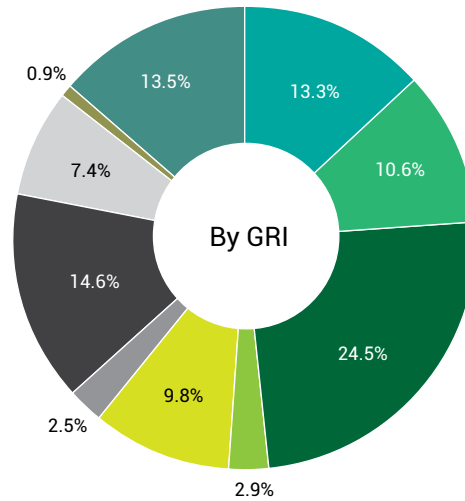
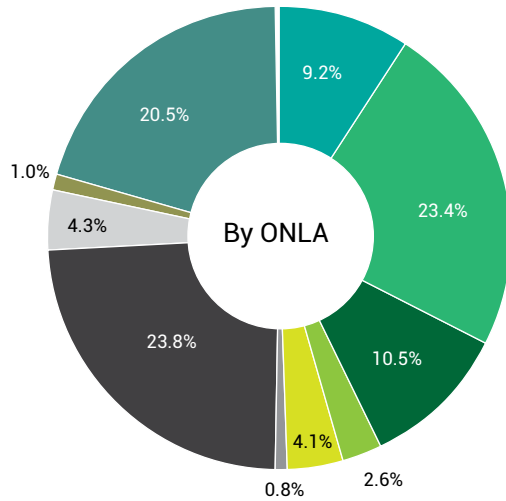
KIPMall Melaka

Building Details	
Address	No. 8999, Jalan Tun Fatimah, Batu Berendam, 75350 Hang Tuah Jaya, Melaka
Description	Two-storey retail centre with 521 car parking bays
Age of Building	10 years
Existing Use	Retail mall
Title Information	PN 61677, Lot No 19541, Mukim of Bachang, District of Melaka Tengah, Melaka
Encumbrances	Charged to MTB via Presentation No. 0400SC2024007650 registered on 3 April 2024; Private caveat lodged by MTB via Presentation No. 0400B2023005635 on 12 December 2023
Tenure	99 years, expiring on 17 November 2112
Gross Floor Area	276,988 sq. ft.
Net Lettable Area	199,094 sq. ft. (FYE 2023: 196,822 sq. ft.)
Acquisition Date	6 February 2017
Acquisition Price	RM50.0 million
Appraised Value	RM60.0 million (FYE 2023: RM55.0 million)
Valuer	Nawawi Tie Leung Property Consultants Sdn Bhd (FYE 2023: Nawawi Tie Leung Property Consultants Sdn Bhd)
Valuation Date	30 June 2024
Property Manager	Henry Butcher Malaysia (Mont Kiara) Sdn Bhd Unit D4-3-3&3A, Solaris Dutamas, No.1, Jalan Dutamas 1, 50480 Kuala Lumpur
Average Occupancy Rate for the FYE 2024	95.3% (FYE 2023: 89.8%)
Weighted Average Lease Expiry	ONLA: 1.9 years GRI: 1.7 years

Top 5 Tenants by ONLA	Top 5 Tenants by GRI
1 Bachang Family Store Sdn Bhd	1 Bachang Family Store Sdn Bhd
2 Bok Marketing Sdn Bhd	2 Bok Marketing Sdn Bhd
3 Mr. D.I.Y. (M) Sdn Bhd	3 Mr. D.I.Y. (M) Sdn Bhd
4 DODE Concept	4 Happy Home Household Sdn Bhd
5 Happy Home Household Sdn Bhd	5 Lionmas Furnishers (M) Sdn Bhd

PROPERTY DETAILS (CONT'D)

KIPMall Melaka (Cont'd)



Trade Sector Analysis

- Fresh Market
- Food & Beverages
- Supermarket
- Fashion Apparel
- Entertainment & Leisure
- Beauty, Health and Wellness
- Timepieces and Jewellery
- Home Décor, Gifts, Souvenirs and Stationery
- IT/ Electronic/ Digital
- Furniture/ Show Gallery
- Sundry and Services



PROPERTY DETAILS (CONT'D)

KIPMall Bangi

Building Details	
Address	No. 1, Jalan Medan Bangi, 43650 Bandar Baru Bangi, Selangor Darul Ehsan
Description	Five-storey shopping centre with one (1) level of mezzanine floor and two (2) levels of basement car park with 490 car parking bays and 88 motorcycle parking bays
Age of Building	24 years
Existing Use	Retail mall
Title Information	HSD 36945, PT 29330, Mukim of Kajang, District of Ulu Langat, Selangor Darul Ehsan
Encumbrances	Charged to MTB via Presentation No. 001SC99838/2019 registered on 2 October 2019; Private caveat lodged by MTB via Presentation No. 001B38046/2019 on 18 July 2019
Tenure	99 years, expiring on 14 July 2093
Gross Floor Area	348,202 sq. ft.
Net Lettable Area	287,456 sq. ft. (FYE 2023: 285,454 sq. ft.)
Acquisition Date	6 February 2017
Acquisition Price	RM130.0 million
Appraised Value	RM128.0 million (FYE 2023: RM125.0 million)
Valuer	Nawawi Tie Leung Property Consultants Sdn Bhd (FYE 2023: Nawawi Tie Leung Property Consultants Sdn Bhd)
Valuation Date	30 June 2024
Property Manager	Henry Butcher Malaysia (Mont Kiara) Sdn Bhd Unit D4-3-3&3A, Solaris Dutamas, No.1, Jalan Dutamas 1, 50480 Kuala Lumpur
Average Occupancy Rate for the FYE 2024	83.9% (FYE 2023: 74.0%)
Weighted Average Lease Expiry	ONLA: 1.9 years GRI: 1.7 years

Top 5 Tenants by ONLA

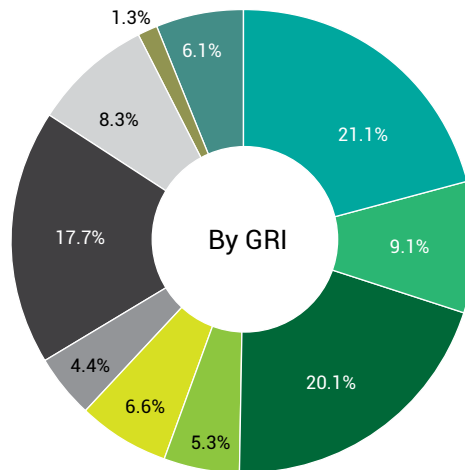
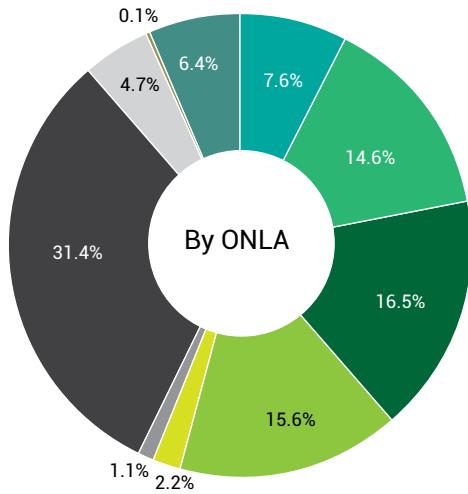
- 1 My Hero Hypermarket Sdn Bhd
- 2 Live Sport Gallery Enterprise
- 3 Mr. D.I.Y. (Kuchai) Sdn Bhd
- 4 Bok Marketing Sdn Bhd
- 5 Megah Inovatif Sdn Bhd

Top 5 Tenants by GRI

- 1 My Hero Hypermarket Sdn Bhd
- 2 Mr. D.I.Y. (Kuchai) Sdn Bhd
- 3 Bok Marketing Sdn Bhd
- 4 Central Market Fish Head Curry Sdn Bhd
- 5 Megah Inovatif Sdn Bhd

PROPERTY DETAILS (CONT'D)

KIPMall Bangi (Cont'd)



Trade Sector Analysis

- Fresh Market
- Food & Beverages
- Supermarket
- Fashion Apparel
- Entertainment & Leisure
- Beauty, Health and Wellness
- Timepieces and Jewellery
- Home Décor, Gifts, Souvenirs and Stationery
- IT/ Electronic/ Digital
- Furniture/ Show Gallery
- Sundry and Services



PROPERTY DETAILS (CONT'D)

KIPMall Kota Warisan

Building Details	
Address	Jalan Warisan Sentral 3, Kota Warisan, 43900 Sepang, Selangor Darul Ehsan
Description	One-and-half-storey retail centre with a drive thru restaurant with 540 car parking bays and 278 motorcycle parking bays
Age of Building	7 years
Existing Use	Retail mall
Title Information	GRN 336020, Lot 109945, Mukim of Dengkil, District of Sepang, Selangor Darul Ehsan
Encumbrances	Charged to MTB via Presentation No. 00SC77656/2024 registered on 3 May 2024; Private caveat lodged by MTB via Presentation No. 00B63082/2023 on 22 December 2023
Tenure	Freehold
Gross Floor Area	301,558 sq. ft.
Net Lettable Area	191,986 sq. ft.
Acquisition Date	8 February 2024
Acquisition Price	RM80.0 million
Vendor	Cahaya Serijaya Sdn Bhd (Further details have been disclosed in Other Disclosure Information of this Annual Report)
Appraised Value	RM88.0 million
Valuer	Nawawi Tie Leung Property Consultants Sdn Bhd
Valuation Date	30 June 2024
Property Manager	Henry Butcher Malaysia (Mont Kiara) Sdn Bhd Unit D4-3-3&3A, Solaris Dutamas, No.1, Jalan Dutamas 1, 50480 Kuala Lumpur
Average Occupancy Rate for the FYE 2024	99.5%
Weighted Average Lease Expiry	ONLA: 2.4 years GRI: 2.1 years

Top 5 Tenants by ONLA

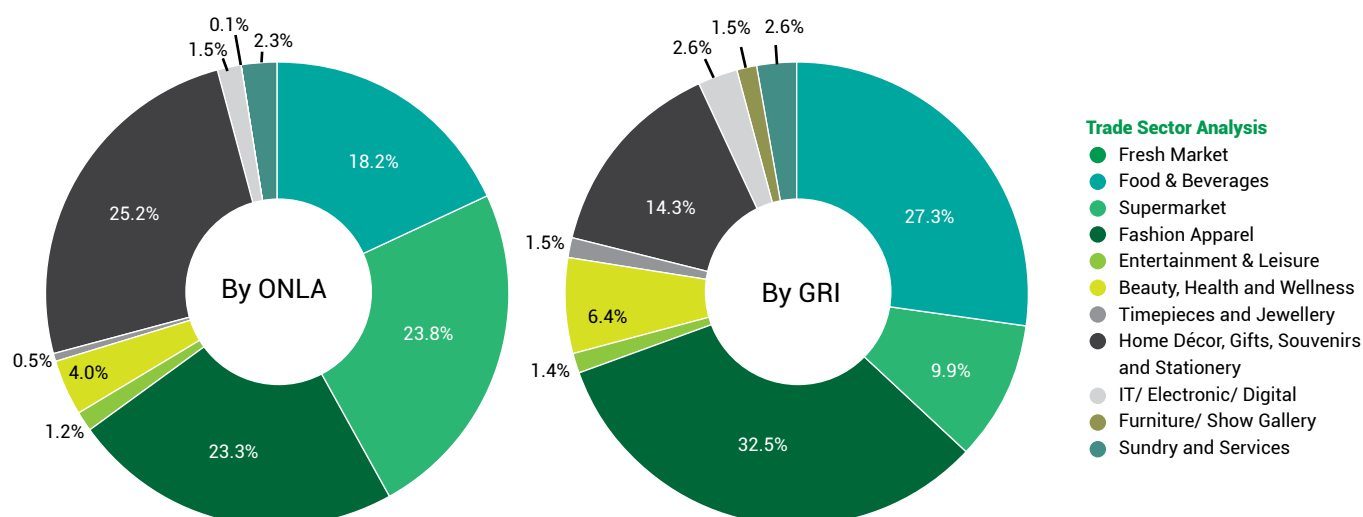
- 1 Econsave Cash & Carry (SPG) Sdn Bhd
- 2 Hoe Huat Hang Trading Sdn Bhd
- 3 Mr. Dollar
- 4 Mr. DIY (M) Sdn Bhd
- 5 Porcelaine Inn Sdn Bhd

Top 5 Tenants by GRI

- 1 Econsave Cash & Carry (SPG) Sdn Bhd
- 2 Hoe Huat Hang Trading Sdn Bhd
- 3 QSR Stores Sdn Bhd
- 4 Mr. DIY (M) Sdn Bhd
- 5 Mr. Dollar

PROPERTY DETAILS (CONT'D)

KIPMall Kota Warisan (Cont'd)



PROPERTY DETAILS (CONT'D)

AEON Mall Kinta City

Building Details	
Address	Persiaran Medan Ipoh (formerly known as Jalan Teh Lean Swee), Taman Ipoh Selatan, 31400 Ipoh, Perak Darul Ridzuan
Description	Three-storey shopping mall comprising two (2) levels of retail lots, one (1) level of car park and cinema and one (1) level of car park and bowling alley at the rooftop – total 1,547 car parking bays
Age of Building	26 years
Existing Use	Shopping mall
Title Information	Geran 72619, Lot 320549, Mukim of Hulu Kinta, District of Kinta, Perak Darul Ridzuan
Encumbrances	Charged to MTB via Presentation No. 37829/2019 registered via Presentation No. 37829/2019 on 30 September 2019; Private caveat lodged by MTB via Presentation No. 00B10791/2019 on 18 July 2019; Whole land leased to AEON Co. (M) Bhd via Presentation No. 7876/2018 for a period of 10 years commencing on 29 September 2015 and expiring on 28 September 2025, registered on 5 March 2018
Tenure	Freehold
Gross Floor Area	1,069,749 sq. ft.
Net Lettable Area	530,181 sq. ft. (FYE 2023: 530,181 sq. ft.)
Acquisition Date	31 July 2019
Acquisition Price	RM208.0 million
Appraised Value	RM254.0 million (FYE 2023: RM254.0 million)
Valuer	Nawawi Tie Leung Property Consultants Sdn Bhd (FYE 2023: Nawawi Tie Leung Property Consultants Sdn Bhd)
Valuation Date	30 June 2024
Property Manager	Henry Butcher Malaysia (Mont Kiara) Sdn Bhd Unit D4-3-3&3A, Solaris Dutamas, No.1, Jalan Dutamas 1, 50480 Kuala Lumpur
Master Lessee	AEON Co. (M) Berhad

Hextar Chemicals (Lot 5)

Building Details	
Address	Lot 5, Jalan Perigi Nenas 7/3, Phase 1A, Pulau Indah Industrial Park, 42920 Port Klang, Selangor Darul Ehsan
Description	Industrial premises accommodating a single storey warehouse annexed with a double storey office building and guard house with 25 car parking bays and 1 lorry parking lot
Age of Building	22 years
Existing Use	Office space, factory and warehouse
Title Information	PN 12168, Lot 88089 and PN 12170, Lot 88105, both under Mukim of Klang, District of Klang, State of Selangor
Encumbrances	Charged to MTB via Presentation No. 00SC25015/2024 registered on 13 February 2024
Tenure	99 years, expiring on 24 February 2097
Gross Floor Area	112,598 sq. ft.
Net Lettable Area	112,508 sq. ft. (FYE 2023: 112,508 sq. ft.)
Acquisition Date	14 December 2022
Acquisition Price	RM27.0 million
Appraised Value	RM27.2 million (FYE 2023: RM27.1 million)
Valuer	Nawawi Tie Leung Property Consultants Sdn Bhd (FYE 2023: Nawawi Tie Leung Property Consultants Sdn Bhd)
Valuation Date	30 June 2024
Property Manager	Henry Butcher Malaysia (Mont Kiara) Sdn Bhd Unit D4-3-3&3A, Solaris Dutamas, No.1, Jalan Dutamas 1, 50480 Kuala Lumpur
Lessee	Hextar Chemicals Sdn Bhd

PROPERTY DETAILS (CONT'D)

Teju Logistics (Lot 3A)

Building Details	
Address	Lot 3A, Jalan Perigi Nenas 7/2, Taman Perindustrian Pulau Indah, 42920 Pelabuhan Klang, Selangor Darul Ehsan
Description	Industrial premises accommodating a single storey warehouse and guard house, with 4 car parking bays
Age of Building	27 years
Existing Use	Warehouse
Title Information	H.S.(D) 158288, PT 150309, Mukim of Klang, District of Klang, State of Selangor
Encumbrances	Charged to MTB via Presentation No. 00SC24871/2024 registered on 13 February 2024
Tenure	99 years, expiring on 24 February 2097
Gross Floor Area	129,275 sq. ft.
Net Lettable Area	129,114 sq. ft. (FYE 2023: 129,114 sq. ft.)
Acquisition Date	14 December 2022
Acquisition Price	RM23.7 million
Appraised Value	RM24.1 million (FYE 2023: RM24.0 million)
Valuer	Nawawi Tie Leung Property Consultants Sdn Bhd (FYE 2023: Nawawi Tie Leung Property Consultants Sdn Bhd)
Valuation Date	30 June 2024
Property Manager	Henry Butcher Malaysia (Mont Kiara) Sdn Bhd Unit D4-3-3&3A, Solaris Dutamas, No.1, Jalan Dutamas 1, 50480 Kuala Lumpur
Lessee	Teju Logistics Sdn Bhd

Teju Logistics (Lot 9)

Building Details	
Address	PT 154141, Jalan Perigi Nenas 7/3, Taman Perindustrian Pulau Indah, 42920 Pelabuhan Klang, Selangor Darul Ehsan
Description	Industrial premises accommodating a single storey factory/warehouse, guard house, pump house and refuse chamber, together with 45 car parking bays
Age of Building	4 years
Existing Use	Factory and warehouse
Title Information	H.S.(D) 163577, PT 154141, Mukim of Klang, District of Klang, State of Selangor
Encumbrances	Charged to MTB via Presentation No. 00SC74884/2024 registered on 30 April 2024; Private caveat lodged by MTB via Presentation No. 00B3056/2024 on 16 January 2024
Tenure	78 years, expiring on 24 February 2097
Gross Floor Area	109,232 sq. ft.
Net Lettable Area	108,936 sq. ft. (FYE 2023: 108,936 sq. ft.)
Acquisition Date	14 December 2022
Acquisition Price	RM28.0 million
Appraised Value	RM28.3 million (FYE 2023: RM28.2 million)
Valuer	Nawawi Tie Leung Property Consultants Sdn Bhd (FYE 2023: Nawawi Tie Leung Property Consultants Sdn Bhd)
Valuation Date	30 June 2024
Property Manager	Henry Butcher Malaysia (Mont Kiara) Sdn Bhd Unit D4-3-3&3A, Solaris Dutamas, No.1, Jalan Dutamas 1, 50480 Kuala Lumpur
Lessee	Teju Logistics Sdn Bhd

INVESTOR RELATIONS AND CORPORATE COMMUNICATIONS

At KIP REIT, the Manager truly believes that open and transparent communication is the cornerstone of a successful connection between KIP REIT and our various stakeholders to build trust, values and confidence in the long run. We recognise that timely and accurate information enables our stakeholders to gain meaningful insights and make informed decisions which align to their interests and objectives.

The Manager has established a corporate communication framework that outlines the engagement approach and frequency for each group of stakeholders, catering to the different levels of engagement and information required. It is also reviewed annually by the Board to review the effectiveness of communication channels adopted by the Manager. Through the dedicated efforts made to engage with the stakeholders via various communication channels as shown in the following sections, the Manager is able to gain a better understanding of the stakeholders' expectations.

Press Release and Media Coverage

As part of our on-going efforts to promote timely and transparent communication with the investment community as well as to build strong relationships with the stakeholders, the Manager has continuously interacted actively with our investment community through press release. This approach serves as a valuable platform for us to provide the public with an in-depth understanding on our business development, trend, challenges and prospects.

During the financial year under review, the Manager, through the Investor Relations ("IR") Team, announced the following press releases on Bursa Securities to share its financial performance and milestones achieved over the period: -

Date	Title
24 July 2023	KIP REIT Finishes FY2023 on a Strong Note
4 October 2023	KIP REIT Unitholders Approve Acquisition of KIPMall Kota Warisan
20 October 2023	KIP REIT Reports 18.2% Increase in Realised Profit After Tax for Q12024
29 January 2024	KIP REIT's Growth Trajectory Surges Further, Records Best Second Quarter Earnings Ever
5 March 2024	KIP REIT Unveils New Logo, Embracing Growth and Sustainability Initiatives
23 April 2024	KIP REIT's 9MFY2024 PAT Surges 13.9% to RM31.3 Million

On top of those press releases announced on Bursa Securities, we have also leveraged on a broader media exposure via newspaper publications, such as News Straits Times, Sin Chew Daily, The Edge, The Star, The Sun, eNanyang, Business Today, Berita Harian, Berita Kini and Dagang News, in which these news are accessible on our company's website at <https://www.kipreit.com.my/newsroom/>.

Equity Research via Bursa Research Incentive Scheme ("Bursa RISE")

KIP REIT is one of the first batch of participating listed companies in Bursa RISE programme, which aims to improve the visibility of listed companies and their trading activity through research coverage and marketing activities by engaging the licensed research analysts.

Throughout the financial year under review, our regular engagement with Affin Hwang Investment Bank Berhad ("Affin Hwang Investment") and TA Securities Holdings Berhad ("TA Securities") in the quarterly financial results briefings ensured timely dissemination of financial and operational updates during the quarterly results announcements. The IR Team, together with the Manager, also updated the KIP REIT's corporate factsheet, portfolio updates, prospects and outlook as well as the Environmental, Social and Governance ("ESG") initiatives on a quarterly basis at the Analyst and Fund Manager Meeting Day after the quarterly results announcements. In addition, we also organised one-on-one meetings with other analysts and fund managers which allow for focused discussions.

INVESTOR RELATIONS AND CORPORATE COMMUNICATIONS (CONT'D)

Equity Research via Bursa Research Incentive Scheme ("Bursa RISE") (Cont'd)

The engagement events held during FYE 2024 are shown as below: -

Date	Event
12 July 2023	Small Group Meeting with Employee Provident Fund ("EPF") and TA Securities
20 July 2023	Publication of Analyst Report entitled "KIP Real Estate Investment Trust - Brighter Prospects Ahead" by TA Securities
25 July 2023	Analysts and Fund Managers Briefing on Q4 FYE 2023 Results
	Publication of Analyst Report entitled "Higher FY233 Profit but EPU and DPU Came in Lower YOY" by Affin Hwang Investment
	Publication of Analyst Report entitled "KIP Real Estate Investment Trust - Higher Finance Costs Caused Expectation Shortfall" by TA Securities
26 September 2023	One-on-one Meeting with AmBank Research
6 October 2023	Publication of Analyst Report entitled "Acquires Sole, Go-to Neighbourhood Mall in Kota Warisan" by Affin Hwang Investment
23 October 2023	Publication of Analyst Report entitled "1QFY24 Realised EPU Grew By 7% YOY, Within Expectations" by Affin Hwang Investment
	Publication of Analyst Report entitled "KIP Real Estate Investment Trust - Steady Performance" by TA Securities
24 October 2023	Analysts and Fund Managers Briefing on Q1 FYE 2024 Results
25 October 2023	Publication of Analyst Report entitled "KIP Real Estate Investment Trust - KIPMall Kota Warisan to Start Contributing in 2HFY24" by TA Securities
24 November 2023	Work-in-Progress Meeting with Ms. Ong Pui Shan (CEO)
30 January 2024	Publication of Analyst Report entitled "6MFY24 Realised EPU Grew By 5% YOY – As Expected" by Affin Hwang Investment Bank
	Publication of Analyst Report entitled "KIP Real Estate Investment Trust - Anticipating Stronger Results in 2H" by TA Securities
31 January 2024	Analysts and Fund Managers Briefing on Q2 FYE 2024 Results
2 February 2024	Publication of Analyst Report entitled "KIP Real Estate Investment Trust - KIPMall Kota Warisan to Start Contributing in 2HFY24" by TA Securities
8 April 2024	Meeting with Equity Capital Markets from Kenanga Investment Bank Berhad
18 April 2024	Publication of Analyst Report entitled "KIP Real Estate Investment Trust – Resilient Community Mall Portfolio" by TA Securities
19 April 2024	One-on-one Meeting with EPF
24 April 2024	Analysts & Fund Managers Briefing on Q3 FYE 2024 Results
	Publication of Analyst Report entitled "9MFY24 DPU Grew By 6% YOY, Earnings Top Our Forecasts" by Affin Hwang Investment
	Publication of Analyst Report entitled "KIP Real Estate Investment Trust - Maiden Contribution from KIPMall Kota Warisan" by TA Securities
28 May 2024	Publication of Analyst Report entitled "KIP Real Estate Investment Trust - Acquiring DPulze Shopping Centre for RM320.0 million" by TA Securities
30 May 2024	One-on-one Meeting with EPF

INVESTOR RELATIONS AND CORPORATE COMMUNICATIONS (CONT'D)

Equity Research via Bursa Research Incentive Scheme ("Bursa RISE") (Cont'd)



(Analyst Reports by TA Securities and Affin Hwang Investment)

Malaysian REIT Managers Association ("MRMA")

Being an active member of MRMA, KIP REIT had attended the following events organised by MRMA during FYE 2024 to demonstrate our support to the association and the REITs industry as a whole:-

- Annual Year End Networking Dinner and Fourth Quarter 2023 General Meeting held on 1 December 2023;
- First Quarter 2024 General Meeting held on 11 March 2024; and
- Annual General Meeting ("AGM") and Second Quarter 2024 General Meeting held on 6 June 2024.

Quarterly Financial Results, Annual Report and Announcement Made via Bursa Securities

KIP REIT acknowledges the importance of giving stakeholders easy access to relevant information. Following the Supplementary Trust Deed dated 29 September 2020 entered into by the Trustee and the Manager, the provisions for the issuance of reports, notices and other documents have been amended to allow for distribution via technological means.

With this, KIP REIT is able to disseminate information in a timely manner and maintained an IR section on our company's website at <https://www.kipreit.com.my/> where information such as annual reports, quarterly reports, notices and minutes of AGM and unitholders' meetings, company announcements made to Bursa Securities, financial information, company policies and more, are easily accessible by the unitholders and other stakeholders. The company announcements of KIP REIT are also available on Bursa Securities' website.

Both the quarterly financial results and annual reports are prepared in accordance to the provisions under the MMLR and REIT Guidelines to provide our stakeholders with comprehensive information surrounding KIP REIT's financial and operational performance, business development as well as growth prospects. While maintaining a high level of transparency at KIP REIT, we are also mindful of the legal and regulatory framework governing the release of material and price-sensitive information.

INVESTOR RELATIONS AND CORPORATE COMMUNICATIONS (CONT'D)

General Meetings

In FYE 2024, KIP REIT had convened both the Seventh AGM and Unitholders' Meeting virtually on 4 October 2023.

The AGM is the principal forum for dialogue with unitholders. The Board is dedicated to engage in constructive dialogue with our unitholders and providing the necessary information or clarification to address any of their queries. Through the AGM, the Board is able to update the unitholders on KIP REIT's strategic development as well as any portfolio updates, and simultaneously, the unitholders are able to gain a better and deeper understanding on our business strategies, performance, and future prospects. Unitholders are also encouraged to exercise their voting rights during the AGM to ensure that their voices are heard, and their collective interests are represented. From FYE 2021 onwards, the Manager has held fully virtual AGM through live streaming and online voting via Remote Participation Electronic Voting ("RPEV") facilities to enhance the accessibility and convenience for our unitholders.

Whilst KIP REIT conducts AGM every year, the Manager may call for Unitholders' Meeting for any specific situations that require the attention and approval of unitholders beyond the AGM. The Unitholders' Meeting held on 4 October 2023 was mainly to obtain unitholders' approval on the proposed acquisition of KIPMall Kota Warisan and proposed private placement. Unitholders were also allowed to raise their queries or concerns and exercise their voting rights during the Unitholders' Meeting.

In compliance with the Practice 13.1 of the Malaysian Code on Corporate Governance ("MCCG"), the Manager always ensures that the notice of AGM is circulated to unitholders at least 28 days prior to the AGM. We also advertised our notice of AGM in one (1) nationally circulated daily newspapers for a wider public outreach. The Manager believes that this arrangement will enable our unitholders to have sufficient time to peruse the annual report and to make any necessary arrangements.

IR Portal and E-Mail

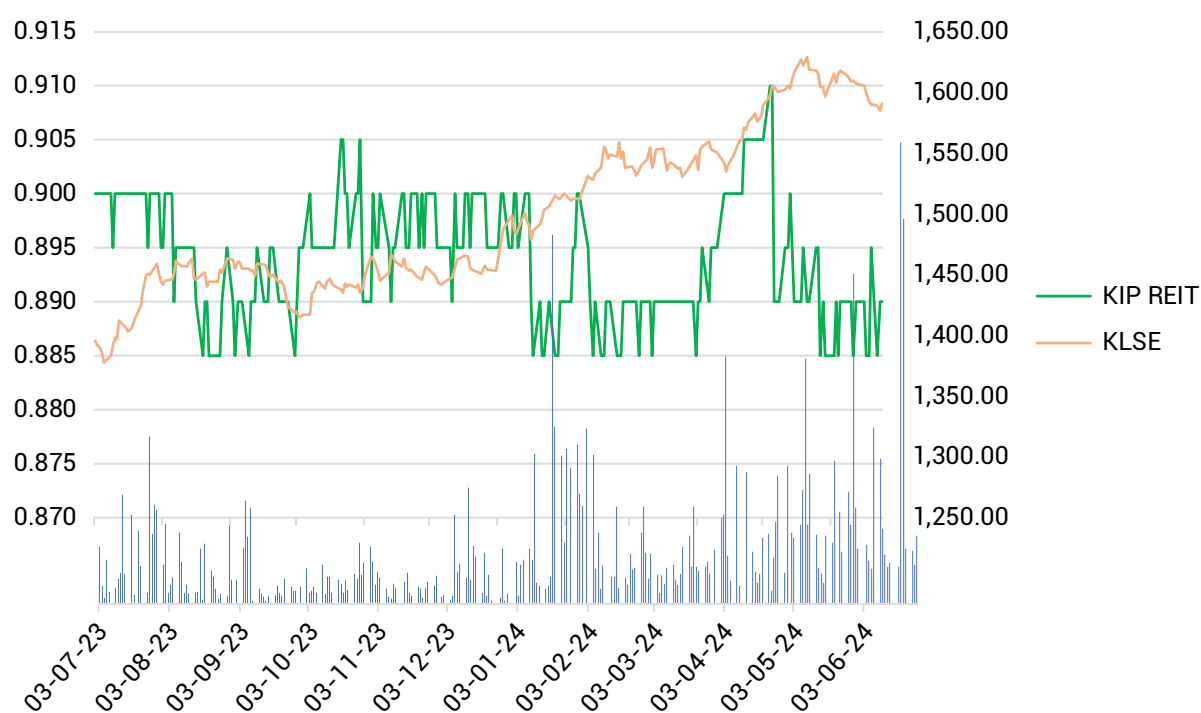
The messaging function on our company's website at <https://www.kipreit.com.my/contact/> and the email of IR Team (info@kipreit.com.my) provides an avenue for inquiries and encourage interactions with unitholders and/or other stakeholders. The IR Team will then address the queries/concerns accordingly.

INVESTOR RELATIONS AND CORPORATE COMMUNICATIONS (CONT'D)

Trading Performance

	FYE 2020	FYE 2021	FYE 2022	FYE 2023	FYE 2024
Share Price as at 30 June (RM)	0.795	0.845	0.890	0.900	0.895
Highest Traded Share Price (RM)	0.910	0.910	0.920	0.920	0.910
Lowest Traded Share Price (RM)	0.600	0.790	0.820	0.880	0.885
NAV per Unit after income distribution (RM)	1.009	1.016	1.097	1.088	1.095
Total Trading Volume ('000)	61,167	52,697	132,604	113,146	132,672
Market Capitalisation ('000)	401,714	426,979	449,717	545,724	553,674
Total Units ('000)	505,300	505,300	505,300	606,360	618,630

KIP REIT's Share Price Performance against KLCI Performance



BOARD OF DIRECTORS' PROFILES



DATUK DR SYED HUSSAIN BIN SYED HUSMAN, P.J.N. JP

*Chairman/Senior Independent Non-Executive Director
Male, Malaysian, 67*

Datuk Dr Syed Hussain bin Syed Husman, P.J.N. JP was appointed to the Board as a Senior Independent Non-Executive Director on 20 April 2016. He is the Chairman of the Board and is also a member of the Audit and Risk Management Committee ("ARMC"), Nomination Committee ("NC") and Remuneration Committee ("RC").

He graduated with a Master in Business Administration ("MBA") from Western Illinois University, United States of America ("USA"). He then further pursued the Doctorate of Philosophy in Labour Relations from London, United Kingdom and also the Doctorate in Business Administration from Asia e University, Malaysia. In 2002, he attended the Senior Management Development Programme at Harvard Business School, USA.

Over the years, he has established extensive leadership experience in the field of human resources. He had held prominent roles in Procter & Gamble Malaysia and Singapore, Rothmans of Pall Mall (Malaysia) Berhad, British American Tobacco Berhad, Ramunia Holdings Bhd and Petrofield (M) Sdn Bhd.

Since 2011, Datuk Dr Syed Hussain holds the position of Executive Director and Chief Executive Officer ("CEO") in SVTT Resources Sdn Bhd. He is also an Independent Non-Executive Director of Can-One Berhad. He is also currently serving as the President of the Malaysian Employers Federation and a member of the Board of the Employees Provident Fund as an Employers' Representative. Additionally, he is also appointed to the Ahli Majlis Negara Bagi Keselamatan dan Kesihatan Pekerjaan (MNKKP), the Advisory Council of Malaysian Society for Occupational Health and Safety (MSOSH), National Wages Consultative Council, Ahli Majlis Penasihat Buruh Kebangsaan (NLAC), Ahli Majlis Pekerjaan Negara (MPV), Ahli Majlis TVET Negara (MTVET), council member of the Malaysian Qualifications Agency (MQA) under the Ministry of Higher Education and also a governing board member of the International Labour Organisation.

Datuk Dr Syed Hussain does not have any family relationships with any Director and/or major unitholder of KIP REIT. He has attended four (4) out of five (5) Board meetings held during the financial year ended 30 June 2024 ("FYE 2024").

BOARD OF DIRECTORS' PROFILES (CONT'D)



DATO' ONG KOOK LIONG

Managing Director

Male, Malaysian, 64

Dato' Ong Kook Liong was appointed to the Board as an Executive Director on 18 December 2015 and was subsequently redesignated as the Managing Director on 18 August 2022. He is the Chairman of the Investment Steering Committee ("ISC").

Dato' Ong is currently a CMSL holder under the Capital Markets and Services Act 2007. He has developed vast experience in sales and marketing of properties, property investment and hospitality over twenty (20) years. He started his career path in 1989 as a Sales Executive in MBf Property Services Sdn Bhd. He then joined Tanco Properties Sdn Bhd as a Sales Manager in 1991. From 1993 to 1997, he was appointed as an Executive Director of property development in Meda group of companies where he was involved in the completion of the Summit Square, Summit Parade, Summit City and Plaza Bukit Mertajam.

Since 1997, Dato' Ong has co-founded KIP Group of Companies and assumed the role of Executive Director. He is responsible for the development of all KIPMalls including construction and conceptualisation of the retail strategy. Under his stewardship, he has successfully led the KIP Group of Companies to the completion of several residential, commercial, hospitality and retail projects.

Dato' Ong is a major unitholder of KIP REIT, a major shareholder of the Manager and the father of Ms. Ong Pui Shan, the Executive Director cum CEO of KIP REIT. He does not hold directorships in any other public company and listed issuer. He has attended all five (5) Board meetings held during FYE 2024.

BOARD OF DIRECTORS' PROFILES (CONT'D)



MS. ONG PUI SHAN

Executive Director cum CEO

Female, Malaysian, 36

Ms. Ong Pui Shan was appointed to the Board as a Non-Independent Non-Executive Director on 30 November 2018 and was subsequently redesignated as an Executive Director on 18 August 2022 and appointed as the CEO on 5 April 2023. She is the Chairman of the Sustainability Steering Committee, namely Chief Sustainability Officer ("CSO"), and also the Chief Investment Officer ("CIO") of the ISC.

She holds a Bachelor of Arts from the University of Melbourne and graduated with a Master of Science in Marketing from the University of West of England. In 2011, she joined Summit Holidays as a Marketing and Branding Manager. In the subsequent year, she left Summit Holidays and joined KIP Group of Companies. She was appointed as the Group CEO of KIP Group of Companies in 2017 and is responsible to execute business strategies and oversee the overall development, operational and financial performance of the KIP Group of Companies which is involved in property development, shopping mall management and hospitality.

On the group level, she directs the company's goals and vision, partnering with high-level officers to grow and strengthen the company's position in the industry and to ensure its sustainability. On the management level, she works with all divisions' heads and closely monitors the progress of development, operational and financial performance. She also liaises with the Chief Financial Officer in the preparation of annual budgets, complete risk analysis on potential investments, and advises the Board with regard to investment risk and return.

Ms. Ong Pui Shan is the daughter of Dato' Ong Kook Liong, the Managing Director of KIP REIT. She does not hold directorships in any other public company and listed issuer. She has attended all five (5) Board meetings held during FYE 2024.

BOARD OF DIRECTORS' PROFILES (CONT'D)



MS. ONG TZU CHUEN

Executive Director

Female, Malaysian, 41

Ms. Ong Tzu Chuen was appointed to the Board as an Executive Director on 18 August 2022. She is the Deputy Chairman of the ISC.

She graduated with a Bachelor of Commerce (Accounting) from Macquarie University, Australia. She is a member of the Certified Practising Accountant ("CPA"), Australia since 2004 and a member of the Malaysian Institute of Accountants ("MIA") since 2020.

In 2003, she began her career as a Junior Accountant in Sydney, Australia. She then returned to Malaysia and joined Hextar group of companies holding various finance and management positions. She has accumulated corporate management experiences for more than ten (10) years including identifying, evaluating and developing investment opportunities as well as directing the set-up and expansion of various companies across many industries in South East Asia.

Currently, she is also a Non-Independent Non-Executive Director of Hextar Industries Berhad. She is the sister of Dato' Ong Choo Meng, a major unitholder of KIP REIT. She has attended all five (5) Board meetings held during FYE 2024.

BOARD OF DIRECTORS' PROFILES (CONT'D)



DATUK MOHAMED ARSAD BIN SEHAN

Independent Non-Executive Director

Male, Malaysian, 71

Datuk Mohamed Arsad bin Sehan was appointed to the Board as an Independent Non-Executive Director on 20 April 2016. He is the Chairman of the NC and also a member of the ARMC and RC.

He holds a Bachelor of Economics (Statistics) from the University of Malaya. He has had a distinguished career in the banking sector for 31 years with Bank Bumiputera Malaysia Berhad and Bank Kerjasama Rakyat Malaysia Berhad ("Bank Rakyat"). During his tenure in Bank Rakyat, he held various senior management positions including that of General Manager of Commercial Banking, Assistant General Manager of Banking Operations, Sector Head of Financing and Division Head of Planning and Development and Corporate Services.

He also served as the Managing Director and CEO of a private limited company for seven (7) years in dealing in the manufacture and supply of standby power systems on secondment from Bank Rakyat. After his retirement from Bank Rakyat, he then held the positions of Managing Director and Executive Director in PureCircle Sdn Bhd, a wholly owned subsidiary of PureCircle Limited for eight (8) years.

He is currently an Independent Non-Executive Director of Inari Amertron Berhad and Insas Berhad. He does not have any family relationships with any Director and/or major unitholder of KIP REIT. Datuk Mohamed Arsad has attended all five (5) Board meetings held during FYE 2024.

BOARD OF DIRECTORS' PROFILES (CONT'D)



MR. CHIAM TAU MENG

Independent Non-Executive Director

Male, Malaysian, 71

Mr. Chiam Tau Meng was appointed to the Board as an Independent Non-Executive Director on 15 April 2019. He is the Chairman of the ARMC and RC and a member of the NC.

He graduated with a Bachelor of Commerce Degree majoring in Accountancy from the University of Otago, Dunedin, New Zealand. He is currently an Associate Chartered Accountant with the Chartered Accountants Australia and New Zealand, and a Chartered Accountant with the MIA.

Following his graduation in 1977, Mr. Chiam started his career as a Corporate Accountant in Tolley Industries Ltd in New Zealand. In 1979, he returned to Malaysia and joined Malaysian Containers Bhd as a Finance Manager cum Company Secretary until 1984. Subsequently, he joined Menang Corporation (M) Bhd as the General Manager of Corporate Services. He then left Menang Corporation (M) Bhd and joined Bee Hin Holdings Sdn Bhd as a General Manager of Corporate Finance in 1989. Subsequent in 1993, he was appointed as a Director in BDO Binder Management Consultants Sdn Bhd until 1994 where he incorporated CTM Consulting as a Principal, a position he holds until today.

Mr. Chiam is also an Independent Non-Executive Director of Tri-Mode System (M) Berhad. He does not have any family relationships with any Director and/or major unitholder of KIP REIT. He has attended all five (5) Board meetings held during FYE 2024.

Notes: -

Saved as disclosed above, none of the Directors: -

- (a) has conflict of interest or potential conflict of interest with the Company and its subsidiary including any interest in any competing business with the Company.
- (b) has been convicted of any offence in the past five (5) years other than traffic offences, if any.
- (c) was publicly sanctioned or imposed with penalty by the regulatory bodies during FYE 2024.

MANAGEMENT TEAM PROFILES



DATO' ONG KOOK LIONG*

Managing Director



MS. ONG PUI SHAN*

Executive Director cum CEO



MS. ONG TZU CHUEN*

Executive Director

* For more information, please refer to the Board of Directors' Profiles section.

MANAGEMENT TEAM PROFILES (CONT'D)



MS. LIM BOON BOON

Chief Financial Officer

Female, Malaysian, 45

Ms. Lim Boon Boon was appointed as Chief Financial Officer of KIP REIT on 13 June 2024. She is currently a Chartered Accountant with the MIA and holds a fellowship with the Associate of Chartered Certified Accountants ("ACCA").

Ms. Lim began her career with Ernst and Young, Shanghai as an Audit Manager for approximately four (4) years before she joined Kencana Petroleum Berhad as Finance Manager from 2009 to 2013. In 2014, she became the AVP Performance Reporting, Tax and Capital Management of AXA Affin General Insurance Malaysia Berhad and then joined as the Head of Finance MY and Head of Finance Ops, Asia of QBE Insurance Malaysia Berhad in 2018. Before she joined KIP REIT, she assumed the role of Group Financial Controller in Fuse Group which is responsible for overseeing all aspects of financial management and reporting across operations in multiple Southeast Asian countries.



MR. SEAN LIM SENG YEOW

Senior Manager, Business Development

Male, Malaysian, 40

Mr. Sean Lim Seng Yeow holds the position of Senior Manager in Business Development department of KIP REIT since 2 January 2024.

After he graduated from Imperial College with a Diploma in Construction Management, he began his career with KIP Group of Companies as a Sales and Marketing Executive and was then promoted to Sales and Marketing Manager. He masterminded the sales and marketing strategies for a range of high-profile projects for eight (8) years. In 2013, he started his own business as a real estate negotiator specialising in project sales and land/building deals and successfully completed several landmark transactions throughout the years. After partnered with TNO Molecq Development Sdn Bhd in 2018, his first project was a huge success by achieving a gross development value of approximately RM48.0 million.

MANAGEMENT TEAM PROFILES (CONT'D)



MR. NORTHON LEE TZE SIANG

Legal & Compliance Manager

Male, Malaysian, 37

Mr. Northon Lee Tze Siang was appointed as Legal Manager in KIP REIT on 29 September 2023.

He graduated from University of London with a Bachelor of Laws degree and was called to the Malaysian Bar in December 2015. He began his career in Messrs. Philip Ting & Kwan as a Legal Associate handling the mergers and acquisitions, private equity, venture capital and corporate restructuring matters. Subsequently, he joined GHIL Systems Berhad as the Assistant Manager of Legal, Compliance and Sustainability handling commercial contracts, acquisitions, litigations, trademarks, compliance, third party audit and sustainability matters before joining KIP REIT.



MS. LINDA YAU OI KAM

Group Human Resource Manager

Female, Malaysian, 57

Ms. Linda Yau Oi Kam was appointed as the Group Human Resource ("HR") Manager on 1 November 2022.

She graduated from Stamford College Malaysia with a Diploma in Executive Secretaryship. She also holds a Diploma in Human Resource Management from the University of Newcastle, Australia.

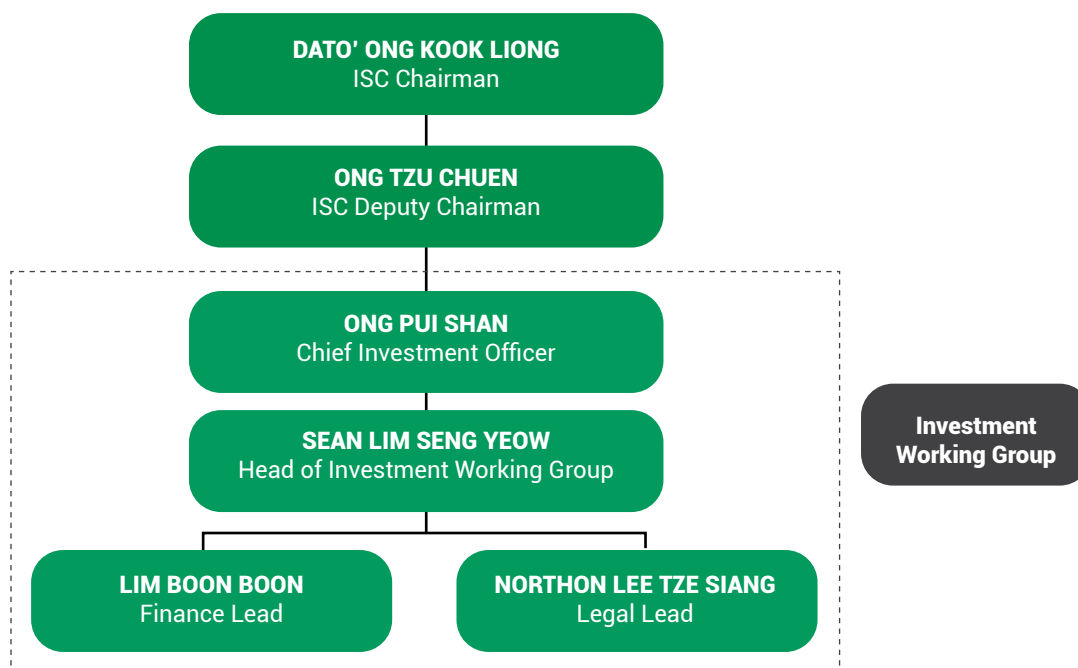
Ms. Linda has more than 20 years' experience in human resources with comprehensive expertise in HR management. Prior to joining KIP REIT, she held the position of Head of HR at several other private organisations, such as Meda Group and Binanamik Group. She has also served in the HR department of KIP private group, including its hospitality division. In the capacity of Group HR Manager of KIP REIT, she manages the full spectrum of HR and office administration functions at KIP REIT, encompassing talent acquisition and recruitment, employee relation, performance management, HR policy and compliance, learning and development and employee welfare and compensation. She also oversees the HR for KIP Property Services Sdn Bhd, the service provider of KIP REIT, by collaborating closely with their HR team on all HR related matters.

Notes: -

Save as disclosed above, none of the Senior Management: -

- (a) has conflict of interest or potential conflict of interest with the Company and its subsidiary including any interest in any competing business with the Company.
- (b) has been convicted of any offence in the past five (5) years other than traffic offences, if any.
- (c) was publicly sanctioned or imposed with penalty by the regulatory bodies during FYE 2024.

INVESTMENT STEERING COMMITTEE PROFILES



The Manager is committed to increasing the overall income and value of the investment properties through the implementation of active asset management and enhancement strategy, acquisition growth strategy, capital and risk management strategy and return of investment. To provide unitholders with regular and stable returns, the ISC is responsible for the operation and administration of investment, acquisition and divestment in KIP REIT, and has managerial control over the investment processes and procedures. The ISC conducts assessments of investment proposals using a set of prescribed criteria and reports directly to the Board with comprehensive recommendation, including the rationale for or against the investment and key considerations, for approval or rejection.

As of 30 June 2024, ISC is made up of six (6) members, comprising three (3) Executive Directors and three (3) Senior Management. During the financial year under review, there were a total of twelve (12) ISC meetings held and the attendance records are as follows:-

Members of ISC	Position in ISC	Date of Appointment to ISC	Meetings Attendance
Dato' Ong Kook Liong	ISC Chairman	18 August 2022	12/12
Ms. Ong Tzu Chuen	ISC Deputy Chairman	18 August 2022	12/12
Ms. Ong Pui Shan	Chief Investment Officer	18 August 2022	12/12
Mr. Sean Lim Seng Yeow	Head of Investment Working Group	25 March 2024	3/3
Ms. Lim Boon Boon	Finance Lead	28 June 2024	1/1
Mr. Northon Lee Tze Siang	Legal Lead	24 October 2023	9/9

The profiles of ISC members are set out in the Board of Directors' Profiles or Management Team Profiles in this Annual Report. None of the ISC members has conflict of interest or potential conflict of interest, including any interest in any competing business with KIP REIT and has been convicted of any offence within the past five (5) years and has been imposed any penalty by the relevant regulatory bodies during the FYE 2024.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

The Board acknowledges the importance of adopting good corporate governance in KIP REIT as a fundamental part of discharging its duties to protect and enhance unitholders' value and stakeholders' interest. The Board is fully committed to maintaining effective corporate governance practices as recommended in the Malaysian Code on Corporate Governance ("MCCG").

As part of this commitment, the Board is pleased to present this Corporate Governance Overview Statement ("CG Statement"), which provides a concise overview of the application of the following three (3) key corporate governance principles set out in the MCCG throughout the Group during FYE 2024:-

Principle A - Board Leadership and Effectiveness;
Principle B - Effective Audit and Risk Management; and
Principle C - Integrity in Corporate Reporting and Meaningful Relationship with Stakeholders.

This CG Statement is prepared pursuant to Paragraph 15.25(1) of the MMLR of Bursa Securities with guidance from Practice Note 9 of the MMLR of Bursa Securities.

The Manager

KIP REIT is constituted by the Deeds entered into between the Manager and the Trustee. In accordance with these Deeds, the Manager is entrusted to manage KIP REIT with due care and diligence to safeguard the best interests of the unitholders. The Manager holds a valid Capital Markets Services License ("CMSL") licensed by the Securities Commission Malaysia ("SC") to perform such management activities. The Trustee, on the other hand, is tasked with the responsibility to oversee such management on behalf of unitholders.

The Manager is primarily responsible to carry out all necessary activities related to the management of KIP REIT and its assets. This includes executing measures aligned with the strategic direction set by the Board and implementing KIP REIT's investment strategy. Key management activities encompass various areas such as formulating overall strategy, managing risks, carrying out acquisitions and disposals activities, developing business plans as well as monitoring its performance against market performance.

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS

PART I: BOARD RESPONSIBILITIES

1 Board Stewardship

The Board assumes full responsibility for the overall performance of KIP REIT and provides guidance in achieving its corporate goals and objectives by providing advice and direction to the Management as well as setting corporate strategies for growth and new business development. The Board is guided by the prevailing legal and regulatory requirements such as the Companies Act 2016, MMLR of Bursa Securities and MCCG as well as the Manager's Constitution and Board Charter in discharging its fiduciary duties and responsibilities.

To enhance the Board's efficiency and effectiveness, the Board has delegated certain responsibilities and authorities to three (3) Board Committees, namely the ARMC, NC and RC. These Board Committees operate within their respective clearly defined Terms of Reference. These Terms of Reference of each Board Committees are available on KIP REIT's website at www.kipreit.com.my/corporate-governance-and-policies.

The Board is chaired by Datuk Dr Syed Hussain bin Syed Husman, P.J.N.J.P, a Senior Independent Non-Executive Chairman. The Board Chairman is responsible for instilling good corporate governance practices, providing leadership to the Board and overseeing the overall effectiveness of the Board. The Board Chairman also plays an active role in facilitating Board meetings, ensuring every Director has the chance to engage in discussions and that all agenda items are comprehensively addressed. Under his leadership, the Board has set KIP REIT's vision, mission and core values by taking into consideration the interests of unitholders and stakeholders.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART I: BOARD RESPONSIBILITIES (CONT'D)

1 Board Stewardship (Cont'd)

In line with Practice 1.3 of MCCG, the position of Board Chairman and CEO are held by two (2) different individuals and each has a clear division of responsibilities to ensure there is a balance of power and authority to promote the Board's impartial oversight over management and accountability. Datuk Dr Syed Hussain bin Syed Husman, PJN. JP, as the Board Chairman, is primarily responsible to provide leadership to the Board and to ensure the implementation of robust corporate governance standards within the Manager. On the other hand, Ms. Ong Pui Shan, the Executive Director cum CEO, is responsible for the implementation of strategic plans into daily operations so as to oversee the day-to-day operational management. This segregation of roles of the Board Chairman and CEO are clearly defined in the Board Charter to ensure no one has unfettered powers of decision-making. The Board Charter is available on KIP REIT's website at www.kipreit.com.my/corporate-governance-and-policies.

Currently, the Board Chairman is also a member of the ARMC, NC and RC. Despite deviating from Practice 1.4 of the MCCG, this does not compromise the Board Chairman's objectivity when deliberating on the findings and recommendations reported by the Board Committees. This is because all Independent Non-Executive Directors collectively discuss meeting affairs as a team during the respective Board Committees' meetings. Additionally, the Board Chairman does not engage in KIP REIT's managerial and operational affairs.

To ensure optimal Board attendance, the meetings of the Board and Board Committee are scheduled in advance, allowing Directors ample time to reserve the dates and coordinate their schedule. Notices, agendas and meeting papers containing the relevant reports for each meeting are circulated seven (7) days in advance to provide the Directors with sufficient time for thorough review, thoughtful consideration of agenda items, and when necessary, to obtain additional information from the Management for informed decision-making during the meetings. In addition, the Board have unrestricted access to all information concerning KIP REIT's business and affairs, along with the advice and services of the Management, Company Secretary, External Auditors and Internal Auditor in a timely manner to facilitate their decision-making process.

The Board is satisfied with the effort and time commitment of the Directors in attending the Board meetings held throughout the FYE 2024. During the financial year under review, there were a total of five (5) Board meetings held and the attendance records are as follows:-

Director	Designation	Meetings Attendance
Datuk Dr Syed Hussain bin Syed Husman, PJN. JP	Senior Independent Non-Executive Chairman	4/5
Dato' Ong Kook Liong	Managing Director	5/5
Ms. Ong Pui Shan	Executive Director cum CEO	5/5
Ms. Ong Tzu Chuen	Executive Director	5/5
Datuk Mohamed Arsad bin Sehan	Independent Non-Executive Director	5/5
Mr. Chiam Tau Meng	Independent Non-Executive Director	5/5

All Directors have attended more than 50% of Board meetings held during FYE 2024, being the minimum requirement as stipulated under Paragraph 15.05(3)(c) of the MMLR of Bursa Securities.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART I: BOARD RESPONSIBILITIES (CONT'D)

1 Board Stewardship (Cont'd)

The Board is supported by one (1) qualified and competent Company Secretary, Ms. Foo Siew Loon. She is qualified under Section 235(2)(a) of the Companies Act 2016 and a member of the Malaysian Institute of Chartered Secretaries and Administrators (MAICSA). The Company Secretary assists the Board by advising on matters related to the Company's administration, governance and meeting procedures as well as regulatory compliance with all applicable legal and corporate governance standards. The Company Secretary attended all Board and Board Committee meetings to record the deliberations, discussions and decisions made during the meetings. The meeting minutes will be circulated to the Board and/or Board Committees for review and will be tabled for confirmation at the subsequent meeting.

To enhance the efficiency in carrying out her responsibilities, the Company Secretary has and will continue to consistently stay informed about the latest regulatory and corporate governance developments through continuous training and industry updates. The Board is satisfied with the performance and competency of the Company Secretary in discharging her duties and supporting the Board during the FYE 2024.

2 Board Charter

The Board has adopted a Board Charter outlining several key areas such as board composition, roles and responsibilities of the Board, segregation of duties between the Board Chairman and CEO, appointment and re-election of Directors, annual performance evaluation and etc. The Board Charter was last updated on 20 October 2021 and will be reviewed by the Board as and when required to ensure it is updated in accordance with current legal requirements and to reaffirm its relevance in terms of objectives and responsibilities. The Board Charter is publicly available on KIP REIT's website at www.kipreit.com.my/corporate-governance-and-policies.

3 Ethical Business Conduct and Robust Corporate Culture

The Board is committed to foster good business conduct and nurture a robust corporate culture with integrity, transparency and fairness. In this regard, the Manager has formalised a Directors' Code of Conduct ("Code") which covers the ethical guidelines on the standards of behaviour expected from all Directors in handling KIP REIT's information, assets and interactions with third parties in the daily operations. The Directors are committed to upholding standards of integrity, transparency, fairness, responsibility, excellence, commitment, dedication, diligence and professionalism, and contributing to the social and environmental development of the communities in which they operate.

In addition, the Manager has also in place an Anti-Bribery and Corruption Policy ("ABC Policy") as part of the Anti-Bribery Management System ("ABMS") and aligned with ISO 37001:2016 requirements. The adoption of ABC Policy is also in line with the enforcement of Section 17A of the Malaysian Anti-Corruption Commission Act 2009 (Amendment 2018), demonstrating a zero-tolerance against any form of bribery and corruption by providing principles and guidance to address potential bribery and corruption activities in the event of occurrence.

To support the implementation of the Code and ABC Policy, the Manager has also established a Whistleblowing Policy to provide a secure channel for individuals with genuine concerns to raise concerns and report on any illegal, unethical or improper conducts without the fear of retaliation. The report can be made to the Compliance Officer or the Chairman of ARMC by sending a formal letter to the Manager's address or via email at whistleblower@kipreit.com.my. For FYE 2024, the Board is pleased to inform that the Manager has not received any report made by any whistleblower in relation to any breach of policies, laws or regulations.

Pursuant to Paragraph 15.01A of the MMLR of Bursa Securities, the Board has in place a Fit and Proper Policy to ensure that the Board is equipped with individuals of high calibre who possess the right character, experience, expertise, integrity, track record and qualifications. The Board, assisted by the NC, shall assess the candidates seeking for appointment or re-election based on the Fit and Proper Policy.

The Code, ABC Policy, Whistleblowing Policy and Fit and Proper Policy are publicly available on KIP REIT's website at www.kipreit.com.my/corporate-governance-and-policies.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART I: BOARD RESPONSIBILITIES (CONT'D)

4 Sustainability Management

The Board acknowledges the importance of sustainable business practices in generating long term value and enhancing business resilience. In this regard, the Board is responsible for overseeing KIP REIT's sustainability management as well as reviewing and approving strategic initiatives aligned with sustainability principles, covering economic, environment and social considerations.

The Manager instituted a three-tier sustainability governance structure where the Board holds ultimate responsibility of steering KIP REIT's sustainability direction. The Board is supported by the Sustainability Steering Committee ("SSC") for the effective execution of sustainability initiatives in the Group's daily business operations. SSC is led by the Chief Sustainability Officer and consists of several heads of department of the Manager.

Materiality assessment is conducted through a 4-step process, i.e., identify, prioritise, analyse and validate, to identify and evaluate the material sustainability risks and opportunities which are most relevant to KIP REIT's and its stakeholders. During the FYE 2024, the Board has identified, assessed and prioritised the material sustainability matters within the following four (4) sustainability pillars and also formulating sustainability strategies in line with the United Nations Sustainable Development Goals ("UN SDGs"):-

- Forecasting Economic Expansion
- Cultivating Ethical Practices
- Transforming into Low Carbon Assets
- Nurturing Talent and Community Engagement

In addition, the Board recognises the needs for regular stakeholders' engagement in shaping sustainable strategies and priorities. These engagements enable KIP REIT's to have better understanding on the needs and expectations of stakeholders, thereby improving its sustainability.

To stay informed with the latest sustainability trend and business environment, the Directors have attended sustainability-related trainings. A comprehensive list of Directors' training is available in Section 5 of this CG Statement. The Board is updated by the ARMC on KIP REIT's risk management and internal control system, which also involves the relevant sustainability risks. The Directors are also updated with the latest sustainability issues and trends through the Management. Recognising the ongoing need for assessment in the dynamic business environment, the Board has incorporated sustainability-related criteria into the Board evaluation for FYE 2024.

For more information regarding KIP REIT's sustainability principles, strategies and other relevant matters, please refer to the Sustainability Statement in this Annual Report.

PART II: BOARD COMPOSITION

5 Board Diversity and Objectivity

Currently, the Board comprises six (6) Directors, including three (3) Independent Non-Executive Directors, one (1) Managing Director and two (2) Executive Directors, as follows: -

Director	Designation
Datuk Dr Syed Hussain bin Syed Husman, PJN. JP	Senior Independent Non-Executive Chairman
Dato' Ong Kook Liong	Managing Director
Ms. Ong Pui Shan	Executive Director cum CEO
Ms. Ong Tzu Chuen	Executive Director
Datuk Mohamed Arsad bin Sehan	Independent Non-Executive Director
Mr. Chiam Tau Meng	Independent Non-Executive Director

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART II: BOARD COMPOSITION (CONT'D)

5 Board Diversity and Objectivity (Cont'd)

The current board composition fulfils the prescribed requirement of one-third (1/3) of the Board to be independent as stated under Paragraph 15.02 of MMLR. In addition, the Manager also complies with Practice 5.2 of MCCG to have at least half of the Board comprises Independent Non-Executive Directors to ensure an objective and independent decision-making process at the Board level.

On 28 December 2023, the Board has formalised and adopted a Diversity Policy for Board and Senior Management which has set the target of having at least 30% women representation on the Board and at least 20% women representation in Senior Management. The Board currently has two (2) women Directors, constituting 33.3% female Board representation, which exceeds the 30% women directors' recommendation as outlined in the Practice 5.9 of MCCG. The Diversity Policy is publicly available on the Company's website at www.kipreit.com.my/corporate-governance-and-policies.

The Board members have diverse backgrounds and experiences in various fields. Collectively, the Directors bring a wide range of skills, expertise, experience and knowledge to manage the Group's businesses. Details of each Director are set out in the Board of Directors' Profiles in this Annual Report.

To better uphold the independency of the Board, the tenure of an Independent Director should not exceed a cumulative period of nine (9) years and this term has been clearly stated in the Board Charter. In the event the Board intends to retain an Independent Director who has served for more than nine (9) years, the Board should justify and seek annual unitholders' approval through a two-tier voting process as recommended by Practice 5.3 of MCCG. Currently, none of the Independent Non-Executive Directors has served on the Board for more than nine (9) years.

The NC is entrusted to review the structure, size and composition of the Board as well as to make necessary recommendations to the Board to enhance Board effectiveness and ensure regulatory compliance. To ensure the objectivity of review and recommendation, the NC is solely made up by Independent Non-Executive Directors as follows:-

Position	Director	Directorship
Chairman	Datuk Mohamed Arsad bin Sehan	Independent Non-Executive Director
Member	Datuk Dr Syed Hussain bin Syed Husman, PJN. JP	Senior Independent Non-Executive Chairman
Member	Mr. Chiam Tau Meng	Independent Non-Executive Director

Throughout the FYE 2024, the NC has conducted four (4) meetings and fulfilled its duties and responsibilities through the following activities:-

- Assessed the composition and performance of the Board and Board Committees;
- Reviewed the performance and contribution of each individual Director;
- Reviewed the tenure of each Director and recommended the relevant re-election to the Board in accordance with the annual re-election provisions to seek the Manager's approval;
- Reviewed the term of office of ARMC;
- Reviewed the succession planning policy and its revision, and recommended the same for the Board's approval;
- Considered the re-designation of Mr. Northon Lee Tze Siang from Legal Manager to Legal & Compliance Manager and recommended the same for the Board's approval;
- Reviewed the job description of Ms. Ong Tzu Chuen as Executive Director; and
- Discussed on the revised performance evaluation forms.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART II: BOARD COMPOSITION (CONT'D)

5 Board Diversity and Objectivity (Cont'd)

While the Board is responsible for the appointment of new Directors of the Company, the NC is delegated with the role of screening and conducting an initial selection before making a recommendation to the Board for approval. Fit and Proper Policy serves as a guide to the NC and the Board by outlining the fit and proper criteria of a Director for their review and assessment of candidates for appointment onto the Board as well as Directors who are seeking re-election. Such policy focuses on several key factors, including character and integrity, experience and competence, as well as time and commitment. The Board and NC will utilise independent sources to identify suitably qualified candidates for appointment onto the Board, when necessary.

The Fit and Proper Policy is also applicable for the annual review of Board composition and tenure of Directors. For the FYE 2024, the NC is satisfied that the current Board composition is effective in view of its right mix of skills, expertise and relevant business acumens. Pursuant to the annual re-election provisions, Datuk Mohamed Arsad bin Sehan and Ms. Ong Pui Shan shall retire from office this financial year and, being eligible, they have offered themselves for re-election. The NC has reviewed and recommended such re-election to the Board with the following justifications: -

- **Datuk Mohamed Arsad bin Sehan**, as an Independent Non-Executive Director, enriches board discussions with his impartial voice and dedicates sufficient time and effort in his capacity as an independent director. He has engaged with the Management in an effective and constructive manner, providing a check and balance, while contributing to the Board's deliberations with impartial and objective judgement; and
- **Ms. Ong Pui Shan**, being the Executive Director cum CEO, possesses the suitable qualifications and experience to manage KIP REIT's portfolio. Throughout the FYE 2024, she contributes positively to the overall performance of KIP REIT as well as actively participated in the Board's deliberation.

In order to remain competitive, the Board ensures that the Directors continue to enhance their skills and stay up to-date with latest regulations, best practices, financial reporting obligations and other issues through active participation in industry seminars and training programmes. All Directors have attended the Mandatory Accreditation Programme prescribed by MMLR of Bursa Securities and the Directors are committed to the continuous improvement of knowledge and skill sets. Continuous development aims to bolster their decision-making capabilities and enhance the overall effectiveness of the Board.

During FYE 2024, the Directors have attended the following training programmes:-

Director	Training Programmes Attended	Date
Datuk Dr Syed Hussain bin Syed Husman, PJN. JP	• Mandatory Accreditation Programme Part II: Leading for Impact	7 - 10/8/2023
	• National Conference 2023 – Enriching Lives Through Human Development	6 - 7/9/2023
	• EPF Strategy Meeting 2023	18 - 19/9/2023
	• Board & Leadership Talk Series	29/9/2023
	• The Future of Work MEF Industrial Relations Conference	22 - 23/11/2023
	• Kian Joo & Box-Pak Budget 2024 Seminar	7/12/2023
Dato' Ong Kook Liong	• KSY775: ESG and Sustainability – Green Finance and Green Economics	17/11/2023
	• KSY773: ESG, Green Banking and Wealth Management	28/11/2023
	• Mandatory Accreditation Programme Part II: Leading for Impact	12 - 13/6/2023

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART II: BOARD COMPOSITION (CONT'D)

5 Board Diversity and Objectivity (Cont'd)

During FYE 2024, the Directors have attended the following training programmes:- (Cont'd)

Director	Training Programmes Attended	Date
Ms. Ong Pui Shan	- The Cooler Earth Sustainability Summit 2023 - Management of Cyber Risk - MFT778: Driving Growth and Value Creation through Effective ESG Strategies - Mandatory Accreditation Programme Part II: Leading for Impact	19/9/2023 25/10/2023 18/4/2024 12 - 13/6/2023
Ms. Ong Tzu Chuen	- Corporate Liability Section 17A of the Malaysian Anti-Corruption Commission (MACC) Act - E-Invoice Training Workshop - A Basic Introduction to Directorship by Inspiration Training - Mandatory Accreditation Programme Part II: Leading for Impact	27/11/2023 4/5/2024 6/6/2024 12 - 13/6/2023
Mr. Chiam Tau Meng	- Update on ACE Market Listing Requirements – Enhanced Sustainability Disclosures - Management of Cyber Risk	22/8/2023 25/10/2023
Datuk Mohamed Arsad bin Sehan	- Assessment of the Board, Board Committees and Individual Directors - Mandatory Accreditation Programme Part II: Leading for Impact	7/11/2023 24 - 25/6/2024

6 Board Effectiveness

To assess the effectiveness of the Board as a whole, Board Committees, and the contribution of each Director, an internally facilitated Board assessment was conducted during the FYE 2024. The evaluation involved self-assessments, where the Directors evaluated themselves, the Board as a whole and the performance of each Board Committee. The assessment criteria encompassed various factors, including fit and proper evaluation, contribution and performance as well as calibre and personality.

The assessment also considered the independence of an Independent Director, considering their relationship with KIP REIT and any involvement of significant transaction with the Group. This ensures that the Independent Non-Executive Directors remain independent of management and free from any business or other relationship that could compromise their ability to exercise their independence and business judgement in best interests of KIP REIT.

Based on the assessment result for the FYE 2024, the Board, through the NC, is satisfied with the current size and composition of the Board and Board Committees. The composition was deemed to be well balanced, comprising individuals who possess high-calibre attributes, as well as the requisite skills, qualifications, experience and credibility.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE A: BOARD LEADERSHIP AND EFFECTIVENESS (CONT'D)

PART III: REMUNERATION

7 Remuneration Policy

The Board has on 28 December 2023 formalised and established a Remuneration Policy for the Board and Senior Management of KIP REIT. The policy is designed to support the KIP REIT's key strategies by creating strong performance-oriented environment to attract, motivate and/or retain talents of high calibre and to ensure they are fairly rewarded for their contributions.

The remuneration of the Executive Directors and Senior Management of KIP REIT is determined based on, amongst others, their scope of duties, responsibilities, skills and experience, corporate and individual performance as well as prevailing market practice and economic situation. The remuneration package of Non-Executive Directors includes fixed fees and meeting allowances that are appropriately linked to their roles and responsibilities, time commitment and contributions to the Board as well as market norm and practices. The fee shall be fixed in sum and not based on commissions or a percentage of profits or turnover. Each Director shall abstain from the deliberation and voting on matters pertaining to their own remuneration.

The RC assists the Board in assessing the remuneration packages of the Executive Directors and senior management of KIP REIT with a view to ensure that a competitive remuneration package is offered to motivate and retain the right talents as well as reviewing the Directors' fees and benefits. The RC is solely made up by Independent Non-Executive Directors, as below:-

Position	Director	Directorship
Chairman	Mr. Chiam Tau Meng	Independent Non-Executive Director
Member	Datuk Mohamed Arsad bin Sehan	Independent Non-Executive Director
Member	Datuk Dr Syed Hussain bin Syed Husman, PJN. JP	Senior Independent Non-Executive Chairman

Both the Terms of Reference of the RC and Remuneration Policy are available at KIP REIT's website at www.kipreit.com.my/corporate-governance-and-policies for public reference.

8 Remuneration of Directors and Senior Management

The Directors' remuneration is paid by the Manager instead of KIP REIT and is disbursed from the fees generated from the Manager. Due to the unique REIT structure and the Manager being a separate entity from KIP REIT, there is no direct link between the remuneration of management team and the performance of KIP REIT.

The Board acknowledged the recommendation of MCGG to disclose the remuneration of Directors and senior management on a named basis. However, the Board is of the view that the disclosure of individual remuneration information on a named basis may not be in the best interest of the Manager. After due consideration of sensitivity and confidentiality of remuneration details, the Board opted for the disclosure of the remuneration received by the Directors for the FYE 2024 in bands of RM50,000 on an unnamed basis as follows:

Range of Remuneration	Executive Directors	Non-Executive Directors
RM50,001 to RM100,000	-	3
RM350,001 to RM400,000	1	-
RM750,001 to RM800,000	2	-

Note:

- * The remuneration includes salary and other emoluments, bonuses, contributions to the defined contribution plan and social security contributions. Successive bands of RM50,000 are not shown entirely as they are not represented.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE B: EFFECTIVE AUDIT AND RISK MANAGEMENT

PART I: AUDIT COMMITTEE

9 Effectiveness of ARMC

The ARMC is primarily responsible to oversee the financial integrity as well as the overall risk management in KIP REIT. To ensure its independence and effectiveness, the ARMC comprises exclusively Independent Non-Executive Directors, as follows:-

Position	Director	Directorship
Chairman	Mr. Chiam Tau Meng	Independent Non-Executive Director
Member	Datuk Mohamed Arsad bin Sehan	Independent Non-Executive Director
Member	Datuk Dr Syed Hussain bin Syed Husman, PJN. JP	Senior Independent Non-Executive Chairman

In adherence to Practice 9.1 of MCCG, different individuals hold the positions of Board Chairman and Chairman of the ARMC, with Datuk Dr Syed Hussain bin Syed Husman, PJN. JP as Board Chairman and Mr. Chiam Tau Meng as Chairman of the ARMC. This segregation of role reinforces the Board's objectivity and independence in evaluating ARMC findings and recommendations.

The ARMC is chaired by Mr. Chiam Tau Meng, who is an Associate Chartered Accountant with Chartered Accountants Australia and New Zealand, and a Chartered Accountant with the MIA. He has more than 45 years of working experience in finance, accounting and corporate affairs.

While only Mr. Chiam Tau Meng is professionally qualified by accounting bodies, the remaining two (2) ARMC members have built up their accounting and financial knowledge through their experience in the banking and corporate sectors respectively. The ARMC as a whole is financially literate and possesses the necessary skills and knowledge to understand KIP REIT's business and oversee financial reporting and auditing matters. The ARMC also undertakes continuous professional development through continuous professional development and updates by the Management and External Auditors in order to stay abreast with the latest developments in accounting and auditing standards, practices and rules.

To strengthen the independence of the ARMC, the Terms of Reference of ARMC has clearly stated with a provision to require a cooling-off period of at least three (3) years before appointing a former partner from external audit firm as a member of the ARMC. To-date, none of the current ARMC member is a former key audit partner for KIP REIT.

As part of the duties and responsibilities, the ARMC has reviewed the suitability, objectivity, competence and independence of the External Auditors as well as their audit and non-audit services provided for the FYE 2024. To uphold a high level of transparency and independence, the engagement partner responsible for auditing KIP REIT's financial statements is required to be rotated every five (5) years. Hence, before accepting the audit engagement, the ARMC has reviewed the External Auditors' audit plan for the FYE 2024, and has ensured that the independence of the engagement partner is in compliance with the relevant professional and regulatory requirements. As such, the ARMC is satisfied with the suitability and independence of the External Auditors and had recommended the re-appointment of PricewaterhouseCoopers PLT ("PwC") to the Board for approval.

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE B: EFFECTIVE AUDIT AND RISK MANAGEMENT (CONT'D)

PART II: RISK MANAGEMENT AND INTERNAL CONTROL FRAMEWORK

10 Adequate Risk Management and Internal Control Framework

The Board acknowledges its overall responsibility to maintain a robust risk management and internal control system within KIP REIT which encompasses financial, operational, legal and regulatory compliance control to safeguard unitholders' investments and KIP REIT's assets during its course of business. In this aspect, the Board, through the ARMC, has in place an Enterprise Risk Management Framework ("ERM Framework") with reference to ISO 31000:2018, which comprises a comprehensive set of processes to identify, evaluate and manage risks in an effective manner.

Furthermore, the Board has also established several internal controls systems, including Standard Operating Procedures ("SOPs"), Business Continuity Plan ("BCP"), annual budget, five-year strategic plan, ABC Policy and ABMS, in KIP REIT to support the effective functioning of the ERM Framework. The internal control system in place is generally segregated into four (4) major aspects, i.e., operational controls, financial controls, investment controls and compliance controls.

Further details on the current state of risk management and internal control are set out in the Statement on Risk Management and Internal Control in this Annual Report.

11 Internal Audit Function

To assist the Board in reviewing the adequacy and effectiveness of KIP REIT's risk management and internal control system, the Board has outsourced its internal audit function to an independent professional firm, Baker Tilly Monteiro Heng Governance Sdn Bhd ("Internal Auditor"). The Internal Auditor is independent and free from any relationships or conflict of interests, this allows them to perform their internal audit review objectively, impartially, proficiently and with due professional care. The Internal Auditor will conduct internal audit reviews periodically based on the approved internal audit plan, and they will report directly to the ARMC.

The Internal Auditor is led by Mr. Kuan Yew Choong, the Partner of Internal Audit & Risk Advisory of Baker Tilly Malaysia. Mr. Kuan is a Fellow member of the ACCA, a Chartered Accountant with the MIA and a Chartered Member of the Institute of Internal Auditors ("IIA") Malaysia. During FYE 2024, depending on the scope of works, three (3) to four (4) Internal Auditors, including an experienced Team Lead, were assigned to carry out the internal audit engagement. The internal audit reviews were carried out with reference to the International Standards for the Professional Practice of Internal Auditing, which forms part of the International Professional Practices Framework ("IPPF") by the IIA.

During FYE 2024, the Internal Auditor performed internal audit reviews based on the approved internal audit plan. To ensure a smooth conduct of internal audit review, the Internal Auditor is granted comprehensive and unrestricted access to all relevant information and resources which are necessary for the conduct of internal audit engagement. Upon conclusion of audit review, the identified weaknesses along with the proposed corrective actions have been presented to the ARMC. Follow-up review will be conducted by the Internal Auditor to ensure that corrective actions are properly implemented by the Management within the agreed timeframe.

Further information on KIP REIT's internal audit function are provided in the Statement on Risk Management and Internal Control and the ARMC Report in this Annual Report.

PRINCIPLE C: INTEGRITY IN CORPORATE REPORTING AND MEANINGFUL RELATIONSHIP WITH STAKEHOLDERS

PART I: ENGAGEMENT WITH STAKEHOLDERS

12 Stakeholders Communication

The Board recognises the importance of establishing transparent, regular and efficient communication with the stakeholders is essential to reach a mutual understanding of respective objectives and expectations. During FYE 2024, the Manager has leveraged on the following communication channels and platforms to disseminate meaningful information on a timely basis:-

- (i) Corporate website at www.kipreit.com.my;
- (ii) Investor relations;
- (iii) Meetings and discussions with fund managers and financial analysts for equity research coverage;
- (iv) Quarterly financial results and annual report;
- (v) Corporate announcements made to Bursa Securities; and
- (vi) AGM and Unitholders' Meeting ("UM").

CORPORATE GOVERNANCE OVERVIEW STATEMENT (CONT'D)

PRINCIPLE C: INTEGRITY IN CORPORATE REPORTING AND MEANINGFUL RELATIONSHIP WITH STAKEHOLDERS

PART I: ENGAGEMENT WITH STAKEHOLDERS (CONT'D)

12 Stakeholders Communication (Cont'd)

General public may also reach out to the Manager through the "Send Us a Message" section on our website at www.kipreit.com.my/contact/ to send enquiries, suggest improvements or lodge complaints.

Through these communication channels, the Board is able to actively engage stakeholders in an effective, transparent and regular manner for their well-informed investment decisions. In any circumstances, whilst the Manager is committed to publishing as much information as possible, it is also mindful of the legal and regulatory requirements governing the release of material and price-sensitive information.

PART II: CONDUCT OF GENERAL MEETINGS

13 Meaningful General Meetings

The Board acknowledges the significance of AGM as a crucial platform for engaging with the unitholders. It serves as the primary forum for dialogue and interaction, allowing unitholders to address and clarify any concerns while gaining deeper insights into business and corporate developments of KIP REIT.

Adhering to Practice 13.1 of MCCG, the notice and agenda of the Seventh (7th) AGM held on 4 October 2023 together with the proxy form are issued and circulated to unitholders at least twenty-eight (28) days before the scheduled AGM. This gives unitholders sufficient time to prepare themselves to attend the 7th AGM or to appoint a proxy to attend and vote on their behalf as well as to consider the proposed resolutions to be discussed at the meeting. Additionally, each item of special businesses in the notice of AGM and UM was accompanied by an explanatory statement for the proposed resolutions to facilitate the full understanding and evaluation of the issues involved.

In facilitating greater shareholders' participation at the general meetings, 7th AGM and UM held on 4 October 2023 were conducted on a virtual basis via Remote Participation Electronic Voting ("RPEV") facility provided by Boardroom Share Registrars Sdn Bhd ("Boardroom"). To protect the unitholders' personal data and privacy, the Manager has sought confirmation from Boardroom on its cyber hygiene practices. In this regard, Boardroom's Lumi AGM application's ("Lumi") system and suppliers' services are certified to the ISO/IEC 27001:2013 international standard. In addition, Lumi is hosted on a secured cloud platform and is regularly and extensively conducted with penetration testing by independent and accredited third-party experts. Lumi is also adopting strong and industry best-practice encryption techniques and audit trail to protect customers' data from unauthorised access.

All Directors, including the chairman of each Board Committee, attended the general meetings to effectively address unitholders' questions and concerns. The Board is supported by the External Auditors, the Company Secretary and senior management, who are also present at the general meetings to communicate with the unitholders when needed. The unitholders are given ample time and opportunity to submit questions via the RPEV platform throughout the general meetings. Questions received from unitholders were displayed on screen and made visible to all meeting participants during the general meetings in a comprehensive and transparent manner.

The Manager has appointed independent scrutineer, Sky Corporate Services Sdn Bhd, to verify poll results in both 7th AGM and UM held on 4 October 2023. Upon conclusion of the general meetings, the results of all resolutions proposed at the 7th AGM and UM were subsequently announced to Bursa Securities on the same day respectively.

In line with best practices recommended by the MCCG, the minutes of the 7th AGM and UM were made available on KIP REIT's website at www.kipreit.com.my/annual-general-meeting and <https://www.kipreit.com.my/investor-relations/unitholdersss-meeting/> within thirty (30) business days after the conclusion of the meetings.

COMPLIANCE STATEMENT

Saved as disclosed above, the Board is of the view that the Group has complied with and shall remain committed to attaining the highest possible corporate governance standards through the continuous adoption of the principles and best practices as set out in the MCCG and all other applicable laws, where applicable and appropriate. The Board will continue to improve and advance in corporate governance policies and procedures as necessary.

This CG Statement was reviewed and approved by the Board on 16 August 2024.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

The Board is pleased to present this Statement on Risk Management and Internal Control ("Statement"), which outlines the main features of risk management and internal control system in KIP REIT for the FYE 2024. This Statement is prepared pursuant to Paragraph 15.26(b) of MMLR and Principle B of MCCG, with guidance from the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers issued by Bursa Securities.

BOARD RESPONSIBILITIES

The Board assumes the ultimate responsibility over KIP REIT's overall risk management and internal control system. Guided by the Board Charter, it is responsible to review the adequacy of KIP REIT's internal control framework and to ensure that all identified risks are properly managed in order to safeguard our assets, unitholders' investments and various stakeholders' interests. In this regard, the Board has in place an ongoing review and assessment on KIP REIT's risk management and internal control system with appropriate risk appetite in this evolving business environment.

Whilst the Board takes the oversight responsibility over KIP REIT's risk management and internal control system, it is supported by the ARMC to oversee and monitor the said system on an on-going basis.

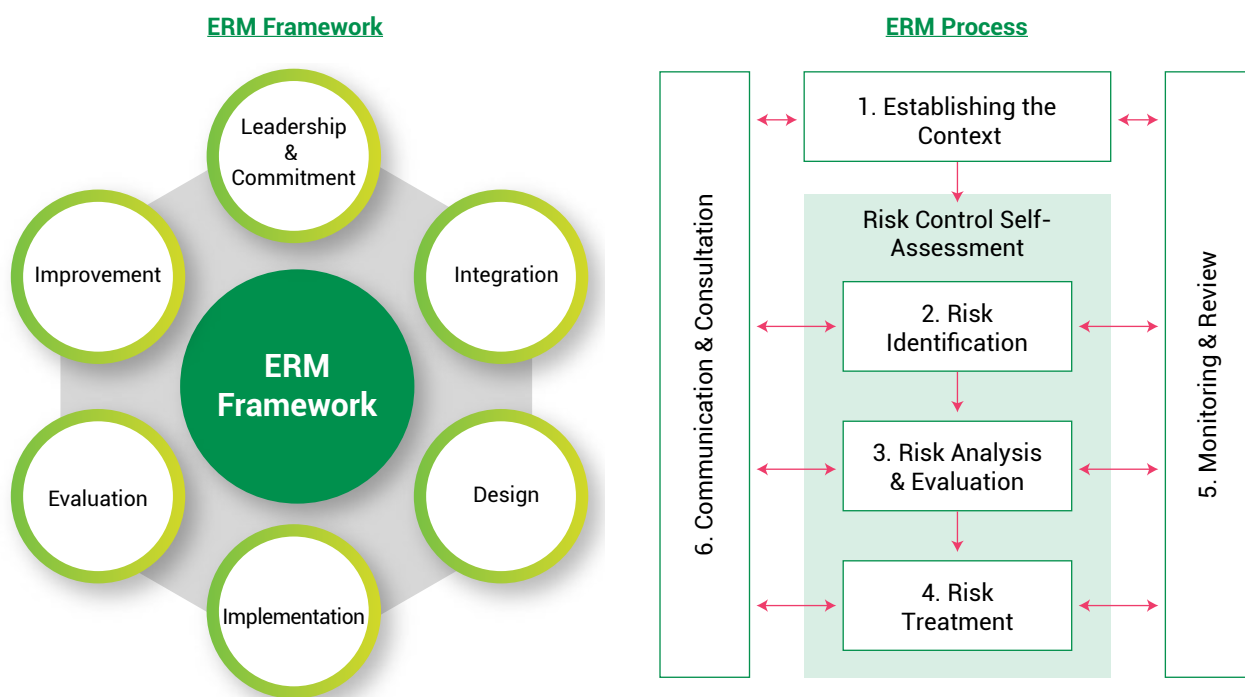
In view of the inherent limitation in any risk management and internal control system, KIP REIT's risk management and internal control system is designed to identify and manage risks within an acceptable level, rather than eliminate them. Thus, it can only provide reasonable but not absolute assurance of its effectiveness against any material financial misstatement, loss, fraud or any unforeseeable events. Nonetheless, the Board, together with the ARMC, is committed to cultivate a sound and resilient culture by maintaining a robust risk management and internal control system within KIP REIT.

MAIN FEATURES OF RISK MANAGEMENT SYSTEM

Risk management plays a pivotal role in today's dynamic business landscape. In this regard, the Board has adopted a robust Enterprise Risk Management ("ERM") system in accordance with ISO 31000:2018, an international risk management framework that provides a set of risk management guidelines and principles from the International Organisation for Standardisation ("ISO").

KIP REIT's Directors and employees are guided by the ERM Standard Operating Manual for the detailed description and procedures of the ERM system. All the risk identified by the ARMC are documented in the Risk Register to facilitate the on-going review with proper mitigation plans to manage the risks to an acceptable level.

The overview of KIP REIT's ERM framework and process are depicted as below:-



STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL (CONT'D)

MAIN FEATURES OF RISK MANAGEMENT SYSTEM (CONT'D)

Both the ERM framework and process are closely associated and interrelated, of which the ERM framework outlines the method adopted by KIP REIT for the integration of ERM within the organisation whereas the ERM process illustrates the overall risk management procedures.

As viewed from the ERM framework, KIP REIT's ERM system is established on the foundation of six (6) key components. Fundamentally, the ERM system relies on the leadership direction and decision-making from the Board and Senior Management. In this regard, the Board is responsible for setting KIP REIT's risk appetite and risk tolerance level by aligning with its risk management objectives. In addition, the Board shall instil the Management's accountability and oversight in the integration of ERM system to ensure its efficiency and effectiveness.

Meanwhile, the remaining four (4) components, i.e. design, implementation, evaluation and improvement, refer to the key elements and procedures in the ERM system to ensure its relevance to KIP REIT's business nature as well as the industry that it operates in.

With the adoption of ERM framework, the Board has developed a six-step ERM process, covering from establishing the context to communication and consultation. At first, the Board together with the ARMC shall establish a common understanding on the basis in which the risk management activities operate in. In this phase, the Board and ARMC shall consider both KIP REIT's internal and external environment in order to determine the strategic and organisational context, risk management context, risk evaluation criteria and stakeholder identification.

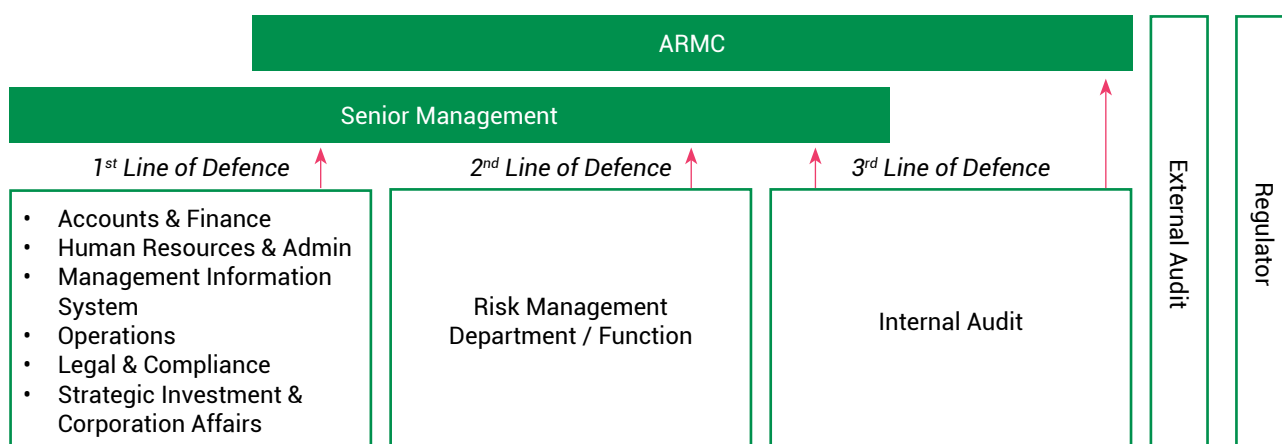
Subsequently, the Board and the ARMC undertakes a set of risk control self-assessment process within the context established earlier. All the potential and current risks related to KIP REIT are firstly identified and documented in the Risk Register and subsequently analysed by their likelihood and impact by aligning the existing control within KIP REIT. Such result is then documented in the Risk Heat Map, Risk Register and Corporate Risk Profile.

In the event if the Board and ARMC think that existing control is inadequate, they will develop the appropriate risk treatment strategy to address the identified risks, which include risk avoidance, risk reduction, risk sharing and risk acceptance. In this process, the Board and ARMC will perform a cost-benefit analysis for selecting the most suitable risk treatment approach to ensure that it brings the expected protection/impact within the desired risk tolerance level.

The Board and ARMC review the Risk Register on a quarterly basis to ensure that the risks identified are current and relevant to the latest business environment and that the risk responses are effective to address the relevant risks within the acceptable risk tolerance level. In this regard, all Head of Departments are required to maintain risk records within their purview and perform regular reporting to the Legal and Compliance Manager, who will in turn report to the ARMC.

Last but not least, the Board and ARMC shall ensure that communication and consultation are present continuously throughout the course of the ERM system. This shall allow all stakeholders to attain a common understanding on KIP REIT's risk management system as well as its overall risk appetite. Where necessary, risk related trainings will be organised to enhance our employees' risk management knowledge and awareness.

ERM Governance Structure



STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL (CONT'D)

MAIN FEATURES OF RISK MANAGEMENT SYSTEM (CONT'D)

In order to ensure the effectiveness of ERM, the Board has in place a comprehensive ERM governance structure to monitor the implementation of ERM system within the organisation. Whilst the Board is supported by the External Auditors and governed by the local regulator, it has also established three (3) lines of defence as shown in the figure above.

The first (1st) line of defence, which is also known as operational management, refers to the controls in place at operational levels where each department/function is responsible to own and manage their respective risks within their purview.

For the second (2nd) line of defence, the risk management department/function is tasked to monitor risk management practices and performance within the organisation. They are also empowered to facilitate the top-down communication of risk information to relevant stakeholders. The Risk Management Working Group, led by CEO, will periodically review the Risk Register and to update the ARMC at the scheduled meetings in the event if there is any emerging risk identified.

The internal audit function serves as our third (3rd) line of defence where it provides independent assurance on the effectiveness of KIP REIT's governance as well as risk management and internal control system which are supported by our 1st and 2nd lines of defence. Internal audit is essential in governing the ERM system as it evaluates and examines the existing controls to identify any internal control deficiencies which require further improvement and enhancement.

Both the Senior Management and ARMC are serving as the governing bodies to oversee KIP REIT's risk management activities. Where Senior Management is entrusted to monitor all three (3) lines of defences while the ARMC is authorised to oversee the internal audit function directly. The ARMC shall also review the adequacy of KIP REIT's risk appetite and tolerance level annually. The Board, who is the highest governing body, remains committed to reviewing KIP REIT's risk management system regularly or as and when necessary.

MAIN FEATURES OF INTERNAL CONTROL SYSTEM

An effective internal control system serves as the backbone of a risk management system. It refers to a set of processes, procedures, and practices designed and implemented to safeguard assets so as to ensure the accuracy of financial reporting as well as compliance with laws, regulations, and internal policies.

In KIP REIT, the Board remains committed to ensuring the effective functioning of internal control system. In this aspect, internal controls are executed by the Management and monitored by the ARMC. In the event if any significant internal control deficiencies are noted, the ARMC shall highlight such matters to the Board.

The key features of KIP REIT's internal control system include:-

Operational Controls

(a) Standard Operating Policies ("SOPs")

To ensure smooth functioning of operations, the Board has established several policies and/or SOPs which serve as the guidance for all employees in relation to the management of KIP REIT's portfolio, as follows:-

1. Sexual Harassment at Workplace Policy
2. KRM Occupational Safety and Health Policy
3. SOP 360D Feedback Review System
4. Payroll Processing Policy
5. Recruitment Policy
6. KRM & KPS Employee Handbook
7. KRM ED and C-Suite Handbook

The Board acknowledges that regular review and improvement on SOPs are necessary to remain current and relevant with the latest business environment which KIP REIT operates in.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL (CONT'D)

MAIN FEATURES OF INTERNAL CONTROL SYSTEM (CONT'D)

Operational Controls (Cont'd)

(b) Business Continuity Plan ("BCP")

On the other hand, the Manager, who is a CMSL holder, is required to maintain a business continuity arrangement for the assurance of timely resumption and continuation of core activities in the event of any operational disruption. In this regard, the Manager has in place a BCP across all KIP REIT's portfolio. In compliance with the Securities Commission Malaysia's Guiding Principles on Business Continuity, the Manager has on 17 May 2024 conducted an annual BCP test and reported such outcome to the Board for review and approval.

Financial Controls

(a) Five-Year Strategic Plan

In the stewardship of KIP REIT, the Manager has maintained a Five-Year Strategic Plan which gives a clear strategic direction in managing its portfolio while taking into the consideration of the changing business landscape. The plan outlines the strategic targets for KIP REIT's growth, both organically by leveraging on its current competitive advantage and inorganically via acquisition opportunities. The Board, through the ARMC, reviewed the realised results of KIP REIT against the targets set in the Five-Year Strategic Plan on a half yearly basis.

(b) Annual Budget

In KIP REIT, annual budget is prepared through a target-setting process conducted by each department with detailed reviews at all operational levels. The Five-Year Strategic Plan is also served as a guide for preparing annual budget. Throughout FYE 2024, the Manager is guided by the annual budget approved by the Board in managing KIP REIT's portfolio and making appropriate decision-making. The Management will report to the Board and ARMC on a quarterly basis the variance between actual financial performance and the approved annual budget during scheduled meetings.

(c) Related Party Transactions ("RPTs")

In every quarter, the ARMC is responsible to review the RPTs entered or to be entered into by KIP REIT. The ARMC shall ensure that all RPTs are conducted at arm's length basis under normal commercial terms with proper disclosure made to Bursa Securities.

During the financial year under review, KIP REIT did not seek any mandate from its unitholders in relation to the approval of Recurrent Related Party Transactions ("RRPT").

Compliance Controls

To foster a bribery-and corruption-free environment, the Board has endorsed the ABC Policy for KIP REIT. As part of the effort to eliminate potential bribery and corruption activities, the Board and ARMC receive the quarterly updates from the Management on the performance of ABMS in KIP REIT. During the financial year under review, no significant issues were reported to the Manager and no sanctions relating to ABMS were reported.

Investment Controls

In the REIT industry, ISC has overall responsibility for the operation and administration of investment, acquisition, and divestment in KIP REIT. ISC is supported by the Investment Working Group, led by the Chief Investment Officer. The ISC conducts assessments of investment proposals using a set of prescribed criteria to ensure alignment with the strategic objectives of KIP REIT and to carry out a comprehensive due diligence process. The findings, outlining the merits and risks of the investment proposals, are reported directly to the Board for consideration and approval.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL (CONT'D)

INTERNAL AUDIT FUNCTION

The Manager outsourced its internal audit function to an independent professional firm, Baker Tilly Monteiro Heng Governance Sdn Bhd ("Internal Auditor") to assist the Board and ARMC in providing independent assessments on the overall adequacy and effectiveness of KIP REIT's internal control system.

The outsourced Internal Auditor is led by Mr. Kuan Yew Choong, the Partner of Internal Audit & Risk Advisory of Baker Tilly Malaysia. Mr. Kuan is a Fellow member of the ACCA, a Chartered Accountant with the MIA and a Chartered Member of the IIA. Depending on the scope of works, three (3) to four (4) Internal Auditor personnel, including an experienced Team Lead, were assigned to carry out the internal audit engagement during the FYE 2024 based on the approved internal audit plan. To support the internal audit function, interviews with Management and access to internal documents were made available to the Internal Auditor during the audit process.

Based on the approved internal audit plan, the Internal Auditor has conducted four (4) internal audit reviews and four (4) follow-up reviews in the following operational areas during FYE 2024:-

Internal Audit Coverage Area	Internal Audit Cycle
Investment Management	Quarter 1, FYE 2024
Legal and Compliance Management	
Follow-up Review on previous pending issues as per Internal Audit Follow-Up Reports issued for the financial years ended 30 June 2021, 30 June 2022 and 30 June 2023	
Follow-up Review on Business Continuity Management Plans and General IT and Application Controls	
Mall Operation – Billing and Credit Control Management	Quarter 3, FYE 2024
Mall Operation – Leasing & Tenant Management	
Follow-up Review on Investment Management and Legal and Compliance Management	
Follow-up Review on previous pending issues as per Follow-Up Audit Report issued in January 2024	

Upon conclusion of audit engagement, the Internal Auditor reports directly to the ARMC by presenting the audit findings together with the corresponding proposed corrective actions at the scheduled ARMC meetings. To ensure that the findings highlighted are properly addressed, the Internal Auditor also conducts follow-up review on the previous audit findings and reports to the ARMC until the corrective actions are fully implemented.

Based on the internal audit review carried out during FYE 2024, the Board, through the ARMC, is satisfied that there were no significant weaknesses identified that would result in material losses, contingencies, or uncertainties requiring separate disclosure in this Annual Report.

The cost incurred by the Manager for the outsourced internal audit function for the FYE 2024 amounted to RM88,000.

MANAGEMENT'S ASSURANCE

The Board has satisfactorily received reasonable assurance from the Executive Director and CEO, representing the Management, that KIP REIT's risk management and internal control system has been operating adequately and effectively in all material aspects for the financial year under review and up to the date of approval of this Statement, based on the adopted risk management and internal controls by the Manager.

During the financial year under review, no significant internal control deficiencies or material weaknesses resulting in material losses, contingencies or uncertainties would require separate disclosure in this Annual Report. The Board is of the view that the existing system is satisfactory and adequate to safeguard our unitholders' investments, stakeholders' interests and KIP REIT's assets.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL (CONT'D)

REVIEW OF THIS STATEMENT BY THE EXTERNAL AUDITORS

Pursuant to Paragraph 15.23 of the MMLR of Bursa Securities, the External Auditors have reviewed this Statement. The External Auditors' review was performed in accordance with the Audit and Assurance Practice Guide 3 issued by the MIA. Audit and Assurance Practice Guide 3 does not require the External Auditors to consider whether this statement covers all risks and controls or to form an opinion on the adequacy and effectiveness of the Group's risk management and internal control system.

Based on the procedures performed, the External Auditors have reported to the Board that nothing has come to their attention that cause them to believe that this statement included in this Annual Report, in all material respects, has not been prepared in accordance with the disclosures required by paragraphs 41 and 42 of the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers, nor factually inaccurate.

This Statement was reviewed and approved by the Board on 16 August 2024.

AUDIT AND RISK MANAGEMENT COMMITTEE REPORT

In compliance with the Paragraph 15.15(1) of the MMLR of Bursa Securities, the Board is pleased to present this Audit and Risk Management Committee Report which provides insights as to the manner the ARMC discharged its responsibilities in KIP REIT during FYE 2024.

COMPOSITION AND MEETINGS

The ARMC is entrusted to support the Board in discharging its statutory duties and responsibilities pertaining to the scope of financial reporting, risk management and internal controls, external and internal audit function, related party transactions as well as the ABMS.

Currently, the composition of the ARMC is as follows:-

Membership	Name	Directorship	Meeting Attendance
Chairman	Mr. Chiam Tau Meng	Independent Non-Executive Director	4/4
Member	Datuk Mohamed Arsad bin Sehan	Independent Non-Executive Director	4/4
Member	Datuk Dr Syed Hussain bin Syed Husman, PJN.JP	Senior Independent Non-Executive Chairman	4/4

In compliance with Paragraph 15.09(1) of the MMLR of Bursa Securities, the ARMC comprises three (3) Independent Non-Executive Directors and led by Mr. Chiam Tau Meng. Mr. Chiam is currently an Associate Chartered Accountant with Chartered Accountants Australia and New Zealand, and a Chartered Accountant with the MIA. To advocate the best practice as per MCCG, none of the members of the ARMC was previously a partner in PwC, the External Auditors of KIP REIT, nor do they have any financial interest in PwC in the previous three (3) years.

To ensure an effective discharge of responsibilities, the ARMC is guided by its Term of Reference, outlining the relevant meeting proceedings, objective, authority as well as functions and duties. The Terms of Reference is published on KIP REIT's website at www.kipreit.com.my/corporate-governance-and-policies.

The ARMC is required to meet at least four (4) times in each financial year. Ms. Tan Jo Lynn, our former Financial Controller, attended all ARMC meetings during the FYE 2024 to facilitate direct communication in the meetings by providing clarification and further information on operations, financials and audit related matters. When necessary, other Board members, designated representatives from the Senior Management, External Auditors and Internal Auditor may also attend the ARMC meetings on the invitation by the ARMC.

Company Secretary ensures that meeting agenda and materials were distributed to the ARMC members seven (7) days prior to the scheduled meeting to ensure that all the ARMC members have sufficient time to peruse the relevant matters to facilitate their deliberation and decision-making process during the meetings. During FYE 2024, the Company Secretary also attended all ARMC meetings to record the proceedings of each meeting and tabled the meeting minutes at the subsequent ARMC meeting for confirmation, which then be presented to the Board for notation.

AUDIT AND RISK MANAGEMENT COMMITTEE REPORT (CONT'D)

SUMMARY OF ACTIVITIES OF THE ARMC

In line with the Terms of Reference, the ARMC has discharged its responsibilities by carrying out the following key activities during the FYE 2024:-

(A) Financial Reporting

- (i) In accordance with KIP REIT's Finance Department Policy, ensured that the following processes and controls are in place for an effective financial reporting function: -
 - Verification and approval of financial transactions in accordance with prescribed authority matrix;
 - Execution of proper month end closing according to the stipulated checklist and timeline;
 - Preparation and review of annual budget and cash flow projection within the stipulated timeframe; and
 - Consultations from Company Secretary and External Auditors to ensure the compliance with the MMLR and relevant disclosure requirements.
- (ii) Reviewed and deliberated on the unaudited quarterly financial results and annual audited financial statements and recommended the same to the Board for consideration and approval. Both unaudited quarterly financial results and annual audited financial statements were made in compliance with the Deeds, REIT Guidelines, applicable Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards ("IFRS"), the provisions of the Companies Act 2016 and MMLR;
- (iii) Reviewed key audit matters highlighted by External Auditors with regards to the financial statements;
- (iv) Discussed with both the Management and the External Auditors the accounting policy, principles and standards applied as well as their judgement of the items that may affect the financial statements as well as issues arising from the statutory audit;
- (v) Reviewed the proposed income distribution together with the solvency test of KIP REIT and recommended the same for the Board's approval; and
- (vi) Reviewed the three (3) months rolling forecast, gap between targets and realised results of five-year strategic plan and annual budget for the financial year ending 30 June 2025, and recommended to the Board for notation and/or approval.

(B) External Audit

- (i) Reviewed the audit plan for FYE 2024 presented by the External Auditors, detailing the areas of technology integrated audit approach, audit scope, potential key audit matters, target audit timeline, audit procedures and proposed audit fee prior to the commencement of audit and recommended the same for the Board's approval;
- (ii) Deliberated with the External Auditors to understand and consider the audit findings and significant accounting adjustments, as well as the judgements and accounting estimates which had been reviewed and evaluated by the External Auditors;
- (iii) Conducted two (2) private meetings with the External Auditors on 24 July 2023 and 23 April 2024 respectively, without the presence of Executive Directors and Management, to discuss audit procedures and key audit issues in an objective manner; and
- (iv) Evaluated the suitability, independence and performance of External Auditors, by taking the considerations of qualifications, experience, objectivity, competency, resources and reliability as well as provision of non-audit services, and recommended to the Board for their re-appointment.

AUDIT AND RISK MANAGEMENT COMMITTEE REPORT (CONT'D)

SUMMARY OF ACTIVITIES OF THE ARMC (CONT'D)

(C) Internal Audit

- (i) Reviewed and approved internal audit plan presented by the outsourced Internal Auditor, outlining the proposed audit scope, areas, objective, timeline, key risk and fees;
- (ii) Reviewed and deliberated on the internal audit reports, covering the audit findings, key risks, proposed recommendations for improvements as well as the Management's responses for action plan to be taken and target implementation timeframe;
- (iii) Monitored the outcome of the follow-up status on the previous audit findings presented by the outsourced Internal Auditor to ascertain the extent to which agreed action plans have been implemented by the Management;
- (iv) Conducted one (1) private session with the outsourced Internal Auditor on 23 April 2024, without the presence of Executive Directors and Management, to discuss over the internal audit procedures in an objective manner; and
- (v) Evaluated the performance and effectiveness of the internal audit function and satisfied with the competence and independence of the outsourced Internal Auditor in performing their scope of duties in FYE 2024.

(D) Risk Management and Internal Control

- (i) Reviewed KIP REIT's Risk Register and deliberated on the meetings minutes of the Risk Management Working Group together with the corresponding Risk Management Report on a quarterly basis;
- (ii) Reviewed the performance of the ABMS on a quarterly basis; and
- (iii) Evaluated the effectiveness of KIP REIT's risk management procedures by the Risk Management Working Group for the FYE 2024, covering the consideration of risk appetite, risk profile and risk management framework.

(E) RPT and Conflict of Interest

- (i) Reviewed the RPT entered or to be entered into by KIP REIT on a quarterly basis and assessed any potential conflict of interest situations that may arise in KIP REIT.

During FYE 2024, the ARMC has ensured that all RPT transactions were conducted on an arm's length basis and on normal business terms with adequate disclosure to Bursa Securities.

- (ii) Reviewed the Conflict of Interest Policy and recommended to the Board for approval and adoption.

(F) Annual Report

- (i) Reviewed the Audit and Risk Management Committee Report and Statement on Risk Management and Internal Control, and recommended to the Board for approval and inclusion in the Annual Report 2023.

AUDIT AND RISK MANAGEMENT COMMITTEE REPORT (CONT'D)

INTERNAL AUDIT FUNCTION

The Manager considers the internal audit function as an integral and important part of KIP REIT's governance process and has outsourced its internal audit function to an independent professional firm, Baker Tilly Monteiro Heng Governance Sdn Bhd. This arrangement shall ensure an effective review on KIP REIT's internal control system in an independent and objective manner. The Internal Auditor is free from any relationships or conflicts of interest which could impair their objectivity and independence.

During FYE 2024, the Internal Auditor has executed four (4) internal audit reviews and four (4) follow-up reviews in the following areas: -

Internal Audit Review Area	Coverage Period
Investment Management	Quarter 1, FYE 2024
Legal and Compliance Management	
Follow-up Review on previous pending issues as per Internal Audit Follow-Up Reports issued for the financial years ended 30 June 2021, 30 June 2022 and 30 June 2023	
Follow-up Review on Business Continuity Management Plans and General IT and Application Controls	
Mall Operation – Billing and Credit Control Management	Quarter 3, FYE 2024
Mall Operation – Leasing & Tenant Management	
Follow-up Review on Investment Management and Legal and Compliance Management	
Follow-up Review on previous pending issues as per Follow-Up Audit Report issued in January 2024	

In an effort to uphold the highest level of integrity, the Internal Auditor is authorised to report directly to the ARMC. During the FYE 2024, the Internal Auditor performed the audit review with reference to the International Standards for the Professional Practice of Internal Auditing, which forms part of the IPPF by the IIA. Depending on the scope of works, three (3) to four (4) Internal Auditor personnel, including an experienced Team Lead, will usually be assigned to carry out the internal audit work.

The Internal Auditor then presented the audit findings and the corresponding proposed recommendations to the ARMC in the scheduled meetings for their review and deliberation. The Internal Auditor also reported the status of the follow-up reviews on the previous audit performed to assist the ARMC in monitoring the implementation of corrective actions within the target timeframe by the Management. This shall ensure an on-going assessment and monitoring on KIP REIT's risk management and internal control system.

The total professional fee incurred on the internal audit function for the FYE 2024 amounted to RM88,000 (FYE 2023: RM78,000).

This Audit and Risk Management Committee Report was approved by the Board on 16 August 2024.

SUSTAINABILITY STATEMENT



BUILDING A SUSTAINABLE FUTURE: OUR COMMITMENT AND PROGRESS

ABOUT OUR STATEMENT

GRI2-1, 2-2, 2-3, 2-6

Guided by our vision to be a leading Real Estate Investment Trust ("REIT") with sustainability and community engagement at the forefront of our investment strategies, KIP REIT Management Sdn Bhd, being the management company for and on behalf of KIP REIT ("Manager") is proud to present our Sustainability Statement ("Sustainability Statement") for the financial year ended 30 June 2024 ("FY2024"). Documenting the ESG performance and achievements of our operations as a REIT, this Sustainability Statement serves as a practical tool for stakeholders to track our ESG progress. It offers a transparent overview of our management approach towards our sustainability priorities and goals and demonstrates our efforts to embed value creation within our business model to produce long-term, sustainable outcomes. To ensure quality disclosures, we are guided by local and international guidelines and reporting framework.

Reporting Period

This Sustainability Statement covers from 1 July 2023 to 30 June 2024 unless specified otherwise. Our Sustainability Statement is issued on an annual basis and our last Sustainability Statement was published in August 2023.

SUSTAINABILITY STATEMENT (CONT'D)

Statement of Assurance

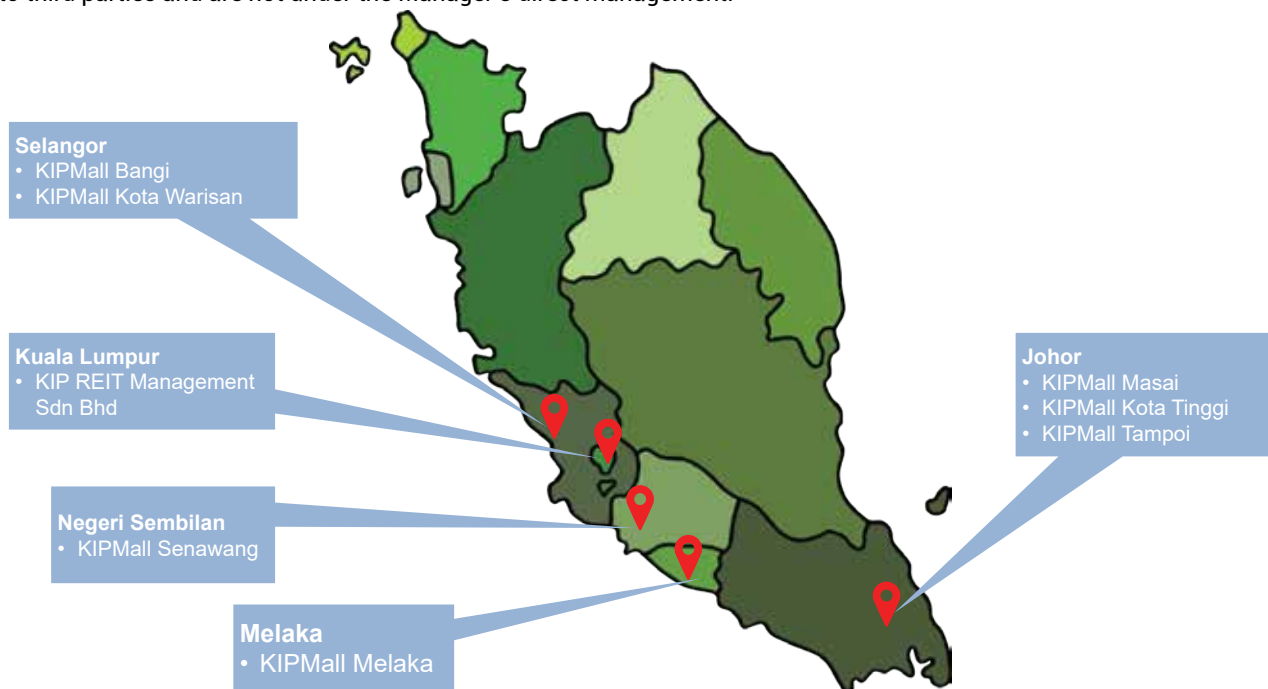
To strengthen the credibility of this Sustainability Statement, KIP REIT engaged Baker Tilly Monteiro Heng Governance Sdn Bhd ("BTMHG") to conduct an internal audit review of KIP REIT's Sustainability Statement ("Internal Audit Review").

Approval for this Internal Audit Review was obtained from the senior management and Board of Directors of the Manager as well as the REIT Trustee. The Internal Audit Review covers all matters detailed in the Sustainability Statement, including data disclosed for both the Manager and KIP Property Services Sdn Bhd ("Service Provider"). The Service Provider delivers mall management services to Henry Butcher Malaysia (Mont Kiara) Sdn Bhd, which KIP REIT has appointed as the property manager for FY2024 ("Property Manager"). BTMHG's Internal Audit Review Statement can be found on page 172.

Reporting Scope and Boundary

This Sustainability Statement primarily focuses on our operations at the Manager's headquarter in Kuala Lumpur and seven (7) community-centric neighbourhood malls situated throughout Malaysia, which make up KIP REIT's retail portfolio. When we mention KIP REIT's employees, we are referring to the staff of both the Manager and the Service Provider.

This Sustainability Statement does not include information about our industrial properties or AEON Mall Kinta City, except for business performance disclosure. As of this Sustainability Statement's publication, these properties are under lease to third parties and are not under the Manager's direct management.



The Year in Review – Our Sustainability Progress

Acknowledging the swift changes in the real estate landscape, we have prioritised climate change awareness and sustainability concerns in our business strategy. To solidify our commitment, we have implemented a Sustainability Policy that ensures effective corporate governance and establish a foundation for integrating environmental, social and governance ("ESG") principles throughout our operations.

During this fiscal year, we conducted a comprehensive reassessment of the fifteen (15) material sustainability matters we had previously identified. This evaluation process was crucial in progressing our sustainability efforts, as it enhanced our insight into the key material matters that align with our commitments and development goals.

SUSTAINABILITY STATEMENT (CONT'D)

Feedback

We value your input as it plays a crucial role in enhancing our sustainability practices and reporting methods. Your feedback ensures our future reports remain relevant and impactful. We encourage you to share your thoughts, questions or comments regarding our Sustainability Statement, initiatives and performance.

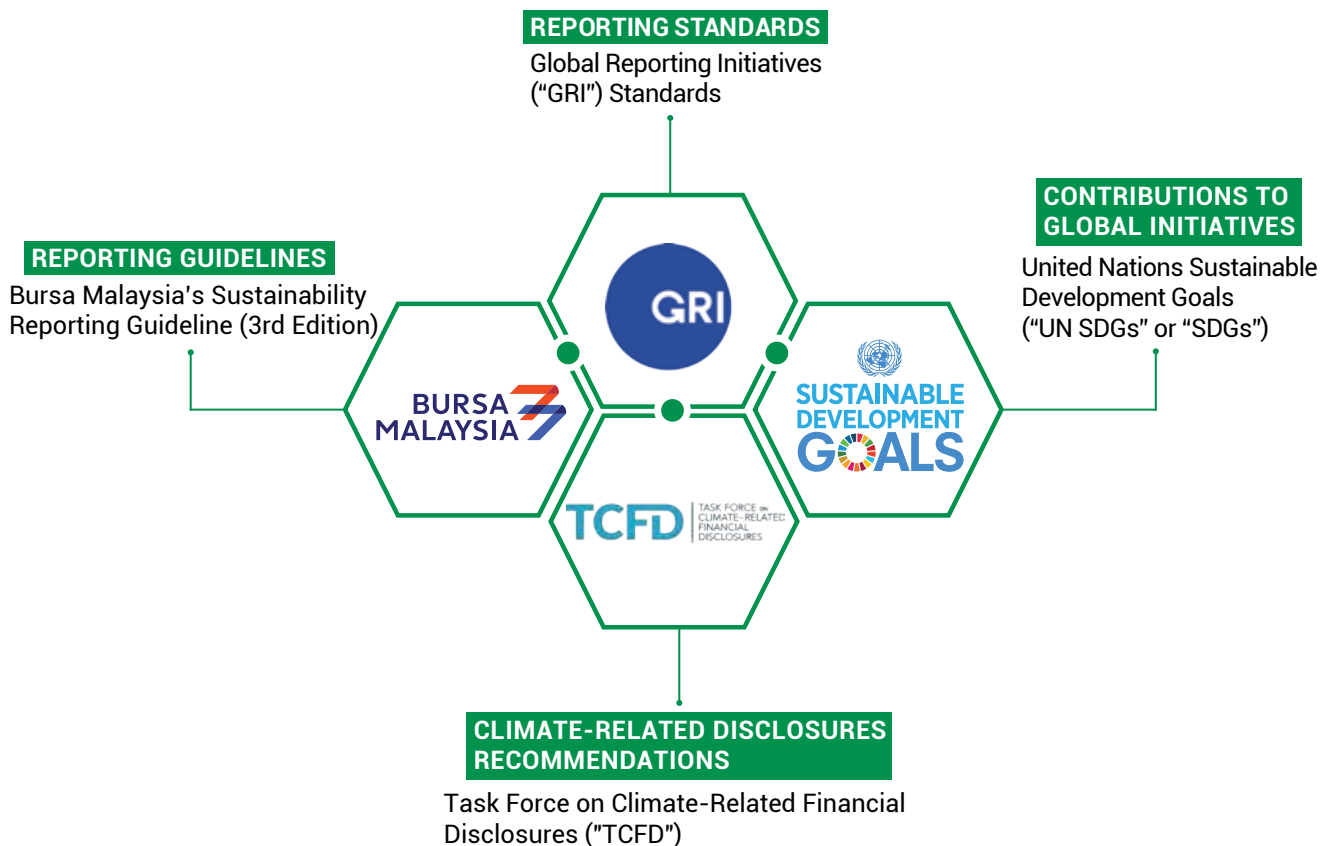
To engage with our sustainability team, reach out to us through these avenues:

KIP REIT Management Sdn Bhd
info@kipreit.com.my
+603 6259 1133

We are committed to engaging with our stakeholders and look forward to your valuable input.

Reporting Framework

This Sustainability Statement and its contents were prepared in accordance with Bursa Malaysia's Main Market Listing Requirements and the Sustainability Reporting Guide (3rd edition). We incorporated elements of the Task Force on Climate-related Financial Disclosures ("TCFD") recommendations to provide meaningful climate-related financial disclosures. Additionally, we used the FTSE4Good Index as a benchmark and referenced both the Global Reporting Initiative ("GRI") Standards and the United Nations Sustainable Development Goals ("UN SDGs" or "SDGs"). These frameworks were utilised to showcase our commitments to delivering comprehensive and reliable ESG disclosures, as well as to ensure year-on-year comparability of our sustainability performance.



SUSTAINABILITY STATEMENT (CONT'D)

CEO LETTER TO STAKEHOLDER

GRI2-22



Dear Stakeholders,

As we navigate the complexities of the modern business landscape, our commitment to Environmental, Social, and Governance ("ESG") principles remains steadfast. Integrating sustainability into our business practices and risk management is essential for our long-term success and for creating a sustainable future.

Our Commitment

In 2024, we advanced our sustainability strategy, focusing on four key pillars related to KIP REIT. We are dedicated to reducing our environmental footprint through energy efficiency, waste reduction, and sustainable resource management. This year, we implemented new initiatives to decrease carbon emissions and enhance the use of renewable energy sources.

Our people are our greatest asset. We have invested in initiatives to support their well-being and development, foster diversity and inclusion, and strengthen community engagement. This includes increasing training hours for staff, promoting learning and skill development, and enhancing compliance measures across our business.

We strive for the highest standards of corporate governance and ethical business conduct, including rigorous risk management practices and transparent reporting to ensure accountability to our stakeholders. Our robust processes reaffirm our commitment to business excellence. We are focused on creating long-term economic value for our stakeholders while ensuring that our business practices contribute positively to the broader economy. This involves sustainable investment practices and responsible growth strategies.

Valerie Ong Pui Shan

Chief Executive Officer of KIP REIT

SUSTAINABILITY STATEMENT (CONT'D)

Aligning with Global Standards

We have aligned our material matters with the United Nations Sustainable Development Goals ("UN SDGs"), Bursa Malaysia's Reporting Guide, the Global Reporting Initiative ("GRI"), and the Task Force on Climate-related Financial Disclosures ("TCFD"). This alignment maximizes our impact on a global scale and ensures that our efforts are measured and reported according to the highest international standards.

Progress and Achievements in 2024

In 2024, we made significant strides. Upgrading our facilities with energy-efficient technologies resulted in a substantial reduction in energy consumption and greenhouse gas emissions. Our social initiatives expanded, providing greater support to local communities through various programmes and partnerships. We strengthened our governance framework, ensuring greater transparency and accountability in our operations. Our investment portfolio increasingly reflects our commitment to sustainability, focusing on projects and companies that adhere to ESG principles. We significantly increased training hours for our staff, enhancing their skills and fostering continuous learning and development. Additionally, we strengthened compliance measures across our business, ensuring adherence to legal and ethical standards.

Looking Ahead

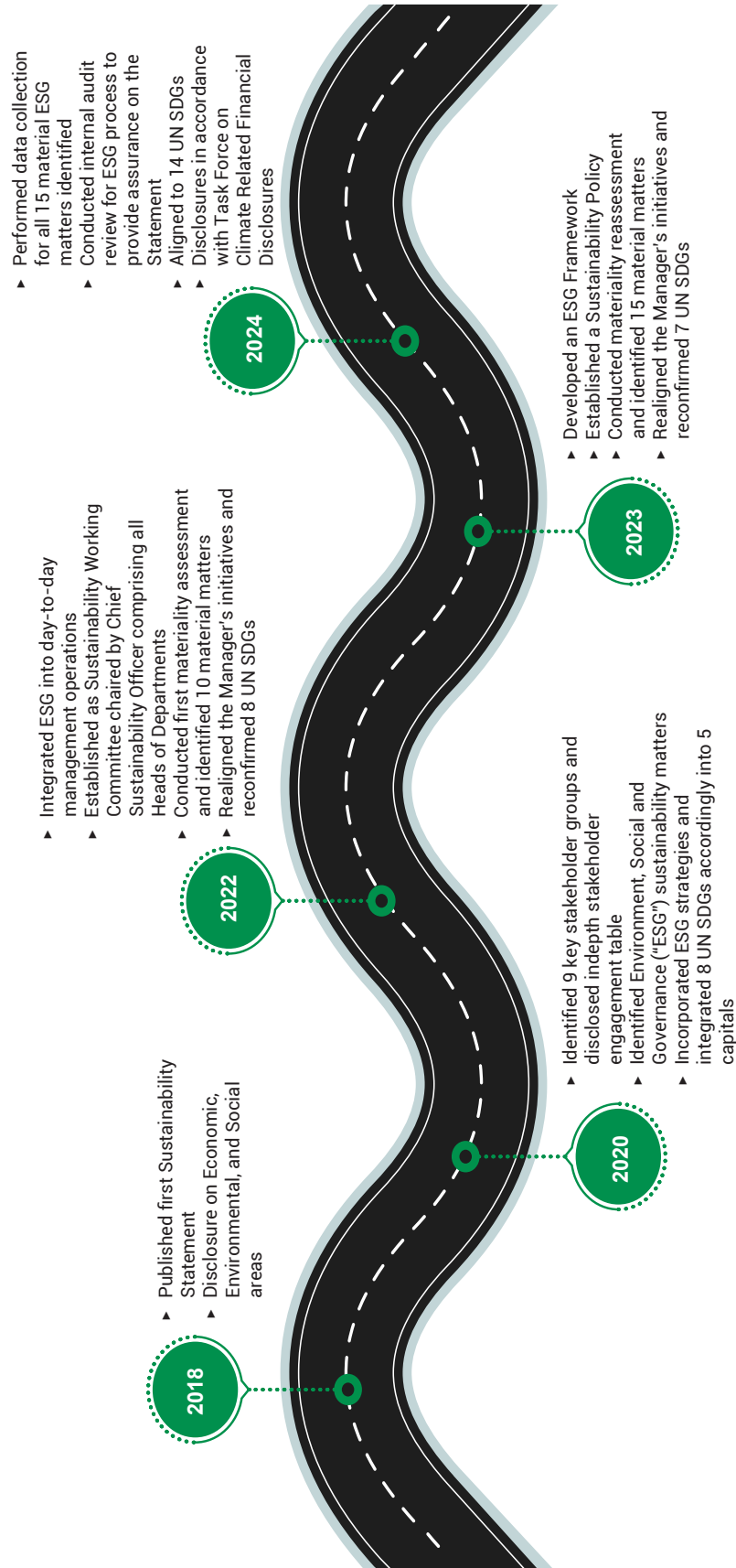
As we move forward, our aim is to further embed sustainability into every aspect of our operations. This involves continuous monitoring and improvement of our sustainability goals to ensure we remain agile and responsive to emerging challenges and opportunities. We are committed to regularly updating our stakeholders on our progress and achievements in sustainability. Your support and engagement are crucial as we strive to build a more sustainable and resilient future. Thank you for your continued trust and partnership. It is with your ongoing support and belief in our ability, strategy, and processes that KIP REIT has been able to reach new heights. We are deeply grateful for your heartfelt appreciation and unwavering commitment.



SUSTAINABILITY STATEMENT (CONT'D)

OUR SUSTAINABILITY JOURNEY

We began our journey in 2018 with our first Sustainability Statement and will continue to drive our sustainability performance as we endeavour to meet and actively expand our ESG ambitions.



SUSTAINABILITY STATEMENT (CONT'D)

SUSTAINABILITY HIGHLIGHTS

GRI2-22

Achieved
RAM AAA rating



ZERO
complaints on
customer privacy and
losses of customer data



Suppliers
Assessed for
ESG
Criteria



ZERO injuries



ZERO fatalities



REIT highest
return on equity
over 3 years,
The Edge Centurian
Club Award



ZERO
whistleblowing cases



2,408
training hours
of employee learning



96.6
tonnes waste
diverted from landfill



ZERO
corruption
cases



100% LED lights
installed across 6 KIPMalls



75%
women in
senior management
(Manager)



SUSTAINABILITY STATEMENT (CONT'D)

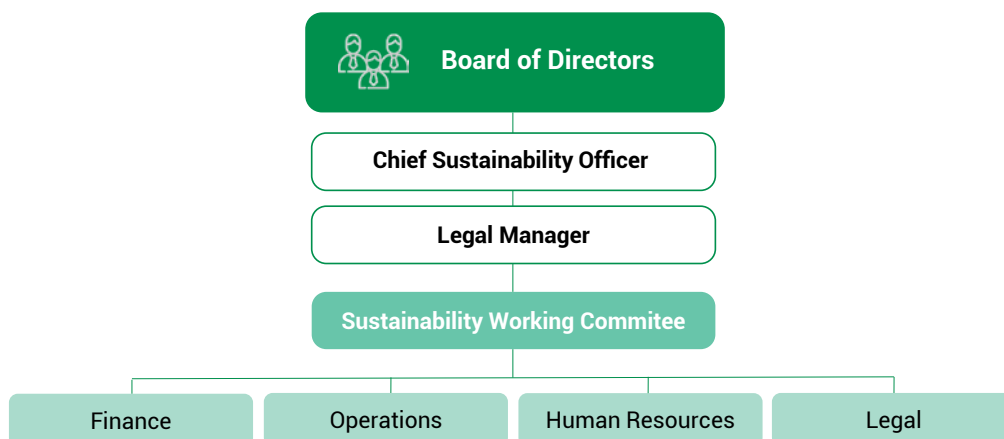
SUSTAINABILITY GOVERNANCE

GRI2-9, 2-12, 2-13, 2-14

KIP REIT firmly believes in governance rooted in integrity and ethics. We see this as a crucial foundation for incorporating sustainability goals and objectives into our decision-making, enhancing transparency, managing risks, and ensuring long-term success.

Effective ESG management requires strong leadership to ensure that day-to-day operations and business decisions aligned with KIP REIT's vision and sustainability goals. This approach helps build trust and confidence across all stakeholder groups.

To strengthen our approach and efficiently manage sustainability initiatives, we have implemented a three-tier sustainability governance structure. The Manager's Board of Directors ("Board") sits at the apex of this structure, providing overall guidance for KIP REIT's sustainability direction. Supporting the Board is the Sustainability Working Committee ("Committee"), headed by the Chief Sustainability Officer ("CSO"). This Committee is responsible for implementing sustainability strategies, managing material sustainability matters, and developing relevant policies and targets. Furthermore, the Sustainability Working Committee, in collaboration with the CSO and the Legal Manager, will hold quarterly committee meetings to address ESG-related matters.

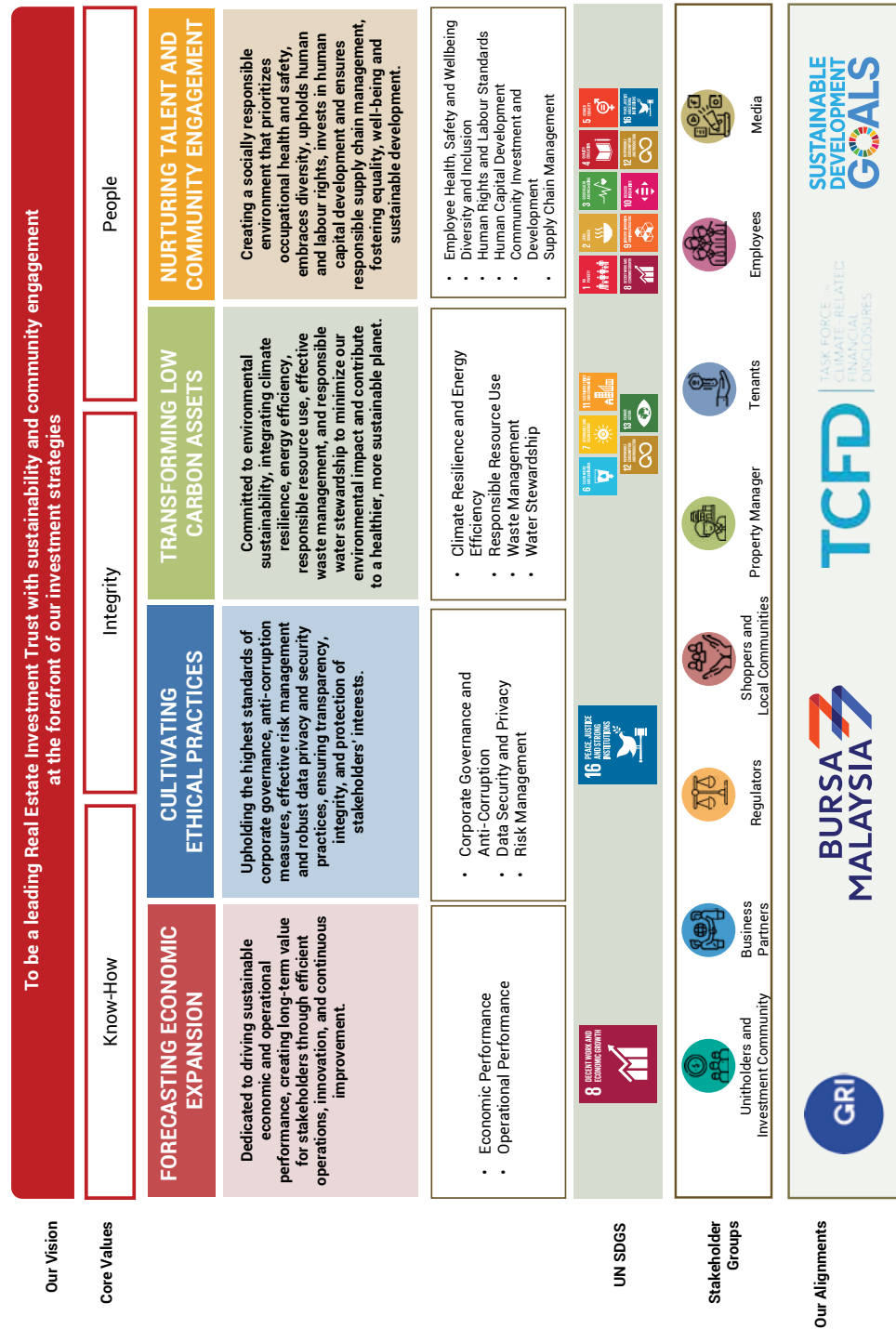


Roles and Responsibilities	
Board of Directors	- Oversees the management of sustainability strategies, material sustainability matters, policies, and targets. - Approves proposed sustainability strategies, policies, material sustainability matters, and the annual Sustainability Statement. - Ensures ESG-related risks and opportunities, including climate risks, are incorporated into the Manager's strategy and risk management. - Considers sustainability issues when overseeing the planning, performance, and long-term strategy of the Manager. - Ensures effective communication of strategies, priorities, and targets to relevant stakeholders.
Sustainability Working Committee	- Develop and implement the Company's ESG strategy. - Ensure compliance with relevant regulations and alignment with corporate goals. - Create policies, engage stakeholders, monitor ESG metrics performance, and prepare reports. - Identify ESG risks and opportunities. - Foster a culture of sustainability and lead initiatives to reduce environmental impact and enhance social value. - Integrate sustainability efforts into the day-to-day operations of managing KIP REIT's portfolio. - Identify ESG measures to track annually, promote ESG initiatives, and monitor and track the performance of these measures.

SUSTAINABILITY STATEMENT (CONT'D)

OUR ESG FRAMEWORK

Serving as the focal point for aligning our long-term sustainable development goals with our business operations, an ESG Framework has been developed in accordance with the Vision and Mission of KIP REIT. This Framework outlines how we address material ESG pillars and integrate sustainable practices into our operations. It guides us in formulating optimal business strategies, effectively managing risks, seizing potential opportunities, and creating value for our stakeholder.



SUSTAINABILITY STATEMENT (CONT'D)

SUSTAINABILITY POLICY

KIP REIT's Sustainability Policy ("Policy"), rooted in our ESG Framework, outlines our commitment to cultivating a resilient, high-performing corporate culture and guides our ESG strategy. This Policy forms the foundation of our ESG commitments towards long-term growth and helps integrate sustainable practices across our operations and value chain. The Board has reviewed and approved this Policy, which undergoes periodic assessments to maintain its continued relevance and applicability.

The Policy's key objectives are:

- ▶ Establish and monitor crucial ESG and economic indicators: These indicators reflect our environmental, social, and governance responsibilities and economic performance.
- ▶ Achieve long-term business sustainability: We aim to weave sustainability into our operation fabric while addressing stakeholder concerns.
- ▶ Implement sustainable business practices: Our goal is to positively impact the local economy, protect natural resources, and benefit the local community.

Commitments have been established by the Company for the respective ESG matters:

GOVERNANCE

KIP REIT is dedicated to upholding high standards of corporate governance and adhering to ethical business practices to protect stakeholder values and interests. We also comply with applicable laws and regulations to minimize risks in data protection and cybersecurity.



ECONOMIC

We aim to generate value for our stakeholders through stable and regular income distribution and capital appreciation. KIP REIT is committed to providing adequate work, productive employment, and platforms for SMEs to expand their businesses within the local community.



ENVIRONMENT

To reduce our carbon footprint and other environmental impacts, KIP REIT is focused on implementing responsible resource management. We strive to assess and control GHG emissions arising from our business operations and promote the use of energy-efficient technology and renewable energy generation at our properties where practical.



SOCIAL

KIP REIT works to create a safe, healthy, diverse, and inclusive work environment with fair opportunities for all workers. We adhere to strict labour regulations, prioritize product quality and customer satisfaction, and conduct supplier assessments to ensure suppliers address the pertinent social criteria. We safeguard tenants through security and crime prevention strategies, and have an emergency response plan in place.



SUSTAINABILITY STATEMENT (CONT'D)

UN SDGs SCORECARD

GRI2-22

An Overview of the United Nations Sustainable Development Goals ("UN SDGs")

The 2030 Agenda for Sustainable Development is a comprehensive blueprint adopted by all United Nations Member States in 2015, designed to tackle global social and environmental challenges. This agenda consists of 17 Sustainable Development Goals ("SDGs") that serve as a universal call to action for creating a sustainable and equitable future.

In 2024, KIP REIT continues its commitment to advancing specific SDGs, significantly contributing to key areas such as:



No Poverty

Provided support to **523** underprivileged community members.



Decent Work and Economic Growth

- **22%** increase in the revenue recorded in 2024.
- **RM12.2 million** invested in Asset Enhancement Initiatives ("AEIs").



Zero Hunger

Distributed food to **4,430** participants during Ramadan and Hari Raya Haji.



Industry, Innovation and Infrastructure

100% purchase with local suppliers.



Good Health and Well-being

- Organized **14** blood donation programmes
- Medical insurance coverage for all employees.



Reduced Inequalities

Establishment of **Diversity Policy and Labour and Human Rights Policy** in 2024.



Quality Education

Achieved **2,408** training hours for all KIP REIT employees.



Sustainable Cities and Communities

Installation of solar panels in **all 6 KIPMalls**.



Gender Equality

33.33% of our Board of Directors, and **53%** of our employees are female.



Responsible Consumption and Production

- Diverted **96.6** tonnes of our waste away from landfills in 2024.
- **43%** of new suppliers assessed based on environmental criteria.



Clean Water and Sanitation

Recorded with **14%** reduction in the water intensity.



Climate Action

Additional disclosure of **Scope 1** and **Scope 3** emissions in 2024.



Affordable and Clean Energy

Generated **4,814,887** kwh of solar energy in 2024.



Peace, Justice and Strong Institutions

0 corruption cases reported in 2024.

SUSTAINABILITY STATEMENT (CONT'D)

UNDERSTANDING STAKEHOLDER PERSPECTIVES

GRI2-29

Proactive stakeholder engagement is fundamental to assessing most material issues encountered across our operations. It acts as a platform for our stakeholders to voice their opinions, facilitates information gathering and allows us to become familiar with current trends. This, in turn, enhances our decision-making and business strategies based on the received feedback and enables us to serve evolving stakeholder needs.

Key Stakeholder Groups	Key Concerns/Interest	Engagement Method
Unitholders and Investment Community 	- Stable and regular income streams - Sustainable business model for dividend and/or capital appreciation - Transparency in communication	- Investor briefings - Roadshows institutional investors - Written and digital communication - Annual Report - Annual General Meeting - Extraordinary General Meetings - Quarterly/Annual results
Business Partners 	- Sustainability of business model - Active participation and knowledge training	- Participation in MRMA events - Communication (formal and informal)
Regulators 	- Compliance with relevant regulations - Timely and transparent release of performance information - Robust corporate governance structure - Active participation and knowledge sharing	- Timely submission of required reporting - Open discourse and transparency - Communication (formal and informal) - Media announcements
Shoppers and Local Communities 	- Good selection of tenants providing goods and services - Safe shopping environment	- Promotional events held - Shopper surveys - Customer feedback - Social Media
Property Managers 	- Partnership in management of KIP REIT assets - Sustainable business models and operations	- Monthly team meeting/feedback - Communication (formal and informal)
Employees 	- Just and fair compensation and benefits - Employee wellbeing - Career progression and personal development - Training and development - Safe working environment	- Yearly townhall - Employee Engagement Survey/eNPS - Feedback/annual appraisals - Team building events - Employee wellbeing programmes
Tenants 	- Sustainable business model and relation - Regular communication - High shopper traffic - Maintenance and upkeep - Portfolio of properties	- Communication (formal and informal) - Ad-hoc meetings - Two-way feedback channel - Social media
Media 	- Timely communication of corporate exercise - Performance and market outlook - Notification on material matters	- Press release - Media interviews - Annual General Meeting/Extraordinary General Meetings - Company updates - Announcements

SUSTAINABILITY STATEMENT (CONT'D)

MATERIALITY ASSESSMENT PROCESS

GRI3-1, 3-2

Materiality Assessment Process



Step 1: Review on the Stakeholder Group and Material Sustainability Matters Identified

We conduct a comprehensive materiality assessment every two years to prioritise sustainability issues based on their economic, environmental, social, and governance impacts on our operations.

In FY2024, we undertook a thorough review of our stakeholder groups and sustainability matters. This process ensured ongoing relevance to our business strategy, operations, and current market trends, while aligning with the sustainability reporting frameworks. Our assessment confirmed that all fifteen (15) of our existing material matters continue to align with KIP REIT's strategic priorities and stakeholder expectations.

We periodically update our assessment to maintain its accuracy, relevance and reflectiveness of our evolving business landscape. This iterative process enables us to align our strategy with day-to-day operation, address business needs and create long-term sustainable value for our stakeholders. This year's internal assessment reaffirmed the continued relevance of our fifteen (15) material matters to both our businesses and stakeholders.

Looking ahead, we are committed to conducting a more extensive materiality assessment, engaging directly with key stakeholders to gather their insights, and publishing the results of this comprehensive evaluation in our next Statement. By maintaining this rigorous approach to materiality, we ensure that our sustainability efforts remain focused, impactful, and aligned with the expectations of our diverse stakeholder base.

Step 2: Review on the Prioritized Sustainability Matters

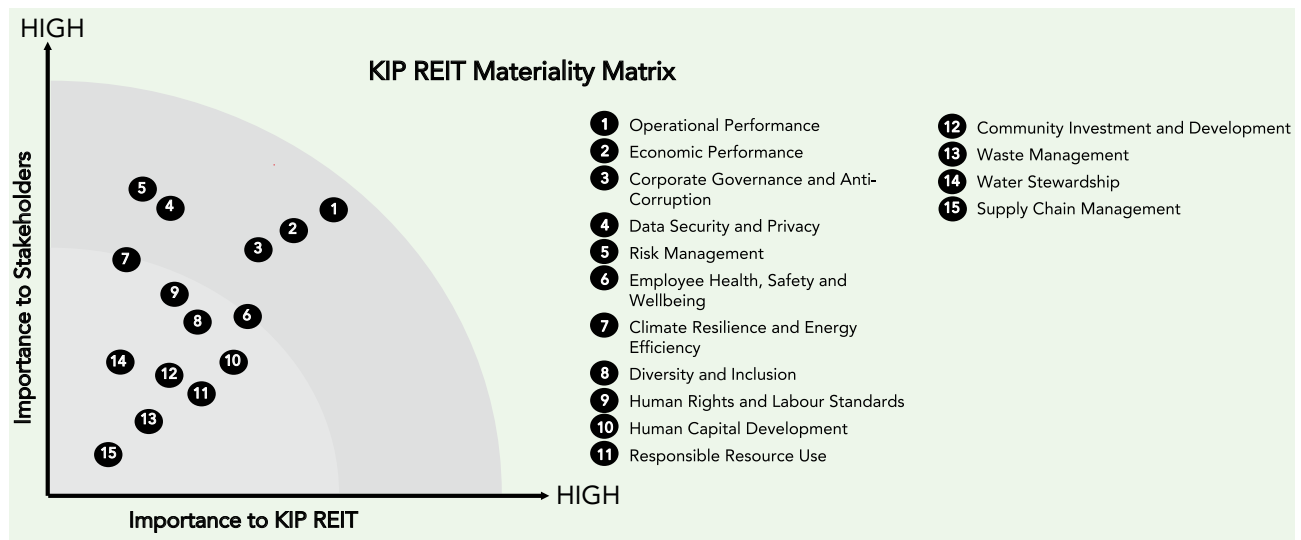
We reevaluated the prioritisation outcomes of sustainability matters from FY2023. The material topics were ranked according to their importance and potential impact on KIP REIT and its stakeholders, using survey methods that collected inputs from both external and internal stakeholders.

These surveys measured how crucial each topic was to KIP REIT and its stakeholders. Our review confirmed that the ranking of sustainability matters remains consistent with KIP REIT's strategies and plans and what stakeholders anticipate.

SUSTAINABILITY STATEMENT (CONT'D)

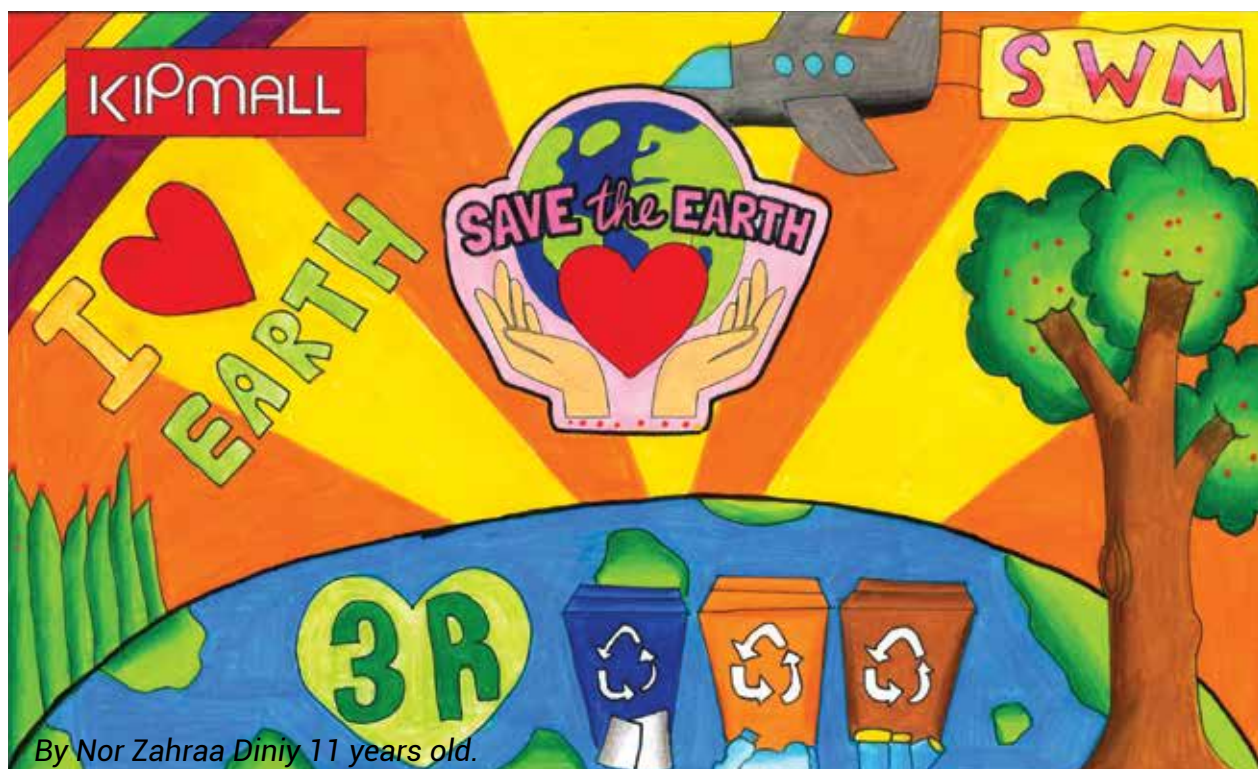
Step 3: Review on the Analyzed Result

The identified material topics and their prioritisation were compiled and plotted on a materiality matrix using the weighted average method. This matrix visually represents the significance of each topic to both KIP REIT and its stakeholders.



Step 4: Validate

The materiality matrix and the entire materiality assessment process have been reviewed and endorsed by the Board, ensuring alignment with our strategic direction and stakeholder interests. By following this structured approach, we ensure that our sustainability efforts are focused on the most critical areas and reflect the expectations of our stakeholders.



SUSTAINABILITY STATEMENT (CONT'D)

SUMMARY OF MATERIAL MATTERS

MATERIAL TOPIC	IMPACT BOUNDARY	MANAGEMENT APPROACH	SDGS SUPPORTED	GRI-STANDARD
FORECASTING ECONOMIC EXPANSION				
Operational performance	Tenant, occupants and visitors at our portfolio properties	Conduct regular tenant and customer satisfaction survey		3-3, 203-1, 203-2
Economic Performance	REIT management and service provider employees	Timely dissemination of financial information to stakeholder via Annual Integrated Report and Quarterly Report		3-3, 201-1, 201-2
CULTIVATING ETHICAL PRACTICES				
Corporate Governance and Anti-Corruption	REIT management and service provider employees	Maintain a zero-tolerance approach against corruption, bribery, fraud and money laundering		2-15, 2-23, 2-24, 2-25, 2-26, 2-27, 3-3, 205-2, 205-3
Data Security and Privacy	REIT management and service provider	Keeping data protection infrastructure up-to-date		3-3, 418-1
Risk Management	REIT management and service provider employees	Implement robust risk management and conflict of interest policies		2-24, 2-25, 3-3
TRANSFORMING INTO LOW CARBON ASSETS				
Climate Resilience and Energy Efficiency	REIT management, tenant, occupants and visitors at our portfolio properties	Reduce portfolio carbon emissions, assess and mitigate climate-related risk	  	3-3, 302-1, 305-1, 305-2, 305-3, 305-4
Responsible Resource Use	Consumption in portfolio properties	Minimise energy consumption by implementing energy efficiency measures		3-3
Waste Management	Property management, operations, tenant, occupants and visitors at our portfolio properties	Manage waste per local regulations, using licensed contractors for daily general waste collection and weekly recyclable waste collection		3-3, 306-1, 306-2, 306-3, 306-4, 306-5
Water Stewardship	Primarily for cleaning, sanitation and air-conditioning in portfolio property	Save and conserve water by implementing building water efficiency measures		2-4, 3-3, 303-1, 303-3, 303-5

SUSTAINABILITY STATEMENT (CONT'D)

MATERIAL TOPIC	IMPACT BOUNDARY	MANAGEMENT APPROACH	SDGS SUPPORTED	GRI-STANDARD
NURTURING TALENT AND COMMUNITY ENGAGEMENT				
Employee Health, Safety and Wellbeing	Property management, operations and maintenance involving employees	Assess safety and health risk and take preventive measures for risk mitigation aimed at having a zero accident workplace	8 DECENT WORK AND ECONOMIC GROWTH 3 GOOD HEALTH AND WELL-BEING 10 REDUCED INEQUALITIES	3-3, 401-1, 401-2, 403-1, 403-2, 403-3, 403-4, 403-5, 403-6, 403-8, 403-9
Diversity and Inclusion	REIT management and service provider employees	Inculcating a better mindset and culture among the Manager's workforce	4 QUALITY EDUCATION 5 GENDER EQUALITY 8 DECENT WORK AND ECONOMIC GROWTH 10 REDUCED INEQUALITIES	2-7, 3-3, 405-1
Human Rights and Labour Standards	REIT management and service provider employees	Promoting a diverse and inclusive workforce	8 DECENT WORK AND ECONOMIC GROWTH	2-16, 2-23, 2-24, 2-25, 3-3, 401-3, 406-1, 408-1, 411-1
Human Capital Development	REIT management and service provider employees	Promote a fair and inclusive workplace to nurture a high-performing workforce	4 QUALITY EDUCATION	3-3, 404-1, 404-2, 404-3
Community Investment and Development	Community	Invest in the disadvantaged and wider community	1 NO POVERTY 2 ZERO HUNGER 3 GOOD HEALTH AND WELL-BEING	3-3, 413-1
Supply Chain Management	REIT management and property management including suppliers	Promote procurement from local supplier and ensure ESG compliant supplier	9 INDUSTRY, INNOVATION AND INFRASTRUCTURE 12 RESPONSIBLE CONSUMPTION AND PRODUCTION	2-6, 2-23, 2-24, 3-3, 204-1, 308-1, 308-2, 414-1, 414-2



SUSTAINABILITY STATEMENT (CONT'D)

FORECASTING ECONOMIC EXPANSION

GRI3-3

ECONOMIC EXPANSION HIGHLIGHTS

As the industry advances, ESG performance has taken on a more prominent role in generating investment returns. Cognisant of this, the Manager works to incorporate ESG considerations into our corporate strategy to ensure sustainable business performance and accountability to our stakeholders. Through our efforts we can generate stable economic benefits and sustainable distributions for our unitholders and other stakeholders, leading to an optimised capital structure and driving excellence throughout the REIT's asset and portfolio management efforts.

2024
**DISTRIBUTION TO
UNITHOLDERS**


7.33%
Increased
RM39,497

2024
**AVERAGE NET
LETTABLE
AREA**


6.5%
Increased
Average 171,956 square feet per mall recorded

2024
**ASSET ENHANCEMENT
INITIATIVES**

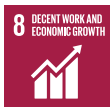

RM12.2 million Invested

2024
**AVERAGE OCCUPANCY
RATE**


1.55%
Increased
Average 89.5% of occupancy rate

ECONOMIC PERFORMANCE

GRI3-3, 201-1, 201-2



In an evolving industry landscape increasingly focused on ESG performance, we recognize that integrating ESG considerations into our corporate strategy is paramount. By proactively managing ESG risks and opportunities, we enhance our financial performance, meet stakeholder expectations, and ensure long-term sustainability. This commitment not only strengthens our resilience to market shifts and regulatory changes but also underscores our dedication to responsible business practices that drive innovation, attract top talent, and create value for all stakeholders.

At KIP REIT, our approach to economic performance is centred around sustainable growth, operational efficiency, and stakeholder value creation. We prioritize integrating ESG considerations into our corporate strategy to ensure resilience in a dynamic global economy.

SUSTAINABILITY STATEMENT (CONT'D)

Strategic Framework for Economic Performance

KIP REIT is committed to achieving consistent and sustainable financial performance through a well-rounded investment and management strategy. This involves:

Investment in High-Yield Properties	Focusing on acquiring and managing properties that promise stable and recurring rental income, ensuring long-term value growth.
Diversified Real Estate Portfolio	Investing in a mix of retail, industrial, and commercial properties to balance risks and optimize returns.
Active Asset Management	Proactively managing leasing and operational costs to maximize returns, while leveraging local expertise to enhance property performance.
Strategic Acquisitions	Identifying and acquiring properties that align with KIP REIT's growth objectives and provide potential for capital appreciation.
Robust Capital and Risk Management	Maintaining a balanced mix of debt and equity to support acquisitions and manage refinancing risks effectively, thereby optimizing the overall capital structure for unitholders' benefit.

Monitoring and Reporting Economic Performance

KIP REIT employs a thorough and structured approach to monitoring and reporting economic performance, ensuring optimal asset management and sustained growth. Upper management conducts regular review to keep a close watch on financial and operational metrics.

01 | MONTHLY MEETING

To assess the performance of malls and indentifying areas requiring asset enhancement

To address issues and make informed decisions through evaluation process

02 | PERFORMANCE METRICS

To monitor occupancy rates

To ensure high tenancy levels which are crucial for maintaining steady rental income

03 | IMPROVEMENT OPPORTUNITIES

To seek strategies in enhancing property performance and rental income

To ensure the Company remains aligned with long-term objectives and provide consistent value to unitholders

This comprehensive approach to monitoring and reporting economic performance underscores KIP REIT's dedication to maintaining financial health and achieving sustainable success.

SUSTAINABILITY STATEMENT (CONT'D)

Strategic Growth and Value Creation for Stakeholders

KIP REIT is dedicated to creating substantial value for its stakeholders through strategic initiatives and acquisitions. Throughout the year, KIP REIT has focused on expanding its property portfolio and enhancing asset quality to drive economic performance and sustainable growth. These efforts are central to our mission of achieving robust financial results and delivering consistent returns.

Completion of Kota Warisan Sales & Purchase Transaction



In the pursuit of strong economic performance, KIP REIT has undertaken significant initiatives throughout the year to create value and drive growth. One of the key milestones was the completion of the Sale and Purchase ("S&P") transaction for Kota Warisan in February 2024. This strategic acquisition underscores KIP REIT's commitment to expanding its portfolio and enhancing its property assets, thereby securing a stronger income stream and increasing property value.

DPulze Shopping Centre Purchase Agreement



On May 27, 2024, KIP REIT signed a Sale and Purchase Agreement ("SPA") for the acquisition of DPulze Shopping Centre, valued at RM320 million. This acquisition is strategically significant, with a targeted completion date set for January 2025, as announced on Bursa Malaysia. The DPulze Shopping Centre is expected to substantially contribute to KIP REIT's rental income and portfolio diversification, reinforcing our market position and growth trajectory.

SUSTAINABILITY STATEMENT (CONT'D)

Business Performance

As of 2024, KIP REIT reported a total revenue of RM102.2 million, demonstrating an increase of 22% compared to FY2023. However, the net profit for the period, has decreased by 22.2% resulted from the net decrease in the fair value of investment properties amounted to RM4.23 million in the current financial year. Despite this, there is an increase in the distributable units to the shareholders, aligning with our strategic goal.

Particulars	2022 (RM'000)	2023 (RM'000)	2024 (RM'000)
Revenue	73,700	83,750	102,159
Operating costs	16,946	21,598	24,342
Profit after taxation	75,509	60,792	47,314
Distribution to unitholders	34,361	36,799	39,497



KIPMALL BANGI



KIPMALL TAMPOI

OPERATIONAL PERFORMANCE

GRI3-3, 203-1, 203-2



KIP REIT's primary mission is to invest in income-generating real estate assets, with a primary focus on retail properties in Malaysia. The Manager plays a crucial role in this endeavour by delivering superior real estate solutions and services. Effective management of KIP REIT's operations is essential for maintaining asset value and ensuring consistent returns. This involves **meticulous oversight** of property management, tenant relations, and financial performance. By maintaining properties at optimal standards, attracting high-quality tenants, and generating steady income streams, we ensure the REIT's stability and growth.

Operational excellence enables KIP REIT to navigate market fluctuations and capitalize on growth opportunities. The Manager's commitment to high standards of operational performance is fundamental to sustaining the trust of unitholders and ensuring the long-term success and stability of KIP REIT.

Understanding that efficient property management is a core component of value creation for our stakeholders, the Manager actively promotes and implements best practices across our portfolio. We closely monitor all operations within our properties and initiate enhancements as needed to ensure optimal performance. This proactive approach allows us to maintain high property standards and maximize returns for our unitholders.

SUSTAINABILITY STATEMENT (CONT'D)

Tenant Engagement at KIP REIT

Tenant Contact Point

KIP REIT places a high priority on regular tenant engagement as a key strategy for continuous improvement and tenant satisfaction. The Manager is dedicated to maintaining ongoing communication with tenants to understand their expectations and foster an environment conducive to growth and development. To facilitate this, KIP REIT adopts a friendly and approachable contact policy.

	Tenants are encouraged to reach out to the management team directly, with contact numbers shared for easy access.
	Email is also available as an alternative, ensuring tenants have multiple channels to contact the management if needed.
	For prompt contact and swift communication, tenants can also connect with KIP REIT on social media anytime.

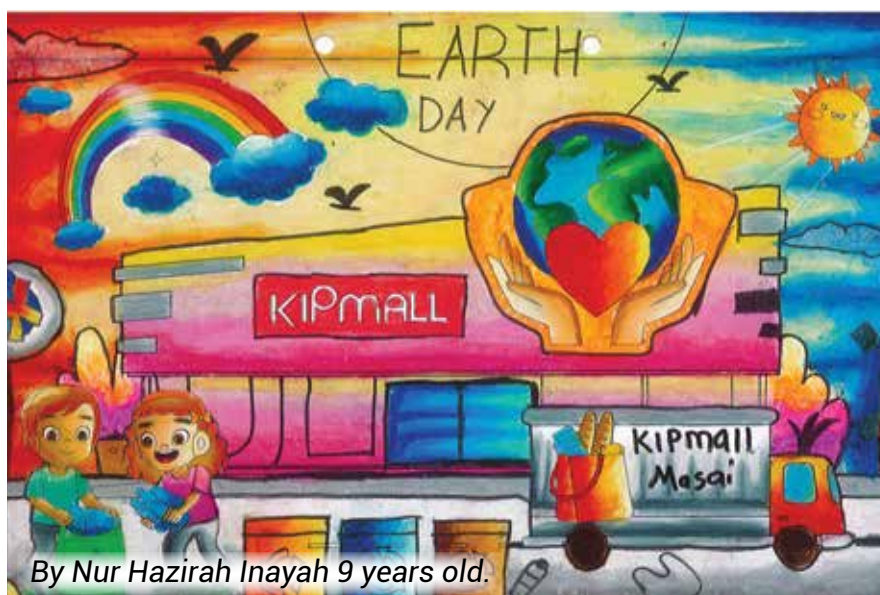
Through active engagement with tenants, KIP REIT can identify areas for improvement and implement changes that enhance tenant experience and satisfaction.

This proactive approach not only addresses immediate concerns but also fosters a collaborative atmosphere where tenant feedback directly contributes to operational improvements.

Community Engagement with Tenants

KIP REIT is deeply committed to community engagement initiatives. These efforts are designed to strengthen relationships with tenants and the broader community. For example, KIP REIT organizes cultural celebrations, such as Hari Raya events, to build a sense of community and belonging, thereby creating a positive and supportive business environment. This initiative highlights KIP REIT's commitment to giving back to the community and celebrating national milestones together.

Through these robust tenant and community engagement strategies, KIP REIT aims to create a dynamic and responsive business atmosphere that supports tenant needs and drives economic performance. By continuously fostering strong tenant relationships and participating in meaningful community activities, KIP REIT ensures that its approach to economic performance is both holistic and sustainable.



SUSTAINABILITY STATEMENT (CONT'D)



Ramadan Event

In FY2024, KIPMall collaborated with tenants, local mosques, government representatives, NGOs, and the community to host cooking activities during Ramadan. These events aimed to share sustenance during the holy month and show appreciation for the support of shoppers over the years.

KIPMall distributed food, including Nasi Ambang and Bubur Lambuk, to 4,150 shoppers and community members across various locations, including KIPMall Tampoi, KIPMall Kota Tinggi, KIPMall Masai, KIPMall Senawang, KIPMall Melaka, KIPMall Bangi, and KIPMall Kota Warisan. These efforts fostered community spirit and allowed KIP REIT to share in the Ramadan festivities.



Community Outreach programmes

KIP REIT also extends its engagement beyond mall premises through community outreach programmes. For instance, KIPMall Masai organized a community tour programme on 29 June 2024. This programme aimed to engage diverse age groups and local residents with activities and promotions organized by tenants, showcasing available products and enhancing community engagement.



Independence Day Celebration

In addition, to celebrate Hari Kemerdekaan, KIPMall Kota Tinggi initiated a donation drive on 31 August 2024, benefiting three babies born at Hospital Kota Tinggi on that day.



Increasing Rental Potential

KIP REIT adopts a comprehensive and strategic approach to increase rental potential through meticulous tenant selection and robust asset enhancement initiatives. This dual focus is pivotal to ensuring sustainable income growth and long-term asset value.

Careful selection of tenants

This process is designed to maximize property occupancy rates and secure a stable stream of rental income. By choosing tenants who align with our goals and the specific needs of our properties, KIP REIT not only stabilizes income but also enhances the overall value of its assets. This strategic approach ensures that our properties are occupied by high-quality tenants who contribute positively to the property environment and align with our long-term objectives.

SUSTAINABILITY STATEMENT (CONT'D)

Leading Brand in the Properties:



Jalan Jalan Japan is a renowned chain of stores in Malaysia, offering a delightful array of pre-loved goods imported from Japan, with locations at KIPMall Bangi, KIPMall Melaka, KIPMall Masai, and KIPMall Tampoi.



Mr DIY is a well-established chain of stores in Malaysia, renowned for offering a diverse range of affordable household and lifestyle products. They have locations across all KIPMall outlets.



Watsons is a prominent retail chain in Malaysia, recognized for its extensive range of health, beauty, and personal care products. They have locations across all KIPMall outlets.



The Chicken Rice Shop ("TCRS") is a well-known Malaysian chain of halal-certified restaurants specializing in Hainanese chicken rice. They have locations in KIPMall Kota Warisan, KIPMall Bangi, KIPMall Masai and KIPMall Melaka.

Continuous improvement through proactive Asset Enhancement Initiatives ("AEI")

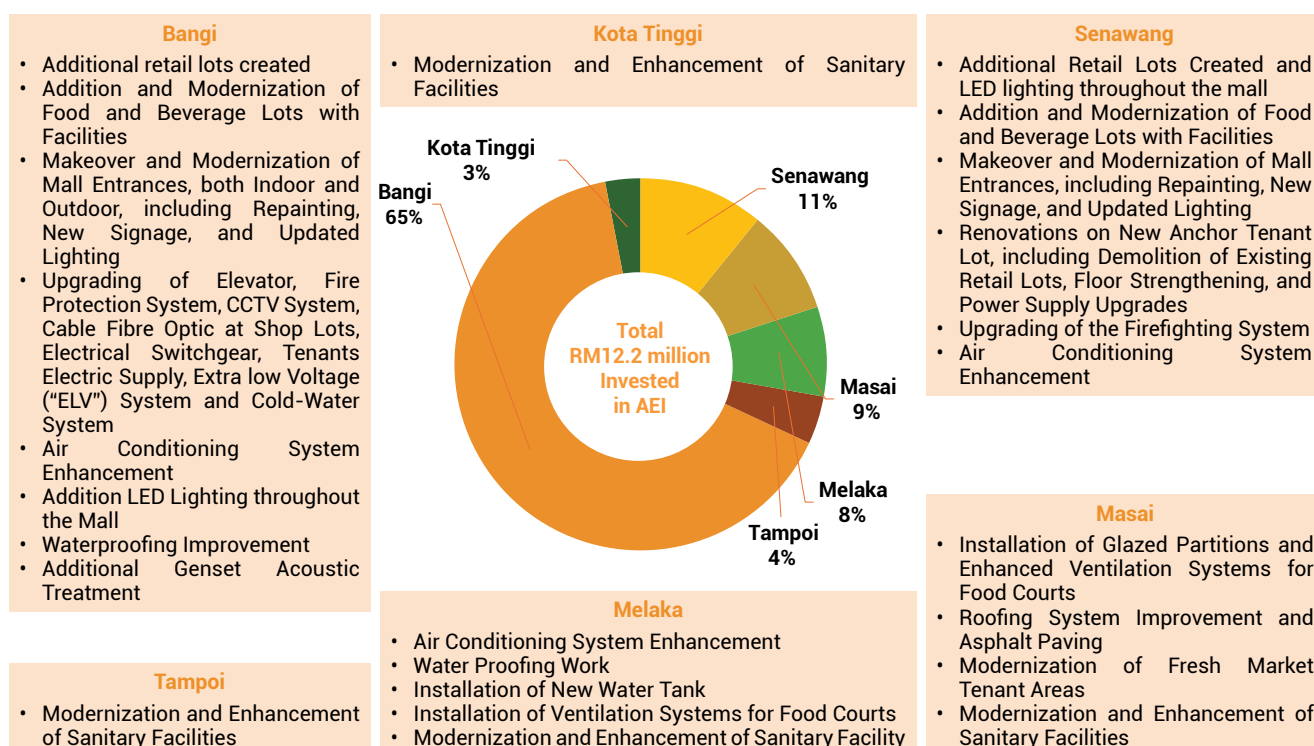
These initiatives involve significant investments in upgrades, renovations, and other value adding activities aimed at elevating the value of our properties and boosting their rental potential. By keeping our properties modern, competitive, and attractive, we ensure they remain desirable to high-quality tenants and capable of commanding premium rents.



RM12.2 million Invested in FY2024

In FY2024, KIP REIT continued to apply a proactive yet disciplined approach to AEIs, ensuring our property portfolio remains competitive, relevant, and in demand.

The following summarizes the RM12.2 million AEI efforts conducted and completed by KIP REIT during this period:



By undertaking these targeted AEIs, KIP REIT ensures that our properties stay at the forefront of market trends and continue to meet the evolving needs of our tenants. Through these AEIs, we have successfully increased the occupancy rate, demonstrating our ability to adapt and thrive in a dynamic market.

SUSTAINABILITY STATEMENT (CONT'D)



Increased in Net Lettable Area and Occupancy Rate

Property	2022	2023	2024
Net Lettable Area ("NLA") (Sq. ft.)			
KIPMall Bangi	255,202	285,454	287,456
KIPMall Masai	151,836	156,782	156,791
KIPMall Kota Tinggi	76,297	76,337	78,071
KIPMall Tampoi	167,139	170,550	170,526
KIPMall Melaka	187,841	196,822	199,094
KIPMall Senawang	116,919	117,030	119,767
KIPMall Kota Warisan*	-*	-*	191,986
Average Occupancy Rate (%)			
KIPMall Bangi	70.1	74.0	83.9
KIPMall Masai	91.4	94.9	96.2
KIPMall Kota Tinggi	91.4	89.1	91.4
KIPMall Tampoi	80.5	94.7	97.4
KIPMall Melaka	78.1	89.8	95.3
KIPMall Senawang	83.8	86.4	62.9
KIPMall Kota Warisan*	-*	-*	99.5

Note: *The acquisition of KIPMall Kota Warisan was completed in February 2024.

Increased in Average NLA	6.5%
Increased in Average Occupancy Rate	1.55%

In FY2024, KIP REIT's Asset Enhancement Initiatives ("AEIs") have yielded notable results. The Company's average Net Lettable Area ("NLA") increased by 6.5%, primarily driven by significant mall renovation and upgrade of mall infrastructure at KIPMall Bangi. This property saw a remarkable 0.7% increase in total NLA, thanks to major AEI efforts in FY2023. These efforts included a comprehensive internal and external makeover to enhance shopper comfort, facility upgrades, mechanical and electrical improvements, and interior design enhancements aimed at attracting more customers. Consequently, KIPMall Bangi also experienced a 13% rise in its average occupancy rate, further evidenced by the successful onboarding of established **brands** such as **Hero Supermarket, Ilao Ilao, Bungkus Kaw Kaw, Secret Recipe, Zus Coffee, Gigi Coffee, Sushi Go, Happy Home**, and many more.

However, the average occupancy rate at KIPMall Senawang decreased by 27% in FY2024. This decline is attributed to ongoing AEI activities that necessitated the temporary closure of certain areas within the mall. Despite this short-term impact, we anticipate a rebound in occupancy rates once the AEI is completed. In fact, **St. Rosyam Mart Sdn Bhd**, a 24 hour supermarket operator, is set to join KIPMall Senawang as a new anchor tenant in September 2024. This is expected to significantly boost the mall's occupancy, as St. Rosyam Mart will occupy 51,000 square feet, nearly double the space of the previous anchor tenant. As of June 2024, we have successfully secured an **occupancy rate** of approximately **94%** for **KIPMall Senawang** while awaiting the **grand opening** in **September**.



SUSTAINABILITY STATEMENT (CONT'D)



Award Received

Over the period, we have received awards, remarkable on the effort of the AElS made over the period. These initiatives are our commitment towards excellent operational performance:

The Edge Centurion Club 2024 Award

In July 2024, KIP REIT received the prestigious **"Highest Return on Equity Over Three Years"** award, a remarkable achievement that highlights their exceptional financial performance and strategic prowess. This marks the second consecutive year that KIP REIT has earned this esteemed recognition, underscoring their consistent ability to deliver outstanding returns and demonstrating their leadership in the industry.



The Edge Centurion Club 2023 Award

In December 2023, KIP REIT received a prestigious award, **"Highest Return on Equity Over Three Years"**, marking a significant achievement in property management. This underscores the commitment of KIP REIT's team to maintaining high standards and delivering exceptional value to tenants and stakeholders.

2022 The Edge Best Managed & Sustainable Property Awards ("BMSPA")

In August 2022, KIPMall Masai was honored with the Silver Winner award in the 10 Years and Above Specialised Category for the BMSPA by The Edge. This accolade, which recognizes expertly and sustainably managed buildings, compares them against the best-in-class globally.

At the time of receiving the award, the mall boasted a 92% occupancy rate with over 200 tenants. Notably, KIPMall Masai had implemented green initiatives such as the installation of solar photovoltaic systems and maintained high standards of cleanliness and organization.



AElS Future Plan and Outlook

Looking ahead to FY2025, KIP REIT plans to further enhance our AElS with the following initiatives:

Building Certification

We are engaging consultants to conduct a gap analysis of our malls to achieve green building certification for those identified for AElS. In FY2025, the plan includes KIPMall Tampoi.

E-system Installation

We plan to install a smart solution for facility operations and management, including issue, incident, and work order management, to enhance operational and financial efficiency and improve tenant convenience.

Footfall CCTV Management System

We plan to improve security and operational insights; we will implement a comprehensive footfall CCTV management system across our mall.

SUSTAINABILITY STATEMENT (CONT'D)

CULTIVATING ETHICAL PRACTICES

GRI3-3

ETHICAL PRACTICES HIGHLIGHTS

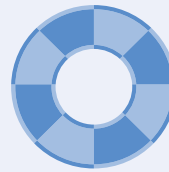
KIP REIT upholds high ethical standards and strong governance through well-established Standard Operating Procedures, Risk Management Framework, and strictly prohibiting fraud, bribery, and corruption. Our Code of Conduct and Business Ethics, along with comprehensive policies, provide clear guidance for our Directors and employees, as well as for anyone engaging with our organization.

2024

ANTI-CORRUPTION



0
CORRUPTION
CASE REPORTED



100%

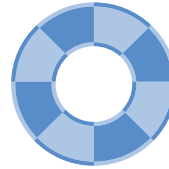
Employees
Undergo Training
for Anti Bribery and Corruption

2024

DATA SECURITY



0
COMPLAINT ON
BREACH OF
DATA PRIVACY



100%

Employees
Undergo Training
for Data Security and Privacy

2024

WHISTLEBLOWING



0
WHISTLEBLOWING
CASE REPORTED

SUSTAINABILITY STATEMENT (CONT'D)

CORPORATE GOVERNANCE AND ANTI-CORRUPTION

GRI2-15, 2-23, 2-24, 2-25, 2-26, 2-27, 3-3, 205-2, 205-3



Maintaining a robust commitment to ethical standards and legal compliance, KIP REIT recognizes that upholding strong governance and integrity is crucial to our long-term success and trust with stakeholders. We particularly emphasize adopting zero-tolerance policies towards corruption, which is recognized as a significant threat to ethical business practices.

At KIP REIT, we are steadfast in our commitment to ethical standards and legal compliance. Recognizing the critical importance of governance and integrity to our long-term success. Our dedication is reflected in several key policies and practices aimed at fostering a transparent and responsible corporate environment.



The Board Charter

The Board Charter is founded on the principles and best practices of the Malaysian Code on Corporate Governance ("MCCG"), serves as the cornerstone of our governance framework. It outlines the roles, responsibilities, and expected professional conduct of our Board members.



Anti-Bribery Management System ("ABMS")

Our Compliance Department is responsible for the design, implementation, and management of the Anti-Bribery Management System ("ABMS"). The ABMS is KIP REIT's systematic approach to managing corruption risks and includes comprehensive practices such as:

- **Leadership** and **commitments** from the Senior Management
- **Corruption risk assessment**
- Compliance with **Anti-Bribery and Corruption ("ABC") Policy**
- Maintaining of **Whistleblowing Policy**
- Management procedures on **Conflict of Interest**
- **Due diligence** check for risk areas
- **Communication**, awareness and **training** on anti-corruption
- **Monitoring, reporting** and **investigating** on whistleblowing and corruption cases

The Compliance Officer plays a crucial role in this process by providing guidance on bribery and corruption issues, monitoring and evaluating the ABMS's performance, and reporting on its effectiveness to the Audit and Risk Management Committee ("ARMC").



The Anti-Bribery and Corruption Policy ("ABC Policy")

ZERO TOLERANCE ON BRIBERY AND CORRUPTION

This Policy prohibits employees and Directors from receiving or soliciting gifts and hospitality from third parties. Donations and sponsorships are permitted only with prior approval from KIP REIT. Additionally, the Policy bans facilitation payments and mandates due diligence on major service providers and business associates, ensuring they adhere to our anti-bribery standards.

Moving forward, the Manager aims to review the ABC Policy to ensure it aligns with the latest MCCG requirements and to verify its continued effectiveness.

As at 30 June 2024, we are pleased to report that no incidents of corruption within the management and operations of KIP REIT.

0

Case involving corruption
or money laundering
behaviour in 2024

SUSTAINABILITY

STATEMENT (CONT'D)



Conflict of Interest Policy

In KIP REIT, conflict of interest might arise where a person's ability to perform his/her duties effectively and impartially is potentially impaired by the personal interests, considerations or relationships.

KIP REIT's Conflict of Interest Policy requires all Directors and employees to avoid situations that could impair their ability to perform duties impartially. Any potential conflicts must be declared immediately to maintain transparency and integrity within our operations.



Supplier and Business Partner Assessment

Before establishing any business relationship, the Manager conducts thorough due diligence on all service providers and business associates. This process involves the completion of a **Pre-Qualified Supplier Form** by the Management, which is a result of the due diligence activity.

The due diligence process includes several key steps:

- **Identification and Verification:** Confirming the background of service providers.
- **Risk Assessment:** Evaluating their potential risks included risks related to bribery and corruption.

This comprehensive evaluation ensures that all partners align with KIP REIT's standards for integrity and compliance.



Code of Conduct and Code of Ethics

KIP REIT's **Code of Conduct for the Board of Directors** establishes an ethical framework that promotes prudent and professional behaviour. It mandates Directors to avoid conflicts of interest, refrain from accepting extravagant gifts or engaging in bribery, fraud, money laundering, insider trading, and to maintain confidentiality in all Board deliberations and communications.

Similarly, our **Code of Conduct for Employees** encapsulates our core ethical values and commitment to integrity, transparency, and professionalism. Employees are expected to uphold these standards consistently in all business dealings, contributing to the Company's social and environmental growth.

KIP REIT's Code of Ethics for Employees further reinforces these principles by addressing specific topics, including:

- Acting in alignment with the Company's interests.
- Avoiding conflicts of interest.
- Adhering to a strict no-gift policy.
- Upholding zero tolerance for bribery, fraud, and money laundering.
- Ensuring confidentiality in management information and communication.
- Complying with all legal requirements.

These codes collectively guide our Directors and employees in maintaining the highest standards of ethical conduct, fostering a culture of **integrity** and **responsibility** within KIP REIT.

SUSTAINABILITY STATEMENT (CONT'D)

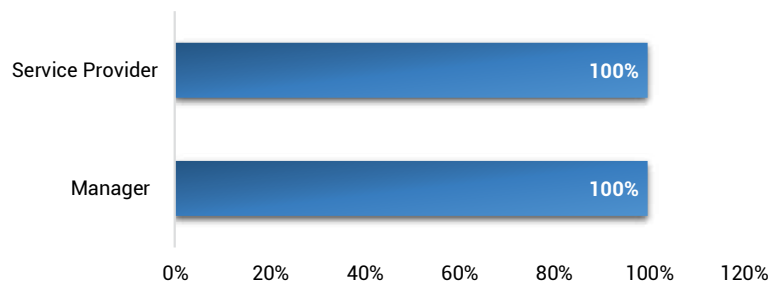


Training on Anti-Corruption

To cultivate a transparent, zero-bribery governance culture, we have communicated the ABC Policy through briefings and workshops and made it accessible to stakeholders on our corporate website. Employees receive training on anti-bribery measures to safeguard our reputation and maintain stakeholder trust. All employees must acknowledge in writing their understanding and commitment to this Policy.

Annually, KIP REIT conducts comprehensive awareness training sessions focusing on anti-bribery and corruption. These sessions aim to ensure that employees understand and comply with KIP REIT's anti-corruption policies and procedures. The training includes an introduction to KIP REIT's ABMS and detailed instructions on whistleblowing procedures and processes. Additionally, all new joiners are briefed on the Company's anti-corruption stances and are required to take an anti-corruption test during onboarding. These initiatives underscore our commitment to fostering a culture of integrity and ethical behaviour within the organization.

Percentage of Employees that Received Training on Anti-Corruption



Whistleblowing Policy

To support our anti-corruption stance, we have established a Whistleblowing Policy. This Policy:

- Offers a confidential platform for stakeholders to report any instances of misconduct, including fraud and corruption, without risk of retaliation
- Outlines the handling procedures of whistleblowing cases
- Is accessible to both internal and external stakeholders through our corporate website.

Stakeholders can submit reports anonymously through various channels, including email, physical letters, or directly via our official website. This multi-channel approach ensures a secure and supportive environment for disclosing unethical behaviour

0
Whistleblowing Case
Reported in 2024

SUSTAINABILITY

STATEMENT (CONT'D)

16 PEACE, JUSTICE
AND STRONG
INSTITUTIONS

RISK MANAGEMENT

GRI2-24, 2-25, 3-3

Risk management is crucial for ensuring the stability and longevity of KIP REIT. It helps identify, assess, and prioritize potential risks that could negatively impact the business. By implementing effective risk management strategies, KIP REIT safeguards its assets, reputation, and stakeholder interests. Additionally, it ensures compliance with regulations, enhances decision-making processes, and prepares the Company to respond swiftly to unexpected events. Ultimately, KIP REIT's diligent risk management system contributes to the Company's resilience and sustainable growth. At KIP REIT, we prioritize identifying and mitigating risks associated with our portfolios and operations. By integrating these practices into our strategy, we protect our assets, ensure stable returns for investors, and comply with regulations. For an in-depth understanding of our ERM Framework, please refer to our Statement of Risk Management and Internal Control.

 ERM Framework and ISO 31000:2018 Alignment - The Board of KIP REIT takes a comprehensive approach towards risk management and internal control systems. The Board holds the ultimate responsibility for overseeing the risk management and internal control systems, with substantial support from the Audit and Risk Management Committee ("ARMC"). - The Enterprise Risk Management ("ERM") framework adopted by KIP REIT is aligned with the ISO 31000:2018 standards, ensuring that risk management processes are thoroughly integrated across the organization.	 Components of the ERM Framework - The risk management framework of KIP REIT encompasses various components, including leadership, integration, design, implementation, evaluation, and continuous improvement of the risk management processes. - Identified risks are documented in a Risk Register, analyzed through tools such as the Risk Heat Map and Corporate Risk Profile, and subjected to periodic review by the ARMC. This thorough documentation and analysis facilitate informed decision-making regarding risk treatment strategies, which may include risk avoidance, reduction, sharing, or acceptance, often determined through a cost-benefit analysis.	 Three Lines of Defence Model KIP REIT employs a structured approach to risk management through its "Three Lines of Defense" model, which involves operational management, a dedicated risk management department, and an internal audit function. The internal audit function, outsourced to Baker Tilly Monteiro Heng Governance Sdn Bhd, conducted multiple reviews throughout the year, ensuring the effectiveness of the internal control systems without identifying any significant weaknesses. The Board remains confident in the adequacy and integrity of these systems, pending further validation from the outsourced auditors.
 Strategic Risk Management at KIP REIT - KIP REIT performs regular risk assessments to maintain an up-to-date understanding of the current risk environment. The Board and the ARMC review the Risk Register on a semi-annual basis to ensure that identified risks are current and relevant to the latest business landscape. - Heads of Departments, acting as the first line of defense, are required to update the Risk Register quarterly. This ensures that all risk information accurately reflects the current risk environment and that appropriate responses are in place. - Continuous communication and consultation throughout the ERM system ensure that all stakeholders have a common understanding of KIP REIT's risk management system and overall risk appetite. - Where necessary, risk-related training is organized to enhance employees' risk management knowledge and awareness.	 Risk Reports Heads of Departments are required to maintain risk records within their purview and report regularly to the Legal Manager, who then reports to the ARMC. This structured reporting process ensures that risk information is consistently up-to-date and accurately reflects the current risk environment.	 Detailed Risk Assessment for Investment Proposals - For major investment proposals such as acquisitions or Asset Enhancement Initiatives ("AEIs"), KIP REIT has a detailed risk assessment process. Any acquisition or disposal of assets must go through the Investment Steering Committee ("ISC"). The head of the investment working group presents the pros and cons for deliberation by all parties. Final approval must be obtained from the Chief Investment Officer ("CIO"), Deputy Chair, and Chairman. The ISC meets monthly to provide updates to the ISC registrar. - For AEIs, the property manager plans a year in advance for any major enhancements. All financials, timelines, and renovation details are presented to and agreed upon by the REIT Manager to be incorporated into the year's financial budget and projections. These plans are subject to the approval of the Board and the Trustee.

SUSTAINABILITY STATEMENT (CONT'D)



DATA SECURITY AND PRIVACY

GRI3-3, 418-1

In the realm of modern businesses, digital services are now ubiquitous, making data privacy and cybersecurity essential for long-term viability. As a REIT, **safeguarding customer and tenant data** from cybersecurity threats is a **top priority** for us.



Protecting Digital Assets and Ensuring IT Security

At KIP REIT, safeguarding our digital assets and adhering to the **Personal Data Protection Act ("PDPA")** is paramount. To achieve this, we have implemented **an Information Technology Security Policy ("ITSP")** designed to protect sensitive data and defend against potential security threats and breaches.

The use of IT resources for any illegal activities or purposes beyond those expressly permitted by the Company is strictly prohibited. This ensures that all digital operations remain **secure** and **compliant** with our policies.



External IT Support and Maintenance

To enhance the security and functionality of our IT systems, we engage external vendors to provide comprehensive support and maintenance. These vendors are tasked with:

✓	Understanding and assessing KIP REIT's existing IT infrastructure.
✓	Performing monthly routine checks to update and maintain our server and network equipment, including database servers, backup servers, firewalls, and disaster recovery servers.
✓	Assisting KIP REIT in troubleshooting and resolving server and system issues related to data backup.
✓	Ensuring compliance with cybersecurity standards.
✓	Assisting in Business Continuity Plan ("BCP") testing to ensure our operations can withstand and recover from disruptions.

To further bolster our defences against cybersecurity attacks, we conducted a **BCP testing** in May 2024. This included a Disaster Recovery Plan ("DRP") exercise, which simulated a full-scale malware intrusion. The objective was to ensure that KIP REIT's systems could successfully back up and recover data even if the headquarters were rendered inoperable due to unforeseen circumstances. The exercise took place at KIP REIT KL, our primary data centre.

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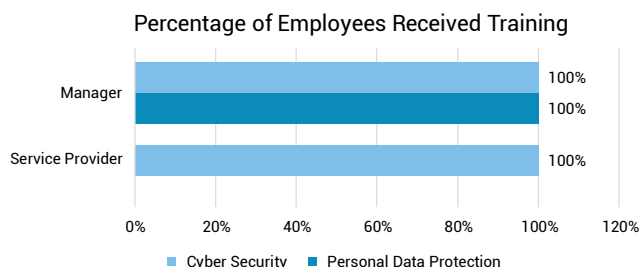
Complaint Concerning Breaches of Customer Privacy and Losses of Customer Data in 2024

Notably, during this period, there have been **no recorded complaint** regarding breaches of customer privacy or losses of customer data, underscoring the effectiveness of our data protection measure.



Training and Awareness

To foster a security-conscious culture, regular **security awareness training** sessions are conducted for all employees. These sessions educate staff on IT security best practices, data handling procedures, data protection, and recognizing potential cyber threats. Additionally, we disseminate information security newsletters and email reminders to reinforce key security concepts continuously.



On 25 October 2023, the "Management of Cyber Risk" training was held for Manager, followed by the "Cyber Security Awareness" session on 16 February 2024, which targeted both Manager and Service Provider. Additionally, on 27 November 2023, a training programme on "Personal Data Protection, Anti Money Laundering & Whistleblowing" was conducted for Manager. As of the dates these training programmes were held, all eligible employees attended, achieving a 100% attendance rate.

SUSTAINABILITY STATEMENT (CONT'D)

TRANSFORMING INTO LOW CARBON ASSETS

GRI3-3

LOW CARBON HIGHLIGHTS

Transforming into low carbon assets is essential for KIP REIT to ensure sustainability and resilience. By adopting low carbon practices, the Company aligns with investor expectations and market trends, attracting eco-conscious tenants and investors. This transformation not only enhances long-term asset value, operational efficiency, and corporate reputation but also contributes to a more sustainable and profitable business mode.

2024

ENERGY



Renewable Energy

58.59%

Increased

17,334 GJ generated



Total Energy Consumed

51,125 GJ
2024

WATER



Water Consumption

0.74%

Decreased

204,883 m³ generatedWater Intensity (m³/m²)
14%

Decreased

2024

EMISSIONS

Additional Scope 1
and Scope 3 disclosure

2024

WASTE



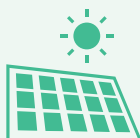
Recycled Waste

96.6

Tonnes

2025

TARGET



Upgrade of
Solar Panels

2025

TARGET



Installation of
Electric Vehicle (EV)
Chargers

SUSTAINABILITY STATEMENT (CONT'D)

CLIMATE RESILIENCE AND ENERGY EFFICIENCY

GRI3-3, 302-1, 305-1, 305-2, 305-3, 305-4



Energy efficiency is vital for sustainable development, addressing environmental, economic, and social challenges. By reducing greenhouse gas emissions, it helps mitigate climate change and improve public health. Promoting energy efficient practices in KIP REIT leads to cost savings, enhances quality of life, and supports equitable resource distribution, making it a cornerstone of global sustainability efforts.

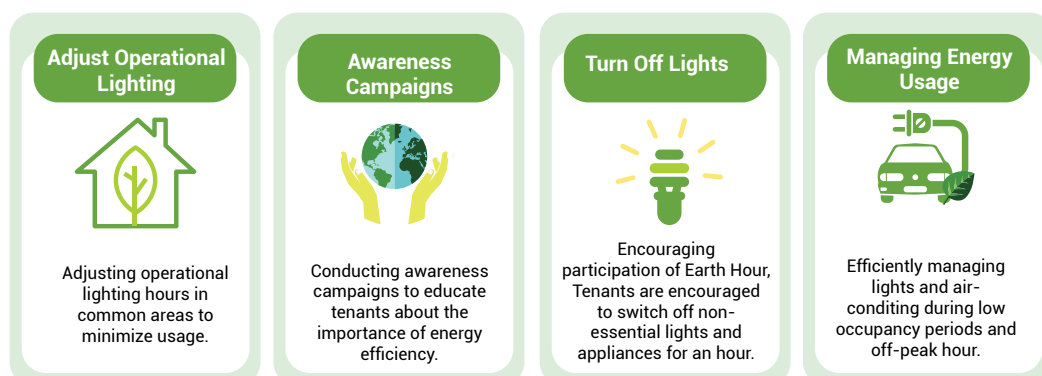
Enhancing Operational Energy Efficiency

At KIP REIT, we prioritize energy efficiency as a cornerstone of performance improvement, aiming to decrease carbon emissions and lower energy intensity. We have set specific energy intensity targets for our managed properties and continuously refine their energy performance through targeted initiatives. Throughout the year, we proactively involve stakeholders in promoting awareness of renewable energy use and integrate energy efficiency into operational practices to reduce our carbon footprint.

In KIP REIT, managing energy are achieved through:



In KIP REIT, we prioritize energy conservation to reduce waste and mitigate the increasing costs associated with energy consumption. Our efforts include:



These initiatives contribute to our overall strategy of reducing energy consumption and promoting sustainable practices across our properties.

SUSTAINABILITY STATEMENT (CONT'D)

Renewable Energy

The **Ministry of Energy and Natural Resources** is prepared to implement the Malaysia Renewable Energy Roadmap ("MyRER"), aiming for a 31% renewable energy ("RE") capacity by 2025. Transitioning to renewable energy represents a significant and practical step towards reducing carbon emissions and advancing towards net-zero emissions. Over the period, we actively decrease our reliance on non-renewable energy by implementing solar panels on our rooftops. Our engineering team continues to identify suitable locations, monitor energy consumption patterns, and explore innovative strategies for efficient energy management.



All KIPMalls in our portfolio are equipped with a solar photovoltaic system that generates solar energy. Our malls function on a system where 100% of all solar energy generated is utilised in mall operations, with the rest of our energy needs supplemented by electricity from the grid.

KIPMall Bangi, Kota Tinggi, Kota Warisan and Senawang also remained a participant in the Net Metering programme by the Sustainable Energy Development Authority ("SEDA") Malaysia which allowed for the distribution of excess solar power generated to surrounding communities.

Energy Consumption

Electricity Consumption (GJ)	2022	2023	2024
Grid-sourced Electricity Consumption	21,587	22,256	33,543
Renewable Energy Generated	11,794	10,930	17,334
Total	33,381	33,187	50,877

Fuel Consumption (GJ)	2022	2023	2024
Manager	N/A*	N/A*	116
Service Provider	N/A*	N/A*	132
Total	N/A*	N/A*	248

Note: *We initiate the data collection process in FY2024.

Energy consumption is calculated according to 2006 IPCC Guidelines for National Greenhouse Gas Inventories.

Annual Energy Consumption (GJ)	2022	2023	2024
Grid-sourced Electricity Consumption	21,587	22,256	33,543
Renewable Energy Generated	11,794	10,930	17,334
Fuel	N/A*	N/A*	248
Total	33,381	33,187	51,125

Note: *We initiate the data collection process in FY2024.

This year, KIP REIT recorded a 54% increase in annual energy consumption from FY2023 to FY2024. Electricity consumption rose by 53% across all malls during this period, mainly due to KIPMall Bangi and KIPMall Melaka. The significant rise in energy use is primarily attributed to the Asset Enhancement Initiatives ("AEI") conducted in FY2023, which temporarily disrupted mall operations and resulted in lower energy consumption during that period. Additionally, the completion of the acquisition and subsequent operation of KIPMall Kota Warisan in FY2024 contributed to the overall increase in energy consumption.

Furthermore, KIP REIT began recording fuel consumption in FY2024, demonstrating the Company's new commitment to accurately monitoring and reporting fuel consumption.

SUSTAINABILITY STATEMENT (CONT'D)

Green House Gases ("GHG") Emissions

As part of our commitment to enhancing climate resilience, we strive to mitigate and manage our GHG inventory, including detailed tracking of fuel purchases. In FY2024, we extended our record and disclosure to include Scope 1 and Scope 3 emissions.

Scope 1 GHG Emissions

Scope 1 emissions encompass those from Company cars, solar panels, and generators. However, in FY2024, we did not utilize any generators at our malls due to the stable and sufficient energy supply. Consequently, generator emissions were recorded at zero.

Scope 1 GHG Emissions (mtCO ₂ e)	2023	2024
Manager	0.48	0.55
Service Provider	0.47	0.52
Total	0.95	1.07

Scope 2 GHG Emissions

In this reporting period, we tracked our Scope 2 GHG emissions, which are classified as indirect emissions arising from the consumption of purchased power drawn from the grid sourced electricity, enabling us to track our progress and identify improvement opportunities.

Property (Mall)	Scope 2 GHG Emissions (mtCO ₂ e)		
	2022	2023	2024
KIPMall Bangi	1,093	1,139	1,739
KIPMall Masai	776	960	1,318
KIPMall Kota Tinggi	151	178	269
KIPMall Tampoi	558	379	545
KIPMall Melaka	665	786	1,210
KIPMall Senawang	265	175	317
KIPMall Kota Warisan*	N/A*	N/A*	1,664
Total	3,508	3,617	7,062

Note: *The acquisition of KIPMall Kota Warisan was completed in February 2024.

Property (Mall)	Scope 2 GHG Emissions Intensity (mtCO ₂ e/m ²)		
	2022	2023	2024
KIPMall Bangi	0.034	0.035	0.065
KIPMall Masai	0.034	0.042	0.090
KIPMall Kota Tinggi	0.014	0.017	0.037
KIPMall Tampoi	0.026	0.017	0.034
KIPMall Melaka	0.026	0.031	0.045
KIPMall Senawang	0.016	0.011	0.029
KIPMall Kota Warisan*	N/A*	N/A*	0.093
Total	0.150	0.153	0.394

Note: *The acquisition of KIPMall Kota Warisan was completed in February 2024.

Due to the increased electricity consumption in 2024, KIP REIT's total Scope 2 GHG emissions intensity rose by 158% from FY2023 to FY2024. This increase reflects our expanding operations and the successful opening of new facilities. As we grow, we are committed to implementing energy efficient technologies and sustainable practices to mitigate future emissions.

SUSTAINABILITY STATEMENT (CONT'D)

Scope 3 GHG Emissions

In 2024, the Manager began tracking our Scope 3 GHG emissions, which cover Category 6 Business Travel and Employee Commuting. We will explore expanding the monitoring of Scope 3 GHG emissions to include emissions from our value chain.

Scope 3 GHG Emissions (mtCO ₂ e)	2023	2024
Employee Commuting		
Manager	16.36	7.10
Service Provider	96.14	95.05
Business Travel		
Manager	0.00	1.30
Service Provider	0.26	0.42
Total	112.76	103.87

Moving Forward

KIP REIT has targeted to

- Reduce the energy consumption by 1%
- Reduce Scope 1 and Scope 2 emissions by 1%

Looking ahead to FY2025, KIP REIT plans to acquire a facility management system to continue its role as a global citizen by implementing the following **initiatives**:



Upgrade of Solar Panels

We plan to upgrade the capacity of solar panels installed in our malls to generate more green energy, reinforcing our commitment to sustainability and reducing carbon footprint.



Electric Vehicle (EV) Chargers

We will install EV Chargers across all seven of our malls, aligning with our commitment to sustainability and supporting the growing demand for Electric Vehicles.



SUSTAINABILITY STATEMENT (CONT'D)

WASTE MANAGEMENT

GRI3-3, 306-1, 306-2, 306-3, 306-4, 306-5



In this era of extensive global development, waste generation is an inevitable consequence of industrial and commercial activities. Improper management of resources can lead to resource depletion, environmental degradation, and result in negative economic implications. With rapid development and urbanisation, we need to turn to a circular economy to maximise the recovery of valuable finite resources and reduce the risk of pollution.

Municipal waste constitutes a significant portion of the waste generated by the occupants of our properties. Inefficient waste management practices, such as unsystematic segregation and illegal disposal, pose serious environmental risks, including air, water, and soil contamination. Therefore, optimizing site waste management is crucial for safeguarding both environmental health and community well-being.

Waste Management Practices

We monitor our waste generation and disposal avenues in our efforts to reduce waste and pollution. We strive to minimise unnecessary consumption and waste, whilst continuously exploring innovative solutions and collaboration opportunities that lead the transition to a circular economy.

The Manager rigorously enforces proper waste handling protocols to minimize our environmental impact and prevent potential health and safety issues for our stakeholders. The Property Management Team is tasked with overseeing waste management practices across the Fund's multi-tenanted properties. The types of waste generated in our operations include the following:

Waste *directed* to disposal

General waste which are non-recyclable items, is generated from the multi-tenanted buildings in our portfolio. We are dedicated to managing all waste responsibly and comply strictly with local waste regulations. Licensed contractors, operating under the Solid Waste and Public Cleansing Management Act 2007, are employed to collect and dispose of this waste at designated landfills. These contractors collect the general waste daily. Each collection is weighed and recorded by the contractors, with monthly summaries provided to the Manager for acknowledgment.

Waste *diverted* from disposal

Recyclable waste, such as empty boxes, plastic bottles, and paper, is generated from our operations and our tenants. The Manager is committed to enhancing recycling efforts across all properties. To facilitate this, we have designated specific areas for the disposal of recyclable waste within our buildings. Recyclable waste is collected weekly by authorized collectors, who weigh and document the volume of collected waste. These records are then provided to the Manager for review and acknowledgment.

SUSTAINABILITY STATEMENT (CONT'D)

Waste Management in FY2024

To monitor on total waste generated, The Manager does not possess waste data as waste disposal is managed by the building's management. It's noteworthy that the waste generated is minimal.

In August 2023, the Service Provider began collecting waste data for recording and monitoring the waste generated and recycled. It is noted that in FY2024, 1.65% of the waste generated are recycled.

Property (Mall)	Total Waste Generated (RM)		
	2022	2023	2024
KIPMall Bangi	40,280	16,340	61,560
KIPMall Masai	146,400	145,600	146,400
KIPMall Kota Tinggi	78,475	78,260	78,690
KIPMall Tampoi	146,400	145,600	146,400
KIPMall Melaka	48,500	25,367	42,320
KIPMall Senawang	38,400	36,600	35,400
KIPMall Kota Warisan*	N/A*	N/A*	48,750
Total	498,455	447,767	559,520

Note: *The acquisition of KIPMall Kota Warisan was completed in February 2024.

2024	General Waste (Tonne)	Recycle Waste (Tonne)
KIPMall Bangi	648	5.12
KIPMall Masai	1,796	31.17
KIPMall Kota Tinggi	730	13.43
KIPMall Tampoi	1,450	34.76
KIPMall Melaka	392	3.31
KIPMall Senawang	354	0.02
KIPMall Kota Warisan	390	8.78
Total	5,760	96.59

Moving Forward

KIP REIT has targeted to

- Increase the recycling rate by 5%
- Reduce non-recycled waste by 10%

RESPONSIBLE RESOURCE USE

GRI3-3



As a Company, responsible resource use is crucial for sustaining our operations and safeguarding the environment. Efficient management of resources reduce costs and enhance productivity while minimizing our ecological footprint. By optimizing resource utilization, we not only preserve natural assets for future generations but also contribute to a healthier planet. This commitment extends to our supply chain, where we encourage sustainable practices among our partners. Embracing responsible resource use aligns with our corporate values, supports long-term growth, and reinforces our role as a conscientious corporate citizen dedicated to fostering a sustainable future for all.

SUSTAINABILITY STATEMENT (CONT'D)

Resource Management

Reducing the use of non-renewable resources is integral to our commitment to the global journey towards carbon neutrality. To promote prudent resource consumption, we are dedicated to minimizing our overall usage by implementing paper-saving measures such as:



Paper Consumption (kg)	2022	2023	2024
KIP REIT KL	11,040	18,275	49,703
KIPMall Bangi	10,056	16,813	13,270
KIPMall Masai	105,070	47,264	15,383
KIPMall Kota Tinggi	16,477	26,660	19,871
KIPMall Tampoi	24,350	27,644	19,190
KIPMall Melaka	14,134	14,372	26,242
KIPMall Senawang	5,996	6,313	6,355
KIPMall Kota Warisan*	N/A*	N/A*	7,630
Total	187,123	157,341	157,644

Note: *The acquisition of KIPMall Kota Warisan was completed in February 2024.

In FY2024, the overall paper consumption recorded with a slight increase of 303kg. This is mainly contributed by KIP REIT KL and KIPMall Melaka. KIP REIT KL experienced a significant increase in paper usage, rising from 18,275kg in 2023 to 49,703kg in 2024, due to centralizing the printing of the notice of assignments ("NOA") for KIPMall Kota Tinggi and KIPMall Kota Warisan pursuant to the proposed third issuance of the medium term notes ("MTN") ("Issue 3") under the existing MTN programme, in fulfilment of conditions subsequent set out in the transaction documents under Issue 3.

Additionally, KIPMall Melaka saw a slight increase in paper usage, rising by 11,870 kg from 2023 to 2024, primarily due to the renewal of tenancy agreements, signing of new tenancy agreements and printing of the NOA for Issue 3.

SUSTAINABILITY STATEMENT (CONT'D)

Installation of Smart Solution for Facility Operations and Management

As highlighted under Operational Performance, we plan to implement a smart solution for facility operations and management in FY2025. This system will encompass issue, incident, and work order management, aiming to enhance both operational and financial efficiency while improving tenant convenience.

The digitalization of tenant management is expected to significantly reduce paper usage, with all tenant management activities being tracked and reviewed online.

WATER STEWARDSHIP

GRI2-4, 3-3, 303-1, 303-3, 303-5



Water scarcity currently affects 40% of the global population, making water conservation a critical focus for the property sector's sustainability efforts. Recognizing the importance of efficient water management, KIP REIT acknowledges that a reliable supply of water is essential not only for our operations but also for our tenants. Our water usage supports vital functions such as air-conditioning, sanitation, cleaning, and construction, while also enabling our tenants to conduct their business effectively. Therefore, responsible water management is a key aspect of our commitment to sustainability.

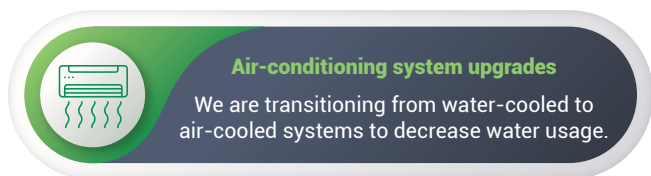
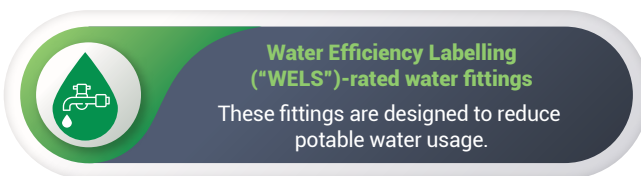
Water Saving Initiatives

We withdraw our water from municipal potable sources. KIP REIT shows dedication to optimizing water consumption across our properties and promoting long-term water sustainability.

We actively engage our tenants, customers, service providers, and cleaners in responsible water use through educational posters displayed in public areas.

Our water management strategy emphasizes conservation and efficiency. We encourage daily water-saving practices and maintain a vigilant approach to monitoring for undetected leaks, improper wastewater treatment, and excessive water use. These practices help prevent significant financial and environmental costs.

To achieve these goals, we implement various initiatives:



Additionally, we work to minimize the impact of water disruptions on our tenants' and our own daily operations.

We are installing additional tanks and increasing tank storage capacities to ensure better preparedness for any water shortages.

SUSTAINABILITY

STATEMENT (CONT'D)

Property (Mall)	Water Consumption (m ³)		
	2022 (Restated)	2023 (Restated)	2024
KIPMall Bangi	33,136	36,521	24,832
KIPMall Masai	29,938	32,901	29,780
KIPMall Kota Tinggi	21,268	21,882	17,376
KIPMall Tampoi	69,294	48,078	41,021
KIPMall Melaka	47,224	54,895	47,030
KIPMall Senawang	13,509	12,143	7,567
KIPMall Kota Warisan*	N/A*	N/A*	37,277
Total	214,369	206,420	204,883

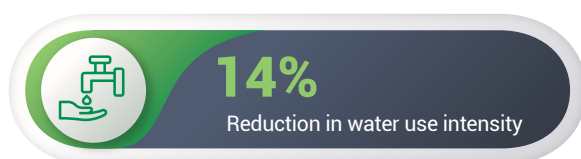
Note: *The acquisition of KIPMall Kota Warisan was completed in February 2024.

Water Intensity

Property (Mall)	Water Use Intensity (m ³ /m ²)		
	2022 (Restated)	2023 (Restated)	2024
KIPMall Bangi	1	2	1
KIPMall Masai	2	2	2
KIPMall Kota Tinggi	3	3	2
KIPMall Tampoi	4	3	3
KIPMall Melaka	3	3	2
KIPMall Senawang	1	1	1
KIPMall Kota Warisan*	N/A*	N/A*	2
Total	15	14	12

Note: *The acquisition of KIPMall Kota Warisan was completed in February 2024.

To monitor on total water consumption, The Manager does not possess water data as water intensity is managed by the building's management. It's noteworthy that the water consumption is minimal.



In FY2024, we restated the water consumption and water intensity disclosures to exclude tenant water usage. This exclusion allows KIP REIT Management to better monitor and manage their own water consumption.

In FY2024, despite the addition of KIPMall Kota Warisan, we managed to reduce water consumption by 0.74% and water intensity by 14%. Significant reductions in water usage at KIPMall Bangi (32%), KIPMall Senawang (38%), and KIPMall Kota Tinggi (21%) contributed to this overall improvement. The reduction at KIPMall Bangi was primarily due to the installation of Water Efficiency Labelling ("WELS") rated water fittings, which led to water savings during the period. The decreases in water consumption at the other malls were mainly due to minimal operations during the Asset Enhancement Initiatives ("AEIs"). The AEIs, which involved modernizing sanitary facilities and optimizing toilet operations, significantly reduced water consumption during the period.

Moving Forward

KIP REIT has targeted to

- Reduce water consumption by 1%

SUSTAINABILITY STATEMENT (CONT'D)

NURTURING TALENT AND COMMUNITY ENGAGEMENT

GRI3-3

TALENT AND COMMUNITY ENGAGEMENT HIGHLIGHTS

We recognise that people are key to attaining our long-term objectives. At KIP REIT, our commitment to creating positive social impacts and fostering thriving communities is centred on people. We endeavour to cultivate meaningful connections with our staff members by promoting an appealing and healthy work environment that supports a culture of sustainability and responsibility.

2024

HUMAN RIGHTS



0
DISCRIMINATION AND
HUMAN RIGHTS
VIOLATION REPORTED

2024

SUPPLIER ASSESSMENT

Assessed on
ESG
Criteria

2024

SAFETY AND
HEALTH

0
INJURIES AND
FATALITY

2024

WOMAN
EMPOWERMENT

>50% **WOMEN**
Senior Management
>30% **WOMEN**
Directors

2024

EMPLOYEE
SATISFACTION

11% **INCREASE**
in employee
satisfaction in 2024

2024

SUPPLY CHAIN
MANAGEMENT

100%

**LOCAL
PURCHASES**

2024

CSR
PROGRAMMES

Supported
7,002
beneficiaries

2024

TRAINING
HOURS

2,408
training
hours recorded

SUSTAINABILITY STATEMENT (CONT'D)

HUMAN RIGHTS AND LABOUR STANDARDS

GRI2-16, 2-23, 2-24, 2-25, 3-3, 401-3, 406-1, 408-1, 411-1



At KIP REIT, we maintain a steadfast commitment to upholding human rights and ethical principles across our operations. Central to this commitment is our adherence to the Labour and Human Rights Policy, which is an integral part of our Code of Conduct. These standards underscore our dedication to fostering a workplace culture that values fairness, respect, and integrity in every aspect of our business operations.

Compliance and Ethical Culture

We maintain rigorous standards to ensure compliance with relevant laws in recent fiscal years. Upholding a strong ethical culture is paramount, supported by policies like our Sexual Harassment Policy designed to prevent workplace harassment and intimidation.

Labour and Human Rights Policy

KIP REIT's Labour and Human Rights Policy underscores their commitment to creating a fair and respectful workplace. The Company strictly prohibits forced and child labour and emphasizes the importance of non-discrimination in all employment practices. KIP REIT prioritizes local employment, particularly for underprivileged communities, and adheres to minimum wage regulations. Responsibility for upholding these standards is distributed across all levels of the organization, maintaining a strong stance against any form of discrimination.

Adherence to Minimum Wage Regulations

The Company strictly complies with the Minimum Wage Order as mandated by the Malaysian Government, including the most recent update which has come effective from April 2022. This policy is applied fairly across the organization, irrespective of age, gender, nationality, ethnicity, sexual orientation, disability, or political affiliations.

Safe and Respectful Workplace

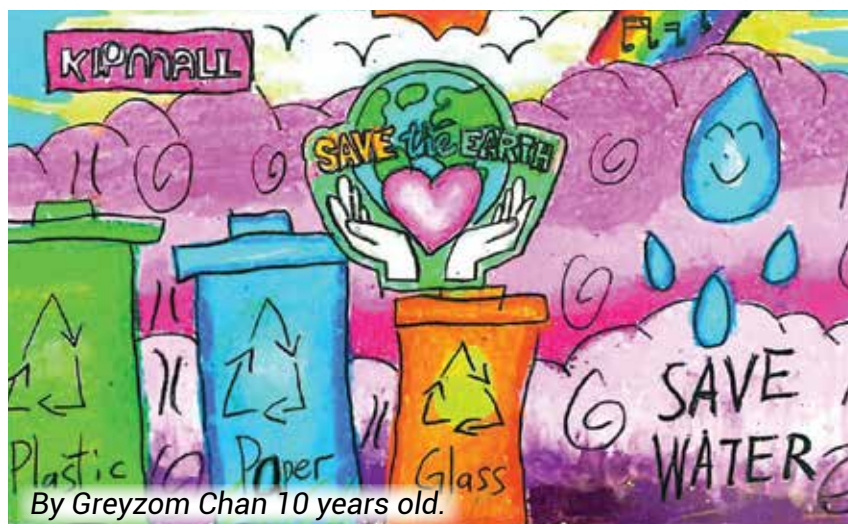
Creating a safe and respectful workplace is a cornerstone of KIP REIT's approach. The REIT maintains a strong ethical culture through its comprehensive Sexual Harassment Policy. This Policy is designed to prevent sexual violence, harassment, and intimidation, ensuring that all employees feel secure and respected at work.

0%

Incident Reported
on Discrimination &
Human Rights
Violation

Grievance Mechanisms

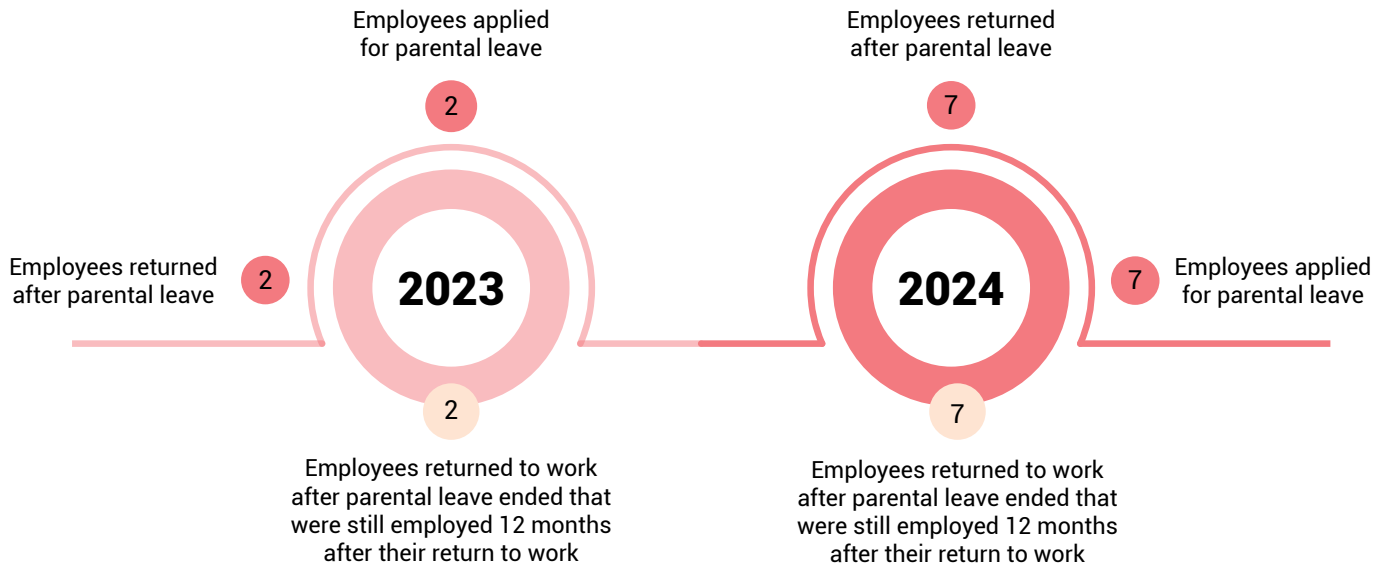
KIP REIT has well-established grievance procedures and whistleblowing channels accessible to both employees and external parties. Employees who report misconduct are guaranteed confidentiality and are protected against any adverse or detrimental actions as a result of their disclosures.



SUSTAINABILITY STATEMENT (CONT'D)

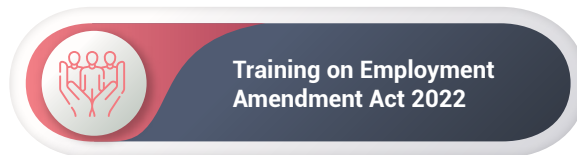
Family-Friendly Policies

KIP REIT implements family-friendly policies in compliance with the Employment Act 1955, ensuring that all employees are eligible for parental leave. This supports employees' work-life balance and demonstrates KIP REIT's commitment to fostering a family-oriented workplace.



Promotion of Human Rights

In addition to these efforts, KIP REIT actively works to promote human rights through ongoing education and training.



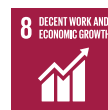
- Labour and Human Rights Policy Briefing
- Employee Code of Conduct Briefing
- Labor and Human Rights Policy Briefing

Educate the workforce on human rights issues, ensuring long-term prevention of human rights abuses.

SUSTAINABILITY STATEMENT (CONT'D)

DIVERSITY AND INCLUSION

GRI2-7, 3-3, 405-1



At KIP REIT, diversity and inclusion are integral to our operational standards, driving innovation and enriching our workplace. Our commitment to non-discrimination ensures equitable opportunities in career development, remuneration, benefits, and employee welfare. Embracing diversity in gender, ethnicity, and cultural backgrounds fosters an inclusive environment where varied perspectives, backgrounds, and experiences are valued. We leverage the unique skills and leadership styles of our team members to create meaningful environmental and social impacts. KIP REIT is committed to fostering an inclusive and diverse environment that drives success and innovation. This year, we have taken significant steps to strengthen our approach to diversity and inclusion, reflecting our belief that a diverse workforce is essential for our growth and excellence.

Commitment to Non-Discrimination

At KIP REIT, we uphold a firm commitment to non-discrimination across all aspects of our operations. We do not tolerate discrimination based on ethnicity, age, gender, nationality, cultural background, political affiliation, religious affiliation, marital status, education, disability, or geographic representation.

Diversity Policy

Our new **Diversity Policy** is a cornerstone of this commitment. The Policy emphasizes the critical importance of diversity and inclusion for the Company's success. This Policy applies to the Board of Directors and Senior Management, with a strong focus on integrating diversity into our recruitment and development processes.

Responsibilities of Nomination and Remuneration Committee ("NRC")

- Oversee the application and implementation of the Policy.
- Reports annually on our progress to the Board.
- Periodically reviews the Policy, ensuring it meets the evolving needs of our organization.

Commitment of the Board

The Board ensures transparency by disclosing the Company's Diversity Policy in the Annual Report, with a particular highlight on gender diversity.

Inclusive Workforce Development Programmes

In 2024, we have also introduced various training Programmes designed to create a more inclusive workplace. These initiatives include the following training:



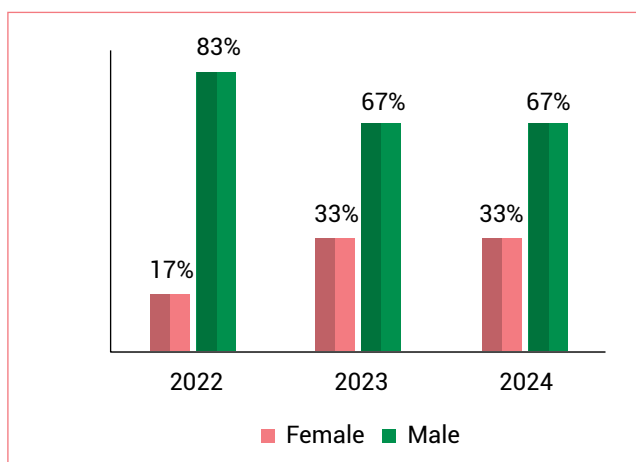
SUSTAINABILITY STATEMENT (CONT'D)

Diversity Goals

We believe that a diverse Board enhances decision-making by preventing groupthink, with a strong focus on merit and functional expertise. These goals underscore our dedication to creating a diverse leadership team that reflects our values and drives our success.

Board Diversity

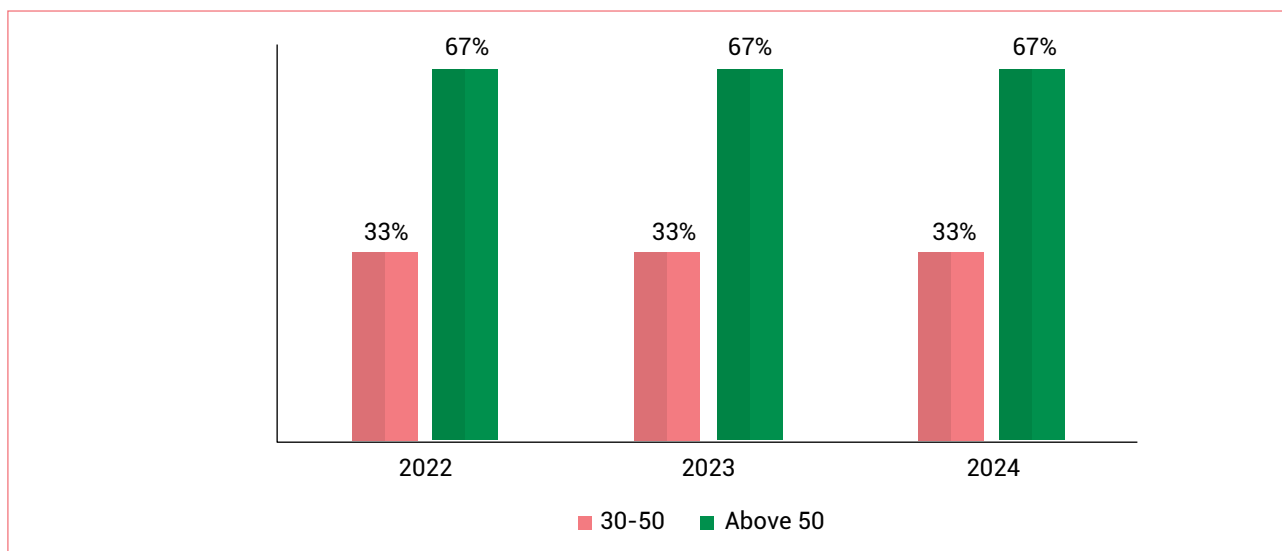
Board's Gender Diversity



>30%
Women Representative for
Board of Director

Looking to the future, KIP REIT aims to maintain **more than 30%** women's representation on the Board.

Board's Age Diversity



SUSTAINABILITY STATEMENT (CONT'D)

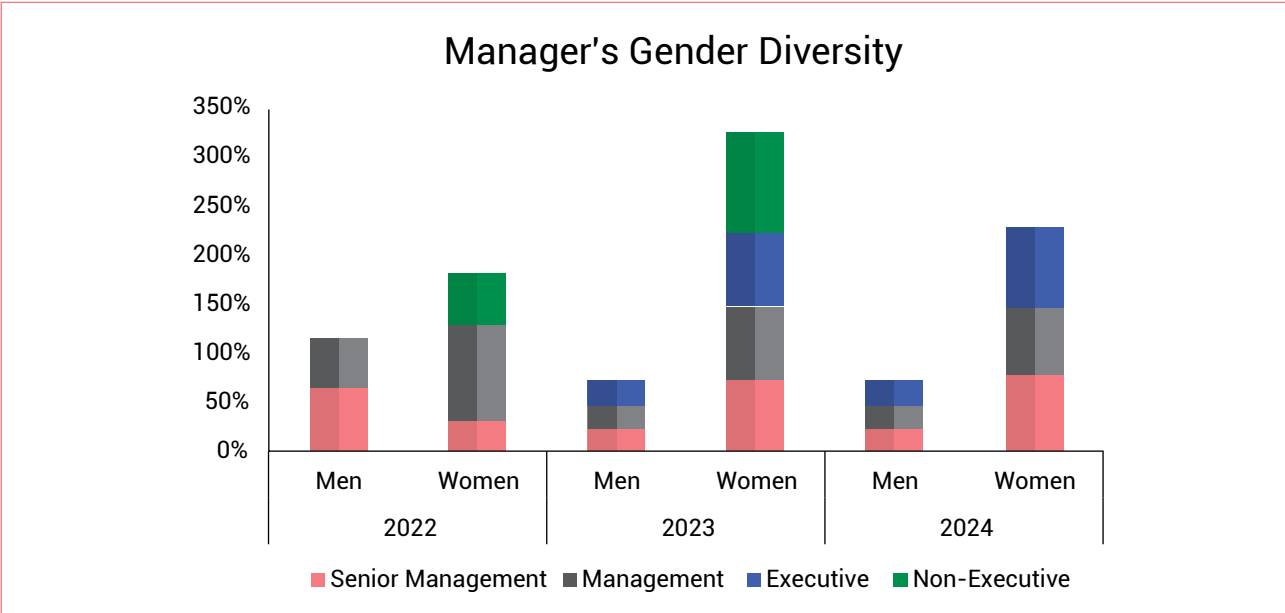
Employee Diversity

>50%
Women Representative for Senior Management

Attracting, recruiting, and retaining qualified talent with sector-specific expertise will ensure our future business success. We actively embrace equitable and impartial employment practices to build a gender-balanced, inclusive organisation with diverse perspectives that strongly supports innovation. We also prioritise cooperation and mutual understanding as we foster a culture of zero tolerance for any form of discrimination throughout the REIT.

The Manager places a high value on gender diversity due to its beneficial impact on business performance. As a result, we are continuously striving to increase female representation.

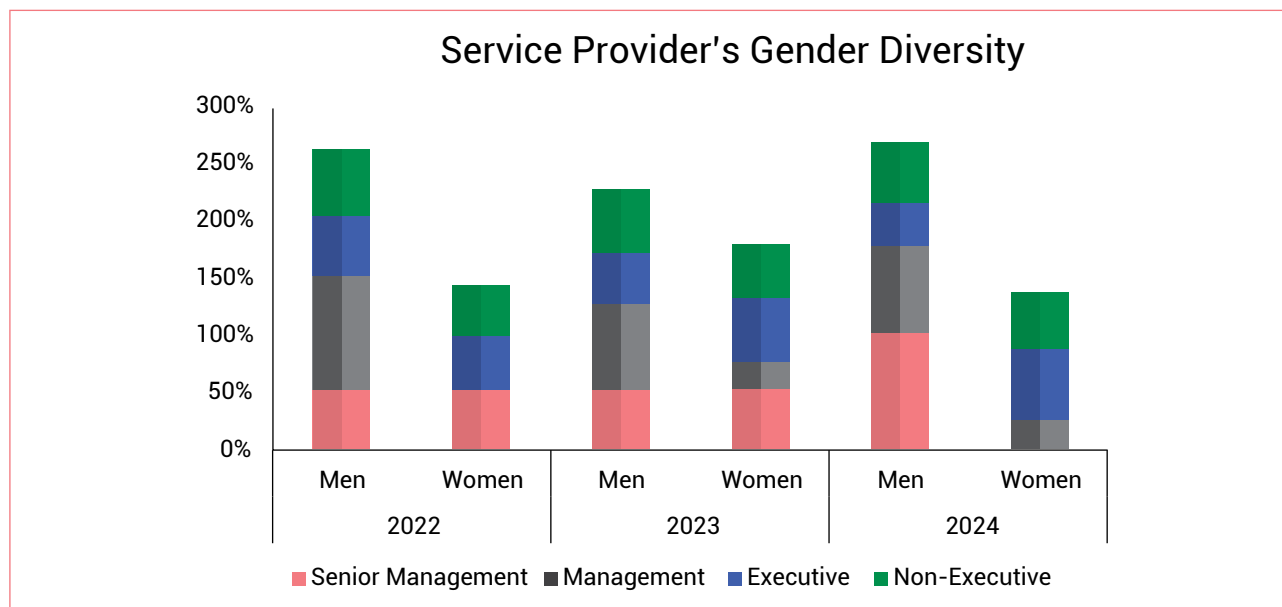
Manager's Gender Diversity



Job Category	2022		2023		2024	
	Men	Women	Men	Women	Men	Women
Senior Management	67%	33%	25%	75%	25%	75%
Management	0%	100%	25%	75%	33%	67%
Executive	0%	0%	25%	75%	14%	86%
Non-Executive	50%	50%	0%	100%	0%	0%

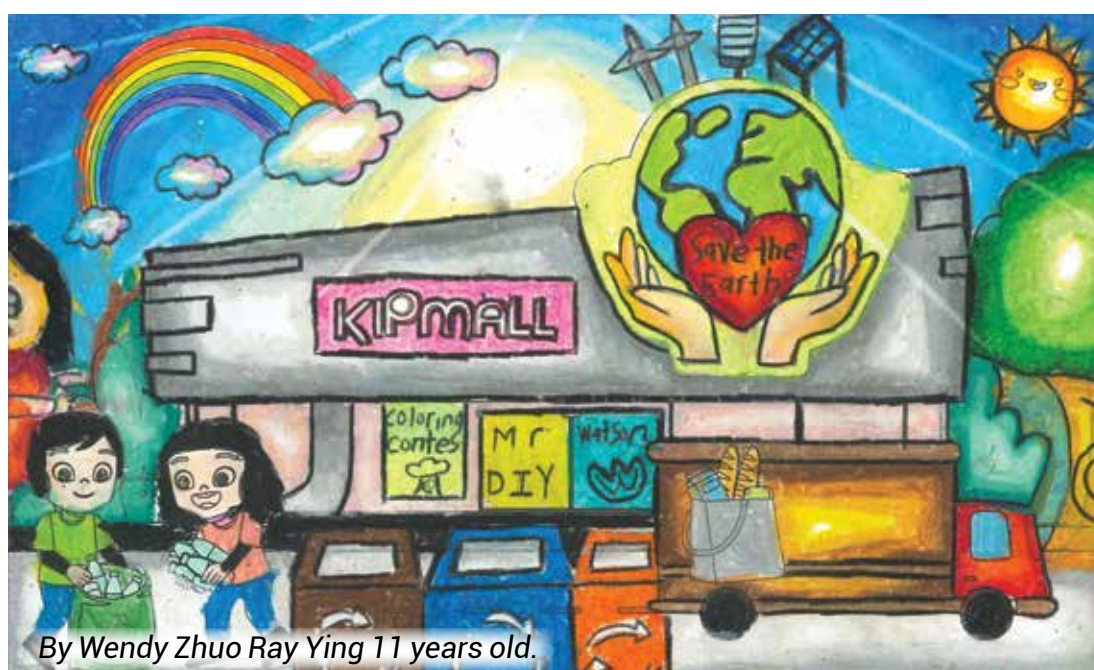
SUSTAINABILITY STATEMENT (CONT'D)

Service Provider's Gender Diversity



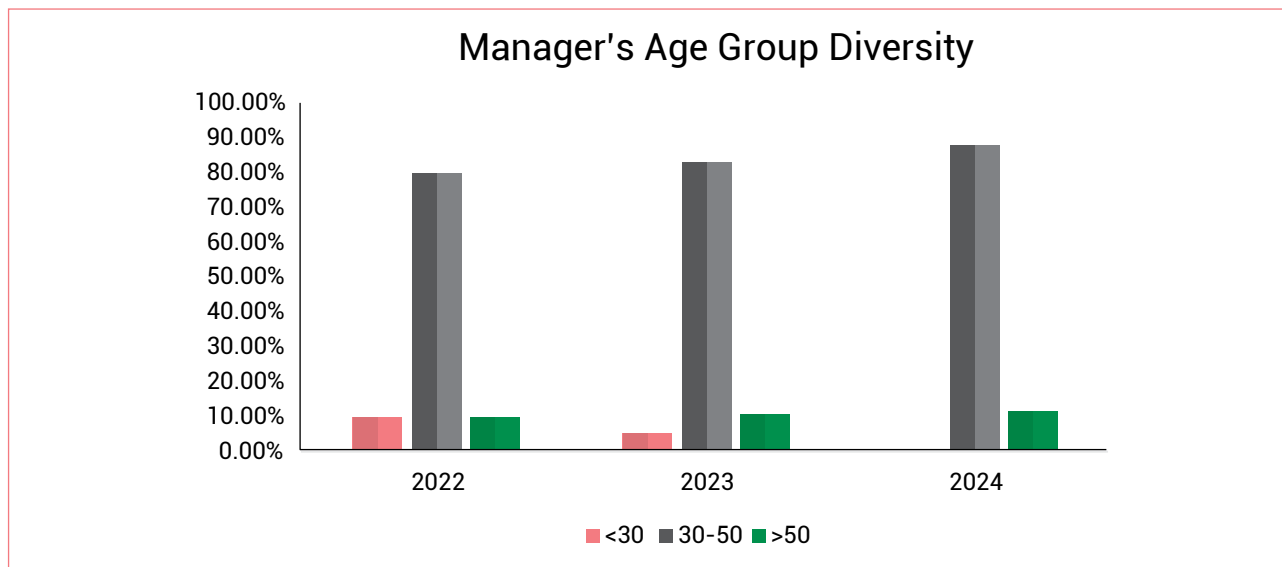
Job Category	2022		2023		2024	
	Men	Women	Men	Women	Men	Women
Senior Management	50%	50%	50%	50%	100%	0%
Management	100%	0%	75%	25%	77%	23%
Executive	52%	48%	45%	55%	34%	66%
Non-Executive	58%	43%	54%	46%	53%	47%

In FY2024, the Manager's workforce comprised of 4 (24%) men and 13 (76%) women, while the Service Provider had 47 (52%) men and 44 (48%) women in their employment which reflects the commitment of KIP REIT in maintaining gender equality. Looking to the future, KIP REIT aims to continue maintaining more than 50% of women's representation in Senior Management.



SUSTAINABILITY STATEMENT (CONT'D)

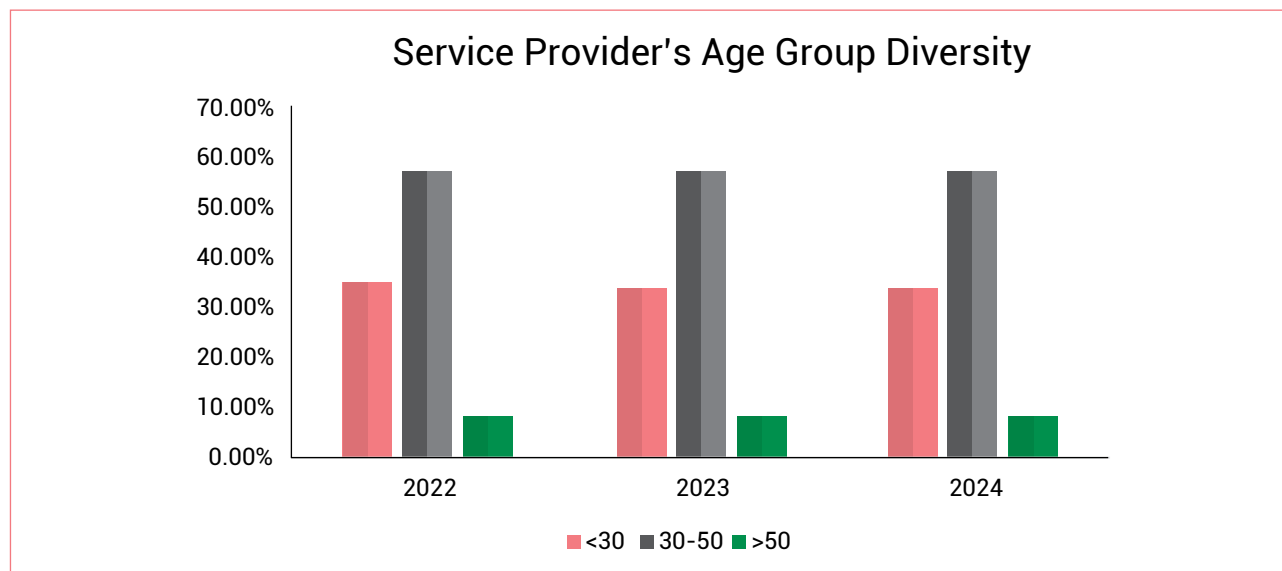
Manager's Age Group Diversity



Employee by Employment Type-Manager

Type	2022	2023	2024
Permanent	100%	100%	94%
Contract	0%	0%	6%

Service Provider's Age Group Diversity



Employee by Employment Type - Service Provider

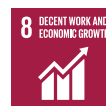
Type	2022	2023	2024
Permanent	69%	71%	89%
Contract	31%	29%	11%

SUSTAINABILITY STATEMENT (CONT'D)

KIP REIT is committed to hiring permanent employees. As a result, the percentage of contract staff for Service Provider has significantly decreased from 29% to 11%, due to the transfer of contract employees to permanent positions during this period.

EMPLOYEE HEALTH, SAFETY AND WELLBEING

GRI3-3,401-1, 401-2, 403-1, 403-2, 403-3, 403-4, 403-5, 403-6, 403-8, 403-9



Occupational Health and Safety

At KIP REIT, the safety and health of our employees, ground staff, mall patrons, and all stakeholders are paramount. We recognize that a secure and healthy workplace is essential not only for preventing injuries and illnesses but also for boosting overall efficiency and productivity. Ensuring a safe work environment helps us avoid potential health issues and enhances the effectiveness and output of our operations. Prioritizing the health and safety of everyone associated with KIP REIT strengthens our organization, building trust and reliability among our stakeholders.

Occupational Safety and Health ("OSH") Policy

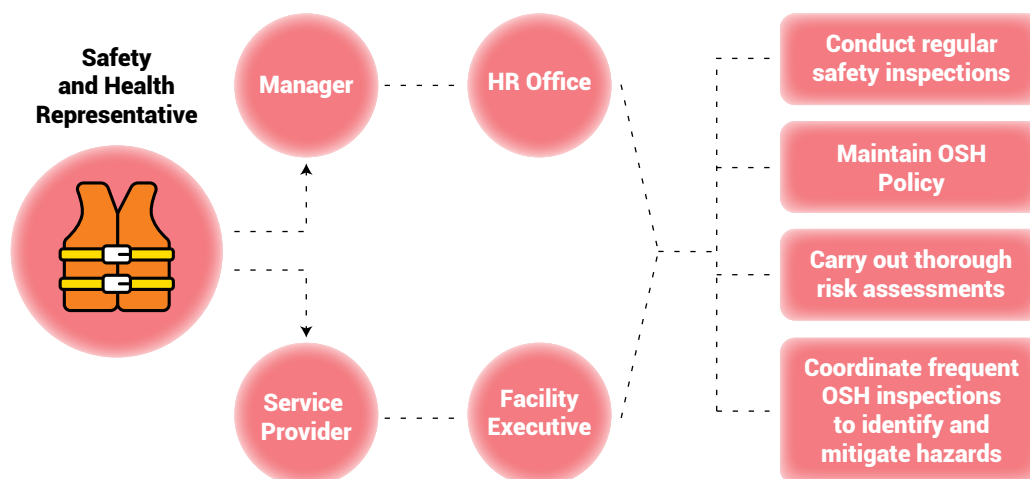
Our Policy:

✓	Align with the Occupational Safety and Health Act 1994
✓	Define processes for identifying and assessing health and safety hazards, ensuring accountability
✓	Develop actionable plans to address potential risks
✓	Include fire safety, hygiene protocols, and waste disposal procedure

Health and safety are integral to our operations, deeply embedded in our daily business practices to ensure our team members can work confidently and effectively. By proactively integrating OSH principles, we mitigate risks and foster a supportive atmosphere that enhances overall wellbeing.

Safety Management and Employee Engagement

To ensure consistent health and safety practices across all our properties and their effective implementation, we have appointed dedicated Safety and Health Representatives for both Manager and Service Provider.



SUSTAINABILITY STATEMENT (CONT'D)

Safety and Health Trainings

Regular OSH training sessions are conducted to educate employees on safety and health practices, reinforcing their importance in our daily operations. In FY2024, the following training sessions were organized to enhance health and safety awareness:

Programme	No. of Participants
Manager	
Occupational Safety and Health Training	9
The Awareness of Wellness and Mental Health at Work	11
1RAPi & Seminar Pencegahan Kebakaran	10
Total	30

Programme	No. of Participants
Service Provider	
Seminar Keselamatan Kebakaran	15
Briefing on Occupational Safety & Health	73
KMKT - ERT	11
KMBG - ERT	9
KMT - ERT	14
KMM - ERT	15
Seminar Organisasi Keselamatan Kebakaran bagi Premis Ditetapkan (FC) Tahun 2024	2
Total	139

Incident Reporting and Investigation Process

We maintain an Accident/Incident Report Form to document any injuries or incidents. In the event of an injury, this Form must be submitted to the Safety and Health Representative, who will then investigate the incident and report the findings to management.

We are pleased to report that in FY2024, there were no incident of work-related accidents or fatalities.

Details	2022	2023	2024
Manager			
Number of Hours Worked	N/A	21,552	24,156
Number of Work-Related Fatalities	N/A	0	0
Number of recordable work-related injuries including fatalities	N/A	0	0
Service Provider			
Number of Hours Worked	N/A	160,512	178,980
Number of Work-Related Fatalities	N/A	0	0
Number of recordable work-related injuries including fatalities	N/A	0	0

Employee Wellbeing

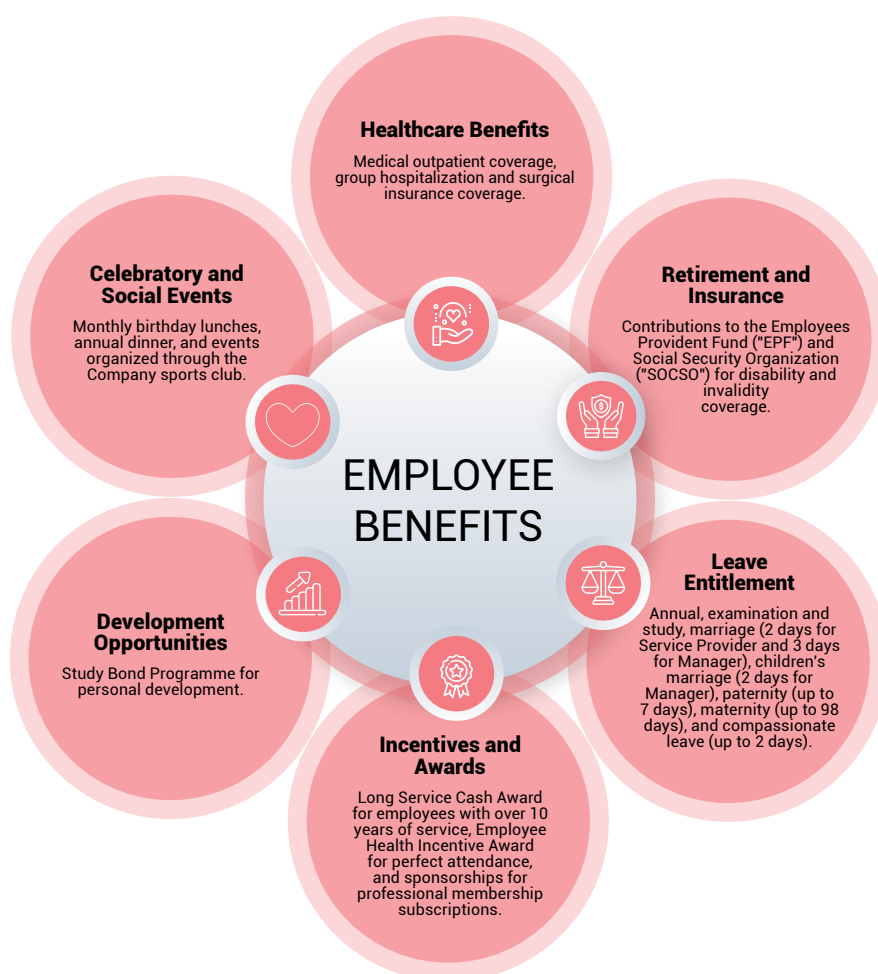
We deeply value our employees, who have been instrumental in the Company's growth and success. The Manager views talent attraction and retention as crucial for fostering a high-performance culture. We are dedicated to creating a work environment that attracts exceptional talent and provides our employees with comprehensive benefits. By prioritizing a fair and supportive working environment, we aim to ensure a healthy worklife balance for all team members. Our commitment extends to developing values and practices that nurture our workforce and sustain our continued growth and success.

SUSTAINABILITY STATEMENT (CONT'D)

Fostering an Engaging and Supportive Workplace Culture

The Manager is dedicated to fostering a workplace culture that promotes high job satisfaction and encourages employee engagement. By providing the right tools and resources, we facilitate cross-collaboration within the Company, enabling us to develop sustainable business solutions and deliver exceptional services.

To support job satisfaction and meaningful careers, KIP REIT offers a comprehensive range of benefits to all employees, whether permanent or contract. Our competitive compensation packages are benchmarked against industry standards and market conditions. Beyond mandatory medical insurance and social security contributions, our employee benefits include:



We prioritize employee engagement through structured interactions. **Monthly Complex Management Meetings ("CMM")** between the Manager, Service Provider, and the Management team ensure that employee performance and challenges are addressed. This platform allows all voices to be heard and fosters a collaborative environment aimed at achieving the Company's goals.

SUSTAINABILITY STATEMENT (CONT'D)

Enhancing Wellbeing Through Inclusive Activities at KIP REIT

Festive Events



CNY Lion Dance

In the FY2024, KIP REIT demonstrated its unwavering commitment to enhancing staff wellbeing and fostering a supportive, inclusive work environment through a diverse array of thoughtfully organised activities. Recognizing and celebrating the rich cultural tapestry that makes Malaysia unique, we placed a strong emphasis on commemorating various multiracial festivals, viewing these occasions as invaluable opportunities to bring our employees together and strengthen the bonds within our diverse workforce.



Break Fast Event

One of the highlights of our cultural celebrations was the vibrant Chinese New Year Get-Together. The event featured a lively and captivating lion dance performance, a traditional symbol of good luck and prosperity. This spectacle was not confined to a single location but was strategically organized at both our KIP REIT Kuala Lumpur office and across our KIPMalls. Employees from various departments and backgrounds gathered to watch the performance, sharing in the joy and cultural significance of the event.

This celebration served not only as an entertaining spectacle but also as a powerful tool for cultural exchange, allowing non-Chinese employees to gain a deeper appreciation for their colleagues' traditions and fostering a sense of unity across diverse backgrounds.

SUSTAINABILITY STATEMENT (CONT'D)

As the year progressed, our commitment to cultural inclusivity continued to shine through our celebration of Ramadan and Hari Raya, significant events in the Islamic calendar that hold great importance for many of our Muslim employees. Recognizing the dual nature of these observances, the fasting month of Ramadan followed by the joyous celebration of Hari Raya, we tailored our events to respect and honor these traditions.

KIP REIT KL took the initiative to organize a special Raya lunch at KIP Hotel, featuring a wide array of traditional Malay delicacies, beautifully presented to reflect the importance of the occasion. This event allowed our Muslim employees to celebrate their traditions while also providing an opportunity for non-Muslim staff to participate and learn more about Islamic culture.



KIP Hari Raya Celebration

Complementing this lunch, our Service Provider organized a break fast event, ensuring that all employees, regardless of their work location or schedule, had the opportunity to participate in the Ramadan and Hari Raya festivities. This thoughtful addition to our celebrations underscored our commitment to inclusivity, recognizing that true unity comes from ensuring every member of our team feels valued and included.

As we reflect on the success of these initiatives in FY2024, KIP REIT remains committed to continuing and expanding our efforts to celebrate diversity, promote inclusivity, and enhance employee wellbeing. We recognize that our strength lies in the diverse perspectives and experiences of our workforce, and we are dedicated to creating an environment where every employee feels a sense of belonging and appreciation.

Monthly Staff Lunches and Birthday Celebrations



Monthly Staff Lunch & Birthday Lunch Celebration

At KIP REIT, we believe in fostering a strong sense of community and camaraderie among our employees, which is why we have implemented a cherished tradition of Monthly Staff Lunches and Birthday Celebrations. These gatherings serve a dual purpose: they provide an opportunity for team members to step away from their desks and connect with colleagues in a relaxed setting, while also recognizing and celebrating the personal milestones of our staff.

SUSTAINABILITY STATEMENT (CONT'D)

Each month, we come together as a unified team to enjoy a shared meal, creating an informal atmosphere that encourages open communication and strengthens interpersonal relationships across departments. The birthday celebrations add a special touch to these lunches, with the spotlight on those marking another year of life. We make it a point to acknowledge each birthday celebrant, often with a cake and a heartfelt round of well-wishes from the team. This practice not only makes our employees feel valued on a personal level but also contributes to a positive work culture where individual contributions and personal milestones are recognized and appreciated. Through these regular gatherings, we have noticed improved team dynamics, increased employee satisfaction, and a more cohesive work environment, all of which contribute to the overall success and harmony of our organisation.

KIP Annual Dinner

The KIP Annual Dinner stands as a highlight in our corporate calendar, serving as a grand celebration of our collective achievements and a testament to our Company's vibrant culture. This prestigious event brings together employees from all levels and departments, creating a unique opportunity for networking, recognition, and shared enjoyment outside the usual work environment. The evening often began with a welcome address from senior management, reflecting on the year's accomplishments and setting an inspiring tone for the future. The event also includes entertaining segments such as interactive games and a lucky draw, all designed to foster a sense of excitement and unity among attendees.

Delectable cuisine, often featuring a diverse menu to cater to various tastes and dietary requirements, adds to the evening's allure. As the night progresses, employees have the chance to socialize freely, strengthening bonds across teams and hierarchies. The KIP Annual Dinner not only serves as a reward for the hard work put in throughout the year but also plays a crucial role in building Company morale, reinforcing our corporate values, and creating lasting memories that contribute to a positive and motivated workforce.



Welcome Lunch for new employee



KIP Annual Dinner

SUSTAINABILITY STATEMENT (CONT'D)

KIP REIT Sports Club



Zumba Activity

Our KIP REIT Sports Club is dedicated to fostering team bonding and promoting health initiatives among our employees. We believe that a healthy workforce is not only more productive but also happier and more engaged. To this end, we regularly organize a variety of activities that encourage physical fitness, mental wellbeing, and social interaction outside of the typical work environment.

In July 2023, as part of our ongoing efforts to promote wellness, we organized an exciting Zumba event. Recognizing the popularity and effectiveness of this high-energy dance fitness programme, we hired a professional Zumba instructor to lead the session. The event was strategically scheduled after work hours to ensure maximum participation without interfering with daily work responsibilities.

In November 2023, we held a bonding trip to Pangkor Island, which saw 100% participation from our employees. This trip was a reward for their hard work and included a variety of team-building activities, such as games and dances, as well as a special dinner with a small lucky draw to show our appreciation. We also planned recreational activities, including snorkelling, to allow employees to relax and connect outside of work.

Looking forward, we established a Sports Club for the Service Provider in January 2024. This initiative aims to organize more engaging employees in the coming year, further fostering a sense of community and wellbeing.



Pangkor Trip

SUSTAINABILITY STATEMENT (CONT'D)

Corporate Social Responsibility

In September 2023, KIP REIT demonstrated its commitment to environmental stewardship and community engagement through a meaningful Corporate Social Responsibility ("CSR") programme at Sungai Chilling. This initiative brought together employees from various departments, uniting them in a common cause to preserve and protect one of Malaysia's natural treasures.

Sungai Chilling, known for its pristine waters and lush surroundings, has unfortunately faced challenges with litter and pollution, a common issue in many popular natural areas. Recognizing the importance of maintaining the ecological balance and beauty of this river, KIP REIT organized a rubbish collection drive as part of its CSR efforts.



Throughout the day, the team worked tirelessly, navigating sometimes challenging terrain to ensure a thorough cleanup. The camaraderie among colleagues was palpable, with team members encouraging each other and sharing in the satisfaction of seeing the immediate impact of their efforts. This hands-on experience not only contributed to the cleanliness of Sungai Chilling but also raised awareness among participants about the environmental challenges facing our natural spaces.



The success of this programme has inspired plans for similar initiatives in the future, reinforcing KIP REIT's ongoing commitment to environmental sustainability and social responsibility. Through actions like these, we strive to make a positive difference in the communities we serve and the environments we cherish.



CSR Programme – Sg Chilling 14th Sept 2023

SUSTAINABILITY STATEMENT (CONT'D)

Relaxation Area in the Office

In addition to our active health initiatives, we have taken significant steps to foster closer relationships among our staff and create a more comfortable work environment. Recognizing the importance of regular breaks and social interaction in maintaining employee wellbeing, we have established a dedicated relaxation area within our office premises. This thoughtfully designed space serves as a haven for employees to unwind, recharge, and connect with their colleagues away from the pressures of their desks.



The relaxation area has been carefully equipped to cater to various needs and preferences. We provide a selection of healthy snacks, including fresh fruits, nuts, and energy bars, to help our staff maintain their energy levels throughout the day. For those seeking a caffeine boost, we have installed a high-quality coffee machine offering a range of beverages from espresso to lattes. Comfortable seating arrangements, including sofas and casual dining tables, encourage both individual relaxation and group interactions.



Relax Area

SUSTAINABILITY STATEMENT (CONT'D)

NURTURING TALENT AND COMMUNITY ENGAGEMENT

Employee Satisfaction

At KIP REIT, we recognize that a thriving organization is built on a foundation of employee satisfaction and engagement. To ensure we continually meet the needs and expectations of our team, we have established a proactive approach to listening to our employees and fostering an inclusive work environment.

The **Employee Net Promoter Score Survey** enables us to measure and enhance employee engagement by gathering feedback twice a year. Responses and additional comments are anonymous to encourage honest feedback, increase participation, build trust, and improve decision-making.



**11% Increase in Average
Employee Satisfaction**

Employee Net Promoter Score ("eNPS") Survey

The context of eNPS Survey understand:

- how likely employees are to recommend KIP REIT to their family and friends
- how supportive they find their superiors in resolving work-related issues
- delves into understanding employees' concerns and suggestions for improving workplace satisfaction and practices
- feedback on employees' overall experience at KIP REIT over the past six months
- highlighting what employees appreciate most about working here

By encouraging employees to participate in this survey, we gain valuable insights that help us better align our workplace practices with their needs and preferences. This ongoing dialogue ensures that we continue to build a work culture that supports and values every team member.

Employee Satisfaction	2023	2024
Manager	56%	62%
Service Provider	40%	56%
Average	48%	59%

KIP REIT prioritizes employee satisfaction and engagement as fundamental to its organizational success. As a result of our initiatives, satisfaction among Manager has increased from 56% to 62%, while satisfaction among Service Provider has risen from 40% to 56% in 2024.

These improvements underscore KIP REIT's commitment to fostering a supportive workplace, with satisfaction levels categorized as good at 40% and excellent at 50% and above, reflecting ongoing efforts to enhance the employee experience.

New Hires and Employee Turnover



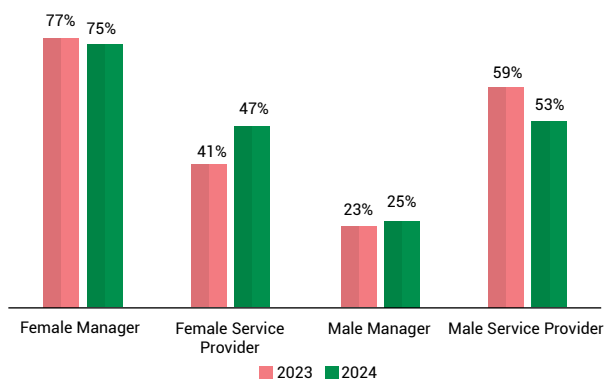
**16% Decreased in
Employee Turnover**

To support our business growth, we actively seek to enhance our team with competent and talented individuals, both internally and externally. We aim to attract new, qualified talent while retaining our experienced workforce, evaluating them based on their qualifications, skills, and experience.

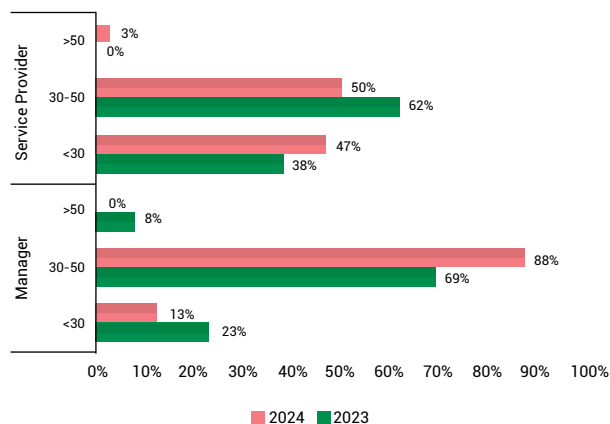
As at June 2024, KIP REIT employed a total of 108 employees. In FY2024, KIP REIT hired a total of 44 employees while recording 26 turnovers. The business expansion led to the addition of 3 new headcounts under the Manager and 15 new headcounts under the Service Provider.

SUSTAINABILITY STATEMENT (CONT'D)

New Hire by Gender – Manager and Service Provider



New Hire by Age Group – Manager and Service Provider

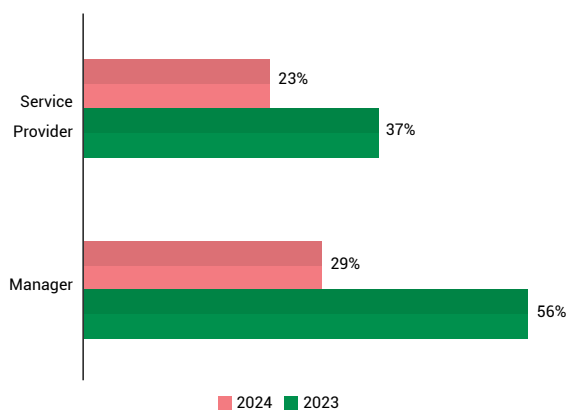


For the Manager, 75% of the new hires were female, closely aligning with the female turnover rate of 80%. This reflects a focus on maintaining gender balance. The recruitment targeted individuals aged 30 to 50, suitable for executive and management roles that demand significant experience.

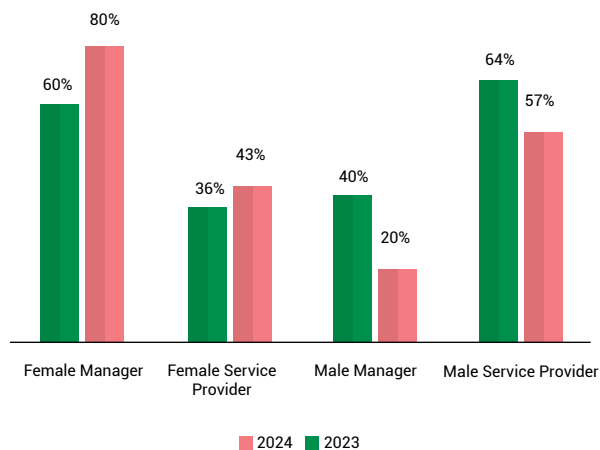
Under the Service Provider, the new hires comprised 53% female, while female turnover was 43%. The increase in female hires can be attributed to roles like account assistants, executives, and Advertising and Promotion ("A&P") assistants, which typically attract more female candidates.

Many of these new hires were for non-executive and executive positions, with a significant number brought on board specifically to support the completion of the acquisition and operation of the new KIPMall Kota Warisan starting in February 2024.

Turnover Rate



Employee Turnover by Employee Category- Manager and Service Provider

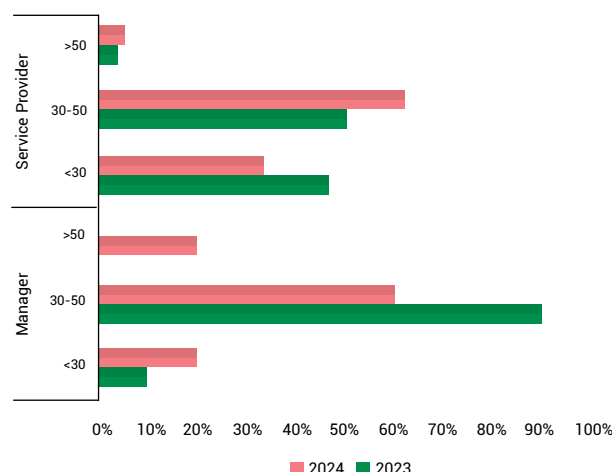


SUSTAINABILITY STATEMENT (CONT'D)

Employee Turnover by Gender - Manager and Service Provider

Job Category	Manager			Service Provider		
	2022	2023	2024	2022	2023	2024
Senior Management	0	2	0	0	1	1
Management	0	5	3	1	1	0
Executive	0	0	2	12	8	7
Non-Executive	1	3	0	33	18	13

Employee Turnover by Age Group - Manager and Service Provider



Notably, the overall turnover rate decreased in FY2024, aligning with an improved employee satisfaction score compared to FY2023. The majority of turnovers were at the non-executive and executive levels, primarily involving employees in the 30 to 50 age group. This comprehensive approach underscores our commitment to building a robust team aligned with our growth and operational needs while fostering a workplace that supports employee satisfaction and stability.

Elevating Service Excellence and Sustainability

KIP REIT's FY2024 townhall, "Greater Heights with Service Excellence", marked a pivotal moment in our journey towards sustainable growth and ESG excellence. This event underscored our commitment to employee engagement as a cornerstone of our corporate strategy.

The townhall featured our CEO Valerie Ong and the coach Alfred who shared valuable perspectives, empowering our team to deliver superior service and fostering a culture of excellence. Interactive workshops provided hands on experience, equipping our workforce with adaptable skills crucial for navigating future challenges. Networking sessions strengthened internal bonds, enhancing our corporate culture and potentially boosting employee retention.



SUSTAINABILITY STATEMENT (CONT'D)

The benefits of this townhall for our employees are manifold. By participating in these enriching sessions, our team members have gained valuable insights and skills that will enhance their professional growth and career development. The emphasis on engagement and networking has also created a more cohesive and supportive work environment, fostering a sense of belonging and purpose among our staff. This investment in our employees' growth and wellbeing is expected to increase job satisfaction, improve performance, and greater opportunities for advancement within KIP REIT.



Looking ahead, the insights and skills acquired during this townhall will serve as a catalyst for our ongoing commitment to service excellence and sustainability. These learnings will be incorporated into our daily operations, decision-making processes, and long-term planning. As we continue to evolve, KIP REIT remains steadfast in its dedication to responsible business practices, ensuring that our growth not only benefits our stakeholders but also contributes positively to the communities we serve and the environment we share.

HUMAN CAPITAL DEVELOPMENT

GRI3-3, 404-1, 404-2, 404-3



At KIP REIT, we value our employees as our greatest asset. We invest in their development and wellbeing to foster individual growth and drive organizational success. Through a culture of continuous learning, we keep our team skilled, adaptable, and motivated. Our aim is to attract exceptional talent and offer new benefits, ensuring a fair workplace and healthy worklife balance. We strive to maximize employees' potential by creating an environment that informs, educates, and inspires them to achieve their professional and personal aspirations.

KIP REIT's commitment to sustainable value creation was exemplified through strategic investments in human capital and development. By focusing on the continuous growth and wellbeing of our employees, we have laid the groundwork for a resilient and innovative workforce.

Strengthening Workforce Capabilities and Development

KIP REIT has demonstrated several initiatives to show their commitment towards sustainable value creation for their employees. We prioritized the growth and proficiency of our workforce by implementing a comprehensive range of learning programmes. In FY2024, we have organised several trainings for the employees.

These included targeted sessions aimed at bridging competency gaps and aligning employee capabilities with personal and professional growth:

- Effective Financial Budget Control
- E-Invoicing
- Agile Leadership
- PDPA compliance
- Cybersecurity Guidelines



Invested a total of **RM96,813.35** towards
learning and development programmes

SUSTAINABILITY STATEMENT (CONT'D)

Advancing Sustainability Goals

In alignment with our sustainability goals, KIP REIT actively participated in training programmes aimed to enhance our employees' knowledge and commitment to Environmental, Social, and Governance ("ESG") practices, addressing critical issues such as reducing environmental impact and implementing global sustainability standards:

- Cooler Earth Sustainability Summit 2023
- KPMG ESG Talk - Addressing Challenges in Implementing USSB Standards
- Empowering SMEs - Charting a Sustainable Energy Future for Business Growth
- Mandatory Accreditation Programme Part II - Leading for Impact ("LIP")



Additional **494 training hours** in FY2024
26% increase compared to FY2023

Total Training Hours	2022	2023	2024
Manager	91	124	397
Service Provider	1,361	1,790	2,011

Average Training Hours by Gender-Manager	2022	2023	2024
Female	14	8	28
Male	5	14	30

Average Training Hours by Gender- Service Provider	2022	2023	2024
Female	38	57	22
Male	38	55	22

Training Hours by Employee Category	2022	2023	2024
Senior Management			
Manager	27	26	50
Service Provider	11	44	126
Management			
Manager	43	73	147
Service Provider	94	298	334
Executive			
Manager	0	17	200
Service Provider	491	701	592
Non-Executive			
Manager	21	8	0
Service Provider	765	747	959

The total training hours for the Manager over the past three years have increased significantly, with a 220% increase from FY2023 to FY2024. Service Provider have also seen a gradual increase in training hours over the years, with a notable 12% increase in the past year. This aligns with KIP REIT's commitment to strengthening workforce capabilities and development. We have observed that the Service Provider participates in training more frequently than the Manager, as they comprise a larger portion of the workforce.

Performance Appraisal

To nurture talent development, KIP REIT practices performance appraisal assessment method. Employees are encouraged to discuss their performance and aspirations with their supervisors during the annual performance and career development review. For Assistant Manager and above positions, this performance evaluation method involves gathering feedback from multiple sources, including peers, subordinates, and immediate superiors. It provides a comprehensive and well-rounded assessment of an employee's performance, skills, and behaviours. This process helps identify training requirements and communicate expectations.

SUSTAINABILITY

STATEMENT (CONT'D)

The appraisal is conducted annually and focuses on:

- **Living Our Core Values**
Employee is acting in accordance with KIP REIT's core values
- **Competencies**
Business acumen, technical skills, learning agility, organization, effective delegation, managerial courage and integrity, making difficult decisions, energy and drive, organizational agility, and building effective teams

Scores are assigned to respective sections within these two areas, and a weighted average score is used to evaluate the performance of employees and identify any training needs. All confirmed employees are required to complete the performance appraisal annually.

Percentage of Employee Conducted Performance Appraisal	2023	2024
Senior Management		
Manager	38%	23%
Service Provider	2%	3%
Management		
Manager	38%	31%
Service Provider	13%	17%
Executive		
Manager	13%	46%
Service Provider	37%	31%
Non-Executive		
Manager	13%	0%
Service Provider	48%	50%

SUPPLY CHAIN MANAGEMENT

GRI2-6, 2-23, 2-24, 3-3, 204-1, 308-1, 308-2, 414-1, 414-2



In today's interconnected world, where organizations face unprecedented challenges, a resilient and sustainable supply chain is more important than ever. Sustainable supply chain management not only drives positive environmental and social change but also minimizes risks and ensures business continuity. At KIP REIT, the Manager recognizes the crucial role of ethical and transparent behaviour in maintaining responsible relationships with vendors. We are dedicated to promoting best practices across our supply chain to ensure integrity and accountability.

Our Procurement Policy

At KIP REIT, we prioritize close communication and collaboration with our suppliers, service providers, and business associates to ensure they align with our values and standards. Our Procurement Policy plays a critical role in this process, helping us source goods and services from reputable suppliers who meet our quality expectations. In March 2024, we updated and implemented our revised Procurement Policy. The updated Policy encompasses both new and existing supplier evaluations, incorporating rigorous ESG assessment criteria.

New Supplier Evaluation

To be added to KIP REIT's approved supplier list, potential suppliers must undergo a comprehensive evaluation. This involves completing a Pre-Qualified Supplier Form, which is updated by the Complex Manager and approved by the General Manager of KIP REIT upon evaluation completion. The new supplier evaluation criteria includes:

SUSTAINABILITY STATEMENT (CONT'D)

Percentage of new suppliers that were screened using environmental criteria (%)	2024
KIPMall Bangi	100%
KIPMall Masai	0%*
KIPMall Kota Tinggi	0%*
KIPMall Tampoi	18%
KIPMall Melaka	71%
KIPMall Senawang	15%
KIPMall Kota Warisan	100%
Average	43%

Note: *No registration of new suppliers on and after March 2024.

Company Background

Detailed assessment of the supplier's credibility

Environmental Impact

Evaluation of energy efficiency and waste reduction practices

Social Responsibility

Examination of initiatives to reduce environmental impact and contribute to social causes

Continuous Sustainability Improvement

Demonstrating ongoing efforts to enhance sustainability performance

Annual Supplier Evaluation

Annually, suppliers on KIP REIT's approved list undergo a thorough evaluation conducted by the respective Heads of Departments using the Supplier Evaluation Form. This annual review is crucial for mitigating supply chain disruptions and minimizing potential reputational and financial risks.

Suppliers are rated on a scale of 1 to 5 based on the outlined criteria. The cumulative score from these ratings determines the overall performance evaluation of each supplier. Suppliers scoring 30% or below will be removed from the approved supplier list. The annual supplier evaluation criteria include:

Company Information and Background

Assessment of the supplier's credibility and reliability

Competitive Pricing and Accurate Invoicing

Ensuring cost-effectiveness and financial accuracy

Prompt Delivery

Evaluating the timeliness of product and service delivery

Product and Service Knowledge

Assessing the supplier's expertise and familiarity with their offerings

Product and Service Replacement

Responsiveness in replacing products and services when necessary

Responsiveness and Cooperation

Measuring the supplier's willingness to work collaboratively and responsively

Product and Service Quality

Ensuring high standards of quality in all supplies

After-Sales Service

Evaluating the level of support provided after the sale

Environmental Efforts

Commitment to practices like energy efficiency, waste reduction, and sustainable materials

Social Commitments

Upholding fair labor practices, safe working environments, and promoting diversity and inclusion

SUSTAINABILITY STATEMENT (CONT'D)

Ethical Conduct

Compliance with anti-corruption laws and adherence to ethical business practices

Community Engagement

Participation in community outreach and social responsibility initiatives

In November 2023, we completed the annual evaluation of all suppliers on our approved list.

Percentage Suppliers undergo Annual Supplier Evaluation (%)	2022	2023	2024
KIPMall Bangi	N/A	100%	100%
KIPMall Masai	N/A	100%	100%
KIPMall Kota Tinggi	N/A	100%	100%
KIPMall Tampoi	N/A	100%	100%
KIPMall Melaka	N/A	100%	100%
KIPMall Senawang	N/A	100%	100%

The following shows the total number of suppliers undergoing the latest supplier evaluation which includes the environmental assessment criteria.

Number of Suppliers Assessed for Environmental Criteria	2024
KIPMall Bangi	8
KIPMall Masai	0*
KIPMall Kota Tinggi	0*
KIPMall Tampoi	3
KIPMall Melaka	5
KIPMall Senawang	2
KIPMall Kota Warisan	10
Total	28

Note: *No registration of new suppliers on and after March 2024.

Supports Local Procurement

KIP REIT is dedicated to supporting the local economy by prioritizing the procurement of goods and services from local suppliers whenever feasible.

We uphold a well-rounded involvement and contribution to the local economy through procuring goods and services. When feasible and economically viable, we prioritise local procurement to support businesses in the area and simultaneously contribute towards minimising emissions linked to transportation. In FY2024, we spent 100% of our procurement budget on local suppliers.



SUSTAINABILITY STATEMENT (CONT'D)

COMMUNITY INVESTMENT AND DEVELOPMENT

GRI3-3, 413-1



KIP REIT is deeply committed to fostering positive, long-lasting impacts on the local communities where it operates.

Our Manager prioritizes building mutually beneficial relationships with local communities to ensure sustainable development. This commitment is reflected in initiatives designed to maximize community benefits around our properties.

Through our Community Engagement efforts, we connect with and uplift marginalized groups in partnership with Non-Governmental Organisations ("NGOs") and local communities to understand their needs and organize events that promote social advancement. KIP REIT's CSR activities are driven by specific motives aimed at creating positive and lasting impacts on society. Guided by these objectives, we organize various initiatives to:



These underlying motives guide our CSR efforts, reflecting KIP REIT's commitment to fostering a socially responsible and engaged community.

In FY2024, KIP REIT demonstrated its strong commitment to social responsibility by actively engaging with local communities and hosting an array of community events and programmes at our malls, including various initiatives designed to enhance social wellbeing and foster a sense of community.



SUSTAINABILITY STATEMENT (CONT'D)

Advance Health Awareness



Medical Check Up

KIPMall Kota Warisan

3 health screening programmes organised in collaboration with Healthlane Pharmacy, D'Mata, and Universiti Kebangsaan Malaysia ("UKM").

KIPMall Kota Tinggi

In conjunction with Breast Cancer Awareness Day, and partnership with Jeiwa Power House NGO and Poliklinik QMS, we offered free medical checkups to B40 individuals.

380 PARTICIPANTS



Blood Donation

1,243 PARTICIPANTS

KIPMall Bangi, KIPMall Kota Tinggi, KIPMall Melaka, and KIPMall Kota Warisan

14 blood donation programmes in collaboration with community government hospitals has been organised in FY2024.

On 15 June 2024, in conjunction with World Blood Donor Day, Pusat Darah Negara ("PDN") and Poliklinik An-Nur partnered with KIPMall Bangi to host a blood donation and health screening event for the Bangi community.



Dengue Campaign

KIPMall Bangi

To raise awareness about dengue fever prevention, KIPMall Bangi teamed up with Jabatan Perdana Menteri ("JPM"), UKM, and Entogenex for campaigns on 20 September 2023, and 8 January 2024.

These initiatives involved distributing flyers, organizing games, and providing samples to educate the community about maintaining environmental cleanliness to prevent aedes mosquito breeding and dengue outbreaks.



SUSTAINABILITY STATEMENT (CONT'D)

Empower the Younger Generation

Community Engagement Events



KIPMall Tampoi and KIPMall Masai

Community tour programme and engagement event with primary school kids at SK Taman Tampoi Utama on 26 October 2023 and at SK Kota Masai 3 on 3 December 2023.

The events featuring a variety of performances, and activities throughout the day.

MORE THAN 600 STUDENTS



Free Ice Cream Giveaway



KIPMall Kota Tinggi

An ice cream giveaway for kids, specially organized for World Kids Day to celebrate them at SK Taman Kota Jaya, successfully distributed ice cream to approximately 200 school children. This festival was held in collaboration with Jeiwa Power House and the Parents and Teachers Association of SK Taman Kota Jaya, Kota Tinggi.

200 STUDENTS



Breaking Fast with Kids



KIPMall Senawang

Organized a breaking fast event with 30 tahfiz students from Ribath Talim Al Luqmaney at Ohh Lyscious Corner KIPMall Senawang restaurant on 28 March 2024.

30 STUDENTS



SUSTAINABILITY STATEMENT (CONT'D)

Support the Underprivileged



Assistance on Indigenous Families

KIPMall Kota Tinggi

Collaboration with Pondok At Tanzil to visit and give donations to Kampung Orang Asli Sungai Selangi, Kota Tinggi for Maulidur Rasul.

30 FAMILIES



Assistance on Indigenous Families

KIPMall Masai

Organized by PEKASIH and KIPMall Masai in conjunction with Aidiladha, provided frozen meat donations to patients at the dialysis center and Asnaf families from Taman Rinting.

80 PATIENTS AND FAMILIES



Ramadan Charity Initiatives

KIPMall Masai

3 charitable events were organized to aid underprivileged families and orphans. Essential items such as rice, cooking oil, and sugar were provided to ease their cost of living during the festive season. These efforts were made in collaboration with Permata Baiduri Malaysia, Marrybrown, Cuckoo, and other local NGOs.

Additionally, an Eid donation ceremony was held in Kampung Teluk Kabung, offering much needed support and fostering community spirit with the help of KIPMall Masai's tenants and local NGOs.

270 FAMILIES



SUSTAINABILITY STATEMENT (CONT'D)

Ramadan Orphan Outreach



143 ORPHANS

KIPMall Melaka, KIPMall Bangi, KIPMall Kota Warisan

A collaborative effort with tenants and SK(P) Durian Daun supported orphans by providing household products, spectacles, and other necessities.

Additionally, KIPMalls hosted events for orphans from Rumah Bakti Nur Ain and Pertubuhan Baitus Sakinah Hidayah, offering goodie packs, clothing, and daily necessities. These events were made possible through the involvement of tenants and external agencies.



Increase Environmental Awareness



Earth Day Colouring Contest

866 PARTICIPANTS

KIPMall Melaka, KIPMall Bangi, KIPMall Kota Warisan, KIPMall Masai, KIPMall Kota Tinggi, KIPMall Senawang, KIPMall Tampoi



By Norharyani - 12 year old.

In April 2024, KIPMalls celebrated Earth Day by organizing a colouring and poster drawing contest aimed at engaging children in environmental conservation. The contest featured two categories: Category A for participants under 9 years old and Category B for those under 12.

This initiative encouraged young participants to learn about ESG principles through creative expression, supported by strong community involvement and parental commitment to environmental education.

The event emphasized social responsibility and the importance of early environmental stewardship education, made possible through collaboration with the District Education Office, community clubs, and various agencies.

ESG principles are crucial for modern shopping malls like KIPMalls, integrating environmental sustainability, social responsibility, and governance into their operations to benefit their communities.

The contest not only encouraged young participants to express creativity but also promoted awareness of the UN Sustainable Development Goals ("SDGs") and instilled values of social responsibility and environmental preservation from an early age.

Shopping malls aligning with these goals promote sustainable practices, reduce environmental impact, engage communities, and practice responsible management, as exemplified by KIPMalls' initiative.

SUSTAINABILITY STATEMENT (CONT'D)

Increase Environmental Awareness

Employee Engagement in Environmental Cleanup



KIP REIT KL

On 14 September 2023, the Manager, through the Sports Club, organized an employee engagement programme at Sungai Chilling focused on cleaning up rubbish in the area. All employees under the Manager attended the event, which aimed to enhance employee relationships while simultaneously promoting environmental awareness.



ALL EMPLOYEES

Drive Through Recycle



KIPMall Melaka

This event, coordinated by A&P in partnership with SWCorp Malaysia, brought together a diverse group of participants, predominantly KIPMall customers and local community members. This event drew a significant number of locals and KIPMall customers. The recyclables include used cooking oil, e-waste, and fabrics, reflecting the community's commitment to sustainable practices. The event started at 10 AM and concluded at 1 PM, marking a productive and engaging day focused on environmental action.



885kg COLLECTED

Trash 4Cash



KIPMall Kota Warisan

On 15 May 2024, KIPMall Kota Warisan partnered with Trash 4Cash to facilitate a programme where 50 participants had traded in recyclable materials like cardboard boxes, aluminium cans, and used cooking oil in exchange for cash. This initiative not only promoted recycling but also provided tangible benefits to the participants.



345kg COLLECTED

SUSTAINABILITY STATEMENT (CONT'D)

Promote Public Awareness

Celebrating Indigenous Heritage: Harvest Gala

50 PARTICIPANTS

KIPMall Kota Warisan

In June 2024, KIPMall Kota Warisan hosted the Harvest Gala, an event dedicated to celebrating and promoting the rich cultural heritage of Borneo's indigenous people. This initiative aligns with our commitment to social sustainability and cultural preservation, which are the key components of our ESG strategy.

The Harvest Gala provided a platform for showcasing the traditions of Gawai and Kaamatan festivals, which are central to Borneo's indigenous cultures. The collaboration with KPJ Healthcare University also demonstrates our commitment to forming meaningful partnerships that enhance the quality and authenticity of our community events. The event attracted over 50 participants, fostering community engagement and cross-cultural understanding.

Interactive activities and quizzes about Sabah and Sarawak's heritage offered attendees an immersive learning experience. This approach to cultural education promotes social inclusion and respect for indigenous traditions, aligning with our social responsibility goals.

As part of our ongoing commitment to deepen the ESG value of our community events, we are considering incorporating food festivals showcasing traditional indigenous cuisines, developing child-focused activities that teach indigenous skills and environmental stewardship, and expanding the event to provide more economic opportunities for indigenous artisans and craftspeople in FY2025.



Community Policing Event



KIPMall Tampoi

Polis Diraja Malaysia ("PDRM") organized a special meet-and-greet programme at the Mall, where shoppers had the opportunity to interact with distinguished guests including the Chief of Police for the North Johor Bahru District (YDH ACP Balveer Singh a/l Mahindar Singh), the Deputy Chief of Police (YDH Supt. Yusof bin Haji Othman), Division Heads, senior officers, police station chiefs, and dedicated members, alongside representatives from AMANITA IPD JB.



During this period, we invested approximately **RM22,406** in community projects

Positively impacting
7,002 beneficiaries

SUSTAINABILITY STATEMENT (CONT'D)

Free Legal Advice Initiative



150 ATTENDEES

KIPMall Kota Tinggi

The Rotary Club of Tebrau collaborated with the Legal Aid Centre Johor Bahru to launch a significant community outreach initiative focused on providing free legal advice.

This event served as a crucial platform for individuals seeking guidance on legal issues, attracting enthusiastic shoppers and local residents.



Our Community Impact Initiatives

Programme	Number of Beneficiaries	Total Amount Invested in the Community (RM)
Advance Health Awareness	380	800
Empower the Younger Generation	830	1,950
Enhance Community Engagement	4,153	7,065
Increase Environmental Awareness	916	6,611
Promote Public Awareness	200	0
Support the Underprivileged	523	5,980
Total	7,002	22,406

SUSTAINABILITY STATEMENT (CONT'D)

TASK FORCE ON CLIMATE RELATED FINANCIAL DISCLOSURES ("TCFD")

GRI201-2, 303-1

KIP REIT is committed to contributing to the shift towards a low carbon economy, recognizing the heightened interest from stakeholders. We have begun integrating the TCFD Recommendations into our Sustainability Statement ahead of the regulatory requirements of Bursa Malaysia's Main Market Listing Requirements this year. This proactive step aims to position KIP REIT for long-term success and climate resilience amidst a rapidly changing business environment. We are focused on managing climate-related risks and seizing opportunities that could impact our business, strategy, and financial planning.

Climate change poses significant challenges to Malaysia, affecting its environment, economy, and society on multiple fronts. The Climate Risk Country Profile: Malaysia (2021) by the World Bank Group and Asian Development Bank paints a concerning picture, projecting a potential temperature increase of 2.0 by the 2050s under a worst-case scenario. Malaysia is already grappling with the consequences of increased extreme weather events. For instance, the 2023 Nature Disaster Report from Agensi Pengurusan Bencana Malaysia ("NADMA") highlighted widespread flooding across Malaysia, resulting in casualties and displacing thousands of families.

Amid global concerns voiced by environmentalists and activists, the looming threats of heatwaves, rising sea levels, floods, hurricanes, droughts, and heavy rainfall underscore the urgent need for action on climate change. These risks include biodiversity loss, water scarcity, heightened health risks, displacement, and economic disruption. Such potential disasters could unfold if global temperatures surpass 1.5 above preindustrial levels.

Our strategies to address climate-related risks and ensure water security include setting emission reduction targets, implementing standardized water management procedures and engaging stakeholders. KIP REIT future plan is to incorporate a carbon emission price to embed the costs into our business decisions. This approach guides our investments, encourages emission reduction efforts, and supports our carbon reduction targets.

GOVERNANCE

A robust governance structure forms the bedrock of effective sustainability oversight. It ensures clear delineation of roles and responsibilities, strengthens accountability, and facilitates a cohesive approach to monitoring our performance. In the fiscal year 2024 we implemented a three-tiered governance framework to enhance our sustainability practices and manage sustainability issues effectively.

This three-tier structure is headed by the Board, which holds ultimate responsibility for guiding the Company's sustainability initiatives. Supporting the Sustainability Working Committee ("SWC"), which oversees sustainability strategies, material sustainability issues, policies, and targets.

The Sustainability Governance Structure has been disclosed under Sustainability Governance. Kindly refer to page 86 for more information.

SUSTAINABILITY STATEMENT (CONT'D)

STRATEGY

KIP REIT has engaged in multiple focus group sessions with internal stakeholders throughout our operations to pinpoint localized climate risks pertinent to the Company. Furthermore, KIP REIT have undertaken first qualitative scenario analysis by utilizing scenarios from the Climate Change and Principle Based Taxonomy ("CCPBT") issued by Bank Negara Malaysia.

The climate-related risks and opportunities for the Company were assessed using the scenarios outlined below:

Risk Type	Primary Risk Driver	Potential Impacts	Risk Level in Net Zero Target 2050 ("NZ2050") (1.4°C)	Risk Level in Decarbonations Net Zero ("DNZ2050") (1.4°C)	Risk Level in National Determined Contributions ("NDCs") (2.6°C)	Future Mitigation Measures
Physical Risk (Extreme Heat)	Temperature rise	Health issues, increased cooling costs	Low 	Low 	Moderate 	- Regular maintenance of air-cooling systems and generators to ensure optimal operation. - Implement health and safety initiatives, such as work restrictions during peak temperature hours. - Retrofit buildings to improve energy efficiency.
Physical Risk (Fluvial Flooding)	Heavy rainfall	Property damage, operational disruption	Low 	Low 	Moderate 	- Develop flood control measures like flood gates and drainage systems. - Ensure platform levels are checked against flood maps for new designs. - Establish flood emergency response plans and conduct regular drills.
Physical Risk (Coastal Flooding)	Sea level rise	Property damage, operational disruption	Low 	Low 	Moderate 	Monitor and support government initiative.

SUSTAINABILITY STATEMENT (CONT'D)

Risk Type	Primary Risk Driver	Potential Impacts	Risk Level in Net Zero Target 2050 ("NZ2050") (1.4°C)	Risk Level in Decarbonations Net Zero ("DNZ2050") (1.4°C)	Risk Level in National Determined Contributions ("NDCs") (2.6°C)	Future Mitigation Measures
Physical Risk (Tropical Cyclones)	Increased storms	Structural damage, power outages	Low 	Low 	Moderate 	- Ensure structures can withstand increased wind speeds. - Improve roofs and drainage systems. - Regularly inspect backup generation facilities. - Implement and review business continuity and emergency response plans for severe storms.
Physical Risk (Wildfires)	Drought, heatwaves	Property damage, health issues	Low 	Low 	Moderate 	- Design landscaping to prevent vegetation encroachment. - Include fire breaks like service roads. - Distribute escape plans to employees and occupants. - Implement and regularly review business continuity and emergency response plans for flood and drought.
Transition Risk (Carbon Price Shifts)	Regulatory changes	Increased operational costs, financial risks	High (USD 325.4/tCO2e)	Moderate to higher (USD 698.90/tCO2e)	Lower (USD 41.6/tCO2e)	- Implement an internal carbon pricing strategy. - Develop and adopt a decarbonization plan to minimize emissions. - Invest in renewable energy and energy efficiency projects to reduce carbon footprint and exposure to carbon price fluctuations.

Risk Assessment Legend:

 Short to medium term risks/opportunities (current to 2030)

 Medium to long term risks/opportunities (2030 to 2050)

SUSTAINABILITY STATEMENT (CONT'D)

Our aim is to achieve carbon neutrality by 2050 through the adoption of Corporate Green Programmes.

Implementation:

- Enhancing energy efficiency to minimize emissions.
- Increasing the use of renewable energy sources for sustainable energy substitution.

Without mitigation efforts, global temperatures are projected to rise between 4.0°C and 5.0°C.

Future Plans in Engaging Stakeholders to Reduce Scope 3 Emissions:

- Upstream: Collaborating with suppliers to promote sustainable procurement and supply chain practices.
- Downstream: Partnering with tenants through the Green Lease initiatives.

With effective mitigation efforts, global warming can be limited to 1.5°C, aligning with the goals of the Paris Agreement.

From the scenarios outlined earlier, we have evaluated how these risks and opportunities could potentially affect our business. As part of our financial strategy, we plan to allocate a significant RM2 million in capital expenditure under the Asset Enhancement Initiatives ("AEI") plan.

Kindly refer to Asset Enhancement Initiatives plans highlighted by KIP REIT. This funding will support investments in renewable energy, the adoption of low-carbon practices, and the development of innovative technologies. These investments are aligned with our adaptation and mitigation strategies designed to effectively address identified risks and capitalize on opportunities.

RISK MANAGEMENT

Adopting responsible and effective risk management practices enhances stakeholder confidence and long-term profitability. Addressing stakeholders' expectations on Environmental, Social, and Governance ("ESG") issues is integral to our sustainable operation.

Our Approach with the ERM Framework

Effective risk management is essential for safeguarding the future of our REIT operations. To comprehensively manage all potential business risks relevant to KIP REIT, we utilize an Enterprise Risk Management ("ERM") framework based on the ISO 31000:2018 Risk Management Guidelines. This framework ensures ongoing identification of risks within KIP REIT and facilitates the timely implementation of mitigation plans.

The ERM framework establishes the foundation for robust risk management governance, ensuring alignment of all business activities with the REIT's long-term viability and resilience. This approach strengthens our ability to absorb losses. The Audit Risk Management Committee ("ARMC") at KIP REIT oversees adherence to the approved risk register, strategies, and policies by the Manager.

Kindly refer to Risk Management page 108 for more information.

SUSTAINABILITY STATEMENT (CONT'D)

METRICS AND TARGETS

At KIP REIT, we tracked the climate-related performance using the following metrics:

- Scope 1, Scope 2, and limited Scope 3 (i.e., business travel and employee commuting) emission (mtCO₂e)
- Energy consumption (GJ), Waste generated (Tonne) and Water used (m³)

Target	Carbon Emissions	Energy Consumption	Waste Generated	Water Usage
Between 2025 and 2030	Reduce GHG emissions by at least 1% between 2025 and 2030, covering both Scope 1 and Scope 2 emissions, compared to the baseline data from the previous year.	Reduce the energy consumption by at least 1% for the next five years compared to the baseline data from the previous year.	Increase the recycling rate by 5% and reduce non-recycled waste by 10% over the next five years (2025-2030), compared to the baseline data from the previous year.	Reduce water consumption specifically in common area of KIP REIT's complex mall excluding the tenant usage at least 1% compared to the baseline data from 2019, over a period of five years (2025-2030).

All our carbon emission data follow the methodologies in accordance with the GHG Protocol Corporate Accounting and Reporting Standard. Kindly refer to Climate Resilience and Energy Efficiency on the GHG emission data recorded by KIP REIT.

CLIMATE CHANGES

KIP REIT is committed to achieving net zero carbon emissions and has drawn out a roadmap. Our net zero roadmap outlines specific actions, milestones, and a timeline to guide the transition toward a net zero carbon emissions footprint. We have set future value goals and 2025 targets to transform our portfolios into low carbon sustainable assets on achieving 2025 target as disclose in the KIP REIT metrics and target.

Water Security

Although Malaysia generally experiences low water risk and most of our properties are located in non-water-stressed areas, we have encountered frequent unplanned interruptions in municipal water supply.

Water security is critical for KIP REIT due to our water-intensive operations, particularly in food and beverage outlets, cooling towers, toilets, pantries, water features, irrigation, and washing. Through proactive and sustainable measures, we have ensured a consistent water supply to support our business operations.

Below are the future strategies and initiatives aimed at enhancing our water security:

- Installation of Water-efficient Fixtures: Implementation of water-saving fittings such as self-closing taps and waterless urinals to minimize water wastage.
- Diversification of Water Sources: Reducing reliance on a single water supply by diversifying our water sources.
- Development of Water Crisis Standard Operating Procedure ("SOP"): Establishment of an emergency response plan for water disruptions, including:
 - Adjusting the operation of toilets and shutting down pressure pumps to reduce flush volume.
 - Decreasing air-conditioning usage and raising mall temperatures to lower cooling tower water consumption.
 - Rescheduling activities that require significant water usage, such as servicing air-conditioning equipment.

These measures are designed to enhance our resilience to water-related challenges and ensure sustainable management of water resources across our operations.

SUSTAINABILITY STATEMENT (CONT'D)

Climate Value at Risk ("VaR")

Based on the climate Value at Risk ("VaR") analysis under +4.0°C global warming scenario, KIP REIT property portfolio shows an overall low VaR, despite being vulnerable to risks such as flash floods and water seepage during heavy rainfall. Specifically, two properties exhibit low VaR, while four have medium VaR. Three properties KIPMall Masai, KIPMall Kota Tinggi, and KIPMall Tampoi are classified as high VaR due to their proximity to the coastline. Nevertheless, KIP REIT will improve and implement mitigation measures to enhance these properties' resilience against the worst-case climate change scenarios.

Moving forward, KIP REIT will continue to vigilantly monitor all properties to safeguard against significant climate-related physical risks such as floods, intensified rainfall, and landslides. Appropriate mitigation strategies will be deployed as needed to ensure the ongoing protection and resilience of our portfolio.

Risk Assessment Water Source

Access to high quality freshwater, requiring minimal treatment, is crucial for our operations. We depend on municipal water supply and treatment facilities, which are contingent on the availability of freshwater. Any contamination could disrupt our withdrawal and supply operations, potentially impacting our business activities. Conversely, we are obligated to ensure that the water discharged from our properties meets permissible standards.

Flooding poses a significant threat to KIP REIT assets, potentially causing extensive damage and significant repair costs. Temporary evacuation or unavailability of spaces for tenants could lead to income loss during repairs. Costs associated with business interruption, insurance claims, temporary relocations, and supporting tenants in resuming operations may also arise.

Water Risk Analysis

KIP REIT used the Aqueduct Water Risk Atlas developed by Water Risk Atlas ("WRI") to assess and visualize water-related risks across our properties. Although our properties in Malaysia face exposure to risks such as flash floods and water seepage, they are generally located in urban areas that are not considered water stressed. The WRI has assessed Malaysia as having a low to medium overall water risk.

RESOURCE MANAGEMENT

Effective resource management involves developing environmentally sustainable and socially responsible processes. It includes adopting innovative waste management strategies to ensure conscientious use of essential resources like energy and water. As global demand for resources and energy rises, we face challenges such as shortages and fluctuating prices due to resource scarcity and environmental degradation. By embracing sustainable resource management practices, we actively promote responsible resource use, thereby mitigating shortages and price volatility.

The energy management in KIP REIT is managing through:

- **Enhancing Energy Efficiency**
- **Increase the use of Renewable Energy**

SUSTAINABILITY STATEMENT (CONT'D)

Enhancing Energy Efficiency

At KIP REIT, we prioritize energy efficiency as a cornerstone of performance improvement, aiming to decrease carbon emissions and lower energy intensity. We have set specific energy intensity targets for our managed properties and continuously refine their energy performance through targeted initiatives.

Throughout the year, we proactively involve stakeholders in promoting awareness of renewable energy use and integrate energy efficiency into operational practices to reduce our carbon footprint.

We also prioritize energy conservation to reduce waste and mitigate the increasing costs associated with energy consumption. These initiatives contribute to our overall strategy of reducing energy consumption and promoting sustainable practices across our properties. Kindly refer to Climate Resilience and Energy Efficiency on the GHG emission data recorded by KIP REIT.

Renewable Energy

In alignment with the national effort, KIP REIT has set a target of sourcing at least 40% of its electricity from renewable sources by 2030. Transitioning to renewable energy represents a significant and practical step towards reducing carbon emissions and advancing towards net-zero emissions.

Since 2018, all KIPMalls malls have been progressively replacing their lighting with 3 types of light use at KIPMalls for building light, common area light include carpark and signage lights, which is:

- Neon to LED: LEDs can use up to 50-60% less energy than traditional neon lighting.
- Fluorescent to LED: LEDs use about 50-60% less energy.
- Metal Halide to LED: LEDs use about 60-75% less energy than metal halide lamps.

On average KIP REIT has savings after changing from neon, fluorescent, and metal halide lighting to LED in KIPMalls approximately 59.17% saving from energy consumption.

Moving forward, KIP REIT's plans to enhance its Renewable Energy strategy by installing EV battery charging stations in its malls in the near future. Funding for the EV charging stations will come from internal sources within KIP REIT.

The energy management has been disclosed under Climate Resilience and Energy Efficiency. Kindly refer to page 111 for more information.

POLLUTION MANAGEMENT

Waste Management

In line with our dedication to environmental responsibility, effective pollution management remains a paramount focus across all facets of our operations. KIP REIT are committed to creating enduring positive impacts on the communities we serve and ensuring a sustainable future for everyone. KIP REIT aim to tackle the complexities of waste generation and disposal. Through meticulous planning, innovative approaches, and collaborative efforts, KIP REIT strive to align our practices with applicable environmental laws and local regulations.

SUSTAINABILITY STATEMENT (CONT'D)

Waste Water Management

We channel 100% of the wastewater from KIP REIT properties into the municipal sewerage system managed by Indah Water Consortium ("IWK"), the national provider of wastewater and sanitation services in Malaysia. The volume of wastewater discharged into the municipal sewerage system is not specified by IWK, but the monthly cost for wastewater treatment is determined based on the water consumption at our properties.

We anticipate maintaining this process without significant changes, as our business operations and activities are expected to remain consistent in the foreseeable future.

GREEN BUILDING COMMITMENT

According to the World Economic Forum ("WEF") Green Building Principles: The Action Plan for Net-Zero Carbon Buildings Report, human-generated emissions are largely responsible for the global temperature rise. Buildings contribute significantly to these emissions, accounting for 38%, with 28% stemming from day-to-day operations and 10% from materials and construction activities.

KIP REIT will outline a strategy plan by achieving green building certification in future. Recognizing that green buildings may require higher initial investments, KIP REIT acknowledges the long-term advantages they offer. These include lower utility expenses due to energy-efficient designs and reduced maintenance costs, which help offset the upfront investments.

Demand for green-certified buildings is strong among reputable tenants seeking environmentally responsible spaces. These tenants are willing to pay a premium for sustainability, which not only aligns with their environmental goals but also enhances their corporate reputation. The increased rental income from such tenants helps balance the initial higher development costs.

KIP REIT remains committed to its Green Building initiative in future by joining Association that champion the Green Building initiative in Malaysia and will continue to pursue sustainability in its property portfolio.

COMMITMENT TO CARBON NEUTRALITY AND FUTURE PLANS

As part of our commitment to achieve carbon neutrality by 2030 and aspire to Net Zero by 2050, KIP REIT has set specific targets related to greenhouse gas ("GHG") emissions, energy consumption, water use, and waste generation. KIP REIT will continue to monitor and report our GHG emissions, using internationally recognized standards such as the GHG Protocol developed by the World Business Council for Sustainable Development ("WBCSD")/World Resources Institute ("WRI"), to track carbon footprint and mitigate climate risks. KIP REIT will maintain a stringent policy to comply with environmental, social, and governance ("ESG") standards, including commitments to avoid deforestation, forced labour, and displacement of local communities due to development. Leveraging external ESG data and analytics platforms, KIP REIT ensures transparency and accountability, maintaining a clean track record free of controversies, fines, penalties, or regulatory sanctions related to our operations.

SUSTAINABILITY STATEMENT (CONT'D)

PERFORMANCE DATA TABLE

Indicators	FY 2022	FY 2023	FY 2024
Economic Performance			
Revenue (RM'000)	73,700	83,750	102,159
Operating Costs (RM'000)	16,946	21,598	23,342
Profit after taxation	75,509	60,792	47,314
Distribution to Unitholders (RM'000)	34,361	36,799	39,497
Operational Performance			
Net Lettable Area ("NLA") (Sq. ft.)			
KIPMall Bangi	255,202	285,454	287,456
KIPMall Masai	151,836	156,782	156,791
KIPMall Kota Tinggi	76,297	76,337	78,071
KIPMall Tampoi	167,139	170,550	170,526
KIPMall Melaka	187,841	196,822	199,094
KIPMall Senawang	116,919	117,030	119,767
KIPMall Kota Warisan*	N/A	N/A	191,986
Average Occupancy Rate (%)			
KIPMall Bangi	70.1	74.0	83.9
KIPMall Masai	91.4	94.9	96.2
KIPMall Kota Tinggi	91.4	89.1	91.4
KIPMall Tampoi	80.5	94.7	97.4
KIPMall Melaka	78.1	89.8	95.3
KIPMall Senawang	83.8	86.4	62.9
KIPMall Kota Warisan*	N/A	N/A	99.5
Corporate Governance & Anti-Corruption			
Percentage of employees who have received training on anti-corruption by employee category			
Manager	N/A	N/A	100%
Service Provider	N/A	N/A	100%
Number of whistleblowing cases received and investigated	N/A	0	0
Confirmed incidents of corruption cases	N/A	0	0
Data Security & Privacy			
Percentage of employees who have received training (%) on Cybersecurity Awareness			
Manager	N/A	N/A	100%
Service Provider	N/A	N/A	100%
Percentage of employees who have received training (%) on Personal Data Protection			
Manager	N/A	N/A	100%
Number of substantiated complaints concerning breaches of customer privacy and losses of customer data	N/A	0	0

SUSTAINABILITY STATEMENT (CONT'D)

PERFORMANCE DATA TABLE (CONT'D)

Indicators	FY 2022	FY 2023	FY 2024
Climate Resilience and Energy Efficiency			
Total Energy Consumption (GJ)	33,381	33,187	50,
Grid-sourced Electricity (GJ)	21,587	22,256	33,543
Renewable Energy Generated (GJ)	11,794	10,930	17,334
Fuel	N/A	N/A	248
Scope 1 emissions (mtCO ₂ e)	N/A	0.95	1.07
Scope 2 Emissions (mtCO ₂ e)	3,508	3,617	7,062
Scope 2 GHG Emissions Intensity (mtCO ₂ e/m ²)	0.150	0.153	0.394
Scope 3 emissions in tonnes of CO ₂ e (at least for the categories of business travel and employee commuting)	N/A	112.76	103.87
Waste Management			
Total Waste Generated (RM)	498,455	447,767	559,520
Waste Disposed to Landfill (Tonne)	N/A	N/A	5,760
Total Waste Recycled (Tonne)	N/A	N/A	96.59
Water Stewardship			
Water Consumption (m ³)	214,369	206,420	204,883
Water Use Intensity (m ³ /m ²)	15	14	12
Responsible Resource Use			
Paper Consumption (kg)	187,123	157,341	157,644
Employee Category by Gender (%) - Board Members			
Board Members - Female	17%	33%	33%
Board Members - Male	83%	67%	67%
Employee Category by Gender (%) - Manager			
Senior Management – Women	33%	75%	75%
Senior Management – Men	67%	25%	25%
Management – Women	100%	75%	67%
Management – Men	0%	25%	33%
Executive - Women	0%	75%	86%
Executive – Men	0%	25%	14%
Non-Executive – Women	50%	100%	0%
Non-Executive – Men	50%	0%	0%
Employee Category by Gender (%) - Service Provider			
Senior Management - Women	50%	50%	0%
Senior Management - Men	50%	50%	100%
Management – Women	0%	25%	23%
Management – Men	100%	75%	77%
Executive – Women	48%	55%	66%
Executive – Men	52%	45%	34%
Non-Executive – Women	43%	46%	47%
Non-Executive - Men	58%	54%	53%

SUSTAINABILITY STATEMENT (CONT'D)

PERFORMANCE DATA TABLE (CONT'D)

Indicators	FY 2022	FY 2023	FY 2024
Employee by Age Group (%)			
Board Members - Under 30	0%	0%	0%
Board Members – Between 30 – 50	33%	33%	33%
Board Members – Above 50	67%	67%	67%
Manager - Under 30	10%	6%	0%
Manager - Between 30 – 50	80%	83%	88%
Manager - Above 50	10%	11%	12%
Service Provider - Under 30	35%	34%	33%
Service Provider - Between 30 – 50	57%	58%	58%
Service Provider - Above 50	8%	8%	9%
Employee by Employment type (%) – Manager			
Permanent	100%	100%	94%
Contract	0%	0%	6%
Employee by Employment type (%) -Service Provider			
Permanent	69%	71%	89%
Contract	31%	29%	11%
Employee Performance Appraisal (%) -Manager			
Senior Management	N/A	38%	23%
Management	N/A	38%	31%
Executive	N/A	13%	46%
Non-Executive	N/A	13%	0%
Employee Performance Appraisal (%) -Service Provider			
Senior Management	N/A	2%	3%
Management	N/A	13%	17%
Executive	N/A	37%	31%
Non-Executive	N/A	48%	50%
Total Training Hours			
Manager	91	124	397
Service Provider	1,361	1,790	2,011
Average Training Hours by Gender			
Manager - Female	14	8	28
Manager - Male	5	14	30
Service Provider - Female	38	57	22
Service Provider - Male	38	55	22
Training Hours by Employee Category-Manager			
Senior Management	27	26	50
Management	43	73	147
Executive	0	17	200
Non-Executive	21	8	0

SUSTAINABILITY STATEMENT (CONT'D)

PERFORMANCE DATA TABLE (CONT'D)

Indicators	FY 2022	FY 2023	FY 2024
Training Hours by Employee Category-Service Provider			
Senior Management	11	44	126
Management	94	298	334
Executive	491	701	592
Non-Executive	765	747	959
Average Employee Satisfaction			
Manager	N/A	56%	62%
Service Provider	N/A	40%	56%
New Hires by Gender			
Manager – Female	N/A	77%	75%
Manager – Male	N/A	23%	25%
Service Provider - Female	N/A	53%	47%
Service Provider - Male	N/A	41%	53%
New Hires by Age Group			
Manager - Under 30	N/A	23%	13%
Manager - Between 30 - 50	N/A	69%	88%
Manager - Above 50	N/A	8%	0%
Service Provider - Under 30	N/A	38%	47%
Service Provider - Between 30 - 50	N/A	62%	50%
Service Provider - Above 50	N/A	0%	3%
Turnover Rate			
Manager	N/A	56%	29%
Service Provider	N/A	37%	23%
Employee Turnover by Gender			
Manager - Female	N/A	40%	80%
Manager - Male	N/A	60%	20%
Service Provider - Female	N/A	64%	43%
Service Provider - Male	N/A	36%	57%
Employee Turnover by Age Group			
Manager - Under 30	N/A	10%	20%
Manager - Between 30 - 50	N/A	90%	60%
Manager - Above 50	N/A	0%	20%
Service Provider - Under 30	N/A	46%	33%
Service Provider - Between 30 - 50	N/A	50%	62%
Service Provider- Above 50	N/A	4%	5%
Employee Turnover by Employee Category- Manager			
Senior Management	0	2	0
Management	0	5	3
Executive	0	0	2
Non-Executive	1	3	0

SUSTAINABILITY STATEMENT (CONT'D)

PERFORMANCE DATA TABLE (CONT'D)

Indicators	FY 2022	FY 2023	FY 2024
Employee Turnover by Employee Category-Service Provider			
Senior Management	0	1	1
Management	1	1	0
Executive	12	8	7
Non-Executive	33	18	13
Number of employees that took parental leave			
Female	N/A	1	4
Male	N/A	1	3
Number of employees that returned after parental leave			
Female	N/A	1	4
Male	N/A	1	3
Number of employees that returned to work after parental leave ended that were still employed 12 months after their return to work			
Female	N/A	1	4
Male	N/A	1	3
Human Rights & Labour Standards			
Number of substantiated complaints concerning human rights violations	N/A	0	0
Numbers of Hours Worked			
Manager	N/A	21,552	24,156
Service Provider	N/A	160,512	178,980
Injury Cases			
Number of fatalities as a result of work-related injury	N/A	0	0
Number of recordable work-related injuries including fatalities	N/A	0	0
Number of employees trained on health and safety standards	N/A	N/A	169
Community Investment and Development			
Total amount invested in the community where the target beneficiaries are external to the listed issuer (RM)	N/A	N/A	22,406
Total number of beneficiaries of the investment in communities	N/A	N/A	7,002
Supply Chain Management			
Proportion of spending on local suppliers	N/A	100%	100%
Percentage of new suppliers that were screened using Environmental Criteria	N/A	N/A	43%
Percentage Suppliers undergo Annual Supplier Evaluation (%)	N/A	100%	100%
Number of Suppliers Assessed for Environmental Criteria	N/A	N/A	28

SUSTAINABILITY STATEMENT (CONT'D)

GRI CONTENT INDEX

Statement of use	KIP REIT has reported the information cited in this GRI content index for the period 1 July 2023 until 30 June 2024 with reference to the GRI Standards.
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GRI STANDARD	DISCLOSURE	Section
	The Organisation and its Reporting Practices	
	2-1 Organisational details	About Our Statement
	2-2 Entities included in the organisation's sustainability reporting	Reporting Scope and Boundary
	2-3 Reporting period, frequency and contact point	- Reporting Period - Feedback
	2-4 Restatements of Information	Water Stewardship
	2-6 Activities, value chain and other business relationships	- Refer to IAR 2024 - Reporting Scope and Boundary - Supply Chain Management
	2-7 Employees	Diversity and Inclusion
	Governance	
	2-9 Governance structure and composition	Our Governance Structure
	2-10 Nomination and selection of the highest governance body	Refer to IAR 2024
	2-11 Chair of the highest governance body	Refer to IAR 2024
	2-12 Role of the highest governance body in overseeing the management of impacts	Our Governance Structure
	2-13 Delegation of responsibility for managing impacts	Our Governance Structure
	2-14 Role of the highest governance body in sustainability reporting	Our Governance Structure
GRI 2: General Disclosures 2021	2-15 Conflicts of Interest	- Refer to IAR 2024 - Corporate Governance and Anti-Corruption
	2-16 Communication of critical concerns	Human Rights and Labour Standards
	2-22 Statement on sustainable development strategy	- CEO Letter to Stakeholder - Sustainability Highlights - UNSDGs Scorecard
	2-23 Policy commitments	- Corporate Governance and Anti-Corruption - Human Rights and Labour Standards - Supply Chain Management
	2-24 Embedding policy commitments	- Corporate Governance and Anti-Corruption - Risk Management - Human Rights and Labour Standards - Supply Chain Management
	2-25 Processes to remediate negative impacts	- Corporate Governance and Anti-Corruption - Risk Management - Human Rights and Labour Standards
	2-26 Mechanisms for seeking advice and raising concerns	Corporate Governance and Anti-Corruption

SUSTAINABILITY STATEMENT (CONT'D)

GRI CONTENT INDEX (CONT'D)

GRI STANDARD	DISCLOSURE	Section
	2-27 Compliance with laws and regulations	Corporate Governance and Anti-Corruption
	Stakeholder Engagement	
	2-29 Approach to stakeholder engagement	Understanding Stakeholder Perspectives
GRI 3: Material Topics 2021	3-1 Process to determine material topics	Materiality Assessment Process
	3-2 List of material topics	Materiality Assessment Process
GRI 3: Material Topics 2021	3-3 Management of material topics	• Forecasting Economic Expansion; • Cultivating Ethical Business Practices; • Transforming into Low Carbon Assets; • Nurturing Talent and Community Engagement
	Economic Performance	
GRI 3: Material Topics 2021	3-3 Management of material topics	• Strategic Framework for Economic Performance • Monitoring and Reporting Economic Performance • Strategic Growth and Value Creation for Stakeholders
GRI 201: Economic Performance 2016	201-1 Direct economic value generated and distributed	Business Performance
	201-2 Financial implications and other risks and opportunities due	Task Force on Climate Related Financial Disclosures ("TCFD")
	Operational Performance	
GRI 3: Material Topics 2021	3-3 Management of material topics	• Tenant Engagement at KIP REIT
GRI 203: Indirect Economic Impacts 2016	203-1 Infrastructure investments and services supported	• Community Engagement with Tenants • Increasing Rental Potential
	203-2 Significant indirect economic impacts	• Continuous Improvement through Proactive Asset Enhancement Initiatives ("AEI") • Increased in Net Lettable Area • Award Received • AEIs Future Plan and Outlook
	Corporate Governance and Anti-Corruption	
GRI 3: Material Topics 2021	3-3 Management of material topics	• The Board Charter • Anti-Bribery Management System ("ABMS") • Training on Anti-Corruption • The Anti-Bribery and Corruption Policy ("ABC Policy") • Code of Conduct and Code of Ethics • Conflict of Interest Policy • Whistleblowing Policy • Supplier and Business Partner Assessment

SUSTAINABILITY STATEMENT (CONT'D)

GRI CONTENT INDEX (CONT'D)

GRI STANDARD	DISCLOSURE	Section
GRI 205: Anti-corruption 2016	205-2 Communication and training about anti-corruption policies and procedures	The Anti-Bribery and Corruption Policy ("ABC Policy")
	205-3 Confirmed incidents of corruption and actions taken	Supplier and Business Partner Assessment
	Risk Management	
GRI 3: Material Topics 2021	3-3 Management of material topics	• ERM Framework and ISO 31000:2018 Alignment • Components of the ERM Framework • Three Lines of Defense Model • Strategic Risk Management at KIP REIT • Risk Reports • Detailed Risk Assessment for Investment Proposals
	Data Security and Privacy	
GRI 3: Material Topics 2021	3-3 Management of material topics	• Protecting Digital Assets and Ensuring IT Security • External IT Support and Maintenance • Training and Awareness
GRI 418: Customer Privacy 2016	418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data	Training and Awareness
	Climate Resilience and Energy Efficiency	
GRI 3: Material Topics 2021	3-3 Management of material topics	• Enhancing Operational Energy Efficiency • Renewable Energy • Energy Consumption • Green House Gases ("GHG") Emissions
GRI 302: Energy 2016	302-1 Energy consumption within the organisation	Energy Consumption
	305-1 Direct (Scope 1) GHG emissions	Green House Gases ("GHG") Emissions
GRI 305: Emissions 2016	305-2 Energy indirect (Scope 2) GHG emissions	
	305-3 Other indirect (Scope 3) GHG emissions	
	305-4 GHG emissions intensity	
	Waste Management	
GRI 3: Material Topics 2021	3-3 Management of material topics	Waste Management Practices
GRI 306: Waste 2020	306-1 Waste generation and significant waste-related impacts	
	306-2 Management of significant waste-related impacts	
	306-3 Waste generated	
	306-4 Waste diverted from disposal	
	306-5 Waste directed to disposal	

SUSTAINABILITY STATEMENT (CONT'D)

GRI CONTENT INDEX (CONT'D)

GRI STANDARD	DISCLOSURE	Section
	Responsible Resource Use	
GRI 3: Material Topics 2021	3-3 Management of material topics	Resource Management
	Water Stewardship	
GRI 3: Material Topics 2021	3-3 Management of material topics	Water Saving Initiatives
GRI 303: Water and Effluents 2018	303-1 Interactions with water as a shared resource	- Water Saving Initiatives - Task Force on Climate Related Financial Disclosures ("TCFD") - Aligned Disclosure
	303-3 Water withdrawal	Water Saving Initiatives
	303-5 Water consumption	Water Saving Initiatives
	Human Rights and Labour Standards	
GRI 3: Material Topics 2021	3-3 Management of material topics	- Labour and Human Rights Policy - Compliance and Ethical Culture - Adherence to Minimum Wage Regulations - Family-Friendly Policies - Safe and Respectful Workplace - Grievance Mechanisms - Promotion of Human Rights
GRI 401: Employment 2016	401-3 Parental leave	Family-Friendly Policies
GRI 406: Non-Discrimination 2016	406-1 Incidents of discrimination and corrective actions taken	Grievance Mechanisms
GRI 408: Child Labour 2016	408-1 Operations and suppliers at significant risk for incidents of child labour	Labour and Human Rights Policy
GRI 411: Rights of Indigenous Peoples 2016	411-1 Incidents of violations involving rights of indigenous peoples	- Safe and Respectful Workplace - Grievance Mechanisms
	Diversity and Inclusion	
GRI 3: Material Topics 2021	3-3 Management of material topics	- Commitment to Non-Discrimination - Diversity Policy - Inclusive Workforce Development Programmes - Diversity Goals
GRI 405: Diversity and Equal Opportunity 2016	405-1 Diversity of governance bodies and employees	

SUSTAINABILITY STATEMENT (CONT'D)

GRI CONTENT INDEX (CONT'D)

GRI STANDARD	DISCLOSURE	Section
	Employee Health, Safety and Wellbeing	
GRI 3: Material Topics 2021	3-3 Management of material topics	• Occupational Health and Safety Policy • Safety and Health Training • Safety Management and Employee Engagement • Incident Reporting and Investigation Process • Employee Wellbeing • Fostering an Engaging and Supportive Workplace Culture • Employee Satisfaction • New Hires and Employee Turnover
GRI 401: Employment 2016	401-1 New employee hires and employee turnover	New Hires and Employee Turnover
	401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees	Fostering an Engaging and Supportive Workplace Culture
GRI 403: Occupational Health and Safety 2018	403-1 Occupational health and safety management system	• Occupational Health and Safety Policy • Safety Management and Employee Engagement • Incident Reporting and Investigation Process
	403-2 Hazard identification, risk assessment, and incident investigation	• Occupational Health and Safety Policy • Incident Reporting and Investigation Process
	403-3 Occupational health services	• Occupational Health and Safety Policy • Safety Management and Employee Engagement
	403-4 Worker participation, consultation, and communication on occupational health and safety	• Occupational Health and Safety Policy • Incident Reporting and Investigation Process
	403-5 Worker training on occupational health and safety	Safety Management and Employee Engagement
	403-6 Promotion of worker health	Employee Wellbeing
	403-8 Workers covered by an occupational health and safety management system	Occupational Health and Safety Policy
	403-9 Work-related injuries	Incident Reporting and Investigation Process

SUSTAINABILITY STATEMENT (CONT'D)

GRI CONTENT INDEX (CONT'D)

GRI STANDARD	DISCLOSURE	Section
	Human Capital Development	
GRI 3: Material Topics 2021	3-3 Management of material topics	- Strengthening Workforce Capabilities and Development - Advancing Sustainability Goals
	404-1 Average hours of training per year per employee	
GRI 404: Training and Education 2016	404-2 Programmes for upgrading employee skills and transition assistance programmes	Strengthening Workforce Capabilities and Development
	404-3 Percentage of employees receiving regular performance and career development reviews	Performance Appraisal
	Supply Chain Management	
GRI 3: Material Topics 2021	3-3 Management of material topics	- New Supplier Evaluation - Our Procurement Policy - Annual Supplier Evaluation - Supports Local Procurement
GRI 204: Procurement Practices 2016	204-1 Proportion of spending on local suppliers	Supports Local Procurement
GRI 308: Supplier Environmental Assessment 2016	308-1 New suppliers that were screened using environmental criteria	
	308-2 Negative environmental impacts in the supply chain and actions	
GRI 414: Supplier Social Assessment 2016	414-1 New suppliers that were screened using social criteria	New Supplier Evaluation
	414-2 Negative social impacts in the supply chain and actions taken	Annual Supplier Evaluation
	Community Investments and Development	
GRI 3: Material Topics 2021	3-3 Management of material topics	Community Investments and Development
GRI 413: Local Communities 2016	413-1 Operations with local community engagement, impact assessments, and development programmes	Community Investments and Development

SUSTAINABILITY STATEMENT (CONT'D)

APPENDIX – ASSURANCE STATEMENT



Baker Tilly Monteiro Heng Governance
Sdn Bhd (Company No. 351771-X)
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www.bakertilly.my

30 July 2024

KIP Real Estate Investment Trust
Unit B-6, Blok B, Tingkat 6,
Menara KIP
No. 1, Jalan Seri Utara 1
Sri Utara Off Jalan Ipoh
68100 Kuala Lumpur Malaysia

STRICTLY CONFIDENTIAL

Dear Sir/Mam,

KIP REAL ESTATE INVESTMENT TRUST INTERNAL AUDIT REVIEW OF THE SUSTAINABILITY REPORTING PROCESS

Baker Tilly Monteiro Heng Governance Sdn Bhd ("Baker Tilly" or "we") has been engaged to perform an outsourced function to provide internal audit services for the review of KIP Real Estate Investment Trust ("KIP REIT" or "the Company")'s Sustainability Reporting Process for the audit period from 1 July 2023 to 30 June 2024 for reporting to the Audit Committee ("AC").

Scope

The scope of the internal review includes the operations at the Manager's headquarter in Kuala Lumpur and seven (7) community-centric neighbourhood malls across Malaysia.

Subject Matter

The subject matters covered by the internal audit review includes all common sustainability matters and accompanying indicators identified by Bursa, as presented in the Sustainability Report Financial Year 2024.

SUSTAINABILITY STATEMENT (CONT'D)

APPENDIX – ASSURANCE STATEMENT



Limitation of Use of this Letter

This letter is prepared solely for the Audit Committee of the Company in accordance with the terms outlined in our engagement letter with the Company. To the fullest extent permitted by law, we hereby declare that we do not accept nor assume responsibility and disclaim any liability to any party for the content of this letter. Any reliance placed on this report by any third party shall be done at their own risk.

A handwritten signature in black ink, appearing to read "Baker Tilly Monteiro Heng", positioned above a horizontal dotted line.

Baker Tilly Monteiro Heng Governance Sdn Bhd
(Company No. 351771-X)

Kuala Lumpur

Date: 30 July 2024

SUSTAINABILITY

STATEMENT (CONT'D)

Indicator	Measurement Unit	2022	2023	2024
Bursa (Anti-corruption)				
Bursa C1(a) Percentage of employees who have received training on anti-corruption by employee category				
Management	Percentage	-	-	100.00
Executive	Percentage	-	-	100.00
Non-executive/Technical	Percentage	-	-	100.00
Staff				
General Workers	Percentage	-	-	0.00
Bursa C1(b) Percentage of operations assessed for corruption-related risks	Percentage	-	-	0.00
Bursa C1(c) Confirmed incidents of corruption and action taken	Number	-	-	0
Bursa (Community/Society)				
Bursa C2(a) Total amount invested in the community where the target beneficiaries are external to the listed issuer	MYR	-	-	22,406.00
Bursa C2(b) Total number of beneficiaries of the investment in communities	Number	-	-	7,002
Bursa (Diversity)				
Bursa C3(a) Percentage of employees by gender and age group, for each employee category				
Age Group by Employee Category				
Management Under 30	Percentage	-	-	0.00
Management Between 30-50	Percentage	-	-	80.00
Management Above 50	Percentage	-	-	20.00
Executive Under 30	Percentage	-	-	14.00
Executive Between 30-50	Percentage	-	-	80.00
Executive Above 50	Percentage	-	-	6.00
Non-executive/Technical Staff Under 30	Percentage	-	-	53.00
Non-executive/Technical Staff Between 30-50	Percentage	-	-	41.00
Non-executive/Technical Staff Above 50	Percentage	-	-	6.00
General Workers Under 30	Percentage	-	-	0.00
General Workers Between 30-50	Percentage	-	-	0.00
General Workers Above 50	Percentage	-	-	0.00
Gender Group by Employee Category				
Management Male	Percentage	-	-	60.00
Management Female	Percentage	-	-	40.00
Executive Male	Percentage	-	-	31.00
Executive Female	Percentage	-	-	69.00
Non-executive/Technical Staff Male	Percentage	-	-	53.00
Non-executive/Technical Staff Female	Percentage	-	-	47.00
General Workers Male	Percentage	-	-	0.00
General Workers Female	Percentage	-	-	0.00
Bursa C3(b) Percentage of directors by gender and age group				
Male	Percentage	83.00	67.00	67.00
Female	Percentage	17.00	33.00	33.00
Under 30	Percentage	0.00	0.00	0.00
Between 30-50	Percentage	33.00	33.00	33.00
Above 50	Percentage	67.00	67.00	67.00
Bursa (Energy management)				
Bursa C4(a) Total energy consumption	Megawatt	9,272.00	9,219.00	14,132.00

Internal assurance

External assurance

No assurance

(*) Restated

SUSTAINABILITY STATEMENT (CONT'D)

Indicator	Measurement Unit	2022	2023	2024
Bursa (Health and safety)				
Bursa C5(a) Number of work-related fatalities	Number	-	0	0
Bursa C5(b) Lost time incident rate ("LTIR")	Rate	-	0.00	0.00
Bursa C5(c) Number of employees trained on health and safety standards	Number	-	-	169
Bursa (Labour practices and standards)				
Bursa C6(a) Total hours of training by employee category				
Management	Hours	174	441	657
Executive	Hours	491	718	792
Non-executive/Technical Staff	Hours	786	755	959
General Workers	Hours	0	0	0
Bursa C6(b) Percentage of employees that are contractors or temporary staff	Percentage	-	-	10.00
Bursa C6(c) Total number of employee turnover by employee category				
Management	Number	1	9	4
Executive	Number	12	8	9
Non-executive/Technical Staff	Number	34	21	13
General Workers	Number	0	0	0
Bursa C6(d) Number of substantiated complaints concerning human rights violations	Number	-	0	0
Bursa (Supply chain management)				
Bursa C7(a) Proportion of spending on local suppliers	Percentage	-	100.00	100.00
Bursa (Data privacy and security)				
Bursa C8(a) Number of substantiated complaints concerning breaches of customer privacy and losses of customer data	Number	-	0	0
Bursa (Water)				
Bursa C9(a) Total volume of water used	Megalitres	214,369.000000	206,420.000000	204,883.000000

Internal assurance

External assurance

No assurance

(*) Restated

DIRECTORS' RESPONSIBILITY STATEMENT FOR PREPARATION OF THE FINANCIAL STATEMENTS

In compliance with the Paragraph 15.26(a) of the MMLR, the Directors are pleased to report that the financial statements of KIP REIT for the FYE 2024 have been made out in accordance with the applicable Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards ("IFRS"), the Deeds, REIT Guidelines, the provisions of the Companies Act 2016 and the MMLR.

To this end, the Directors are satisfied that the said financial statements give a true and fair view of the state of affairs of KIP REIT and of the results and cash flows for the financial year then ended.

In preparing the financial statements for the FYE 2024, the Directors have: -

- adopted appropriate accounting policies and applied them consistently;
- ensured compliance with the applicable accounting standards, including MFRS and IFRS, subject to any material departure being explained in the financial statements;
- made reasonable and prudent judgements and estimates; and
- ensured the financial statements have been prepared on a going concern basis.

The Directors are responsible to ensure the proper documentation and maintenance of accounting records of KIP REIT. Additionally, the Directors have taken reasonable measures to detect and prevent fraud and other irregularities and to safeguard the assets of KIP REIT.

This statement was approved by the Board on 16 August 2024.

MANAGER'S REPORT

The Manager of KIP Real Estate Investment Trust ("KIP REIT" or "Fund"), KIP REIT Management Sdn. Bhd. ("Manager"), is pleased to submit their report and audited financial statements of KIP REIT and its wholly-owned subsidiary, KIP REIT Capital Sdn. Bhd. ("Group") for the financial year ended 30 June 2024.

PRINCIPAL ACTIVITY OF THE MANAGER

The principal activity of the Manager is the management of KIP REIT. There has been no significant change in the nature of this activity during the financial year.

THE FUND AND ITS INVESTMENT OBJECTIVE

KIP REIT is a Malaysia-domiciled real estate investment trust ("REIT") established on 2 November 2016 pursuant to the deed of trust dated 2 November 2016, an amended and restated deed dated 12 December 2019, and a supplementary deed dated 29 September 2020 (collectively referred to as the ("Deeds") between the Manager and Pacific Trustees Berhad ("Trustee"), listed on Main Market of Bursa Malaysia Securities Berhad ("Bursa Securities") on 6 February 2017 and regulated by the Securities Commission Act 1993, the Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines"), the Listing Requirements of Bursa Securities, the Rules of Bursa Malaysia Depository ("Depository") and taxation laws and rulings.

The principal investment policy of KIP REIT is to invest, directly and indirectly, in a portfolio of income producing real estate used for retail purposes, and for industrial or commercial purposes, including, without limiting the generality of the foregoing, warehousing facilities, logistic facilities and manufacturing sites as well as real estate-related assets. The nature of KIP REIT's investment shall be long-term, with a period of at least five years.

DISTRIBUTION OF INCOME

KIP REIT had declared distributions in the financial year as follows:-

- 1.550 sen per unit for the period from 1 July 2023 to 30 September 2023, which was paid on 23 November 2023.
- 1.550 sen per unit for the period from 1 October 2023 to 31 December 2023, which was paid on 29 February 2024.
- 1.600 sen per unit for the period from 1 January 2024 to 31 March 2024, which was paid on 28 May 2024.
- 1.965 sen per unit for the period from 1 April 2024 to 30 June 2024, which is payable on 30 August 2024.

RESERVES AND PROVISIONS

All material transfers to or from reserves and provisions during the financial year are shown in the financial statements.

DIRECTORS

The Directors who have served on the Board of the Manager, during the financial year and during the period from end of the financial year to the date of this report are as follows:-

Datuk Dr Syed Hussain bin Syed Husman, PJN. JP
 Dato' Ong Kook Liong
 Datuk Mohamed Arsad bin Sehan
 Ong Pui Shan
 Chiam Tau Meng
 Ong Tzu Chuen

MANAGER'S REPORT (CONT'D)

DIRECTORS' BENEFITS

During and at the end of the financial year, no arrangement subsisted to which the Manager is a party, with the object or objects of enabling the Directors of the Manager to acquire benefits by means of the acquisition of units in or debentures of KIP REIT or any other body corporate, other than as disclosed in Directors' interest.

For the financial year ended 30 June 2024, no Director has received or become entitled to receive a benefit (other than certain directors receive remuneration as a result of their employment with the Manager or related corporations).

DIRECTORS' INTEREST

The following Directors of the Manager who held office at the end of the financial year had, according to the register of unit holdings in KIP REIT, interests in the units of KIP REIT as follows:-

	Number of units			
	Balance at 01.07.2023	Addition	Disposal /Transferred	
Datuk Dr Syed Hussain bin Syed Husman, PJN. JP				
Direct	60,000	-	-	60,000
Dato' Ong Kook Liong				
Direct	62,486,283	-	-	62,486,283
Indirect	3,878,492	-	-	3,878,492
Datuk Mohamed Arsad bin Sehan				
Direct	300,000	-	-	300,000
Ong Pui Shan				
Direct	200,000	-	-	200,000
Ong Tzu Chuen				
Indirect	120,857,000	-	-	120,857,000

Other than as disclosed above, the other Directors who held office at the end of the financial year did not have interests in the units of KIP REIT.

OTHER INFORMATION ON THE FINANCIAL STATEMENTS

Before the financial statements of the Group and of the Fund were prepared, the Manager took reasonable steps:-

- to ascertain that proper action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts and satisfied themselves that all known bad debts had been written off and that adequate allowance had been made for doubtful debts; and
- to ensure that any current assets, other than debts, which were unlikely to realise in the ordinary course of business including the value of current assets as shown in the accounting records of the Group and of the Fund had been written down to an amount which the current assets they might be expected so to realise.

At the date of this report, the Manager is not aware of any circumstances:-

- which would render the amounts written off for bad debts or the amount of the allowance for doubtful debts in the financial statements of the Group and of the Fund inadequate to any substantial extent; or
- which would render the values attributed to current assets in the financial statements of the Group and of the Fund misleading; or
- which have arisen which render adherence to the existing method of valuation of assets or liabilities of the Group and of the Fund misleading or inappropriate.

MANAGER'S REPORT (CONT'D)

OTHER INFORMATION ON THE FINANCIAL STATEMENTS (CONT'D)

No contingent or other liability has become enforceable or is likely to become enforceable within the period of twelve (12) months after the end of the financial year which, in the opinion of the Manager, will or may affect the ability of the Group or of the Fund to meet its obligations when they fall due.

At the date of this report, there does not exist:-

- (a) any charge on the assets of the Group and of the Fund which has arisen since the end of the financial year which secures the liability of any other person; and
- (b) any contingent liability of the Group and of the Fund which have arisen since the end of the financial year.

At the date of this report, the Manager is not aware of any circumstances not otherwise dealt with in this report or the financial statements of the Group and of the Fund which would render any amount stated in the respective financial statements misleading.

In the opinion of the Manager:-

- (a) the results of the Group's and of the Fund's operations during the financial year were not substantially affected by any item, transaction or event of a material and unusual nature; and
- (b) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature likely to affect substantially the results of the operations of the Group and of the Fund for the financial year in which this report is made.

MATERIAL LITIGATION

The Manager is not aware of any material litigation as at the date of statement of financial position and up to the date of this report.

SOFT COMMISSION

There was no soft commission received by the Manager and/or its delegates during the financial year.

CIRCUMSTANCES THAT MATERIALLY AFFECT THE INTERESTS OF UNITHOLDERS

There are no circumstances which materially affect the interests of the unitholders.

AUDITORS

The auditors, PricewaterhouseCoopers PLT (LLP0014401-LCA & AF 1146), have expressed their willingness to continue in office.

Signed on behalf of the Board of the Manager in accordance with a resolution of the Directors of the Manager dated 16 August 2024.

DATO' ONG KOOK LIONG
MANAGING DIRECTOR

ONG PUI SHAN
EXECUTIVE DIRECTOR CUM
CHIEF EXECUTIVE OFFICER

STATEMENT BY THE MANAGER

In the opinion of the Directors of the Manager, the financial statements are drawn up in accordance with the provisions of the Deeds, the REIT Guidelines, applicable securities laws, Malaysian Financial Reporting Standards ("MFRS") and International Financial Reporting Standards so as to give a true and fair view of the financial position of the Group and of the Fund as at 30 June 2024 and of their financial performance and cash flows for the financial year ended 30 June 2024.

Signed on behalf of the Board of the Manager in accordance with a resolution of the Directors of the Manager dated 16 August 2024.

DATO' ONG KOOK LIONG
MANAGING DIRECTOR

ONG PUI SHAN
EXECUTIVE DIRECTOR CUM
CHIEF EXECUTIVE OFFICER

STATUTORY DECLARATION

I, Lim Boon Boon, the Chief Financial Officer of the Manager, primarily responsible for the financial management of KIP Real Estate Investment Trust, do solemnly and sincerely declare that the financial statements are, to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true, and by virtue of the provisions of the Statutory Declarations Act, 1960.

LIM BOON BOON
(MIA No.: 45180)

Subscribed and solemnly declared by the abovenamed at Petaling Jaya in the State of Selangor Darul Ehsan on 16 August 2024.

Before me:

COMMISSIONER FOR OATHS

TRUSTEE'S REPORT

TO THE UNITHOLDERS OF KIP REIT (Established in Malaysia)

We have acted as Trustee of KIP REIT for the financial year ended 30 June 2024. In our opinion and to the best of our knowledge, the Manager has managed KIP REIT in accordance with the limitations imposed on the investment powers of the Manager and the Trustee under the Deeds, the REIT Guidelines, applicable securities laws, Malaysian Financial Reporting Standards ("MFRS") and International Financial Reporting Standards so as to give a true and fair view of the financial position of the Group and of the Fund as at 30 June 2024 and of their financial performance and cash flows for the financial year ended 30 June 2024.

We have ensured the procedures and processes employed by the Manager to value and price the units of KIP REIT are adequate and that such valuation/pricing is carried out in accordance with the Deeds and other regulatory requirements.

We also confirm the income distributions declared during the financial year ended 30 June 2024 are in line with and are reflective of the objectives of KIP REIT. Income distributions have been declared for the financial year ended 30 June 2024 as follows:

- 1.550 sen per unit for the period from 1 July 2023 to 30 September 2023, which was paid on 23 November 2023.
- 1.550 sen per unit for the period from 1 October 2023 to 31 December 2023, which was paid on 29 February 2024.
- 1.600 sen per unit for the period from 1 January 2024 to 31 March 2024, which was paid on 28 May 2024.
- 1.965 sen per unit for the period from 1 April 2024 to 30 June 2024, which is payable on 30 August 2024.

For and on behalf of the Trustee,
PACIFIC TRUSTEES BERHAD

RAZAK BIN AHMAD
Chief Executive Director

Kuala Lumpur
16 August 2024

INDEPENDENT AUDITORS' REPORT

TO THE UNITHOLDERS OF KIP REAL ESTATE INVESTMENT TRUST (ESTABLISHED IN MALAYSIA)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Our opinion

In our opinion, the financial statements of KIP Real Estate Investment Trust ("the Fund") and its subsidiary ("the Group") give a true and fair view of the financial position of the Group and of the Fund as at 30 June 2024, and of their financial performance and their cash flows for the financial year then ended in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards.

What we have audited

We have audited the financial statements of the Group and of the Fund, which comprise the statements of financial position as at 30 June 2024 of the Group and of the Fund, and the statements of comprehensive income, statements of changes in net asset value and statements of cash flows of the Group and of the Fund for the financial year then ended, and notes to the financial statements, including material accounting policies as set out on pages 186 to 233.

Basis for opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the "Auditors' responsibilities for the audit of the financial statements" section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and other ethical responsibilities

We are independent of the Group and of the Fund in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Our audit approach

As part of designing our audit, we determined materiality and assessed the risks of material misstatement in the financial statements of the Group and of the Fund. In particular, we considered where the Directors made subjective judgements; for example, in respect of significant accounting estimates that involved making assumptions and considering future events that are inherently uncertain. As in all of our audits, we also addressed the risk of management override of internal controls, including among other matters, consideration of whether there was evidence of bias that represented a risk of material misstatement due to fraud.

We tailored the scope of our audit in order to perform sufficient work to enable us to provide an opinion on the financial statements as a whole, taking into account the structure of the Group and of the Fund, the accounting processes and controls, and the industry in which the Group and the Fund operate.

INDEPENDENT AUDITORS' REPORT (CONT'D) TO THE UNITHOLDERS OF KIP REAL ESTATE INVESTMENT TRUST (ESTABLISHED IN MALAYSIA)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONT'D)

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the Group and of the Fund for the current financial year. These matters were addressed in the context of our audit of the financial statements of the Group and of the Fund as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matters	How our audit addressed the key audit matters
Fair value of investment properties KIP REIT's accounting policy is to carry its investment properties at fair value. As at 30 June 2024, the carrying amount of KIP REIT's investment properties amounted to RM1,054.5 million. During the financial year ended 30 June 2024, KIP REIT recognised a loss in changes in fair value on investment properties amounting to RM4.2 million. KIPREIT engaged an independent external valuer to perform valuation of the investment properties using the income approach method. We focused on the valuation of the investment properties due to the magnitude of the balance and the significant judgment involved in determining the key assumptions used in the valuation model, i.e. capitalisation rates for term and reversionary period. Refer to Note 3(b) on Material Accounting Policies, Note 4 Critical Accounting Estimates and Judgements and Note 6 Investment Properties.	We evaluated the competence, qualification and experience as well as the independence of the external valuer engaged by the management. We discussed with the independent external valuer without the presence of the management on the methodology and key assumptions used in the valuation model. We also discussed with the valuer to understand the factors considered in adjusting the inputs. We checked the rental rates, rental term and net lettable area used in the valuation on a sample basis to the underlying lease agreements. We assessed the reasonableness of key assumptions used by the independent external valuer in the valuation model i.e. capitalisation rates for term and reversionary period to comparable real estate investment trusts and historical trends. We assessed the appropriateness of the sensitivity analysis performed on a reasonably possible change in capitalisation rates for term and reversionary period on the fair value of the investment properties. We checked the adequacy of disclosures made by the Directors in the financial statements. Based on the above procedures performed, we did not identify any material exceptions.

Information other than the financial statements and auditors' report thereon

The Directors of the Fund are responsible for the other information. The other information comprises the 2024 Annual Report, the Manager's Report and the Trustee's Report, but does not include the financial statements of the Group and of the Fund and our auditors' report thereon.

Our opinion on the financial statements of the Group and of the Fund does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of the Fund, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Group and of the Fund or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

INDEPENDENT

AUDITORS' REPORT (CONT'D)

TO THE UNITHOLDERS OF KIP REAL ESTATE INVESTMENT TRUST (ESTABLISHED IN MALAYSIA)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONT'D)

Responsibilities of the Directors for the financial statements

The Directors of the Fund are responsible for the preparation of the financial statements of the Group and of the Fund that give a true and fair view in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards. The Directors are also responsible for such internal control as the Directors determine is necessary to enable the preparation of financial statements of the Group and of the Fund that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of the Fund, the Directors are responsible for assessing the Group's and the Fund's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors of the Manager either intend to liquidate the Group or the Fund or to terminate the Fund, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of the Fund as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- (a) Identify and assess the risks of material misstatement of the financial statements of the Group and of the Fund, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- (b) Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and of the Fund's internal control.
- (c) Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.
- (d) Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's or on the Fund's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Group and of the Fund or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group or the Fund to cease to continue as a going concern.
- (e) Evaluate the overall presentation, structure and content of the financial statements of the Group and of the Fund, including the disclosures, and whether the financial statements of the Group and of the Fund represent the underlying transactions and events in a manner that achieves fair presentation.
- (f) Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements of the Group. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

INDEPENDENT AUDITORS' REPORT (CONT'D) TO THE UNITHOLDERS OF KIP REAL ESTATE INVESTMENT TRUST (ESTABLISHED IN MALAYSIA)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONT'D)

Auditors' responsibilities for the audit of the financial statements (cont'd)

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the Directors, we determine those matters that were of most significance in the audit of the financial statements of the Group and of the Fund for the current financial year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

OTHER MATTERS

This report is made solely to the unitholders of the Fund, and for no other purpose. We do not assume responsibility to any other person for the content of this report.

PRICEWATERHOUSECOOPERS PLT
LLP0014401-LCA & AF 1146
Chartered Accountants

CHONG TZE JIUN
03763/07/2025J
Chartered Accountant

Kuala Lumpur
16 August 2024

STATEMENTS OF FINANCIAL POSITION

AS AT 30 JUNE 2024

		Group		Fund	
	Note	2024 RM'000	2023 RM'000	2024 RM'000	2023 RM'000
Non-current assets					
Equipment	5	1,406	1,520	1,406	1,520
Investment properties	6	1,054,523	964,300	1,054,523	964,300
Right of use assets	8	1,278	-	1,278	-
Trade and other receivables	9	7,077	-	7,077	-
Total non-current assets		1,064,284	965,820	1,064,284	965,820
Current assets					
Trade and other receivables	9	36,772	8,810	36,772	8,810
Cash and bank balances	10	34,892	48,761	24,153	40,929
Total current assets		71,664	57,571	60,925	49,739
Total assets		1,135,948	1,023,391	1,125,209	1,015,559
Financed by:					
Unitholders' fund					
Unitholders' capital	11	583,626	573,785	583,626	573,785
Retained earnings		94,003	86,186	94,003	86,186
Total unitholders' fund		677,629	659,971	677,629	659,971
Non-current liabilities					
Borrowings	12	109,457	309,586	-	-
Payables and accruals	13	12,185	16,167	120,589	321,552
Lease liabilities	8	1,071	-	1,071	-
Total non-current liabilities		122,713	325,753	121,660	321,552
Current liabilities					
Borrowings	12	313,869	23,631	-	20,000
Payables and accruals	13	21,504	14,036	325,687	14,036
Lease liabilities	8	233	-	233	-
Total current liabilities		335,606	37,667	325,920	34,036
Total liabilities		458,319	363,420	447,580	355,588
Total unitholders' fund and liabilities		1,135,948	1,023,391	1,125,209	1,015,559
Net asset value ("NAV")					
- before income distribution		717,126	696,770	717,126	696,770
- after income distribution		677,629	659,971	677,629	659,971
Number of units in circulation ('000 units)	11	618,630	606,360	618,630	606,360
NAV per unit (RM)					
- before income distribution		1.1592	1.1491	1.1592	1.1491
- after income distribution		1.0954	1.0884	1.0954	1.0884

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF COMPREHENSIVE INCOME

FOR THE FINANCIAL YEAR ENDED 30 JUNE 2024

	Note	Group and Fund	
		2024 RM'000	2023 RM'000
Lease income		95,318	77,480
Revenue from contracts with customers		6,841	6,270
Gross revenue	14	102,159	83,750
Utilities expenses		(11,653)	(10,209)
Maintenance and housekeeping expenses		(2,856)	(2,504)
Marketing expenses		(403)	(234)
Quit rent and assessment		(2,058)	(1,928)
Reimbursement costs	15	(4,477)	(3,967)
Property manager fee		(170)	(145)
Other operating expenses		(2,725)	(2,611)
Property operating expenses		(24,342)	(21,598)
Net property income		77,817	62,152
Changes in fair value on investment properties	6	(4,230)	23,092
Interest income		857	1,295
Net investment income		74,444	86,539
Manager's management fee	16	(7,035)	(7,387)
Trustees' fee		(259)	(415)
Auditors' remuneration		(133)	(123)
Valuers' fee		(82)	(208)
Other trust expenses		(2,933)	(2,855)
Borrowing costs	17	(16,689)	(14,759)
Profit before taxation		47,314	60,792
Taxation	18	-	-
Profit after taxation		47,314	60,792
Other comprehensive income, net of tax		-	-
Total comprehensive income attributable to unitholders		47,314	60,792
Profit after taxation is made up as follows:			
Realised		44,467	37,700
Unrealised		2,847	23,092
		47,314	60,792
Basic earnings per unit (sen)	19	7.7163	10.4701
Diluted earnings per unit (sen)	19	7.7163	10.4701
Total comprehensive income		47,314	60,792
Distribution adjustments	20	(1,737)	(22,028)
Distributable income		45,577	38,764
Distribution per unit (sen)	20	6.6650	6.2000

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CHANGES IN NET ASSET VALUE

FOR THE FINANCIAL YEAR ENDED 30 JUNE 2024

	Note	Unitholders' capital RM'000	Retained earnings RM'000	Total unitholders' funds RM'000
Group and Fund				
As at 1 July 2023		573,785	86,186	659,971
Profit of the financial year		-	47,314	47,314
Total comprehensive income for the financial year attributable to unitholders		-	47,314	47,314
Unitholders' transactions				
Distribution to unitholders	20	-	(39,497)	(39,497)
Issuance and placement of units		10,000	-	10,000
Issuing expenses		(159)	-	(159)
Increase/(decrease) in net assets resulting from unitholders' transactions		9,841	(39,497)	(29,656)
As at 30 June 2024		583,626	94,003	677,629
Group and Fund				
As at 1 July 2022		492,333	62,193	554,526
Profit of the financial year		-	60,792	60,792
Total comprehensive income for the financial year attributable to unitholders		-	60,792	60,792
Unitholders' transactions				
Distribution to unitholders	20	-	(36,799)	(36,799)
Issuance and placement of units		82,399	-	82,399
Issuing expenses		(947)	-	(947)
Increase/(decrease) in net assets resulting from unitholders' transactions		81,452	(36,799)	44,653
As at 30 June 2023		573,785	86,186	659,971

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CASH FLOWS

FOR THE FINANCIAL YEAR ENDED 30 JUNE 2024

Note	Group		Fund	
	2024 RM'000	2023 RM'000	2024 RM'000	2023 RM'000
Cash flows from operating activities				
Profit before taxation	47,314	60,792	47,314	60,792
Adjustments for:				
Deferred lease incentives	(7,077)	-	(7,077)	-
Changes in fair value on investment properties	6 4,230	(23,092)	4,230	(23,092)
Interest expense on borrowings	16,399	14,503	397	634
Interest expense on advances from a subsidiary	-	-	16,002	13,869
Interest income	(857)	(1,295)	(857)	(1,295)
Interest expense on lease liabilities	8 36	-	36	-
Depreciation for right of use assets	8 196	-	196	-
Depreciation of equipment	5 554	549	554	549
Amortisation of transaction costs	290	256	290	256
Bad debts written off	59	-	59	-
Write off of equipments	5 -	5	-	5
(Reversal)/Allowance for impairment on receivable	(47)	49	(47)	49
Operating income before changes in working capital	61,097	51,767	61,097	51,767
Net change in trade and other receivables	(27,926)	(4,708)	(27,926)	(4,708)
Net change in payables and accruals	3,634	8,517	3,583	8,517
Net cash generated from operating activities	36,805	55,576	36,754	55,576
Cash flows from investing activities				
Purchase of equipment	5 (440)	(128)	(440)	(128)
Additions of investment properties	6 (14,453)	(10,508)	(14,453)	(10,508)
Acquisition of investment properties	6 (80,000)	(78,700)	(80,000)	(78,700)
Placement of fixed deposit with maturity period of more than 3 months	(572)	-	(572)	-
Interest received	808	1,239	808	1,239
Net cash used in investing activities	(94,657)	(88,097)	(94,657)	(88,097)
Cash flows from financing activities				
Proceeds from issuance of new units	10,000	82,399	10,000	82,399
Payment of issuing expenses	(159)	(947)	(159)	(947)
Interest paid on borrowings	(16,275)	(14,365)	(544)	(544)
Income distribution paid to unitholders	20 (39,497)	(36,799)	(39,497)	(36,799)
Interest paid on advances from a subsidiary	-	-	(15,731)	(13,821)
Repayment to a subsidiary	-	-	(3,308)	(182)
Interest paid on lease	8 (36)	-	(36)	-
Lease payment (principal portion)	8 (170)	-	(170)	-
Payment for transaction costs	(452)	-	-	-
Repayment on borrowings	(20,000)	-	(20,000)	-
Proceeds from borrowings	110,000	20,000	110,000	20,000
Net cash generated from financing activities	43,411	50,288	40,555	50,106

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CASH FLOWS (CONT'D)

FOR THE FINANCIAL YEAR ENDED 30 JUNE 2024

	Note	Group		Fund	
		2024 RM'000	2023 RM'000	2024 RM'000	2023 RM'000
Net (decrease)/ increase in cash and cash equivalents		(14,441)	17,767	(17,348)	17,585
Cash and cash equivalents at beginning of the financial year		48,761	30,994	40,929	23,344
Cash and bank balances at end of the financial year	10	34,320	48,761	23,581	40,929
Cash in hand		-*	-*	-	-
Bank balances		12,009	6,264	11,213	6,247
Short term deposits placed with licensed bank		22,883	42,497	12,940	34,682
		34,892	48,761	24,153	40,929
Less: Deposit with maturity period of more than 3 months		(572)	-	(572)	-
Cash and cash equivalents		34,320	48,761	23,581	40,929
Pledged deposits		12,252	9,393	2,309	1,578

* Denotes RM2

The reconciliation of liabilities arising from financing activities is as follows:-

	As at 1 July	Cash flow	Non-cash items	As at 30 June
	RM'000	RM'000	RM'000	RM'000
2024				
Group				
Borrowings	333,217	73,273	16,836	423,326
Lease liabilities	-	(206)	1,510	1,304
Fund				
Amount due to a subsidiary*	305,385	(19,039)	16,292	302,638
Borrowings	20,000	89,456	544	110,000
Lease liabilities	-	(206)	1,510	1,304
2023				
Group				
Borrowings	312,913	5,635	14,669	333,217
Fund				
Amount due to a subsidiary*	305,263	(14,003)	14,125	305,385
Borrowings	-	19,456	544	20,000

* Included within payables and accruals in Note 13 to the financial statements.

The accompanying notes form an integral part of the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1 GENERAL

KIP REIT is a Malaysia-domiciled real estate investment trust ("REIT") established on 2 November 2016 pursuant to the deed of trust dated 2 November 2016, an amended and restated deed dated 12 December 2019, and a supplementary deed dated 29 September 2020 (collectively referred to as the ("Deeds")) between the Manager and Pacific Trustees Berhad ("Trustee"), listed on Main Market of Bursa Malaysia Securities Berhad ("Bursa Securities") on 6 February 2017 and regulated by the Securities Commission Act 1993, the Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts ("REIT Guidelines"), the Listing Requirements of Bursa Securities, the Rules of Bursa Malaysia Depository ("Depository") and taxation laws and rulings. The addresses of the Manager's registered office and principal place of business are as follows:-

Registered office

Unit 27.2, Menara 1MK
Kompleks 1 Mont Kiara
No. 1 Jalan Kiara, Mont Kiara
50480 Kuala Lumpur, Malaysia

Principal place of business

Unit B-6, Blok B, Tingkat 6, Menara KIP
No. 1, Jalan Seri Utara 1
Sri Utara Off Jalan Ipoh
68100 Kuala Lumpur, Malaysia

The principal investment policy of KIP REIT is to invest, directly and indirectly, in a portfolio of income producing real estate used for retail purposes, and for industrial or commercial purposes, including, without limiting the generality of the foregoing, warehousing facilities, logistic facilities and manufacturing sites as well as real estate-related assets. The nature of KIP REIT's investment shall be long-term, with a period of at least five years.

The financial statements as at and for the financial year ended 30 June 2024 comprise KIP REIT and its wholly-owned special purpose company, KIP REIT Capital Sdn. Bhd., a company incorporated in Malaysia, of which the principal activity is to raise financing for and on behalf of KIP REIT.

The Manager's key objective is to provide unitholders with regular and stable distributions, sustainable long term Unit price and distributable income and capital growth, while maintaining an appropriate capital structure.

The financial statements were approved by the Board of Directors of the Manager with a resolution of the Board of Directors on 16 August 2024.

KIP REIT entered into several service agreements in relation to the management of KIP REIT and its property operations. The fee structures are as follows:-

(a) Property management fees

The property manager of KIP REIT, Henry Butcher Malaysia (Mont Kiara) Sdn. Bhd. is entitled to property management fee of RM15,000 per month (excluding sales and service tax). In addition, the property manager is also entitled to full disbursement of costs and expenses properly incurred in the operation, maintenance, management and marketing of the properties held by KIP REIT ("Permitted Expenses") as well as fees and reimbursements for Permitted Expenses payable to its service providers.

(b) Manager's management fees

Pursuant to the Deeds, the Manager is entitled to receive the following fees from KIP REIT, in the forms of cash, new Units or a combination thereof at the election of the Management Company in its sole discretion:-

- (i) a base fee ("Base Fee") of up to 1.0% per annum of the Total Asset Value of KIP REIT (excluding cash and bank balances which are held in non-interest bearing accounts).
- (ii) a performance fee ("Performance Fee") of up to 5.0% per annum of the Net Property Income of KIP REIT.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

1 GENERAL (CONT'D)

(b) Manager's management fees (Cont'd)

(iii) Acquisition Fee

1.0% of each of the following as is applicable (subject to there being no double-counting):

- (a) in relation to an acquisition (whether directly or indirectly through the Trustee or one or more Special Purpose Vehicle ("SPV") of KIP REIT) of any Real Estate or Real Estate-Related Assets, the transaction value (being the total purchase price) of any Real Estate or any Real Estate-Related Assets purchased by KIP REIT or its SPV (pro-rated, if applicable, to the proportion of KIP REIT's interest); or
- (b) in relation to an acquisition (whether directly or indirectly through one or more SPV of KIP REIT) of any SPV or holding entities which holds Real Estate, the underlying value of any Real Estate (pro-rated, if applicable, to the proportion of KIP REIT's interest).

Any payment to third party agents or brokers in connection with the acquisition of any Real Estate and Real Estate-Related Assets for KIP REIT shall not be paid by the Manager out of the acquisition fee received or to be received by the Manager (but shall be borne by KIP REIT).

For the avoidance of doubt, no acquisition fee is payable with respect to the acquisition of the Subject Properties in connection with the Listing of KIP REIT but acquisition fee is payable with respect to all other transactions (which includes related party and non-related party transactions), including acquisitions from the sponsor.

(iv) Divestment Fee

0.5% of each of the following as is applicable (subject to there being no double-counting):

- (a) in relation to a disposal (whether directly or indirectly through the Trustee or one or more SPV of KIP REIT) of any Real Estate or Real Estate-Related Assets, the transaction value (being the total sale price) of any Real Estate or Real Estate-Related Assets disposed of by KIP REIT or its SPV (pro-rated, if applicable, to the proportion of KIP REIT's interest); or
- (b) in relation to a disposal (whether directly or indirectly through one or more SPV of KIP REIT) of any SPV or holding entities which holds Real Estate, the underlying value of any Real Estate (pro-rated, if applicable, to the proportion of KIP REIT's interest).

Any payment to third party agents or brokers in connection with the sale or divestment of any Real Estate and Real Estate-Related Assets for KIP REIT shall not be paid by the Manager out of the divestment fee received or to be received by the Manager (but shall be borne by KIP REIT).

The Divestment Fee is payable with respect to all transactions (which includes related party and non-related party transactions), including divestments to the Promoters, as well as for compulsory acquisitions.

The payment of the Manager's management fee in the form of new Units will be in accordance with the following formula:

$$\text{New units to be issued as payment of the Manager's management fee} = \frac{\text{Manager's management fee payable in Units}}{\text{Market Price}}$$

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

1 GENERAL (CONT'D)

(b) Manager's management fees (Cont'd)

(iv) Divestment Fee (Cont'd)

For this purpose, "Market Price" means the volume weighted average market price of Units for the last 5 Market Days preceding the following events:

- (i) in respect of the Base Fee and Performance Fee, the announcement of the relevant quarterly reports; or
- (ii) in respect of the Acquisition Fee and Divestment Fee, the completion of the relevant acquisition/divestment,

(each a "Trigger Event").

With reference to any Book Closing Date, where the Trigger Event is before but the issuance of the new Units relating to such Trigger Event is after the said Books Closing Date, the Market Price will be further adjusted for the entitlement relating to such Books Closing Date.

The Manager will make immediate announcements to Bursa Securities disclosing the number of new Units issued and the Issue Price when new Units are issued as payment for Management Fee. Payment of the Management fees in Units shall be subject to KIP REIT complying with the public spread requirements stated in the Listing Requirements and there being no adverse implications under the Malaysian Code on Take-Overs and Mergers 2010.

(c) Trustee's fees

The Trustee fee payable is RM100,000 per annum payable upon the execution of the Deed for the first three years up to November 2019 and thereafter at such rate to be mutually agreed between the Manager and the Trustee. In any case, the annual trustee's fee in aggregate shall be up to the maximum rate of 0.05% per annum of the NAV of KIP REIT.

The trustee of KIP REIT Capital Sdn. Bhd., Malaysian Trustees Berhad, is entitled to receive a predetermined annual fixed fee.

2 BASIS OF PREPARATION

(a) Statement of compliance

The financial statements of the Group and the Fund have been prepared in accordance with the provisions of the Deeds, REIT Guidelines, Malaysian Financial Reporting Standards ("MFRS") and International Financial Reporting Standards so as to give a true and fair view of the financial position of the Group and of the Fund as at 30 June 2024 and of their financial performance and cash flows for the financial year ended 30 June 2024.

The financial statements have been prepared under the historical cost convention except as disclosed in the material accounting policies.

The preparation of financial statements in conformity with MFRS requires the use of certain critical accounting estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the reported period. It also requires Directors of the Manager to exercise their judgement in the process of applying KIP REIT's accounting policies. Although these estimates and judgement are based on the Directors of the Manager's best knowledge of current events and actions, actual results could differ. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 4.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

2 BASIS OF PREPARATION (CONT'D)

(a) Statement of compliance (Cont'd)

As at 30 June 2024, the Group and the Fund are in a net current liabilities of RM263.9 million and RM265.0 million respectively due to the Medium Term Note 1 amounting RM310.0 million which expired on 31 July 2024. On 31 July 2024, the issuance of Medium Term Note 4 amounting RM340 million and the full redemption of Medium Term Note 1 were completed. Therefore, the manager is of the view that there is no material uncertainty relating to going concern and the Group and the Fund will be able to generate sufficient cash flows to meet their obligations as and when they arise.

(b) Standards that are effective and applicable

The Group and the Fund have applied the following standards and amendments for the first time for the financial year beginning on 1 July 2023:

- Amendments to MFRS 112 Deferred Tax related to Assets and Liabilities arising from a Single Transaction

The Group also adopted amendments to MFRS 101 and MFRS Practice Statement 2 on disclosure of accounting policies from 1 January 2023. The amendments impacted the disclosure of the accounting policy information in the financial statements and did not result in any changes to the accounting policies themselves.

The disclosure of "material", rather than "significant", accounting policies is required. The amendments provide guidance on the application of materiality to the disclosure of accounting policies, assisting entities to provide useful, entity-specific accounting policy information that users may need to understand the financial statements.

Management reviewed the accounting policies and made updates to the information disclosed in the respective notes to the financial statements.

Other than the amendments to MFRS 101 and MFRS Practice Statement 2 stated above, the adoption of new standards and amendments listed above did not have any material impact on the financial statements in the current financial year or any prior period.

(c) Standards issued but not yet effective

The Group and the Fund intend to apply the following accounting standards, interpretation and amendments from the annual period beginning on 1 July 2024:

The new standards and amendments to standards, and interpretations that are effective for the financial year after 1 July 2024 and are applicable to the Group and the Funds are as follows:

- Amendments to MFRS 101 Classification of liabilities as current or non-current (2020 amendments) and Non-current Liabilities with Covenants (2022 amendments) (effective 1 January 2024)
- Amendments to MFRS 16 Lease Liability in a Sale and Leaseback (effective 1 January 2024)
- Amendments to MFRS 107 and MFRS 7 Supplier Finance Arrangements (effective 1 January 2024)
- Amendments to MFRS 121 Lack of Exchangeability (effective 1 January 2025)
- MFRS 18 Presentation and Disclosures in Financial Statements (effective 1 January 2027)

The initial application of the above standards, amendments and interpretation are not expected to have any material financial impacts on the Group's and the Fund's financial statements.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

3 MATERIAL ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to the period presented in these financial statements by KIP REIT.

(a) Consolidation

(i) Business combination under common control

KIP REIT applies predecessor accounting to account for business combinations under common control on 6 February 2017. Under the predecessor accounting, assets and liabilities acquired are not restated to their respective fair values but at the carrying amounts from the consolidated financial statements of the holding company. The difference between any consideration given and the aggregate carrying amounts of the assets and liabilities (at the date of the transaction) of the acquired business is recorded as an adjustment to retained earnings. No additional goodwill is recognised. Acquisition-related costs are expensed as incurred. The acquired business' results and the related statement of financial position items are recognised prospectively from the date on which the business combination between entities under common control occurred.

(ii) Subsidiary

Inter-company transactions, balances and unrealised gains on transactions between Group and company are eliminated.

(ii) Investment in subsidiary

In the Fund's separate financial statements, investment in subsidiary is carried at cost less accumulated impairment losses. On disposal of investment in subsidiary, the difference between disposal proceeds and the carrying amount of the investment is recognised in statement of comprehensive income.

The amount due from subsidiary of which the Fund does not expect repayment in the foreseeable future are considered as part of the Fund's investment in the subsidiary.

(b) Investment properties

The fair value of the investment property reflects the market conditions at the reporting date. It reflects, among others, rental income from current leases and reasonable and supportable assumptions that represent what market participants would assume about rental income from future leases in the light of current conditions. It also reflects, on a similar basis, any cash outflows that could be expected in respect of the property. Some of those outflows are reflected in liability whereas others relate to outflows that are not recognised in the financial statements until a later date.

Subsequent expenditure is capitalised to the asset's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to the Group and the Fund, and the cost of the item can be measured reliably. All other repairs and maintenance costs are expensed when incurred. When part of an investment property is replaced, the carrying amount of the replaced part is derecognised.

Changes in fair values are recognised in statement of comprehensive income for the period in which it arises.

Right-of-use assets that meet the definition of investment property

Right-of-use assets that meet the definition of investment property in accordance with MFRS 140 is presented in the statement of financial position as investment property. Subsequent measurement of the right-of-use asset is consistent with those investment properties owned by the Group.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

3 MATERIAL ACCOUNTING POLICIES (CONT'D)

(c) Equipment

Equipment are stated at cost less accumulated depreciation and accumulated impairment losses.

Cost of equipment includes purchase price and any direct attributable costs.

All other repairs and maintenance are charged to the statement of comprehensive income during the period in which they are incurred.

Equipment are depreciated on a straight line basis to write-off the cost of the assets to their expected residual values over their estimated useful lives, summarised as follows:-

Equipment and appliance	20%
Furniture and fittings	10%
Signage	30%
Office equipment	20%
Renovation	20%

Residual values and useful lives of assets are reviewed, and adjusted if appropriate, at each reporting date. The assessment of expected residual values and estimated useful lives of assets is carried out on an annual basis.

At each reporting date, the Group assesses whether there is any indication of impairment. If such indications exist, an analysis is performed to assess whether the carrying amount of the asset is fully recoverable. A write-down is made if the carrying amount exceeds the recoverable amount. Please refer to accounting policy on impairment of non-financial assets (Note 3(e)).

Gains and losses on disposals are determined by comparing net disposal proceeds with carrying amount and are included in net property income in the statement of comprehensive income.

(d) Financial assets

(i) Classification

The Group and the Fund have applied MFRS 9 and classify the financial assets at amortised cost.

(ii) Recognition and derecognition

Financial assets are recognised on trade date, the date which the Group and the Fund commit to purchase or sell the assets. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group and the Fund have transferred substantially all the risks and rewards of ownership.

(iii) Measurement

At initial recognition, the Group and the Fund measure a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss ('FVTPL'), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVTPL are expensed in the statement of comprehensive income.

Debt instrument

The Group and the Fund classify its debt instrument into financial assets at amortised cost.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

3 MATERIAL ACCOUNTING POLICIES (CONT'D)

(d) Financial assets (Cont'd)

(iv) Subsequent measurement – Impairment

The Group and the Fund assess on a forward looking basis the expected credit loss ('ECL') associated with its debt instruments carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

While cash and cash equivalents are also subject to the impairment requirements of MFRS 9, the identified impairment loss was immaterial.

ECL represents a probability-weighted estimate of the difference between present value of cash flows according to contract and present value of cash flows the Group and the Fund expect to receive, over the remaining life of the financial instrument.

Simplified approach for trade receivables

The Group and the Fund apply the MFRS 9 simplified approach to measure ECL which uses a lifetime ECL for all trade receivables. Note 25.1(b) sets out the measurement details of ECL.

General 3-stage approach for other receivables and non-trade intercompany balances

At each reporting date, the Group and the Fund measure ECL through loss allowance at an amount equal to 12 month ECL if credit risk on a financial instrument or a group of financial instruments has not increased significantly since initial recognition. For all other financial instruments, a loss allowance at an amount equal to lifetime ECL is required. Note 25.1(b) sets out the measurement details of ECL.

Significant increase in credit risk

The Group and the Fund consider the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period. To assess whether there is a significant increase in credit risk, the Group and the Fund compare the risk of a default occurring on the asset as at the reporting date with the risk of default as at the date of initial recognition. It considers available reasonable and supportable forward-looking information.

Definition of default and credit-impaired financial assets

The Group and the Fund define a financial instrument as default, which is fully aligned with the definition of credit-impaired, when it meets one or more of the following criteria:

Quantitative criteria:

The Group and the Fund define a financial instrument as default, when the counterparty fails to make contractual payment within 90 days of when they fall due.

Write-off

I. Trade receivables

Trade receivables are written off when there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Group and the Fund, and/or legal action is taken against the debtor.

Impairment losses on trade receivables are presented as net impairment losses within net property income. Subsequent recoveries of amounts previously written off are credited against the same line item.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

3 MATERIAL ACCOUNTING POLICIES (CONT'D)

(d) Financial assets (Cont'd)

(iv) Subsequent measurement – Impairment (Cont'd)

II. Other receivables

The Group and the Fund write off financial assets, in whole or in part, when it has exhausted all practical recovery efforts and has concluded there is no reasonable expectation of recovery. The assessment of no reasonable expectation of recovery is based on unavailability of debtor's sources of income or assets to generate sufficient future cash flows to repay the amount. The Group and the Fund may write-off financial assets that are still subject to enforcement activity. Subsequent recoveries of amounts previously written off will result in impairment gains.

(e) Impairment of non-financial assets

Equipment are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the carrying amount of the asset exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units).

The impairment loss is charged to the statement of comprehensive income during the period in which they are incurred and any subsequent increase in recoverable amount is recognised in the statement of comprehensive income during the period in which they are incurred.

(f) Cash and cash equivalents

For the purpose of the statement of cash flows, cash and cash equivalents consist of cash in hand, deposits held at call with licensed financial institutions, other short term and highly liquid investments with original maturities of three (3) months or less, that are readily convertible to known amounts of cash and which are subject to insignificant risk of changes in value.

(g) Trade and other receivables

Trade receivables are amounts due from customers for services performed in the ordinary course of business. Other receivables generally arise from transactions outside the usual operating activities of the Group and the Fund. If collection is expected in one year or less (or in the normal operating cycle of the business, if longer), they are classified as current assets. If not, they are presented as non-current assets.

Trade receivables are recognised initially at the amount of consideration that is unconditional unless they contain significant financing components, where they are recognised at fair value plus transaction costs. Other receivables are recognised initially at fair value plus transaction costs. Transaction costs include transfer taxes and duties.

After recognition, trade and other receivables are subsequently measured at amortised cost using the effective interest method, less impairment allowance.

(h) Trade and other payables

Trade and other payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers or vendors. Trade payables are classified as current liabilities if payment is due within one (1) year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Trade payables, deposits received from tenants and other payables are recognised initially at fair value, net of transaction cost incurred, which include transfer taxes and duties, if applicable and subsequently measured at amortised cost using the effective interest method.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

3 MATERIAL ACCOUNTING POLICIES (CONT'D)

(i) Unitholders' capital

An equity instrument is any contract that evidences a residual interest in the assets of the Group and the Fund after deducting all of its liabilities. Units are equity instruments.

Units are recorded at the proceeds received, net of directly attributable incremental transaction costs. Units are classified as equity. Distributions on units are recognised in equity in the period in which they are declared and authorised by the Trustee.

(j) Borrowings and borrowing costs

Borrowings are recognised initially at fair value, net of transaction costs incurred. In subsequent periods, borrowings are stated at amortised cost using the effective interest method; any difference between proceeds (net of transaction costs) and the redemption value is recognised in the statement of comprehensive income over the period of borrowings. Borrowings are classified as current liabilities unless the Group and the Fund have an unconditional right to defer settlement of the liability for at least twelve (12) months after the reporting date.

Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn-down. In this case, the fee is deferred until the draw-down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn-down, the fee is capitalised as a prepayment for liquidity and amortised over the period of the facility to which it relates.

All other borrowing costs are recognised in statement of comprehensive income in the period in which they are incurred.

(k) Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the performance of services in the ordinary course of the Group and the Fund's activities. Revenue is shown net of rebates and discounts.

Lease income on operating leases

Rental income is recognised in accordance with the accounting policy set out in Note 3(m)(ii)(b).

Revenue from contracts with customers

Revenue which represents income from the Group and the Fund's principal activities within the ordinary course of business and is recognised by reference to each distinct performance obligation promised in the contract with customer when or as the Group and the Fund transfers the control of the goods or services promised in a contract and the customer obtains control of the goods or services. Depending on the substance of the respective contract with customer, the control of the promised goods or services may transfer over time or at a point in time.

Revenue from sales of utilities reimbursement is recognised when services are being rendered. The credits on utilities reimbursement from tenants can be deferred up to the point of utilisation, which such amounts are recognised as income. Credits of utilities are recognised as revenue when services are rendered.

Property related income and advertising income are included in other income and recognised in the accounting period in which the services being rendered.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

3 MATERIAL ACCOUNTING POLICIES (CONT'D)

(k) Revenue recognition (Cont'd)

Interest income

Interest income is recognised on an effective yield basis.

Interest income is calculated by applying the effective interest rate to the gross carrying amount of a financial asset except for financial assets that subsequently become credit-impaired. For credit-impaired financial assets the effective interest rate is applied to the net carrying amount of the financial asset (after deduction of the loss allowance).

(l) Income tax

Tax is recognised in statement of comprehensive income, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity, respectively.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the end of the reporting period.

Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. Provisions are established where appropriate on the basis of amounts expected to be paid to the tax authorities. This liability is measured using the single best estimate of the most likely outcome.

The carrying value of the Group and the Fund's investment properties is assumed to be realised through continuous use.

(m) Leases

i) Recognition and measurement

(a) As a lessee

Leases are recognised as right-of-use ('ROU') asset and a corresponding liability at the date on which the leased asset is available for use (i.e. the commencement date).

In determining the lease term, facts and circumstances that create an economic incentive to exercise an extension option, or not to exercise a termination option are considered. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not to be terminated).

The lease term is reassessed upon the occurrence of a significant event or change in circumstances that is within the control of the Group and the Fund and affect whether the Group and the Fund are reasonably certain to exercise an option not previously included in the determination of lease term, or not to exercise an option previously included in the determination of lease term. A revision in lease term results in remeasurement of the lease liabilities.

Contracts may contain both lease and non-lease components. Consideration in the contract is allocated to the lease and non-lease components based on their relative standalone prices.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

3 MATERIAL ACCOUNTING POLICIES (CONT'D)

(m) Leases (Cont'd)

i) Recognition and measurement (Cont'd)

(a) As a lessee (Cont'd)

ROU assets

ROU assets are initially measured at cost comprising the amount of the initial measurement of lease liability.

ROU assets that are not investment properties are subsequently measured at cost, less accumulated depreciation and impairment loss (if any). The ROU assets are generally depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If the Group and the Fund are reasonably certain to exercise a purchase option, the ROU assets are depreciated over the underlying asset's useful life. In addition, the ROU assets are adjusted for certain remeasurement of the lease liabilities.

Lease liabilities

Lease liabilities are initially measured at the present value of the lease payments that are not paid at that date.

(b) As a lessor

As a lessor, the Group and the Fund determine at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group and the Fund make an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset to the lessee. As part of this assessment, the Group and the Fund consider certain indicators such as whether the lease is for the major part of the economic life of the asset.

Operating leases

The Group and the Fund classify a lease as an operating lease if the lease does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset to the lessee.

The Group and the Fund recognise lease payments received under operating lease as lease income on a straight-line basis over the lease term.

When assets are leased out under an operating lease, the asset is included in the lessor's statement of financial position based on the nature of the asset.

Rental income on operating leases is recognised over the term of the lease on a straight-line basis. Rental income is shown net of rebates and discounts. Rental income includes base rent, percentage rent and other rent related income from tenants. Base rent is recognised on a straight-line basis over the lease term. Percentage rent is recognised based on sales reported by tenants. When the Group and the Fund provide incentives or rebates to the tenants, the cost of incentives or rebates is recognised over the lease term, on a straight-line basis, as a reduction of rental income. Initial direct cost incurred by the Group and the Fund in negotiating and arranging an operating lease is recognised as an asset and amortised over the lease term on the same basis as the rental income.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

3 MATERIAL ACCOUNTING POLICIES (CONT'D)

(m) Leases (Cont'd)

i) Recognition and measurement (Cont'd)

(b) As a lessor (Cont'd)

Operating leases (Cont'd)

Rental rebates offered to tenants by the Group and the Fund which are not based on terms contained in the original tenancy agreements are accounted for as a lease modification, as the rebate has changed the total lease consideration. The rental rebates are treated as a new operating lease from the effective date of modification, where lease income based on the revised total lease consideration is recognised over the remaining lease term on a straight-line basis.

Rental of concession space such as promotional areas is recognised on a straight-line basis over the lease term.

Separating lease and non-lease components

If an arrangement contains lease and non-lease components, the Group and the Fund allocate the consideration in the contract to the lease and non-lease components based on the stand-alone selling prices in accordance with the principles in MFRS 15 "Revenue from Contracts with Customers".

(n) Functional and presentation currency

Items included in the financial statements of the Fund are measured using the currency of the primary economic environment in which the Fund operates ("functional currency"). The financial statements are presented in Ringgit Malaysia, which is the Fund's functional and presentation currency.

(o) Earnings per unit

The Group and the Fund's earnings per Unit ("EPU") are presented on basic and diluted format.

Basic EPU is calculated by dividing the profit or loss attributable to unitholders of the Group and the Fund by the weighted average number of Units outstanding during the period.

Diluted EPU is determined by adjusting the comprehensive income attributable to unitholders against the weighted average number of units outstanding adjusted for the effects of all dilutive potential units.

(p) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the senior management team.

The senior management team, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Chief Executive Officer and the Chief Financial Officer of the Manager that makes strategic decisions.

(q) Net asset value ("NAV") disclosed in statement of financial position

In accordance with the REIT Guidelines, NAV is the value of the Group and the Fund's assets less the value of the Group and the Fund's liabilities.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

3 MATERIAL ACCOUNTING POLICIES (CONT'D)

(r) Recognition of distribution of income to unitholders

Distribution of income should only be made from realised gains or realised income in accordance with REIT Guidelines.

Distribution of income should be made after the Manager has taken into consideration the total returns for the period, income for the period, cash flow for distribution, stability and sustainability of income and the investment objective and distribution policy of the Group and the Fund.

Liability is recognised for the amount of any distribution declared, being appropriately authorised and no longer at the discretion of the Group and the Fund, on or before the end of the reporting period but not distributed at the end of the reporting period.

Distribution adjustments made in accordance with the REIT Guidelines are disclosed in Note 20.

(s) Realised and unrealised profit or loss analysis in statement of comprehensive income

In accordance with the REIT Guidelines, a charge or a credit to the statement of comprehensive income is deemed as realised when it is resulted from the consumption of resource of all types and form, regardless of whether it is consumed in the ordinary course of business or otherwise. A resource may be consumed through sale or use.

Where a credit or a charge to the statement of comprehensive income upon initial recognition or subsequent measurement of an asset or a liability is not attributed to consumption of resource, such credit or charge should be deemed as unrealised until the consumption of resource could be demonstrated. Unrealised profit or loss comprises mainly the changes in fair value on investment properties.

4 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS

Estimates and judgements are continually evaluated by the Directors of the Manager and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The Group and the Fund make estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, rarely equal the related actual results. To enhance the information content of the estimates, certain key variables that are anticipated to have material impact to the Group and the Fund's results and financial position are tested for sensitivity to changes in the underlying parameters. The estimates and assumptions that may have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are outlined below.

(a) Significant assumptions for estimation of fair value of investment properties

Investment properties are stated at fair value based on valuations performed by Nawawi Tie Leung Property Consultants Sdn Bhd ("the Valuers"). The Valuers are independent professional valuers who hold a recognised relevant professional qualification and has recent experience in the locations and categories of the investment properties valued.

The significant assumptions underlying estimation of fair value of investment properties are those related to term rental, reversionary rental, other income, outgoings, capitalisation rate and allowance for void.

The valuations are compared with actual market yield data, actual transactions and those reported by the market, when available. Assumptions used are mainly based on market conditions existing at each reporting date.

Sensitivity analysis on fair value of investment properties as valued by the Valuers is disclosed in Note 6.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

5 EQUIPMENT

	Equipment and appliance RM'000	Furniture and fittings RM'000	Signage RM'000	Office equipment RM'000	Renovation RM'000	Total RM'000
Group and Fund Cost						
As at 1 July 2023	1,455	826	323	644	415	3,663
Additions	203	20	85	116	16	440
As at 30 June 2024	1,658	846	408	760	431	4,103
Accumulated depreciation						
As at 1 July 2023	938	311	319	292	283	2,143
Depreciation charge for the financial year	253	84	13	133	71	554
As at 30 June 2024	1,191	395	332	425	354	2,697
Carrying amounts						
As at 30 June 2024	467	451	76	335	77	1,406
Group and Fund Cost						
As at 1 July 2022	1,433	839	323	542	415	3,552
Additions	22	-	-	106	-	128
Written off	-	(13)	-	(4)	-	(17)
As at 30 June 2023	1,455	826	323	644	415	3,663
Accumulated depreciation						
As at 1 July 2022	699	238	290	175	204	1,606
Depreciation charge for the financial year	239	83	29	119	79	549
Written off	-	(10)	-	(2)	-	(12)
As at 30 June 2023	938	311	319	292	283	2,143
Carrying amounts						
As at 30 June 2023	517	515	4	352	132	1,520

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

6 INVESTMENT PROPERTIES

	Group and Fund	
	2024	2023
	RM'000	RM'000
Valuation per valuer's report	1,061,600	964,300
Less: Deferred lease incentives	(7,077)	-
	1,054,523	964,300
As at 1 July	964,300	852,000
Acquisitions	80,000	78,700
Additions	14,453	10,508
Fair value (loss)/gain	(4,230)	23,092
As at 30 June	1,054,523	964,300

The acquisition of investment property during the financial year is a related party transaction with KIPMall, Kota Warisan where the transaction price of the acquisition is on a willing-buyer and willing-seller basis.

The title deeds to the investment properties' land are currently being held in trust by the trustees. All of the investment properties are charged as securities for borrowings as disclosed in Note 12 except KIPMall, Senawang.

Investment properties are stated at fair value based on valuations performed by independent registered valuers, ("the Valuers"), who hold a recognised relevant professional qualification and have relevant experience in valuing investment properties.

Based on the valuation reports dated 30 June 2024 issued by the Valuers, the fair values of the investment properties as at 30 June 2024 were RM1,061.6 million (2023: RM964.3 million).

Fair value is determined based on income approach method using Level 3 inputs (defined as unobservable inputs for asset or liability) in the fair value hierarchy of MFRS 13 'Fair Value Measurement'. Under the income approach method, the fair value of the investment properties is derived from an estimate of the market rental which the investment properties can reasonably be let for. Rental evidence may be obtained from actual passing rents commanded by the investment properties if they are tenanted. Outgoings, such as quit rent and assessment, utilities costs, reimbursable manpower costs, repair and maintenance, insurance premium, asset enhancement initiatives as well as management expenses, are then deducted from the rental income. Thereafter, the net annual rental income is capitalised at an appropriate current market yield to arrive at its fair value. Changes in fair value are recognised in the statement of comprehensive income during the period in which they are reviewed.

There has been no change to the valuation techniques used during the financial year.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

6 INVESTMENT PROPERTIES (CONT'D)

The Level 3 inputs or unobservable inputs include:-

Term rental	the expected rental that the investment properties are expected to achieve and is derived from the current passing rental, (including revision upon renewal of tenancies during the year which is part of passing rental);
Reversionary rental	the expected rental that the investment properties are expected to achieve upon expiry of term rental;
Other income	comprises percentage rent, advertising income and others;
Outgoings	comprises quit rent and assessment, utilities costs, reimbursable manpower costs, repair and maintenance, insurance premium, asset enhancement expense and management expenses;
Capitalisation rate	based on actual location, size and condition of the investment properties and taking into account market data at the valuation date based on the valuers' knowledge of the factors specific to the investment properties;
Allowance for void	refers to allowance provided for vacancy periods.

The valuation techniques and significant unobservable inputs used in determining the fair value measurement of Level 3 financial instruments as well as the relationship between significant unobservable inputs and fair value, is detailed in the table below:

Description of valuation technique and inputs used	Significant unobservable inputs	Inter-relationship between significant unobservable inputs and fair value measurement
Income approach involves capitalisation of the net annual income stream that is expected to be received from the property after deducting the annual outgoing and other operating expenses incidental to the property with allowance for void by using an appropriate market derived discount rate.	- Term capitalisation rate of 6.25% to 6.50% (2023: 6.25% to 6.75%) - Reversionary capitalisation rate of 6.75% to 7.00% (2023: 6.75% to 7.25%) - Allowance for void of 5% to 10% (2023: 5% to 10%) - Average term rental per square feet of RM1.00 to RM8.90 (2023: RM1.00 to RM8.91) - Average reversionary rental per square feet of RM1.20 to RM9.01 (2023: RM1.20 to RM8.67) - Outgoings per square feet of RM0.01 to RM1.90 (2023: RM0.01 to RM1.90)	The estimated fair value would increase/(decrease) if: - Term capitalisation rate was lower/(higher) - Reversionary capitalisation rate was lower/(higher) - Allowance for void was lower/(higher) - Rental per square feet increase/ (decrease)

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

6 INVESTMENT PROPERTIES (CONT'D)

The fair value measurements using Level 3 inputs as at 30 June 2024 are as follows:-

Group and Fund

Valuation technique	Parameters					Sensitivity analysis on fair value measurements*	
	Fair value RM'000	Capitalisation rate %	Reversionary rate %	Outgoings RM psf	Allowance for void %	Impact of lower rate RM'000	Impact of higher rate RM'000
Income approach	181,000	6.50	7.00	1.90	5.00	13,000	(11,000)
Income approach	59,000	6.25	6.75	1.90	5.00	4,000	(4,000)
Income approach	187,000	6.50	7.00	1.80	5.00	14,000	(12,000)
Income approach	25,000	6.50	7.00	1.05	10.00	2,000	(2,000)
Income approach	60,000	6.50	7.00	1.30	5.00	5,000	(3,000)
Income approach	128,000	6.50	7.00	0.90	5.00	9,000	(9,000)
Income approach	88,000	6.50	7.00	1.60	5.00	7,000	(6,000)
Income approach	254,000	6.25	6.75	0.18	10.00	20,000	(17,000)
Income approach	27,200	6.50	7.00	0.01	10.00	2,000	(1,700)
Income approach	28,300	6.50	7.00	0.01	10.00	2,100	(1,800)
Income approach	24,100	6.50	7.00	0.01	10.00	1,800	(1,500)
	1,061,600					79,900	(69,000)

* Changes to capitalisation rates during the committed tenancy period ("term") and reversion periods by 50 basis points.

The investment properties are as follows:-

Group and Fund

Date of acquisition	Date of valuation	Location	Tenure	Expiry date of leasehold land	Occupancy rates as at 30.06.2024 %	Fair value as at 30.06.2024 RM'000	Cost of investment properties RM'000	Percentage of fair value to NAV* ¹ as at 30.06.2024 %
06.02.2017	30.06.2024	Johor	Leasehold	24.09.2092	98.16	181,000	150,000	26.71
06.02.2017	30.06.2024	Johor	Freehold	-	94.25	59,000	55,000	8.71
06.02.2017	30.06.2024	Johor	Leasehold	28.12.2108	97.19	187,000	157,000	27.60
06.02.2017	30.06.2024	Seremban	Freehold	-	30.36	25,000	38,000	3.69
06.02.2017	30.06.2024	Melaka	Leasehold	17.11.2112	97.57	60,000	50,000	8.85
06.02.2017	30.06.2024	Selangor	Leasehold	14.07.2093	87.45	128,000	130,000	18.89
08.02.2024	30.06.2024	Selangor	Freehold	-	98.89	88,000	80,000	12.99
31.07.2019	30.06.2024	Perak	Freehold	-	100.00	254,000	206,813	37.48
14.12.2022	30.06.2024	Selangor	Leasehold	24.02.2097	100.00	27,200	27,000	4.01
14.12.2022	30.06.2024	Selangor	Leasehold	24.02.2097	100.00	28,300	28,000	4.18
14.12.2022	30.06.2024	Selangor	Leasehold	24.02.2097	100.00	24,100	23,700	3.56
						1,061,600	945,513	

Notes:-

*¹ Based on NAV after income distribution.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

6 INVESTMENT PROPERTIES (CONT'D)

The fair value measurements using Level 3 inputs as at 30 June 2023 are as follows:-

Group and Fund

Valuation technique	Parameters					Sensitivity analysis on fair value measurements*	
	Fair value RM'000	Capitalisation rate %	Term Reversionary Capitalisation rate %	Outgoings RM psf	Allowance for void %	Impact of lower rate RM'000	Impact of higher rate RM'000
Income approach	179,000	6.50	7.00	1.70	5.00	13,000	(12,000)
Income approach	58,000	6.25	6.75	1.90	5.00	4,000	(4,000)
Income approach	186,000	6.50	7.00	1.60	5.00	13,000	(12,000)
Income approach	28,000	6.50	7.00	0.94	10.00	2,000	(2,000)
Income approach	55,000	6.75	7.25	1.03	10.00	4,000	(4,000)
Income approach	125,000	6.50	7.00	0.75	10.00	9,000	(8,000)
Income approach	254,000	6.25	6.75	0.20	5.00	20,000	(18,000)
Income approach	27,100	6.50	7.00	0.01	10.00	2,000	(1,800)
Income approach	28,200	6.50	7.00	0.01	10.00	2,100	(1,800)
Income approach	24,000	6.50	7.00	0.01	10.00	1,800	(1,500)
	964,300					70,900	(65,100)

* Changes to capitalization rates on term and reversion periods by 50 basis points.

The investment properties are as follows:-

Group and Fund

Date of acquisition	Date of valuation	Location	Tenure	Expiry date of leasehold land	Occupancy rates as at 30.06.2023 %	Fair value as at 30.06.2023 RM'000	Cost of investment properties RM'000	Percentage of fair value to NAV* ¹ as at 30.06.2023 %
06.02.2017	30.06.2023	Johor	Leasehold	24.09.2092	96.34	179,000	150,000	27.12
06.02.2017	30.06.2023	Johor	Freehold	-	68.11	58,000	55,000	8.79
06.02.2017	30.06.2023	Johor	Leasehold	28.12.2108	97.64	186,000	157,000	28.18
06.02.2017	30.06.2023	Seremban	Freehold	-	88.88	28,000	38,000	4.24
06.02.2017	30.06.2023	Melaka	Leasehold	17.11.2112	94.00	55,000	50,000	8.33
06.02.2017	30.06.2023	Selangor	Leasehold	14.07.2093	77.56	125,000	130,000	18.94
31.07.2019	30.06.2023	Perak	Freehold	-	100.00	254,000	206,813	38.49
14.12.2022	30.06.2023	Selangor	Leasehold	24.02.2097	100.00	27,100	27,000	4.11
14.12.2022	30.06.2023	Selangor	Leasehold	24.02.2097	100.00	28,200	28,000	4.27
14.12.2022	30.06.2023	Selangor	Leasehold	24.02.2097	100.00	24,000	23,700	3.64
						964,300	865,513	

Notes:-

*¹ Based on NAV after income distribution.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

7 INVESTMENT IN A SUBSIDIARY

	Fund	
	2024 RM'000	2023 RM'000
At cost		
Unquoted shares	-*	-*

* Denotes RM2

Name of company	Principal activity	Place of incorporation	Group's effective interest (%)	
			2024	2023
KIP REIT Capital Sdn. Bhd.	A special purpose vehicle to raise financings for and on behalf of KIP REIT.	Malaysia	100	100

8 LEASES

(a) RIGHT OF USE ASSETS

	Office RM'000	Car park RM'000	Total RM'000
Group and Fund			
<u>Carrying amount</u>			
At 1 July 2023	-	-	-
Addition during the financial year	221	1,253	1,474
Depreciation charged for the financial year	(14)	(182)	(196)
At 30 June 2024	207	1,071	1,278
At 30 June 2023	-	-	-

(b) LEASE LIABILITIES

	Office RM'000	Car park RM'000	Total RM'000
Group and Fund			
<u>Carrying amount</u>			
At 1 July 2023	-	-	-
Addition during the financial year	221	1,253	1,474
Interest expense	2	34	36
Payment during the financial year	(15)	(191)	(206)
At 30 June 2024	208	1,096	1,304
Of which are:			
Current liabilities	52	181	233
Non-current liabilities	156	915	1,071
Interest expense	2	34	36
Total cash outflow for leases	(15)	(191)	(206)

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

9 TRADE AND OTHER RECEIVABLES

	Group		Fund	
	2024 RM'000	2023 RM'000	2024 RM'000	2023 RM'000
<u>Non-current asset</u>				
Deferred lease incentives	7,077	-	7,077	-
<u>Current assets</u>				
Trade receivables	622	1,233	622	1,233
Less: Allowance for impairment of trade receivables (Note 25.1(b))	(162)	(186)	(162)	(186)
Trade receivables – net	460	1,047	460	1,047
Other receivables	1,969	1,165	1,969	1,165
Less: Allowance for impairment of trade receivables (Note 25.1(b))	(65)	(88)	(65)	(88)
Other receivables – net	1,904	1,077	1,904	1,077
Deposit recoverable	32,257	4,192	32,257	4,192
Amounts due from related companies	73	225	73	225
	34,234	5,494	34,234	5,494
Prepayments	2,078	2,269	2,078	2,269
	36,312	7,763	36,312	7,763
Current receivables	36,772	8,810	36,772	8,810
Total trade and other receivables	43,849	8,810	43,849	8,810

The carrying amounts of trade and other receivables as at 30 June 2024 and 2023 approximated their fair values.

The deposit recoverable amounting to RM32.0 million were deposits paid for acquisition of DPulze Shopping Centre, which were yet to complete as at end of financial year.

The credit terms of trade receivables were seven (7) days (2023: 7 days).

The amounts due from related companies are unsecured and with credit terms of ninety (90) days (2023: 90 days).

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

10 CASH AND BANK BALANCES

	Group		Fund	
	2024 RM'000	2023 RM'000	2024 RM'000	2023 RM'000
Cash in hand	-*	-*	-	-
Bank balances	12,009	6,264	11,213	6,247
Short term deposits placed with licensed banks	22,883	42,497	12,940	34,682
Cash and cash balances	34,892	48,761	24,153	40,929
Less:				
Deposit with maturity period of more than 3 months	(572)	-	(572)	-
Cash and cash equivalents	34,320	48,761	23,581	40,929
Pledged deposits	12,252	9,393	2,309	1,578

* Denotes RM2

Bank balances are deposits held at call with banks and earns no interest.

The weighted average effective interest rate of short-term deposits placed with licensed banks that was effective at the reporting date was 3.27% per annum at Group and 3.02% per annum at Fund (2023: Group at 3.03% per annum and Fund at 2.90% per annum).

Short term deposits placed with licensed banks have an average maturity of 60 days at Group and 37 days at Fund (2023: Group at 24 days and Fund at 13 days).

The Group's short term deposits placed with licensed banks include a total of restricted amount of RM12.2 million (2023: RM9.4 million) which includes:

- (i) the pledged deposits of RM2.3 million (2023: RM1.6 million) that relates to letter of guarantee issued by the Bank to Tenaga Nasional Berhad and Suruhanjaya Tenaga to guarantee the deposit payable by the Fund and
- (ii) an additional restricted amount of RM9.9 million (2023: RM7.8 million) which are maintained in a Debt Service Reserve Account to cover a minimum of six (6) months interest for MTN granted to the Group (Note 12).

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

11 UNITHOLDERS' CAPITAL

	Group and Fund	
	2024 Number of units '000	2023 Number of units '000
Approved fund size:		
As at beginning of the financial year	606,360	505,300
3 August 2022	-	52,500
25 August 2022	-	21,150
23 February 2023	-	27,410
11 December 2023	12,270	-
As at end of the financial year	618,630	606,360

	Group and Fund			
	2024 Number of units '000	2024 Value RM'000	2023 Number of units '000	2023 Value RM'000
Issued and fully paid up:				
As at 1 July/30 June	618,630	583,626	606,360	573,785

12 BORROWINGS

	Group		Fund	
	2024 RM'000	2023 RM'000	2024 RM'000	2023 RM'000
Current (secured):				
STRC	-	20,000	-	20,000
MTN	314,159	3,887	-	-
Unamortised transaction cost	(290)	(256)	-	-
	313,869	23,631	-	20,000
Non-current (secured):				
MTN	110,000	310,000	-	-
Unamortised transaction cost	(543)	(414)	-	-
	109,457	309,586	-	-
Total borrowings	423,326	333,217	-	20,000

The trustee, on behalf of KIP REIT, as borrower, has obtained the credit facilities ("the Facilities") comprising the following:-

- MTN of up to RM420 million (2023: RM310 million);
- A Short-term Revolving Credit ("STRC") of up to RM Nil million (2023: RM20 million); and
- A letter of guarantee ("LG") of up to RM3.1 million (2023: RM1.6 million).

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

12 BORROWINGS (CONT'D)

The weighted average effective interest rate as at the reporting date was as follows:-

	Group		Fund	
	2024 % per annum	2023 % per annum	2024 % per annum	2023 % per annum
MTN	4.69	4.43	4.69	-
STRC	-	4.66	-	4.66

KIP REIT's wholly owned subsidiary, KIP REIT Capital Sdn. Bhd., has a Medium Term Note Programme ("MTN Programme") of up to RM2.0 billion in nominal value. It is a perpetual programme that commenced on 16 July 2019. Details of the MTN issued are set out as follows.

On 31 July 2019, KIP REIT Capital Sdn. Bhd. issued RM310.0 million MTN Issue 1.0 ("MTN1") in nominal value pursuant to the MTN Programme. The MTN1 of RM310.0 million was issued to re-finance KIP REIT's previous financing facilities, ie term loan (TL). Out of the total RM310.0 million issuance, RM210.0 million has been assigned a long-term final rating of AAA/Stable from RAM Rating Services Berhad ("RAM"). The expected maturity date is 5 years from the issuance date and the legal maturity date is 7 years from the issuance date. The transaction costs relating to the MTN1 issuance of RM310.0 million are amortised and charged to profit or loss over the expected tenure of the MTN1. Subsequently, MTN1 expired on 31 July 2024. MTN 1 was fully settled on 31 July 2024.

On 22 January 2024, KIP REIT Capital Sdn. Bhd. issued RM30.0 million MTN Issue 2.0 ("MTN2") in nominal value pursuant to the MTN Programme. The MTN2 of RM30.0 million was issued for working capital and repayment of short-term revolving credit (STRC) of RM20.0 million. The RM30.0 million is floating interest rate and expected maturity date is 5 years from the issuance date and the legal maturity date is 7 years from the issuance date. The transaction costs relating to the MTN2 issuance of RM30.0 million are amortised and charged to profit or loss over the expected tenure of the MTN2.

From Medium Term Notes Programme of up to RM2.0 billion in nominal value, KIP REIT Capital Sdn. Bhd. has a term sheet of Medium Term Notes ("MTN") of up to RM120.0 million under Issue 3 ("MTN3"). Details of the MTN3 issued are set out as follows:

On 8 February 2024, KIP REIT Capital Sdn. Bhd. issued total of RM48.0 million MTN Issue 3.0 ("MTN3") in nominal value pursuant to the MTN Programme. The MTN3 of RM48.0 million was issued for balance purchase consideration for KIPMall, Kota Warisan. The RM48.0 million is floating interest rate and RM12.5 million expected maturity date is 5 years from the issuance date and the legal maturity date is 7 years from the issuance date, RM12.5 million expected maturity date is 6 years from issuance date and the legal maturity date is 8 years, RM23.0 million expected maturity date is 7 years from issuance date and the legal maturity date is 9 years from the issuance date. The transaction costs relating to the MTN3 issuance of RM48.0 million are amortised and charged to profit or loss over the expected tenure of the MTN3.

On 4 June 2024, KIP REIT Capital Sdn. Bhd. issued RM32.0 million MTN Issue 3.0 Tranche 2 ("MTN3-T2") in nominal value pursuant to the MTN Programme. The MTN3-T2 of RM32.0 million was issued partial purchase consideration for DPulze Shopping Centre. The RM32.0 million is floating interest rate and RM8.3 million expected maturity date is 5 years from the issuance date and the legal maturity date is 7 years from the issuance date, RM8.3 million expected maturity date is 6 years from issuance date and the legal maturity date is 8 years, RM15.4 million expected maturity date is 7 years from issuance date and the legal maturity date is 9 years from the issuance date. The transaction costs relating to the MTN3-T2 issuance of RM32.0 million are amortised and charged to profit or loss over the expected tenure of the MTN3-T2.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

12 BORROWINGS (CONT'D)

On 31 July 2024, KIP REIT Capital Sdn. Bhd. raised RM340.0 million MTN Issue 4.0 ("MTN4") in nominal value pursuant to the MTN Programme. The MTN4 of RM340.0 million was issued to refinance KIP REIT's MTN1 amounting to RM310.0 million. Out of the total RM340.0 million issuance of MTN4, RM240.0 million has been assigned a long-term final rating of AAA/Stable from RAM Rating Services Berhad. The MTN4 expected maturity date is 5 years from the issuance date and the legal maturity date is 7 years from the issuance date. The transaction costs relating to the MTN4 issuance of RM340.0 million are amortised and charged to profit or loss over the expected tenure of the MTN4.

The MTN is secured over the investment properties including KIPMall Tampoi, KIPMall Kota Tinggi, KIPMall Masai, KIPMall Melaka, KIPMall Bangi, KIPMall Kota Warisan, AMKC, KV5, KV3A and KV9 pledged deposits as indicated in Note 6 and Note 10 to the financial statements.

13 PAYABLES AND ACCRUALS

		Group		Fund	
	Note	2024 RM'000	2023 RM'000	2024 RM'000	2023 RM'000
Non-current payables					
Tenants' deposits	a	12,185	16,167	12,185	16,167
Amount due to a subsidiary	b	-	-	108,404	305,385
		12,185	16,167	120,589	321,552
Current payables					
Trade payables	c	398	549	398	549
Tenants' deposits	a	17,823	8,909	17,823	8,909
		18,221	9,458	18,221	9,458
Amount due to a subsidiary	b	-	-	304,234	-
Other payables and accrued expenses		3,283	4,578	3,232	4,578
Total current payables and accruals		21,504	14,036	325,687	14,036
Total payables and accruals		33,689	30,203	446,276	335,588

- (a) Tenants' deposits are in respect of refundable deposits received from tenants for tenancy related agreements. Tenancy tenures are generally for a period of one (1) to three (3) years except for industrial properties for a period of fourteen (14) years.
- (b) Amount due to subsidiary represents advances from KIP REIT Capital Sdn. Bhd. on the MTN issuance of RM420.0 million as explained in Note 12. The expected repayment period mirrors the MTN maturity dates.
- (c) Credit terms for trade payables range from 30 days to 60 days (2023: 30 days to 60 days).

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

14 GROSS REVENUE

	Group and Fund	
	2024 RM'000	2023 RM'000
Lease income:		
Gross rental income	91,358	73,823
Promotion area	3,960	3,657
	95,318	77,480
Revenue from contracts with customers:		
Utilities reimbursement	6,235	5,597
Property related income and other advertising income	606	673
	6,841	6,270
Gross revenue	102,159	83,750
Revenue from contracts with customers is represented by:		
Point in time	606	673
Over time	6,235	5,597
	6,841	6,270

Gross rental income included variable lease payments related to sales generated from tenants which approximates to 1.27% (2023: 0.55%) of gross rental income. There are no other variable lease payments that depends on an index or rate.

15 REIMBURSEMENT COSTS

Included in reimbursement costs are the following expenses:-

	Group and Fund	
	2024 RM'000	2023 RM'000
Staff salaries	3,559	3,080
Bonus	152	199
Statutory contribution	575	494
Training expenses	29	22
Others	162	172
	4,477	3,967

The reimbursement cost is in relation to staff cost and expenses incurred by the service provider, KIP Property Services Sdn. Bhd. for the provision of services in managing KIP REIT's operation, maintenance, management and marketing of the investment properties.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

16 MANAGER'S MANAGEMENT FEES

	Group and Fund	
	2024 RM'000	2023 RM'000
Base fee	5,806	5,988
Performance fee	1,229	612
Acquisition fee*	-	787
	<u>7,035</u>	<u>7,387</u>

During the financial year, the Manager received a base fee of 0.6% (2023: 0.6%) per annum of the Total Asset Value of KIP REIT, an acquisition fee of 1% (2023: 1%) of acquisition price, and a performance fee of 1% (2023: 1.0%) per annum of Net Property Income.

For the financial year ended 30 June 2024, 100% (2023: 100%) of the total Manager's management fees has been paid in cash.

*The acquisition fee was capitalised as part of the acquisition cost of investment properties.

17 BORROWING COSTS

	Group		Fund	
	2024 RM'000	2023 RM'000	2024 RM'000	2023 RM'000
Interest on advances from a subsidiary	-	-	16,002	13,869
Interest on borrowings	16,399	14,503	397	634
Amortisation of transaction cost	290	256	290	256
	<u>16,689</u>	<u>14,759</u>	<u>16,689</u>	<u>14,759</u>

18 TAXATION

The explanation of the relationship between tax expense and profit before tax is as follows:

	Group and Fund	
	2024 RM'000	2023 RM'000
Reconciliation of tax expense		
Profit before taxation	<u>47,314</u>	<u>60,792</u>
Income tax using Malaysian tax rate of 24% (2023: 24%)	11,355	14,590
Non-deductible expenses	1,633	917
Non-taxable income	(4,083)	(7,879)
Effect of income exempted from tax	(8,905)	(7,628)
	<u>-</u>	<u>-</u>

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

18 TAXATION (CONT'D)

Pursuant to Section 61A of the Malaysian Income Tax Act, 1967 ("Act"), income of KIP REIT will be exempted from tax provided that at least 90% of its total taxable income (as defined in the Act) is distributed to the investors in the basis period of KIP REIT for that year of assessment within two (2) months after the close of the financial year. If the 90% distribution condition is not complied with or the 90% distribution is not made within two (2) months after the close of KIP REIT financial year which forms the basis period for a year of assessment, KIP REIT will be subject to income tax at the prevailing rate on its total taxable income. Income which has been taxed at the KIP REIT level will have tax credits attached when subsequently distributed to unitholders.

As income distribution to unitholders for the financial year ended 30 June 2024 is more than 90% of total distributable income, no provision for income taxation has been made for the current year.

19 EARNINGS PER UNIT ("EPU") - BASIC AND DILUTED

The calculation of EPU is based on total comprehensive income attributable to unitholders divided by the weighted average number of units.

	Group and Fund	
	2024 RM'000	2023 RM'000
Total comprehensive income		
- Realised	44,467	37,700
- Unrealised	2,847	23,092
Total	47,314	60,792
Weighted average number of units ('000)		
Weighted average number of units in issue	613,165	580,629
Weighted average number of units for diluted EPU	613,165	580,629
Basic/Diluted EPU (sen)		
- Realised	7.2520	6.4930
- Unrealised	0.4643	3.9771
Total	7.7163	10.4701

Dilutive earnings per unit equals to basic earnings per unit as there are no potential dilutive units in issue.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

20 DISTRIBUTION TO UNITHOLDERS

	Group and Fund	
	2024 RM'000	2023 RM'000
Total comprehensive income	47,314	60,792
Distribution adjustments	(a) (1,737)	(22,028)
Distributable income	45,577	38,764
Distributions proposed and declared:		
Distribution per unit (sen)		
- for the period from 1 April 2022 to 30 June 2022	-	1.450
- for the period from 1 July 2022 to 30 September 2022	-	1.450
- for the period from 1 October 2022 to 31 December 2022	-	1.550
- for the period from 1 January 2023 to 31 March 2023	-	1.750
- for the period from 1 April 2023 to 30 June 2023	1.550	-
- for the period from 1 October 2023 to 31 December 2023	1.550	-
- for the period from 1 January 2024 to 31 March 2024	1.600	-
- for the period from 1 April 2024 to 30 June 2024	1.965	-
	6.665	6.200
Sources of distributions		
Net property income	77,817	62,152
Interest income	857	1,295
Changes in fair value on investment properties	(4,230)	23,092
	74,444	86,539
Less: Expenses	(27,130)	(25,747)
Total comprehensive income	47,314	60,792
Distribution adjustments	(a) (1,737)	(22,028)
Prior year realised gain	20,076	18,111
Distributable income carried forward	65,653	56,875
Distribution of:		
- 2.100 sen for the period from 1 April 2022 to 30 June 2022	-	(10,611)
- 1.450 sen for the period from 1 July 2022 to 30 September 2022	-	(8,395)
- 1.450 sen for the period from 1 October 2022 to 31 December 2022	-	(8,395)
- 1.550 sen for the period from 1 January 2023 to 31 March 2023	-	(9,398)
- 1.750 sen for the period from 1 April 2023 to 30 June 2023	(10,611)	-
- 1.550 sen for the period from 1 July 2023 to 30 September 2023	(9,399)	-
- 1.550 sen for the period from 1 October 2023 to 31 December 2023	(9,589)	-
- 1.600 sen for the period from 1 January 2024 to 31 March 2024	(9,898)	-
Distributions recognised in statements of changes in net assets value	(39,497)	(36,799)
Income retained	26,156	20,076

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

20 DISTRIBUTION TO UNITHOLDERS (CONT'D)

	Group and Fund	
	2024 RM'000	2023 RM'000
<u>Note (a):-</u>		
Distribution adjustments comprise:-		
Amortisation of transaction costs	290	256
Depreciation of equipment	554	549
Depreciation for right of use assets	196	-
Interest expense on lease liabilities	36	-
Deferred lease incentives	(7,077)	-
Changes in fair value on investment properties	4,230	(23,092)
(Reversal)/allowance for impairment on receivable	(47)	49
Bad debts written off	59	-
Write off of equipment	-	5
Net amortisation of rental rebate for Movement Control Order	22	205
	(1,737)	(22,028)

The final distributable income for the 3 months ended 30 June 2024 is proposed to be 1.965 sen per unit for the period from 1 April 2024 to 30 June 2024, which was declared on 9 August 2024 and is payable on 30 August 2024. The financial statements for the current year ended 30 June 2024 do not reflect this final distributable income. This will be accounted in the statement of changes in net asset value as an appropriation of retained earnings in the next financial year ending 30 June 2025.

Withholding tax will be deducted for distributions as follows:-

	Withholding Tax rate	
	2024	2023
Resident corporate	N/A [^]	N/A [^]
Resident non-corporate	10%	10%
Non-resident individual	10%	10%
Non-resident corporate	24%	24%
Non-resident institutional	10%	10%

[^] to tax at prevailing rate

21 PORTFOLIO TURNOVER RATIO

	Group and Fund	
	2024	2023
Portfolio Turnover Ratio ("PTR") (times)	0.12	0.12

The calculation of PTR is based on the average value of total acquisitions and disposals of investments in KIP REIT for the financial year to the average NAV during the financial year which is calculated on a quarterly basis.

Since the basis of calculating PTR can vary among REITs, there is no consistent or coherent basis for providing an accurate comparison of KIP REIT's PTR against other REITs.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

22 MANAGEMENT EXPENSE RATIO

	Group and Fund	
	2024	2023
Management expense ratio ("MER") (%)	1.56%	1.74%

The calculation of the MER is based on the Fund's total operating expenses (Manager's management fees, trustees' fees, auditors' remuneration, valuers' fee and other trust expenses) incurred for the financial year ended 30 June 2024 to the average NAV (after income distribution) as at 30 June 2024, which is in accordance with the REIT Guidelines.

Since the basis of calculating MER can vary among REITs, there is no consistent or coherent basis for providing an accurate comparison of KIP REIT's MER against other REITs.

23 SEGMENT REPORTING

The senior management team makes the strategic resource allocations on behalf of the Manager. The Manager has determined the operating segments based on the reports reviewed by the senior management team that are used to make strategic decisions.

The primary segment reporting format is determined to be geographical segments as the Group's risks and rates of return are affected predominantly by differences in net property income ("NPI") margin from different geographical location.

The Group's geographical segments are based on the location of the Group's assets. The Group's main geographical segments operate in three main geographical areas:

- (i) Central region - the operations in this region include KIPMall Bangi, KIPMall Melaka and KIPMall Senawang, KIPMall, Kota Warisan, Pulau Indah Industrial Properties KV5, KV9, and KV3A;
- (ii) Southern region - the operations in this region include KIPMall Tampoi, KIPMall Masai and KIPMall Kota Tinggi; and
- (iii) Northern region - the operations in this region include AMKC.

Revenue derived from the Northern region amount to approximately 22.5% (2023: 21.4%) of total gross revenue are derived from a single tenant.

The Manager assesses the financial performance of the operating segments based on, including but not limited to, NPI and NPI margin. The NPI enables financial performance benchmarking as such basis eliminates the effect of financing and investment decisions which may not be made at operating level.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

23 SEGMENT REPORTING (CONT'D)

Geographical segments

The following table provides an analysis of the Group's revenue, results, assets, liabilities and other information by geographical segments:-

				Group 2024
	Southern region RM'000	Central region RM'000	Northern region RM'000	Total RM'000
Revenue				
Lease income	39,996	30,327	17,918	88,241
Deferred lease incentives	-	1,968	5,109	7,077
Revenue from contracts with customers	2,226	4,615	-	6,841
Gross revenue	42,222	36,910	23,027	102,159
Segmental net property income	31,973	23,459	22,385	77,817
Changes in fair value on investment properties	1,994	(84)	(6,140)	(4,230)
Interest income	410	204	243	857
Borrowing costs	(5,393)	(4,680)	(6,616)	(16,689)
Trust and other expenses	(4,515)	(3,657)	(2,269)	(10,441)
Profit before taxation	24,469	15,242	7,603	47,314
Taxation	-	-	-	-
Total comprehensive income attributable to unitholders	24,469	15,242	7,603	47,314
Assets				
Segment assets	430,186	382,300	254,410	1,066,896
Unallocated assets				
- Cash and bank balances				34,892
- Trade and other receivables				34,160
Total assets				1,135,948
Liabilities				
Segment liabilities	79,547	160,919	207,510	447,976
Unallocated liabilities				
- Payables and accruals				2,804
- Borrowings				7,539
Total liabilities				458,319
Other segment information				
Additions to non-current assets:				
- Acquisition of investment properties	-	80,000	-	80,000
- Asset enhancement of investment properties	2,006	11,416	1,031	14,453
- Purchase of equipment	170	270	-	440
Depreciation	272	282	-	554

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

23 SEGMENT REPORTING (CONT'D)

Geographical segments (Cont'd)

The following table provides an analysis of the Group's revenue, results, assets, liabilities and other information by geographical segments:- (Cont'd)

				Group 2023
	Southern region RM'000	Central region RM'000	Northern region RM'000	Total RM'000
Revenue				
Lease income	38,231	21,335	17,914	77,480
Revenue from contracts with customers	2,046	4,224	-	6,270
Gross revenue	40,277	25,559	17,914	83,750
Segmental net property income	30,398	14,463	17,291	62,152
Changes in fair value on investment properties	25,449	(2,012)	(345)	23,092
Interest income	606	263	426	1,295
Borrowing costs	(2,680)	(2,371)	(9,708)	(14,759)
Trust and other expenses	(4,005)	(4,685)	(2,298)	(10,988)
Profit before taxation	49,768	5,658	5,366	60,792
Taxation	-	-	-	-
Total comprehensive income attributable to unitholders	49,768	5,658	5,366	60,792
Assets				
Segment assets	425,035	289,182	254,405	968,622
Unallocated assets				
- Cash and bank balances				48,761
- Trade and other receivables				6,008
Total assets				1,023,391
Liabilities				
Segment liabilities	77,495	65,678	207,347	350,520
Unallocated liabilities				
- Payables and accruals				2,503
- Borrowings				10,397
Total liabilities				363,420
Other segment information				
Additions to non-current assets:				
- Investment properties	551	88,312	345	89,208
- Equipment	81	47	-	128
Depreciation	285	264	-	549
Written off	3	2	-	5

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

24 FINANCIAL INSTRUMENTS

		Group		Fund	
		2024	2023	2024	2023
		RM'000	RM'000	RM'000	RM'000
Financial assets at amortised cost					
<u>Assets as per statement of financial position:-</u>					
Trade and other receivables (excluding prepayment and deferred lease liabilities)	9	34,234	5,494	34,234	5,494
Cash and bank balances	10	34,892	48,761	24,153	40,929
Total financial assets		69,126	54,255	58,387	46,423
Financial liabilities at amortised cost					
<u>Liabilities as per statement of financial position:-</u>					
Borrowings	12	423,326	333,217	-	20,000
Trade and other payables	13	33,689	30,203	446,276	335,588
Total financial liabilities		457,015	363,420	446,276	355,588

25 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

25.1 Financial risk factors

KIP REIT's activities expose it to a variety of financial risks: interest rate risk (including fair value interest rate risk), credit risk, liquidity and cash flow risk. KIP REIT's overall financial risk management objective is to ensure that it creates value for its unitholders. KIP REIT focuses on the unpredictability of financial markets and seeks to mitigate potential adverse effects on the financial performance of KIP REIT. Financial risk management is carried out through risk reviews and internal control systems. The Manager regularly reviews the risk profile and ensure adherence to the KIP REIT's financial risk management policies.

(a) Interest rate risk

KIP REIT's exposure to changes in interest rates relate primarily to interest-earning financial assets and interest bearing financial liabilities. Interest rate risk is managed by the Manager on an ongoing basis with the primary objective of limiting the extent to which interest expense could be affected by adverse movements in interest rate.

For the purpose of this disclosure, only the Group level interest rate risk is disclosed as the risk at Fund level mirrors the Group's exposure, being the exposure to the MTN and STRC (refer note 12 and 13 for more details).

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

25 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONT'D)

25.1 Financial risk factors (Cont'd)

(a) Interest rate risk (Cont'd)

The interest rate profile of KIP REIT's significant interest bearing financial instruments, based on carrying amounts as at the end of reporting period is as follows:-

	Group	
	2024	2023
	RM'000	RM'000
Fixed rate instrument		
MTN - rated	210,000	210,000
Floating rate instrument		
STRC	-	20,000
MTN - unrated	210,000	100,000

Interest rate risk sensitivity analysis

If the interest rates have been higher or lower and all other variables were held constant, the Group's profit after tax for the financial year would increase or decrease accordingly as a result from the Group's exposure to interest rates on its borrowing which is not hedged. The Group has performed the following interest rate sensitivity analysis to show the Group's sensitivity to interest rates exposure:

	Group	
	2024	2023
	RM'000	RM'000
<u>Floating rate instrument</u>		
25 basis point increase	(525)	(300)
25 basis point decrease	525	300

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

25 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONT'D)

25.1 Financial risk factors (Cont'd)

(b) Credit risk

Credit risk is the risk of a financial loss to KIP REIT if the tenants or counterparty to a financial instrument fails to meet its contractual obligations. At the reporting date, the maximum exposure to credit risk is represented by the carrying amount of each financial asset in the statement of financial position.

KIP REIT is not exposed to significant credit risk. The risk of non-collectability of monthly rentals is also mitigated with rental deposits collected from the tenants. Other than AEON from AMKC, which contributes to 24.1% (2023: 24.3%) of the rental income, the Group and the Fund do not have any significant exposure to any individual or group of tenants or counterparties.

Simplified approach for trade receivables

The Group and the Fund apply simplified approach which requires expected lifetime losses to be recognised from initial recognition of the trade receivables. To measure the expected credit loss, the expected loss rates are based on the historical payment profiles of tenants and the corresponding historical credit losses experienced. The historical loss rates are adjusted to reflect current and forward-looking information on factors affecting the ability of the tenants to settle the receivables. The Group and the Fund have identified the credit profile and sales performance of tenants to be the most relevant forward looking factors, and accordingly adjusted the historical loss rates based on expected changes in these factors. The Group and the Fund have determined the default rate for trade receivables based on their historical default rate and applied the historical default rate on trade receivables balance in the financial year.

Credit risk with respect to trade receivables and accrued billings is limited due to the nature of business which is mainly rental related and cash-based. Furthermore, the tenants have placed security deposits in the form of cash which act as collateral. In view of the above, no additional credit risk beyond amounts allowed for collection losses is inherent in KIP REIT's trade receivables.

Bank deposits are placed with licensed financial institutions with high credit ratings assigned by credit rating agencies. Hence, the risk of material loss in the event of non-performance by a financial counterparty could be considered to be unlikely.

General 3-stage approach for other receivables and non-trade intercompany receivables

The other receivables and non-trade intercompany receivables impairment is assessed collectively to determine whether there was objective evidence that an impairment had been incurred but not yet identified. Loss allowance is measured at a probability-weighted amount that reflects the possibility that a credit loss occurs and the possibility that no credit loss occurs.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

25 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONT'D)

25.1 Financial risk factors (Cont'd)

(b) Credit risk (Cont'd)

The analysis of credit risk exposure of trade and other receivables are as follows:-

Group and Fund

	As at June 2024 RM'000	Not past due RM'000	0-31 days RM'000	32-61 days RM'000	62-91 days RM'000	92-181 days RM'000	>181 days RM'000
Trade receivables (gross)	622	-	196	144	56	62	164
Impairment	(162)	-	-	-	-	(20)	(142)
	460	-	196	144	56	42	22
Expected loss rate						31.9%	86.4%
Non-trade receivables (gross)	1,969	1,743	77	45	10	17	77
Impairment	(65)	-	-	-	-	(4)	(61)
	1,904	1,743	77	45	10	13	16
Expected loss rate						25.7%	79%
	As at June 2023 RM'000	Not past due RM'000	0-31 days RM'000	32-61 days RM'000	62-91 days RM'000	92-181 days RM'000	>181 days RM'000
Trade receivables (gross)	1,233	-	733	130	57	64	248
Impairment	(186)	-	-	-	(2)	(32)	(152)
	1,047	-	733	130	55	32	96
Expected loss rate					3.5%	8.3%	61.2%
Non-trade receivables (gross)	1,165	909	72	32	14	27	111
Impairment	(88)	-	-	-	-	(6)	(82)
	1,077	909	72	32	14	21	29
Expected loss rate						23.5%	73.7%

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

25 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONT'D)

25.1 Financial risk factors (Cont'd)

(b) Credit risk (Cont'd)

The movement of allowance for impairment of receivables is as follows:-

	Group and Fund	
	2024 RM'000	2023 RM'000
<u>Trade</u>		
As at 1 July	186	181
Allowance for impairment	36	5
Bad debts written off	(59)	-
As at 30 June	163	186
<u>Non-trade</u>		
As at 1 July	88	44
Allowance for impairment	(24)	44
As at 30 June	64	88

The maximum exposure to credit risk at the reporting date is the carrying value of each class of receivables.

(c) Liquidity and cash flow risk

The rolling forecasts of liquidity requirements are monitored to ensure there is sufficient cash to meet operational needs while maintaining sufficient headroom on the committed borrowing facilities (Note 12).

Adequate cash, cash equivalents and bank facilities are maintained and monitored to finance the operations, to distribute income to unitholders, and to mitigate the effects of fluctuations in cash flows. In addition, the Manager also monitors and observes the REIT Guidelines concerning limits on total borrowings of the investment trust.

Cash and cash equivalents as at 30 June 2024 of RM34.3 million (2023: RM48.8 million) are expected to assist in the liquidity and cash flow risk management.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

25 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONT'D)

25.1 Financial risk factors (Cont'd)

(c) Liquidity and cash flow risk

The analysis of the non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the reporting date to the contractual maturity date are as follows:-

	<1 year RM'000	1 to 2 years RM'000	2 to 3 years RM'000	>3 years RM'000	Total RM'000
Group					
At 30 June 2024					
Borrowings	321,690	5,384	5,384	115,384	447,842
Payables and accruals	21,504	12,185	-	-	33,689
Fund					
At 30 June 2024					
Borrowings	-	-	-	-	-
Amount due to a subsidiary	321,690	5,384	5,384	115,384	447,842
Payables and accruals	21,504	12,185	-	-	33,689
Group					
At 30 June 2023					
Borrowings	34,468	14,235	311,186	-	359,889
Payables and accruals	14,036	13,172	-	2,995	30,203
Fund					
At 30 June 2023					
Borrowings	20,233	-	-	-	20,233
Payables and accruals	28,271	27,407	305,385	2,995	364,058

Note: The amounts are contractual and undiscounted cash flows.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

25 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

25.2 Capital risk management

Capital is the unitholders' capital and borrowings from bank and intercompany, as shown in the statement of financial position.

The overall capital management objectives are to safeguard the ability to continue as a going concern in order to provide returns for unitholders and other stakeholders as well as to maintain a more efficient capital structure.

The Manager's on-going capital management strategy involves maintaining an appropriate gearing level and adopting an active interest rate management strategy to manage the risks associated with refinancing and changes in interest rates. The Manager intends to implement this strategy by:

- (i) diversifying sources of debt funding to the extent appropriate,
- (ii) maintaining a reasonable level of debt service capability,
- (iii) securing favourable terms of funding,
- (iv) managing its financial obligations and
- (v) where appropriate, managing the exposures arising from adverse market interest rates, such as through fixed rate borrowings, to improve the efficiency for the cost of capital.

Amount due to a subsidiary (Note 13) is deemed as a borrowing as it represents advances of MTN proceeds from the subsidiary.

The total borrowings to total assets ratio is as follows:-

	Group		Fund	
	2024 RM'000	2023 RM'000	2024 RM'000	2023 RM'000
Total borrowings	423,326	333,217	412,638	325,385
Total assets	1,135,948	1,023,391	1,125,209	1,015,559
Borrowings to total assets ratio (%)	37.27%	32.56%	36.67%	32.04%

The total borrowings should not exceed 50% of the total assets at the time the borrowings are incurred in accordance with the REIT Guidelines. The total borrowings include the MTN proceeds from the bank and the advances of MTN proceeds from the subsidiary. The Group and the Fund complied with the borrowing limit requirement for the financial year ended 30 June 2024.

The Deeds provides that the Manager shall, with the approval of the Trustee, for each distribution period, distribute all (or such other percentage as determined by the Manager at its absolute discretion) of KIP REIT's distributable income. It is the intention of the Manager to distribute at least 90% of KIP REIT's distributable income on a quarterly basis (or such other interval as determined by the Manager at its absolute discretion).

25.3 Fair value

The assets and liabilities measured at fair value and classified by level of the fair value measurement hierarchy are as follows:-

- (a) quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1);
- (b) inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly (Level 2); and
- (c) inputs for the asset or liability that are not based on observable market data i.e. unobservable inputs (Level 3).

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

25 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

25.3 Fair value

	Level 3	
	2024 RM'000	2023 RM'000
Recurring fair value measurements:		
Investment properties	1,061,600	964,300
Less: Deferred lease incentives	(7,077)	-
Net investment properties	1,054,523	964,300

Level 3 fair values of the investment properties have been derived from the income approach based on valuations performed by the Valuers, who holds a relevant professional qualification and has recent experience in the locations and categories of the investment properties valued. The valuation techniques, significant parameters and movement in fair values are as disclosed in Note 6.

Assets and liabilities not carried at fair value

The carrying amounts of financial assets and liabilities that are not carried at fair value as at reporting date approximated their fair values. The fair value of tenants' deposits received from tenants at the reporting date is not materially different from their carrying value as the impact of discounting is not expected to be significant. For floating rate loans, the carrying value is generally a reasonable estimate of fair value.

26 SIGNIFICANT RELATED PARTY TRANSACTIONS

The significant related party transactions are carried out in the normal course of business on terms and conditions negotiated between the contracting parties.

Related party	Relationship
KIP REIT Management Sdn. Bhd.	REIT Manager
KIP REIT Capital Sdn. Bhd.	Subsidiary company
KIP Property Services Sdn. Bhd.	Common Shareholder
Teju Logistic Sdn. Bhd.	Common Shareholder
Hextar Chemicals Sdn. Bhd.	Common Shareholder
Cahaya Serijaya Sdn. Bhd.	Common Shareholder

KIP REIT Management Sdn. Bhd. are jointly controlled by KIP REIT's substantial unitholders, Dato' Ong Kook Liong and Dato' Ong Choo Meng.

KIP Property Services Sdn. Bhd. is controlled by KIP REIT's substantial unitholder, Dato' Ong Kook Liong.

Teju Logistic Sdn. Bhd. is controlled by KIP REIT's substantial unitholder, Dato' Ong Choo Meng and Hextar Chemicals Sdn. Bhd. which is ultimately controlled by KIP REIT's substantial unitholder, Dato' Ong Choo Meng.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

26 SIGNIFICANT RELATED PARTY TRANSACTIONS (CONT'D)

	Group		Fund	
	2024	2023	2024	2023
	RM'000	RM'000	RM'000	RM'000
Significant related parties transactions for the financial year:				
<u>Rental income derived from</u>				
Teju Logistic Sdn. Bhd.	3,379	1,853	3,379	1,853
Hextar Chemicals Sdn Bhd	1,755	962	1,755	962
<u>Rental income reimbursement from</u>				
Cahaya Serijaya Sdn Bhd	1,310	-	1,310	-
<u>Purchases of services</u>				
1) Reimbursement cost				
- KIP Property Services Sdn. Bhd.	4,477	3,967	4,477	3,967
- Cahaya Serijaya Sdn. Bhd.	661	-	661	-
2) Management fees				
- KIP REIT Management Sdn. Bhd.	7,035	7,387	7,035	7,387
3) Interest on advances from a subsidiary				
- KIP REIT Capital Sdn. Bhd.	-	-	16,292	14,125
4) Interest on borrowings				
- KIP REIT Capital Sdn. Bhd.	-	-	397	634
5) Acquisition on investment properties				
- Cahaya Serijaya Sdn. Bhd.	80,000	-	80,000	-
Significant related parties balances as at reporting date:				
<u>Amounts due from</u>				
KIP REIT Management Sdn. Bhd.	41	197	41	197
KIP Property Services Sdn. Bhd.	32	28	32	28
Amount due to				
KIP REIT Capital Sdn. Bhd.	-	-	412,638	305,385

The amounts due from related parties are mainly due to advance payment in relation to operation of investment properties.

The amount due to related party is related to services rendered by the related company, as well as advances pertaining to MTN issuance (Note 12).

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

27 OPERATING LEASES

Leases as lessor

The Group and the Fund lease out the investment properties (Note 6) under operating leases. Subject to full receipts and/or recoveries of all trade receivables, and assuming no existing tenancies are prematurely terminated, all expiring tenancies will be renewed at the same passing rent rates and no rental support, incentive or waiver will be given to tenants.

The future aggregate minimum rentals receivable under non-cancellable operating leases are as follows:

	Group and Fund	
	2024 RM'000	2023 RM'000
No later than 1 year	39,003	67,361
Later than 1 year but no later than 2 years	52,077	43,861
Later than 2 year but no later than 3 years	39,823	11,093
Later than 3 year but no later than 4 years	28,763	6,891
Later than 4 year but no later than 5 years	29,132	5,823
Later than 5 years	78,002	66,525

28 CAPITAL COMMITMENT

	Group and Fund	
	2024 RM'000	2023 RM'000
Significant capital expenditure commitments:		
<u>Investment properties</u>		
Contracted but not provided for and payable:		
More than one year but less than two years		
KIPMall Bangi Facelift	1,217	11,103
KIPMall Senawang	1,087	-
DPulze Shopping Centre	288,000	-

29 SIGNIFICANT EVENTS DURING THE YEAR

(a) Acquisition of KIPMall Kota Warisan

On 16 June 2023, the Manager announced that the Trustee to KIP REIT has entered into conditional sale and purchase agreements ("SPAs") with Cahaya Serijaya Sdn Bhd ("Vendor"), for proposed acquisition of KIPMall Kota Warisan ("Properties") for a cash consideration of RM80.0 million ("Proposed Acquisitions"). The Proposed Acquisition is a related party transaction under Paragraph 10.08 of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad. In conjunction with the Proposed Acquisition, the Trustee on recommendation of the Manager, proposes to undertake a private placement to raise gross proceeds of approximately RM10.0 million.

On 8 February 2024, the Manager announced the completion of the Proposed Acquisition with the settlement of the balance of purchase price.

NOTES TO THE FINANCIAL STATEMENTS (CONT'D)

29 SIGNIFICANT EVENTS DURING THE YEAR (CONT'D)

(b) Completion of private placements

On 4 October 2023, the Manager announced that the unitholders approved the proposed acquisition and the proposed private placement of up to 12,269,900 new units in KIP REIT, at an issue price to be determined later to raise approximately RM10.0million.

On 28 November 2023, the Manager announced that the issue price for the first tranche of the Placement Units in respect of the Proposed Private Placement has been fixed at RM0.815 per Placement Unit. The issue price of RM0.815 represents a discount of RM0.0822 or approximately 9.16% to the 5-day VWAMP of KIP REIT Units up to and including 27 November 2023 of RM0.8972, being the market day immediately preceding the price-fixing date.

On 11 December 2023, the Manager announced that the Placement Units amounting to 12,269,900 new units were listed on 11 December 2023 ("Placement Units") on the Main Market of Bursa Securities. The listing of the Placement Units marks the completion of the Private Placement. Arising therefrom, the Board of the Manager wishes to announce that all the conditions precedent set out in the SPA have been fulfilled. Accordingly, the SPA has become unconditional on 11 December 2023.

(c) Proposed acquisition of DPulze Shopping Centre

On 27 May 2024 and 30 May 2024, the Manager announced that the Trustee to KIP REIT has entered into a conditional sale and purchase agreement with DPulze Ventures Sdn Bhd for the proposed acquisition of DPulze Shopping Centre for a cash purchase consideration of RM320.0 million ("Proposed Acquisition"). In conjunction with the Proposed Acquisition, the Board proposes to undertake the private placement of up to 180,000,000 new units in KIP REIT, at an issue price to be determined later to raise approximately RM172.3 million.

30 SUBSEQUENT EVENTS

On 31 July 2024, KIP REIT Capital Sdn. Bhd. raised RM340.0 million MTN Issue 4.0 ("MTN4") in nominal value pursuant to the MTN Programme. The MTN4 of RM340.0 million was issued to refinance KIP REIT's MTN1 amounting to RM310.0 million. Out of the total RM340.0 million issuance of MTN4, RM240.0 million has been assigned a long-term final rating of AAA/Stable from RAM Rating Services Berhad. The MTN4 expected maturity date is 5 years from the issuance date and the legal maturity date is 7 years from the issuance date. The transaction costs relating to the MTN4 issuance of RM340.0 million are amortised and charged to profit or loss over the expected tenure of the MTN4.

OTHER DISCLOSURE INFORMATION

1. UTILISATION OF PROCEEDS FROM PRIVATE PLACEMENT

- (a) The private placement of a total 101,060,000 new units of KIP REIT was completed on 23 February 2023 and the total proceeds raised from the private placement were RM82,398,950. As at 30 June 2024, the said

	Details of utilisation of proceeds				Timeframe for utilisation from the listing date
	Proposed RM'000	Actual RM'000	Balance RM'000	%	
Part-finance the proposed acquisitions of three (3) industrial properties as announced on 12 July 2022	72,184	72,184	-	100.00	Within 14 months
Part-finance the KIPMall Bangi facelift	9,215	9,215	-	100.00	Within 18 months
Defrayment of expenses in relation to the private placement	1,000	1,000	-	100.00	Within 6 months
Total	82,399	82,399	-	100.00	

- (b) As at 30 June 2024, the proceeds amounting to RM10.0 million raised from the private placement of 12,269,900 new units of KIP REIT at RM0.815 per unit on 11 December 2023 was fully utilised in the following manner:-

	Details of utilisation of proceeds				Timeframe for utilisation from the listing date
	Proposed RM'000	Actual RM'000	Balance RM'000	%	
Part-settlement of balance purchase price of KIPMall Kota Warisan as announced on 16 June 2023	9,830	9,830	-	100.00	Within 1 month
Defrayment of expenses in relation to the private placement	170	170	-	100.00	Immediately
Total	10,000	10,000	-	100.00	

2. AUDIT AND NON-AUDIT FEES

The details of the fees paid/payable to the External Auditor for both audit and non-audit services rendered for the FYE 2024 are tabled as follows: -

	Fund Level RM	Group Level RM
Audit services rendered	130,000	133,000
Non-audit services rendered	9,800	9,800
Total	139,800	142,800

OTHER DISCLOSURE INFORMATION (CONT'D)

3. MATERIAL CONTRACTS

(a) Acquisition of KIPMall Kota Warisan

On 16 June 2023, Pacific Trustees Berhad, acting as the trustee for and on behalf of KIP REIT ("Trustee"), had entered into a conditional sale and purchase agreement ("SPA") with Cahaya Serijaya Sdn Bhd ("Cahaya Serijaya") for the proposed acquisition of KIPMall Kota Warisan for a cash consideration of RM80.0 million ("Proposed Acquisition of KIPMall Kota Warisan").

In conjunction with the Proposed Acquisition of KIPMall Kota Warisan, the Trustee on recommendation of the Manager, propose to undertake a private placement of up to 12,269,900 new units in KIP REIT, at an issue price to be determined later, to raise gross proceeds of approximately RM10.0 million ("Proposed Private Placement").

The Proposed Acquisition of KIPMall Kota Warisan and the Proposed Private Placement were approved by the unitholders at the Unitholders' Meeting held on 4 October 2023. On 28 November 2023, the issue price of the placement units in respect of the Proposed Private Placement was fixed at RM0.815 per unit.

On 11 December 2023, the Proposed Private Placement was completed following the listing of and quotation for 12,269,900 placement units in KIP REIT on Main Market of Bursa Securities. Arising therefrom, all the conditions precedent set out in the SPA entered into between the Trustee and Cahaya Serijaya on 16 June 2023 have been fulfilled, and accordingly, the said SPA has become unconditional.

On 8 February 2024, the Manager has announced that the balance purchase price for the Proposed Acquisition of KIPMall Kota Warisan has been paid, marking the completion of the acquisition.

The Proposed Acquisition of KIPMall Kota Warisan is a related party transaction under Paragraph 10.08 of MMLR. Save as disclosed below, none of the Directors, major shareholders and chief executive of the Manager and/or major unitholders of KIP REIT and/or persons connected with them has any interest, direct or indirect, in the Proposed Acquisition of KIPMall Kota Warisan:-

- (i) Dato' Ong Kook Liong is the director and major shareholder of Cahaya Serijaya, as well as the Managing Director and major shareholder of the Manager and major unitholder of KIP REIT; and
- (ii) Ms. Ong Pui Shan is the Executive Director cum CEO of the Manager and daughter of Dato' Ong Kook Liong. She is not a director or shareholder of Cahaya Serijaya. However, she is the alternate director to Dato' Ong Kook Liong in Cahaya Serijaya. Although Ms. Ong Pui Shan has no interest in the Proposed Acquisition of KIPMall Kota Warisan, she is a person connected with Dato' Ong Kook Liong.

The Proposed Acquisition of KIPMall Kota Warisan disclosed above should be read in conjunction with KIP REIT's announcements made to Bursa Securities dated 16 June 2023, 27 July 2023, 21 August 2023, 4 October 2023, 28 November 2023, 8 December 2023, 11 December 2023 and 8 February 2024.

(b) Acquisition of DPulze Shopping Centre

On 27 May 2024, the Trustee had entered into a conditional SPA with DPulze Ventures for the proposed acquisition of DPulze Shopping Centre for a cash consideration of RM320.0 million ("Proposed Acquisition of DPulze Shopping Centre").

OTHER DISCLOSURE INFORMATION (CONT'D)

3. MATERIAL CONTRACTS (CONT'D)

(b) Acquisition of DPulze Shopping Centre (Cont'd)

In conjunction with the Proposed Acquisition of DPulze Shopping Centre, the Board proposed to undertake the following:-

- (i) proposed placement of up to 180,000,000 new units in KIP REIT ("Placement Units") at an issue price to be determined later by way of bookbuilding ("Proposed Placement"); and
- (ii) proposed placement of up to 15,000,000 Placement Units to Dato' Ong Kook Liong, a major unitholder of KIP REIT, and/or persons connected with him, pursuant to the Proposed Placement ("Proposed Placement to Dato' Ong Kook Liong").

The Proposed Acquisition of DPulze Shopping Centre and the expenses incidental to the said proposals would be funded by a combination of bank borrowings and proceeds to be raised from the Proposed Placement.

On 30 May 2024, the Trustee had entered into a supplemental agreement to the SPA with DPulze Ventures to vary the conditions precedent of the SPA.

The highest percentage ratio applicable for the Proposed Acquisition of DPulze Shopping Centre pursuant to Paragraph 10.02(g) of the MMLR is 31.27% and hence, the Manager would seek for the unitholders' approval at the Unitholders' Meeting to be held at a later date.

None of the Directors, major shareholders and chief executive of the Manager and/or major unitholders of KIP REIT and/or persons connected with them has any interest, direct or indirect, in the Proposed Acquisition of DPulze Shopping Centre.

Save as disclosed below, none of the Directors, major shareholders and chief executive of the Manager and/or major unitholders of KIP REIT and/or persons connected with them has any interest, direct or indirect, in the Proposed Placement and the Proposed Placement to Dato' Ong Kook Liong: -

- (i) Dato' Ong Kook Liong is the Managing Director and major shareholder of the Manager and major unitholder of KIP REIT; and
- (ii) Ms. Ong Pui Shan, the Executive Director cum CEO of the Manager and daughter of Dato' Ong Kook Liong, is a person connected with Dato' Ong Kook Liong.

As at 30 June 2024, the direct and indirect unitholdings of Dato' Ong Kook Liong and Ms. Ong Pui Shan in KIP REIT are as follows: -

Directors	Direct		Indirect	
	No. of Units	%	No. of Units	%
Dato' Ong Kook Liong	62,486,283	10.10	3,878,492 ⁽¹⁾	0.63
Ms. Ong Pui Shan	200,000	0.03	-	-

Note: -

⁽¹⁾ Deemed interested by virtue of his interest held through his spouse and child pursuant to Section 59(11) (c) of the Companies Act 2016.

The Proposed Acquisition of DPulze Shopping Centre disclosed above should be read in conjunction with KIP REIT's announcements made to Bursa Securities dated 27 May 2024, 30 May 2024 and 19 July 2024.

4. RECURRENT RELATED PARTY TRANSACTIONS ("RRPT") OF REVENUE OR TRADING NATURE

During FYE 2024, there was no RRPT entered which requires unitholders' mandate.

UNITHOLDERS' STATISTICS

As at 31 July 2024

Issued Units : 618,629,900 Units (Voting right: One (1) vote per unit)

DISTRIBUTION OF UNITHOLDINGS AS AT 31 JULY 2024

Size of Unitholdings	No. of Unitholders	% of Unitholders	No. of Units Held	% of Unitholdings
1 – 99	30	0.28	491	0.00
100 – 1,000	1,663	15.72	1,040,977	0.17
1,001 – 10,000	5,260	49.70	26,977,530	4.36
10,001 – 100,000	3,157	29.83	103,769,838	16.77
100,001 to 30,931,494 ^(*)	471	4.45	360,654,464	58.30
30,931,495 and above ^(**)	2	0.02	126,186,600	20.40
Total	10,583	100.00	618,629,900	100.00

Remarks:

* Less than 5% of issued Units

** 5% and above of issued Units

DIRECTORS' UNITHOLDINGS AS AT 31 JULY 2024

(based on the Register of Directors' Unitholdings)

No.	Name of Directors	Direct Interest		Deemed Interest	
		No. of Units Held	%	No. of Units Held	%
1.	Datuk Dr Syed Hussain bin Syed Husman, PJN. JP	60,000	0.01	-	-
2.	Dato' Ong Kook Liong	62,486,283	10.10	3,878,492 ⁽¹⁾	0.63
3.	Ong Pui Shan	200,000	0.03	-	-
4.	Ong Tzu Chuen	-	-	100,771,000 ⁽²⁾	16.29
5.	Datuk Mohamed Arsad bin Sehan	300,000	0.05	-	-
6.	Chiam Tau Meng	-	-	-	-

Notes:

⁽¹⁾ Deemed interested by virtue of his interest pursuant to Section 59(11)(c) of the Companies Act 2016.

⁽²⁾ Deemed interested by virtue of her interest pursuant to Section 8(4) of the Companies Act 2016.

UNITHOLDERS' STATISTICS (CONT'D)

As at 31 July 2024

SUBSTANTIAL UNITHOLDERS AS AT 31 JULY 2024

(based on the Register of Substantial Unitholders)

No.	Name of Substantial Unitholders	Direct Interest		Deemed Interest	
		No. of Units Held	%	No. of Units Held	%
1	Hextar Rubber Sdn Bhd	100,771,000	16.29	-	-
2	Dato' Ong Choo Meng	-	-	100,771,000 ⁽¹⁾	16.29
3	Ong Tzu Chuen	-	-	100,771,000 ⁽¹⁾	16.29
4	Dato' Ong Kook Liong	62,486,283	10.10	3,878,492 ⁽²⁾	0.63
5	Datin Teoh Siew Chin	34,347,288	5.55	-	-

Notes:

⁽¹⁾ Deemed interested by virtue of his/her interest pursuant to Section 8(4) of the Companies Act 2016.

⁽²⁾ Deemed interested by virtue of his interest pursuant to Section 59(11)(c) of the Companies Act 2016.

LIST OF TOP 30 UNITHOLDERS AS AT 31 JULY 2024

(without aggregating the securities from different securities accounts belonging to the same registered holder)

No.	Name	No. of Units Held	%
1.	HLB Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Hextar Rubber Sdn Bhd (PJCAC)	90,857,000	14.69
2.	Maybank Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Ong Kook Liong	35,329,600	5.71
3.	Maybank Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Teoh Siew Chin	28,447,288	4.60
4.	Alliancegroup Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Ong Kook Liong (7003599)	17,900,000	2.89
5.	Yayasan Guru Tun Hussein Onn	17,000,000	2.75
6.	Tan Jyh Yaong	14,882,500	2.41
7.	Maybank Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Hextar Rubber Sdn Bhd	14,269,100	2.31
8.	CIMSEC Nominees (Tempatan) Sdn Bhd CIMB for Brahma A/L Vasudevan (PB)	14,000,000	2.26
9.	Citigroup Nominees (Tempatan) Sdn Bhd Great Eastern Life Assurance (Malaysia) Berhad (PAR 1)	13,625,600	2.20
10.	Cartaban Nominees (Asing) Sdn Bhd Exempt an for Standard Chartered Bank (Hong Kong) Limited (HK PVB CL AC)	12,500,000	2.02
11.	Cartaban Nominees (Asing) Sdn Bhd Exempt an for Standard Chartered Bank Singapore Branch (BJSSHKBR-CL FR)	12,500,000	2.02
12.	HSBC Nominees (Tempatan) Sdn Bhd HSBC (M) Trustee Bhd for Allianz Life Insurance Malaysia Berhad (P)	10,431,000	1.69
13.	Citigroup Nominees (Tempatan) Sdn Bhd Kumpulan Wang Persaraan (Diperbadankan) (Kenanga)	9,609,200	1.55
14.	Cartaban Nominees (Asing) Sdn Bhd Exempt an for BOCI Securities Ltd (Clients A/C)	9,550,000	1.54
15.	Affin Hwang Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Ong Kook Liong	8,600,000	1.39
16.	Citigroup Nominees (Tempatan) Sdn Bhd Employees Provident Fund Board (CIMB Prin)	8,146,725	1.32
17.	HSBC Nominees (Tempatan) Sdn Bhd HSBC (M) Trustee Bhd for Allianz Life Insurance Malaysia Berhad (ULIFE)	6,338,000	1.03

UNITHOLDERS' STATISTICS (CONT'D)

As at 31 July 2024

LIST OF TOP 30 UNITHOLDERS AS AT 31 JULY 2024 (CONT'D)

(without aggregating the securities from different securities accounts belonging to the same registered holder)

No.	Name	No. of Units Held	%
18.	Alliancegroup Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Teoh Siew Chin (7004885)	5,900,000	0.95
19.	Alliancegroup Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Kok Pick Tong (7004042)	5,500,000	0.89
20.	HSBC Nominees (Tempatan) Sdn Bhd HSBC (M) Trustee Bhd for Allianz Life Insurance Malaysia Berhad (ULIFE2)	4,539,000	0.73
21.	HLB Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Brahmah A/L Vasudevan	3,500,000	0.57
22.	Maybank Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Siew Kui Taw	3,390,000	0.55
23.	KAF Trustee Berhad KIFB for Altima, Inc	3,000,000	0.49
24.	Christopher Mah Siew Houk	2,900,000	0.47
25.	Chow Hon Keong	2,315,000	0.37
26.	Lee Guan Hong	2,300,000	0.37
27.	Phillip Nominees (Tempatan) Sdn Bhd Pledged Securities Account for Goh Leng Pheow	2,000,000	0.32
28.	Kok Pick Tong	1,986,398	0.32
29.	HSBC Nominees (Tempatan) Sdn Bhd HSBC (M) Trustee Bhd for Allianz Life Insurance Malaysia Berhad (MDF)	1,630,000	0.26
30.	CGS International Nominees Malaysia (Tempatan) Sdn. Bhd. Pledged Securities Account for Choo Min Lee (Perling-CL)	1,486,800	0.24
Total		364,433,211	58.91

CORPORATE DIRECTORY

MANAGER

KIP REIT Management Sdn Bhd
[Registration No. 201501044317 (1169638-M)]

REGISTERED OFFICE OF THE MANAGER

Unit 27.2, Menara 1MK
Kompleks 1 Mont Kiara
No. 1 Jalan Kiara, Mont Kiara
50480 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel. No. : +603-6203 5828 / +603-6201 8080
Fax No. : +603-6203 2788
Email : slfgroup@slfch.com

PRINCIPAL PLACE OF BUSINESS OF THE MANAGER

Unit B-6, Blok B, Tingkat 6, Menara KIP
No. 1, Jalan Seri Utara 1
Sri Utara Off Jalan Ipoh
68100 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel. No. : +603-6259 1133
Fax No. : +603 6259 1212
Email : info@kipreit.com.my
Website : www.kipreit.com.my

COMPANY SECRETARY OF THE MANAGER

Foo Siew Loon
(MAICSA 7006874)
(SSM Practising Certificate No. 202008002104)

TRUSTEE

Pacific Trustees Berhad
[Registration No. 199401031319 (317001-A)]
A-11-8, 11th Floor Megan Avenue 1
No. 189, Jalan Tun Razak
Off Persiaran Hampshire
50400 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel. No. : +603-2166 8830
Fax No. : +603-2166 3830
Email : operation@pacifictrustees.com

SECURITY TRUSTEE

Malaysian Trustees Bhd.
[Registration No. 197501000080 (21666-V)]
Level 11, Tower Three, RHB Centre
Jalan Tun Razak
50400 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel. No. : +603-9280 5950
Fax No. : +603-9280 5947
Email : operations.mtb@rhbgroup.com

BOARD OF DIRECTORS

Datuk Dr Syed Hussain bin Syed Husman, PJN. JP
Chairman/Senior Independent Non-Executive Director

Dato' Ong Kook Liong
Managing Director

Ms. Ong Pui Shan
Executive Director cum Chief Executive Officer

Ms. Ong Tzu Chuen
Executive Director

Datuk Mohamed Arsad bin Sehan
Independent Non-Executive Director

Mr. Chiam Tau Meng
Independent Non-Executive Director

AUDIT AND RISK MANAGEMENT COMMITTEE

Mr. Chiam Tau Meng (**Chairman**)
Datuk Mohamed Arsad bin Sehan
Datuk Dr Syed Hussain bin Syed Husman, PJN. JP

NOMINATION COMMITTEE

Datuk Mohamed Arsad bin Sehan (**Chairman**)
Datuk Dr Syed Hussain bin Syed Husman, PJN. JP
Mr. Chiam Tau Meng

REMUNERATION COMMITTEE

Mr. Chiam Tau Meng (**Chairman**)
Datuk Mohamed Arsad bin Sehan
Datuk Dr Syed Hussain bin Syed Husman, PJN. JP

INVESTMENT STEERING COMMITTEE

Dato' Ong Kook Liong (**Chairman**)
Ms. Ong Tzu Chuen (**Deputy Chairman**)
Ms. Ong Pui Shan
Mr. Sean Lim Seng Yeow
(Appointed w.e.f. 25 March 2024)
Ms. Lim Boon Boon
(Appointed w.e.f. 28 June 2024)
Mr. Northon Lee Tze Siang
(Appointed w.e.f. 24 October 2023)
Ms. Tan Jo Lynn
(Resigned w.e.f. 28 June 2024)
Ms. Norziela Mohamed Nasir
(Resigned w.e.f. 28 June 2024)

CORPORATE DIRECTORY (CONT'D)

REGISTRAR

Boardroom Share Registrars Sdn Bhd

[Registration No. 199601006647 (378993-D)]
11th Floor, Menara Symphony,
No. 5, Jalan Prof Khoo Kay Kim, Seksyen 13,
46200 Petaling Jaya
Selangor, Malaysia
Tel No. : +603-7890 4700
Fax No. : +603-7890 4670
Website : www.boardroomlimited.com
Email : bsr.helpdesk@boardroomlimited.com

PROPERTY MANAGER

Henry Butcher Malaysia (Mont Kiara) Sdn Bhd

[Registration No. 201501023493 (1148822-P)]
Unit D4-3-3 & 3A, Solaris Dutamas
No. 1, Jalan Dutamas 1
50480 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel No. : +603-6205 3330
Website : www.henrybutchermk.com

INDEPENDENT PROPERTY VALUERS

Nawawi Tie Leung Property Consultants Sdn Bhd

[Registration No. 200201011415 (579078-V)]
Suite 34.01, Level 34, Menara Citibank
165 Jalan Ampang, 50450 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel No. : +603-2161 7228
Fax No. : +603-2161 1633
Website : www.ntl.my

EXTERNAL AUDITORS

PricewaterhouseCoopers PLT

(LLP0014401-LCA & AF1146)
Level 10, Menara TH 1 Sentral, Jalan Rakyat
Kuala Lumpur Sentral
50706 Kuala Lumpur,
Wilayah Persekutuan, Malaysia
Tel No. : +603-2173 1188
Website : www.pwc.com/my/en

INTERNAL AUDITORS

Baker Tilly Monteiro Heng Governance Sdn Bhd

[Registration No. 199501022568 (351771-X)]
Baker Tilly Tower, Level 10, Tower 1, Avenue 5,
Bangsar South City,
59200 Kuala Lumpur,
Wilayah Persekutuan, Malaysia
Tel No. : +603-2297 1000
Fax No. : +603-2282 9980
Website : www.bakertilly.my

TAX CONSULTANT

PricewaterhouseCoopers Taxation Services Sdn Bhd

[Registration No. 199801008604 (464731-M)]
Level 10, Menara TH 1 Sentral
Jalan Rakyat, Kuala Lumpur Sentral
P.O. Box 10192
50706 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel No. : +603-2173 1188
Website : www.pwc.com/my/en

PRINCIPAL BANKER

Maybank Investment Bank Berhad

[Registration No. 197301002412 (15938-H)]
32nd Floor, Menara Maybank
100 Jalan Tun Perak
50050 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel No. : +603-2059 1888
Fax No. : +603-2301 1377
Website : www.maybank-ib.com

STOCK EXCHANGE LISTING

Bursa Malaysia Securities Berhad

Stock Name: KIPREIT
Stock Code: 5280

INVESTOR RELATIONS AND CORPORATE COMMUNICATIONS

Email : info@kipreit.com.my
Tel No. : +603-6259 1133

Imej Jiwa Communications Sdn Bhd

[Registration No. 201201037966 (1022448-X)]
Unit 28-7, Oval Tower @ Damansara
No. 685, Jalan Damansara
60000 Kuala Lumpur
Wilayah Persekutuan, Malaysia
Tel No. : +603-7733 7752
Website : www.imejjiwa.com

NOTICE OF EIGHTH ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the Eighth Annual General Meeting of the Unitholders of KIP Real Estate Investment Trust ("KIP REIT") will be conducted on a virtual basis through live streaming and online voting via Remote Participation Electronic Voting ("RPEV") facilities to transact the following businesses:

Online Meeting Platform : <https://meeting.boardroomlimited.my>
 Day and Date : Wednesday, 2 October 2024
 Time : 10.30 a.m.
 Broadcast Venue : 12th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor Darul Ehsan, Malaysia

AGENDA

ORDINARY BUSINESS

- To lay the Audited Financial Statements of KIP REIT for the financial year ended 30 June 2024 together with the Trustee's Report to the Unitholders issued by Pacific Trustees Berhad, as trustee for KIP REIT and Statement by the Manager issued by KIP REIT Management Sdn Bhd, as the Manager for KIP REIT and the Auditors' Report thereon. *Please refer to Explanatory Note 1*

SPECIAL BUSINESS

To consider and, if thought fit, to pass with or without any modification, the following resolution:

- PROPOSED AUTHORITY TO ISSUE AND ALLOT NEW UNITS PURSUANT TO PARAGRAPH 6.59 OF THE MAIN MARKET LISTING REQUIREMENTS OF BURSA MALAYSIA SECURITIES BERHAD ("PROPOSED AUTHORITY")** *Ordinary Resolution*

"THAT pursuant to the Main Market Listing Requirements of Bursa Malaysia Securities Berhad and the approval of the relevant regulatory authorities, where such approval is required, authority be and is hereby given to the Directors of KIP REIT Management Sdn. Bhd. ("the Manager") to issue and allot new units in KIP REIT ("New Units") from time to time to such persons and for such purposes as the Directors of the Manager may in their absolute discretion deem fit and in the best interest of KIP REIT, provided that the aggregate number of New Units to be issued and allotted pursuant to this resolution, when aggregated with the number of units in KIP REIT issued during the preceding 12 months, must not exceed 20% of the approved fund size of KIP REIT;

THAT the Proposed Authority shall be effective and continue to be in force from the date of receipt of all relevant authorities' approval or the date the Unitholders pass this resolution, whichever may be the later, until:

- the conclusion of the next annual general meeting ("AGM") of the Unitholders, at which time it shall lapse, unless by a resolution passed at the meeting, the authority is renewed; or
- the expiration of the period within which the next AGM of the Unitholders is required by law to be held; or
- the Proposed Authority is revoked or varied by the Unitholders in a Unitholders' meeting;

whichever occurs first ("Validity Period");

THAT the New Units to be issued pursuant to the Proposed Authority shall, upon issuance and allotment, rank pari passu in all respects with the existing Units except that the New Units will not be entitled to any distributable income, right, benefit, entitlement and/or any other distributions that may be declared before the date of issuance and allotment of such New Units;

NOTICE OF EIGHTH ANNUAL GENERAL MEETING (CONT'D)

THAT authority be and is hereby given to the Directors of the Manager and Pacific Trustees Berhad ("Trustee"), acting for and on behalf of KIP REIT, to give effect to the aforesaid Proposed Authority with full powers to assent to any conditions, variations, modifications and/or amendments in any manner as the Manager and the Trustee may deem fit and in the best interest of KIP REIT and/or as may be imposed by the relevant authorities, and to deal with all matters relating thereto;

AND THAT authority be and is hereby given to the Directors of the Manager and the Trustee, acting for and on behalf of KIP REIT, to take all such steps and do all acts, deeds and things in any manner (including the execution of such documents as may be required) as they may deem necessary or expedient to implement, finalise, complete and give full effect to the Proposed Authority."

**By Order of the Board of
KIP REIT Management Sdn. Bhd.**

Registration No. 201501044317 (1169638-M)
(the Manager for KIP REIT)

Foo Siew Loon (MAICSA7006874)
(SSM Practising Certificate No. 202008002104)
Company Secretary

Kuala Lumpur
30 August 2024

Notes:

1. The 8th AGM will be conducted on a virtual basis through online meeting platform via RPEV facilities. Please follow the procedures provided in the Administrative Guide for the 8th AGM in order to register, participate and vote remotely via the RPEV facilities.
2. Unitholder who is entitled to participate the meeting is entitled to appoint not more than 2 proxies to participate instead of him/her. A proxy need not be a Unitholder. Where a Unitholder appoints more than 1 proxy, the appointments shall be invalid unless he/she specifies the proportions of his/her holding (expressed as a percentage of the whole) to be represented by each proxy.
3. Where a Unitholder is a corporation, its duly authorised representative shall be entitled to participate the meeting and shall be entitled to appoint another person (whether a Unitholder or not) as its proxy to participate and vote.
4. Where a Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint not more than 2 proxies in respect of each securities account it holds in units standing to the credit of the said securities account. Where a Unitholder appoints more than 1 proxy, the appointments shall be invalid unless it specifies the proportions of its holdings (expressed as a percentage of the whole) to be represented by each proxy.
5. The instrument appointing a proxy shall be in writing under the hand of the appointor or of its attorney duly authorised in writing or if such appointor is a corporation either under its common seal or under the hand of an officer or attorney so authorised.
6. The instrument appointing a proxy and the power of attorney or other authority (if any) under which it is signed or a notarial certified copy of such power or authority shall be deposited at the registered office of the Manager at Unit 27.2, Menara 1MK, Kompleks 1 Mont Kiara, No. 1 Jalan Kiara, Mont Kiara, 50480 Kuala Lumpur, Malaysia no later than 1 October 2024 at 10.30 a.m. being 24 hours before the time appointed for holding the meeting or any adjournment thereof. Alternatively, you may choose to submit the proxy appointment via electronic means through Boardroom Smart Investor Portal at <https://investor.boardroomlimited.com> before the Form of Proxy submission cut-off time as mentioned above.
7. Only Unitholders registered in the Record of Depositors as at 25 September 2024 shall be entitled to participate, vote and speak at the meeting or appoint proxy(ies) to participate and vote on his/her behalf.
8. Pursuant to Paragraph 8.29A(1) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad, all resolution(s) set out in the Notice of 8th AGM will be put to vote by way of a poll.
9. Annual Report 2024 is available on KIP REIT's website at www.kipreit.com.my which Unitholders can view or download at their convenience.

NOTICE OF EIGHTH ANNUAL GENERAL MEETING (CONT'D)

Explanatory Notes:

(I) Ordinary Business

The Audited Financial Statements laid at this meeting pursuant to clause 13.18(b) of the Guidelines on Listed Real Estate Investment Trusts ("REITs Guidelines") are meant for discussion only. The Audited Financial Statements do not require approval of the Unitholders and therefore, shall not be put forward for voting.

(II) Special Business

Proposed Authority

The Manager proposes to renew the authority to allot and issue up to 20% of the total number of Units issued in KIP REIT, to facilitate KIP REIT in raising funds via the proposed placement. The Proposed Authority, if passed, will empower the Directors of the Manager with the flexibility to issue and allot New Units at any time via the proposed placement to any such persons, upon such terms and conditions as they may, in their absolute discretion, deem fit and in the best interest of KIP REIT, provided that the aggregate number of New Units to be issued pursuant to the Proposed Authority, when aggregated with the number of Units issued during the preceding 12 months, does not exceed 20% of the total number of Units issued in KIP REIT.

With the Proposed Authority, delays and further costs involved in convening separate Unitholders' meeting to approve such issue of New Units to raise funds can be avoided. The Manager will have the flexibility to raise funds via the proposed placement for KIP REIT, as and when such need arises.

Any issuance and allotment of New Units pursuant to the Proposed Authority will be subject to the relevant approvals of Bursa Malaysia Securities Berhad and relevant regulatory authorities.

The Directors of the Manager had implemented a Proposed Private Placement of up to 12,269,900 units ("New Units") in KIP REIT. The New Units were issued pursuant to the general mandate obtained at the 7th AGM held on 4 October 2023 and listed on Bursa Malaysia Securities Berhad on 11 December 2023. KIP REIT's fund size had then increased to 618,629,900 units.

Personal Data Notice

In view of the enforcement of Personal Data Protection Act 2010 ("PDPA") which regulates the processing of personal data in commercial transactions, the PDPA applies to us, KIP REIT Management Sdn Bhd, being the management company of KIP REIT. The personal data processed by us may include your name, contact details and mailing address and any other personal data derived from any documentation. We may use or disclose your personal data to any person we may engage for the purpose of issuance of the Notice of AGM, processing of the Instrument of Proxy and the convening of the AGM of KIP REIT. As such, it is necessary for us to obtain your personal data in order to carry out the said purposes. Subject to the requirements under PDPA, if you would like to make any enquiries of your personal data, please contact us at info@kipreit.com.my.

ADMINISTRATIVE GUIDE

8TH ANNUAL GENERAL MEETING

Administrative Guide for the Eighth Annual General Meeting ("8th AGM") of the Unitholders of KIP Real Estate Investment Trust ("KIP REIT")

Online Meeting Platform	:	https://meeting.boardroomlimited.my
Date & Time	:	Wednesday, 2 October 2024, 10.30 am
Broadcast Venue	:	12th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor Darul Ehsan, Malaysia

Dear Unitholders of KIP REIT,

KIP REIT's 8th AGM will be conducted virtually through live streaming and online remote participation and electronic voting ("**RPEV**") facilities which are available at <https://meeting.boardroomlimited.my>, in accordance with the Guidance Note on the Conduct of General Meetings for Listed Issuers ("**Guidance**") issued by the Securities Commission Malaysia ("**SC**").

In line with the Malaysian Code on Corporate Governance Practice 13.3, conducting a virtual AGM would facilitate greater Unitholders' participation as it facilitates Remote Participation Electronic Voting virtually. With this facility, Unitholders may exercise their rights to participate (including to pose questions to the Board of Directors of the Manager) and vote at the 8th AGM. Alternatively, the Unitholder may also appoint the Chairman of the Meeting as proxy to attend and vote on the Unitholder's behalf.

Kindly ensure that you are connected to the internet at all times in order to participate and vote when the virtual 8th AGM has commenced. Therefore, it is your responsibility to ensure that connectivity for the duration of the meeting is maintained. Kindly note that the quality of the live webcast is dependent on the bandwidth and stability of the internet connection of the participants.

(1) Digital Copies of Annual General Meeting Documents

As part of our commitment to reduce paper usage, the following documents are available on our website at www.kipreit.com.my

- (a) Annual Report 2024
- (b) Notice of the 8th AGM, Form of Proxy and Administrative Guide

Should you require a printed copy of the above documents, you may call Ms. Lim Boon Boon at telephone no. +603 6259 1133 or email to info@kipreit.com.my. The requested documents will be forwarded to you by ordinary post within 7 working days from the date of receipt of your request.

(2) Broadcast Venue

The Broadcast Venue is strictly for the purpose of complying with Section 327(2) of the Companies Act 2016 which requires the Chairman of the Meeting to be present at the main venue of the Meeting. No Unitholders / proxies / corporate representatives from the public shall be physically present at the Broadcast Venue on the day of the Meeting.

(3) Entitlement to Participate the 8th AGM

In respect of deposited securities, only Unitholders whose names appear on the Record of Depositors on 25 September 2024 shall be eligible to participate the meeting or appoint proxy(ies) to participate and vote on his/her behalf.

(4) Form of Proxy

Unitholders are encouraged to go online, participate and vote at the 8th AGM using RPEV facilities. If you are not able to participate, you can appoint the Chairman of the meeting as your proxy and indicate the voting instructions in the Form of Proxy.

ADMINISTRATIVE GUIDE

8TH ANNUAL GENERAL MEETING (CONT'D)

Please ensure that the original form is deposited at the registered office of the Manager at Unit 27.2, Menara 1MK, Kompleks 1 Mont Kiara, No. 1 Jalan Kiara, Mont Kiara, 50480 Kuala Lumpur Malaysia no later than Tuesday, 1 October 2024 at 10.30 a.m. being 24 hours before the time appointed for holding the meeting or any adjournment thereof.

Alternatively, you may deposit your Form of Proxy by electronic means through Boardroom Smart Investor Portal at <https://investor.boardroomlimited.com> to login and deposit your Form of Proxy electronically, also 24 hours before the meeting.

(Kindly refer to step 2 under "Online Registration Procedure" below).

(5) Revocation of Proxy

If you have submitted your Form of Proxy and subsequently decide to appoint another person or wish to participate in our virtual AGM by yourself, please revoke the earlier appointed proxy 24 hours before the meeting. Please find the below step for revocation on eProxy form or physical Proxy Form:

eProxy Form

- Log in to website <https://investor.boardroomlimited.com>
- Click 'Meeting Event(s)' and select from the list of companies – '**KIP REAL ESTATE INVESTMENT TRUST 8TH ANNUAL GENERAL MEETING**' from the list of companies and click '**Enter**'.
- Go to '**PROXY**' and click on '**Submit Another eProxy Form**'.
- Go to '**Submitted eProxy Form List**' and click '**View**' for the eProxy form.
- Click '**Cancel/Revoke**' at the bottom of the eProxy form.
- Click '**Proceed**' to confirm.

Physical Proxy Form

Please write in to bsr.helpdesk@boardroomlimited.com to revoke the appointment of proxy/proxies.

(6) Voting Procedures

Pursuant to Paragraph 8.29A of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad, voting at the annual general meeting will be conducted by poll. Poll Administrator and Independent Scrutineers will be appointed to conduct the polling process and verify the results of the poll respectively.

(7) Online Registration Procedure

Procedure	Action
Before the day of the AGM	
1. Register Online with Boardroom Smart Investor Portal	Note: For first time registration only. If you have already signed up with Boardroom Smart Investor Portal, you are not required to register. You may proceed to Step 2. a. Access the website https://investor.boardroomlimited.com b. Click <<Register>> to sign up as a user. c. Select "Account Type" to "Sign Up As Shareholder" or "Sign Up As Corporate Holder" d. Complete registration and upload compulsory documents such as softcopy of MyKad (front and back) or passport and authorisation letter (template available) for Corporate Shareholder. e. Please enter a valid email address and mobile number. Click "Sign Up" f. You will receive an email from BSIP for email address verification. Click 'Verify Email Address' in the email received to continue with the registration. g. Once your email address is verified, you will be re-directed to Boardroom Smart Investor Portal for verification of mobile number. Click "Request OTP Code" and an OTP code will be sent to the registered mobile number. You will need to enter the OTP code and click "Enter" to complete the process. h. Your registration will be verified and approved within one (1) business day and an email notification will be provided to you.

ADMINISTRATIVE GUIDE

8TH ANNUAL GENERAL MEETING (CONT'D)

Procedure	Action
Before the day of the AGM	
2. Submit request for remote participation	Registration for remote access will be opened at 10.30 a.m. on 30 August 2024 until such time before the voting session ends at the 8th AGM on Wednesday, 2 October 2024. The instrument appointing a proxy must be received latest by Tuesday, 1 October 2024 at 10.30 a.m. Individual Member - Log into website https://investor.boardroomlimited.com using your user ID and password from Step 1 above. - Click "Meeting Event(s)" select from the list of companies – 'KIP REAL ESTATE INVESTMENT TRUST 8TH ANNUAL GENERAL MEETING' from the list of companies and click 'Enter'. Click on "Register for RPEV". - Read and accept the General Terms & Conditions and click "Next". - Enter your CDS Account Number and thereafter submit your request. Appointment of Proxy - Log in to https://investor.boardroomlimited.com using your user ID and password from Step 1 above. - Click "Meeting Event(s)" select from the list of companies – 'KIP REAL ESTATE INVESTMENT TRUST 8TH ANNUAL GENERAL MEETING' from the list of companies and click 'Enter'. - Click on "Submit eProxy Form". - For Corporate Shareholder, select the company(ies) you would like to represent. If you wish to appoint more than one (1) company, please click the home button and select "Edit Profile" in order to add the company's name. - Read and accept the General Terms & Conditions and click "Next". - Enter your CDS Account Number and number of securities held. - Select your proxy - either the Chairman of the meeting or individual named proxy(ies) and enter the required particulars of your proxy(ies). - Indicate your voting instructions - FOR or AGAINST, otherwise your proxy will decide your vote. - Review and confirm your proxy appointment. - Click "Apply". - Download or print the eProxy form as acknowledgement. For Authorised Nominee and Exempt Authorised Nominee - Login to https://investor.boardroomlimited.com using your user ID and password from Step 1 above. - Click "Meeting Event(s)" select from the list of companies – 'KIP REAL ESTATE INVESTMENT TRUST 8TH ANNUAL GENERAL MEETING' from the list of companies and click 'Enter' Click on "Submit eProxy Form". - Select the company you would like to represent. - Proceed to download the file format for "Submission of Proxy Form" from the investor portal. - Prepare the file for the appointment of proxies by inserting the required data. - Proceed to upload the duly completed proxy appointment file. - Review and confirm your proxy appointment and click "Submit". - Download or print the eProxy form as acknowledgement. For Corporate Shareholders, Authorised Nominees/ Exempt Authorised Nominees and Attorneys, you may also write to bsr.helpdesk@boardroomlimited.com and provide name of the shareholder, CDS account no. and the Certificate of Appointment of Corporate Representative or Proxy Form (as the case may be). A copy of MyKad or passport and a valid email address are required.

ADMINISTRATIVE GUIDE

8TH ANNUAL GENERAL MEETING (CONT'D)

Procedure		Action
Before the day of the AGM		
3.	Email notification	a. You will receive notification(s) from Boardroom that your request(s) has/have been received and is/are being verified. b. Upon system verification against the General Meeting Record of Depositories as at 25 September 2024, you will receive an email from Boardroom either approving or rejecting your registration for remote participation. If your registration for remote participation is approved, you will receive an email notification from Boardroom with the Meeting ID together with your remote access user ID and password.
On the day of the AGM		
4.	Login to Meeting Platform	a. The Meeting Platform will be open for login one (1) hour before the commencement of the AGM. b. The Meeting Platform can be accessed via one of the following: - Scan the QR Code provided in the email notification; - Navigate to the website at https://meeting.boardroomlimited.my c. Insert the Meeting ID and sign in with the user ID and password provided to you via the email notification in Step 3.
5.	Participate	[Note: Please follow the User Guides provided in the confirmation email above to view the live web- cast, submit questions and vote. Questions submitted online will be moderated before being sent to the Chairman to avoid repetition. All question and messages will be presented with the full name and identity of the participant raising the question.] a. If you would like to view the live webcast, select the broadcast icon.  b. If you would like to ask a question during the AGM, select the messaging icon.  c. Type your message within the chat box, once completed click the send button.
6.	Voting	a. Once voting has been opened, the polling icon will appear with the resolutions and your voting choices until the Chairman declares the end of the voting session. b. To vote, please select your voting direction from the options provided. A confirmation message will appear to show your vote has been received. c. To change your vote, re-select another voting direction. d. If you wish to cancel your vote, please press "Cancel".
7.	End of Participation	Upon the announcement by the Chairman on the closure of the AGM, the live webcast will end and the Messaging window will be disabled.

(8) No Distribution of Door Gifts, Food and Beverages

There will be no distribution of food voucher or door gift to Unitholders.

(9) Enquiry

If you have any enquiries on the virtual 8th AGM facilities (technical assistance) prior to the meeting, please contact the following during office hours from Mondays to Fridays (8.30 a.m. to 5.30 p.m.):

Boardroom Share Registrars Sdn. Bhd.

Address : 11th Floor, Menara Symphony
No. 5, Jalan Prof. Khoo Kay Kim
Sekyen 13, 46200 Petaling Jaya
Selangor Darul Ehsan
Malaysia

General Line : 603-7890 4700

Fax Number : 603-7890 4670

Email : bsr.helpdesk@boardroomlimited.com

ADMINISTRATIVE GUIDE

8TH ANNUAL GENERAL MEETING (CONT'D)

(10) Mode of Communication of the virtual 8th AGM

- (a) Typed text in the Meeting Platform
- (b) Email questions to ir@kipreit.com.my prior to the meeting
- (c) Unitholders may submit questions by logging into the Boardroom Smart Investor Portal at <http://investor.boardroomlimited.com> prior to the meeting.

(11) Personal Data Privacy

By registering for the RPEV meeting and/or submitting the instrument appointing proxy(ies) and/or representative(s), the Unitholder has consented to the use of such data for purposes of processing and administration by KIP REIT (or its agents); and to comply with any laws, listing rules, regulations and/or guidelines. The Unitholder agrees that he/she will indemnify KIP REIT in respect of any penalties, liabilities, claims, demands, losses and damages as a result of the Unitholder's breach of warranty.

(12) Communication Guidance

We may be required to change the arrangements of our 8th AGM at short notice. Kindly check the website or announcements of KIP REIT for the latest updates on the status of the 8th AGM.

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KIP REAL ESTATE INVESTMENT TRUST
(Established in Malaysia under the Trust Deed dated 2 November 2016, an amended and restated deed dated 12 December 2019 and a supplementary deed dated 29 September 2020 between KIP REIT Management Sdn Bhd and Pacific Trustees Berhad)

FORM OF PROXY

No. of Units held	
CDS Account No.	

I/We (name of unitholder as per NRIC, in

capital letters) NRIC No./Passport No./Company No

Tel/Mobile No of

..... (full address) being a unitholder(s)

of KIP REAL ESTATE INVESTMENT TRUST ("KIP REIT") and entitled to vote hereby appoint:

FIRST PROXY 'A'

Full name	NRIC No./Passport No./ Company No.	Proportion of unitholdings represented	
Email address	Tel No.	No. of units	%

and/or failing *him/her

SECOND PROXY 'B'

Full name	NRIC No./Passport No./ Company No.	Proportion of unitholdings represented	
Email address	Tel No.	No. of units	%

100%

or failing *him/her, the Chairman of the Meeting as *my/our proxy to vote for *me/us on *my/our behalf at the 8th Annual General Meeting of KIP REIT to be conducted on a virtual basis via Remote Participation Electronic Voting ("RPEV") facilities on the following Meeting Platform, set out below and at any adjournment thereof:

Online Meeting Platform : <https://meeting.boardroomlimited.my>
Day and date : Wednesday, 2 October 2024
Time : 10.30 a.m.
Broadcast Venue : 12th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor

* Strike out whichever not applicable

Ordinary Resolutions	For	Against
Ordinary Resolution - Proposed Authority		

(Please indicate with an "X" in the space provided above on how you wish to direct your proxy to cast his/her/their vote. If you do not do so, the proxy(ies) will vote or abstain from voting at his/her/their discretion.)

Dated this.....day of2024

.....
Signature of unitholder/Common Seal
(if unitholder is a corporation)

FOLD THIS FLAP FOR SEALING

Notes:

1. The 8th AGM will be conducted on a virtual basis through online meeting platform via RPEV facilities. Please follow the procedures provided in the Administrative Guide for the 8th AGM in order to register, participate and vote remotely via RPEV facilities.
2. Unitholder who is entitled to participate the meeting is entitled to appoint not more than 2 proxies to participate instead of him/her. A proxy need not be a Unitholder. Where a Unitholder appoints more than 1 proxy, the appointments shall be invalid unless he/she specifies the proportions of his/her holding (expressed as a percentage of the whole) to be represented by each proxy.
3. Where a Unitholder is a corporation, its duly authorised representative shall be entitled to participate the meeting and shall be entitled to appoint another person (whether a Unitholder or not) as its proxy to participate and vote.
4. Where a Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint not more than 2 proxies in respect of each securities account it holds in units standing to the credit of the said securities account. Where a Unitholder appoints more than 1 proxy, the appointments shall be invalid unless it specifies the proportions of its holdings (expressed as a percentage of the whole) to be represented by each proxy.
5. The instrument appointing a proxy shall be in writing under the hand of the appointor or of its attorney duly authorised in writing or if such appointor is a corporation either under its common seal or under the hand of an officer or attorney so authorised.
6. The instrument appointing a proxy and the power of attorney or other authority (if any) under which it is signed or a notarial certified copy of such power or authority shall be deposited at the registered office of the Manager at Unit 27.2, Menara 1MK, Kompleks 1 Mont Kiara, No. 1 Jalan Kiara, Mont Kiara, 50480 Kuala Lumpur Malaysia no later than 1 October 2024 at 10.30 a.m. being 24 hours before the time appointed for holding the meeting or any adjournment thereof. Alternatively, you may choose to submit the proxy appointment via electronic means through Boardroom Smart Investor Portal at <https://investor.boardroomlimited.com> before the Form of Proxy submission cut-off time as mentioned above.
7. Only Unitholders registered in the Record of Depositors as at 25 September 2024 shall be entitled to participate, vote and speak at the meeting or appoint proxy(ies) to participate and vote on his/her behalf.
8. Pursuant to Paragraph 8.29A(1) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad, all resolution(s) set out in the Notice of 8th AGM will be put to vote by way of poll.
9. Annual Report 2024 is available on KIP REIT's website at <https://www.kipreit.com.my/investor-relations/publication-presentations/> which Unitholders can view or download at their convenience.

THEN FOLD HERE

Affix
stamp

The Company Secretary
KIP REIT MANAGEMENT SDN BHD
(The Manager for KIP Real Estate Investment Trust)
UNIT 27.2, MENARA 1MK, KOMPLEKS 1 MONT KIARA
NO. 1, JALAN KIARA, MONT KIARA
50480 KUALA LUMPUR

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KIP

REIT

KIP REAL ESTATE INVESTMENT TRUST

KIP REIT MANAGEMENT SDN BHD

(Registration No.201501044317 [1169638-M])

(The Manager for KIP REIT)

Unit B-6, Blok B Tingkat 6, Menara KIP, No.1 Jalan Seri Utara 1,
Sri Utara Off Jalan Ipoh, 68100 Kuala Lumpur

Tel : +603 6259 1133 / +603 6259 6633

Fax : +603 6259 1212

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